

GPT-4o vs GPT-5.4 -- Adversarial Benchmark

GPT-4o vs GPT-5.4 Adversarial Benchmark

gpt-4o: 0/200 = 0.0%

gpt-5.4: 0/200 = 0.0%

Overall Results

gpt-4o: 0/200 = 0.0%

gpt-5.4: 0/200 = 0.0%

By Adversarial Type

case_specific_holding	gpt-4o: 0%	gpt-5.4: 0%
counterintuitive_outcome	gpt-4o: 0%	gpt-5.4: 0%
multi_party_liability	gpt-4o: 0%	gpt-5.4: 0%
novel_unsettled	gpt-4o: 0%	gpt-5.4: 0%
precise_threshold	gpt-4o: 0%	gpt-5.4: 0%
procedural_technical	gpt-4o: 0%	gpt-5.4: 0%
rule_conflict	gpt-4o: 0%	gpt-5.4: 0%
temporal_trap	gpt-4o: 0%	gpt-5.4: 0%

All Items

Item adversarial_0001 -- counterintuitive_outcome

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: finra_industry_consolidation_supervision_obligations

Fact Pattern

Question / Answer

Based on the specific data reported in the 2024 FINRA Industry Snapshot regarding the 10-year change in the number of FINRA-registered firms (2013-2023), the trend in median years in business for registered firms (2013-2023), and the distribution of registered representatives by firm size (2019-2023), which specific factual assertions made by Alderton were contradicted by the actual Industry Snapshot data, and why does the actual data make the enforcement outcome against Meridian less counterintuitive than it initially appears?

Correct Answer: Alderton's core factual assertions were contradicted by the 2024 FINRA Industry Snapshot in several specific ways. First, while the total number of FINRA-registered firms has indeed declined over the 10-year period from 2013 to 2023 (Figure 2.1.10), the Snapshot data shows the median number of years in business for FINRA-registered firms has actually been **increasing** over the 2013-2023 period (Figure 2.2.1), not declining as Alderton claimed. This rising median tenure directly undermines his argument that small firms are transient entities unworthy of compliance investment -- the data suggests surviving firms are becoming more established, not less stable.

Second, the distribution data in Figures 1.1.2 and Table 1.1.3 shows that small firms continue to constitute the overwhelming numerical majority of FINRA-registered firms (Figure 2.1.2/Table 2.1.3), even though large firms employ the majority of registered representatives. The Snapshot's firm distribution by size data (2019-2023) demonstrates that small firms with few registered representatives remain the dominant firm category by count. This means FINRA's supervisory focus on small firms is not disproportionate -- it reflects the reality that the majority of distinct regulated entities requiring examination are small firms.

Third, the data on registered representatives leaving and entering FINRA membership (Figure 1.2.1/Table 1.2.2) and transfers between firms (Figure 1.2.4) shows meaningful movement of representatives across firms of various sizes, which actually heightens -- not diminishes -- the supervisory risk at small firms that may be absorbing representatives with disciplinary histories. The enforcement outcome against Meridian is therefore entirely consistent with the Industry Snapshot's own data: small firms remain numerically dominant, are increasingly long-lived, and face representative mobility patterns that demand robust supervisory procedures regardless of firm size.

Item adversarial_0002 -- rule_conflict

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: performance_projections_institutional_comms_rule_conflict

Fact Pattern

Question / Answer

As of January 2024, under FINRA's proposed rule change SR-FINRA-2023-016 as filed on November 13, 2023, what is the specific status of the amendment to Rule 2210(d)(1)(F) that would permit performance projections in institutional communications promoting non-public offerings to qualified purchasers, and how does this create a concrete rule conflict for Tranche A versus Tranche B of Brookstone's distribution -- specifically, what categories of communications and what categories of recipients does the proposed (but not yet approved) FINRA rule change identify as eligible for the projection exception, and why does the current unamended Rule 2210(d)(1)(F) prohibition mean that the identical projection materials lawfully distributable under the IA Marketing Rule through Tranche B cannot lawfully be distributed through Tranche A?

Correct Answer: As of the November 17, 2023 SEC notice publishing the proposed rule change (Release No. 34-98977), FINRA's amendment to Rule 2210 has only been filed and noticed for public comment -- it has not been approved by the SEC. The proposed rule change would permit a member to project performance or provide a targeted return with respect to a security or asset allocation or other investment strategy specifically in two categories: (1) an 'institutional communication' as defined under existing Rule 2210, or (2) a communication distributed solely to 'qualified purchasers' as defined under Section 2(a)(51) of the Investment Company Act of 1940, but only where the communication promotes or recommends specified non-public offerings. These projections would be subject to 'stringent conditions to ensure these projections are carefully derived from a sound basis,' per the filing's own language.

Because the proposed amendment has not been approved, the existing Rule 2210(d)(1)(F) prohibition remains fully operative for all FINRA member communications: no communication may 'predict or project performance, imply that past performance will recur or make any exaggerated or unwarranted claim, opinion or forecast.' This means Tranche A -- distributed through Brookstone's broker-dealer channel -- cannot include the Monte Carlo IRR projections regardless of the sophistication of the recipients, even though they are institutional investors and qualified purchasers. The current rule contains no exception for institutional communications or qualified-purchaser-only distributions regarding performance projections of specific securities or investment strategies (it only permits 'hypothetical illustration of mathematical principles' that do not predict or project performance of an investment).

By contrast, Tranche B -- distributed through the advisory channel -- is governed by the Investment Advisers Act Marketing Rule (Rule 206(4)-1, adopted in Release No. IA-5653), which explicitly permits hypothetical performance including projections in communications to advisory clients, provided the adviser satisfies the rule's conditions (including audience-relevance policies, required disclosures, and other safeguards). This creates a direct rule conflict for a dual registrant: the identical projection materials are permissible under the IA Marketing Rule for advisory communications but prohibited under the current, unamended FINRA Rule 2210(d)(1)(F) for broker-dealer communications -- even when distributed to the exact same sophisticated audience for the exact same non-public offering product.

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: inadvertent_custody_custodial_agreement_authority

Fact Pattern

Question / Answer

Under SEC Division of Investment Management Guidance Update No. 2017-01, does the existence of bilateral restriction letters between Meridian and the qualified custodian NCC -- as opposed to bilateral restrictions solely between the adviser and the client -- eliminate Meridian's custody status under Rule 206(4)-2? Specifically, what precise distinction does the 2017-01 Guidance draw regarding which type of 'separate bilateral restriction' is insufficient to prevent a custody determination, and does the Guidance address the scenario where the restriction runs to the custodian rather than only to the client?

Correct Answer: Under IM Guidance Update No. 2017-01, the SEC staff specifically addressed the sufficiency of bilateral restrictions and concluded that 'a separate bilateral restriction between the adviser and the client would be insufficient to prevent the adviser from having custody where the custodial agreement enables the adviser to withdraw or transfer client funds or securities upon instruction to the custodian.' The precise language of the Guidance identifies the insufficient restriction as one 'between the adviser and its client(s)' -- it speaks to adviser-client bilateral restrictions, not to restrictions running between the adviser and the custodian itself.

The Guidance's rationale for finding adviser-client bilateral restrictions insufficient is that 'the custodian may not be aware of them; accordingly, if, for example, the adviser attempted to withdraw funds from the account, the custodian would view the adviser as authorized to do so and would release those funds.' This reasoning is specific to the information asymmetry problem: the custodian does not know about restrictions in the advisory agreement or side letters between adviser and client. However, the 2017-01 Guidance does not expressly address the scenario presented here -- where the bilateral restriction runs directly to and is countersigned by the qualified custodian itself, thereby eliminating the information asymmetry that the Guidance identifies as the core problem.

Nevertheless, Meridian's position remains precarious because the Guidance states that the custody determination turns on whether the custodial agreement 'enables the adviser to withdraw, or transfer, client funds or securities upon instruction to the custodian.' The underlying custodial agreement language granting Meridian disbursement authority remains in place; a side letter restriction may or may not be treated as amending the custodial agreement itself. The Guidance does not provide a safe harbor for custodian-countersigned restriction letters as a mechanism to cure inadvertent custody arising from custodial agreement language. Absent a formal amendment to the NCC custodial agreement itself removing the offending disbursement authorization, the SEC staff's position under 2017-01 would likely be that Meridian still has custody because the custodial agreement on its face authorizes the adviser to instruct disbursements. Meridian should have disclosed custody on Form ADV Part 1A, Item 9 and either obtained a surprise examination or ensured the custodial agreement was formally amended to remove the broad disbursement language entirely.

Item adversarial_0004 -- case_specific_holding

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: nscp_comment_finra_rn2504_cco_liability_framework

Fact Pattern

Question / Answer

In the May 2025 NSCP comment letter to FINRA responding to Regulatory Notice 25-04, what specific tool or framework did NSCP represent it had developed and issued to help regulators analyze CCO liability, and what was NSCP's stated rationale for how this framework should influence the assessment of cases like Whitfield's? Additionally, what separate mapping tool did NSCP reference in the same letter, and what was its stated primary objective?

Correct Answer: In its May 27, 2025 comment letter to FINRA responding to Regulatory Notice 25-04, NSCP stated that it had 'developed and issued a framework to help regulators analyze chief compliance officer ("CCO") liability in a way that provides a real-world perspective regarding the impact of perceived CCO liability on the profession.' While the letter does not elaborate on the full details of the framework's analytical methodology, NSCP's stated position is that the framework is intended to provide regulators with a practical, real-world lens through which to evaluate CCO liability--implicitly distinguishing between CCOs who are complicit in wrongdoing and those who face liability for institutional failures beyond their direct control.

Separately, NSCP stated in the same letter that it had 'just completed and issued a BD/IA Regulatory Mapping Tool.' The letter specifies that 'one of the primary objectives of NSCP in developing this tool is to provide a comprehensive view of the considerable number of rules and regulations for which our members are responsible.' This tool is significant because it underscores NSCP's broader argument that compliance professionals at dual-registrant firms (like Meridian, which is both a BD and an IA) face an extraordinarily complex and overlapping web of regulatory requirements from FINRA, the SEC, and state regulators.

In a case like Whitfield's, the NSCP framework and mapping tool would support the defense argument that CCO liability should be assessed in context--recognizing the volume of regulatory obligations, the CCO's documented good-faith efforts to raise concerns, and the business leadership's refusal to allocate resources. NSCP's letter explicitly frames regulatory oversight as most effective 'when regulators view compliance professionals as partners with the shared objectives of investor protection, market integrity and the promotion of capital formation,' suggesting that punitive enforcement against CCOs who acted in good faith undermines this partnership model.

Item adversarial_0005 -- temporal_trap

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: reg_bi_examination_phase_temporal_shift

Fact Pattern

Question / Answer

According to the SEC Division of Examinations' January 30, 2023 Risk Alert on Reg BI examinations, what was the specific difference in examination focus between the initial post-compliance-date examinations and the subsequent examinations, and why does this temporal shift in examination methodology undermine Meridian's argument that the September 2020 examination's acceptance of 'reasonable progress' should establish a continuing baseline for the firm's compliance obligations during the March 2022 examination period?

Correct Answer: The January 30, 2023 Risk Alert explicitly describes a two-phase examination approach. Initial examinations conducted after the June 30, 2020 compliance date 'focused on whether firms established written policies and procedures reasonably designed to comply with Regulation Best Interest and whether firms made reasonable progress in implementing those policies and procedures,' as described in the Division's April 7, 2020 Risk Alert. However, subsequent examinations--the category into which the March 2022 examination falls--'focused on the specific requirements of the rule and included enhanced transaction testing designed to examine whether broker-dealers implemented effectively their written policies and procedures,' as referenced in the Division's December 21, 2020 statement.

This distinction is critical because it demonstrates that the Division of Examinations intentionally and publicly shifted from a process-oriented review (do you have policies and are you making progress?) to a substantive, transaction-level review (did the actual recommendations comply with Reg BI's component obligations?). The September 2020 examination fell squarely within the initial phase, where 'reasonable progress' toward implementation was the relevant benchmark. By March 2022, the examination standard had evolved to include enhanced transaction testing--meaning the Division was no longer giving credit merely for having policies in place but was testing whether those policies were effectively implemented at the individual recommendation level.

Meridian's argument that the 2020 examination's acceptance of reasonable progress establishes a continuing baseline fundamentally misunderstands the temporal structure of the Division's examination program. The Risk Alert makes clear that these were distinct examination initiatives with different scopes and expectations. The underlying legal obligation--Rule 15l-1's requirement to act in the best interest of retail customers--remained constant from June 30, 2020 forward, but the Division's examination methodology evolved from assessing readiness to assessing actual compliance. The 29 flagged transactions from 2021-2022 would be evaluated under the enhanced transaction testing methodology, where the absence of documentation showing consideration of reasonably available alternatives constitutes a deficiency under the Care Obligation regardless of whether the firm had written policies requiring such documentation.

Item adversarial_0006 -- novel_unsettled

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: ai_robo_adviser_at_cost_fund_advisory_assignment

Fact Pattern

Question / Answer

Under SEC IM Guidance Update No. 2013-09 and Rule 15a-4 under the Investment Company Act, if shareholder

approval is not obtained within the 150-day interim period and AlphaBot seeks Division staff no-action relief to continue serving the Fund beyond that period, what specific compensation limitation would the Division staff likely impose as a condition of any such no-action relief, and why would the Section 2(a)(20)(iii) 'at cost' exclusion NOT apply to AlphaBot's arrangement even if AlphaBot claimed it was only charging its direct computational costs?

Correct Answer: Under SEC IM Guidance Update No. 2013-09, the Division staff has historically granted no-action relief in circumstances similar to Rule 15a-4 where additional time is needed beyond the 150-day interim period. Consistent with the Commission's approach in Rule 15a-4 itself, such no-action letters have been 'premised, among other things, on the investment adviser being paid only its costs incurred in performing the interim contract.' This means that if AlphaBot receives no-action relief to continue beyond the 150-day window, the Division staff would condition such relief on AlphaBot receiving only its actual costs incurred--in this case, the \$47,000/month in computational infrastructure and compliance costs--and no additional compensation until shareholder approval is obtained.

Critically, the Section 2(a)(20)(iii) exclusion would NOT apply to AlphaBot regardless of its at-cost pricing. The Guidance Update specifically addresses this issue, citing the Commission's interpretive position that the Section 2(a)(20)(iii) exclusion 'refers to a company which is in the business of providing such services at cost--such as a company which is owned by, and provides services exclusively to, such financial institutions.' AlphaBot, as a newly formed subsidiary of Apex Holdings providing services to a single mutual fund on a temporary basis during an assignment transition, does not meet this criterion. Moreover, the Commission 'emphasized that Section 2(a)(20)(iii) was not intended to provide an exclusion for investment advisers who provide services temporarily at cost to particular clients only.' AlphaBot is providing services temporarily at cost to the Quantum Strategic Growth Fund only, which is precisely the situation the Commission said the exclusion was 'not intended' to cover.

Therefore, AlphaBot remains an 'investment adviser' as defined in Section 2(a)(20), subject to all the protections and requirements of the Company Act, including the Section 15(a) contract approval requirements. The at-cost compensation is not a basis for exclusion from adviser status; rather, it is a condition of the interim relief mechanism under Rule 15a-4 and any analogous no-action relief. The novel question of whether an AI-driven platform with no human portfolio managers satisfies the statutory definition of 'regularly furnishing advice' or being 'empowered to determine what securities shall be purchased or sold' remains unsettled, but the compensation and exclusion analysis is clearly governed by the principles articulated in the 2013-09 Guidance Update.

Item adversarial_0007 -- multi_party_liability

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: series_fund_affiliated_transaction_liability

Fact Pattern

Question / Answer

Under the SEC Division of Investment Management's 2014 Guidance Update No. 2014-06 regarding series investment companies and affiliated transactions, does Whitfield Holdings' 6.2% ownership of the Small Cap Opportunities Fund

make it an 'affiliated person' relevant to a Section 17(a) analysis of the International Bond Fund's purchase from Whitfield -- and which parties (Apex, ComplianceFirst, the board, Northern Star) bear liability for the compliance failure, specifically considering the guidance's position on how each series factors into the affiliated-person determination for transactions involving other series within the same trust?

Correct Answer: Under IM Guidance Update No. 2014-06, the SEC staff's position is unambiguous: each series of a series company is treated as a separate investment company for purposes of the 1940 Act, and critically, the affiliated-person analysis must account for each series individually -- not just the series that is party to the transaction. The guidance specifically states that 'not only does the prohibition in section 17(a) apply when a series is a party to the purchase or sale transaction, but the series also is a relevant person for purposes of determining whether the counterparty to a mutual fund's transaction is an affiliated person.' Thus, Whitfield's 6.2% ownership of Small Cap Opportunities Fund makes Whitfield an affiliated person of that series. Because both Small Cap Opportunities Fund and International Bond Fund exist within the same registered investment company (Granite Peak Fund Trust), Whitfield is an affiliated person of an affiliated person of the International Bond Fund -- triggering Section 17(a)'s prohibition on the bond sale to the International Bond Fund without exemptive relief under Section 17(b). Apex's argument that Whitfield is only affiliated with Small Cap fails under this guidance.

Regarding multi-party liability: Apex Capital Management, as the investment adviser that arranged the transaction, bears primary responsibility for failing to identify Whitfield as an affiliated person and for not designing compliance policies that track 5% ownership at the series level. The guidance specifically reminds that under Rule 38a-1, a mutual fund must adopt compliance policies 'reasonably designed to prevent violations of the federal securities laws as they apply to each series.' ComplianceFirst, as the Rule 38a-1 compliance services provider, is directly implicated because its monitoring system only tracked affiliated persons at the trust level, not the series level -- a design flaw that directly contradicts the guidance's directive that affiliated-person identification must occur with respect to each series. The board of trustees bears supervisory liability for failing to ensure that the compliance program was reasonably designed to address series-level affiliated-person identification, which the guidance specifically highlights as an obligation. Northern Star, as custodian, likely does not bear direct liability under Section 17(a) or Rule 38a-1, as custodians are not charged with affiliated-person screening under the 1940 Act's compliance framework, though they could face scrutiny if they had actual knowledge of the affiliation.

Item adversarial_0008 -- procedural_technical

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: form_crs_page_limit_dual_registrant

Fact Pattern

Question / Answer

Under the Form CRS General Instructions as set forth in the SEC's instructions for Form CRS (SEC 2942), is Meridian's approach of preparing two separate relationship summaries as a dual registrant permissible, and what specific problem arises from the additional voluntary paragraph Petrova inserted into the brokerage relationship summary? Cite the precise instruction provisions that control both the page-limit analysis and the content-restriction

analysis.

Correct Answer: Meridian's approach of preparing two separate relationship summaries rather than a single combined document is expressly permissible under the Form CRS General Instructions. General Instruction 1.C specifically provides that 'Dual registrants and affiliates that prepare separate relationship summaries are limited to two pages for each relationship summary,' citing General Instruction 5. This means each of Meridian's two-page documents independently complies with the applicable page limit. Had Meridian instead chosen to prepare a single combined relationship summary, General Instruction 1.C would have permitted up to four pages in paper format. Either approach is valid under the instructions.

However, the additional voluntary paragraph that Petrova inserted into the brokerage relationship summary -- the three sentences explaining that Meridian also offers advisory services -- creates a compliance violation under General Instruction 1.B. That provision states explicitly: 'You may not include disclosure in the relationship summary other than disclosure that is required or permitted by these Instructions and the applicable item.' The Form CRS instructions operate on a closed-universe principle: only information that is affirmatively required or permitted by the enumerated items may appear in the document. Petrova's voluntary marketing-like cross-reference to the advisory Form CRS is not among the required or permitted disclosures, regardless of how helpful or well-intentioned it may be.

This is a procedural content restriction, not a page-limit issue. Even though the brokerage relationship summary remains within its two-page limit, the inclusion of non-permitted content independently violates General Instruction 1.B. The SEC examination team would be correct to cite this as a deficiency, and Meridian would need to remove the voluntary paragraph to bring the document into compliance.

Item adversarial_0009 -- counterintuitive_outcome

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: cab_retail_investor_placement_agent_activity

Fact Pattern

Question / Answer

Under the CAB rule set as described in FINRA Regulatory Notice 16-37, could Meridian Strategic Partners legitimately elect CAB status despite having acted as a placement agent that sold unregistered securities to non-institutional individual investors (accredited but not institutional) in a transaction that concluded before the CAB rules' effective date? Specifically, what restriction in the CAB framework would make this prior activity relevant to the firm's eligibility, and does the CAB rule set permit firms that have historically engaged in sales to non-institutional investors to convert to CAB status?

Correct Answer: Counterintuitively, Meridian's historical placement activity with non-institutional accredited investors does NOT automatically disqualify it from electing CAB status, provided the firm meets the CAB definition and complies with all CAB restrictions going forward from the effective date. Under Regulatory Notice 16-37, the CAB definition limits firms to 'acting as placement agents for sales of unregistered securities to institutional investors under limited conditions.' The rule set prohibits CABs

from, among other things, carrying or maintaining customer accounts, handling customers' funds or securities, accepting customers' trading orders, or engaging in proprietary trading or market-making. However, the CAB framework as described in RN 16-37 is an elective regime--firms that 'meet the definition' of CAB and 'elect to be governed under this rule set' qualify. The definition is based on the firm's activities going forward under the CAB rules, not a historical look-back prohibition.

Critically, Regulatory Notice 16-37 specifically states that FINRA will accept applications both from 'firms that are not broker-dealers but wish to register as CABs' and from 'existing member firms requesting to elect CAB status' beginning January 3, 2017. The Notice encourages existing member firms that 'would qualify as CABs to consider converting to CAB status.' This language contemplates conversion by firms that previously operated under the full FINRA rule set--meaning they may have historically engaged in activities broader than the CAB definition permits. The key requirement is that at the time of election and going forward, the firm confines its activities to those permitted under the CAB rules. The NovaMed placement to non-institutional individuals, having concluded before the election, would not bar Meridian from CAB status so long as Meridian restricts future placement activity exclusively to institutional investors as required by the CAB definition.

That said, Meridian's failure to disclose the NovaMed placements in its application is a separate compliance concern. While the historical activity may not be disqualifying, complete and accurate disclosure in membership or conversion applications is a fundamental FINRA requirement. The omission could independently trigger scrutiny under FINRA's membership application rules (CAB Rules 101-125, effective January 3, 2017), even though the underlying conduct would not have prevented approval.

Item adversarial_0010 -- rule_conflict

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: cross_trade_pricing_conflict_ria_vs_ic_act

Fact Pattern

Question / Answer

Under the SEC's analysis in IA Release No. 5050 (In the Matter of Putnam Investment Management, LLC and Zachary Harrison), how did the Commission resolve the apparent rule conflict between (a) the argument that dealer-interposed transactions are not 'cross trades' subject to Section 17(a)/Rule 17a-7 of the Investment Company Act, and (b) the Advisers Act fiduciary duty to treat both sides of a paired transaction equally -- and specifically, what pricing benchmark did the SEC hold should have been used instead of the highest independent bid, and under which statutory provision did the SEC ground its finding that pricing at the bid constituted a violation even though a broker-dealer was interposed?

Correct Answer: In IA Release No. 5050, the SEC rejected Putnam's implicit position that interposing a broker-dealer between the selling and buying RIC accounts removed the transactions from regulatory scrutiny as cross trades. The Commission treated Harrison's prearranged dealer-interposed transactions as functionally equivalent to cross trades, finding that Harrison 'prearranged with broker-dealers to temporarily sell the securities and repurchase them at a small mark-up, usually the next business day.' The SEC found that the correct pricing benchmark was the average between the highest

current independent bid and the lowest current independent offer -- the same standard embedded in Rule 17a-7 under the Investment Company Act -- and that by pricing at the bid rather than this average, Harrison and Putnam systematically favored the buying accounts over the selling accounts.

Critically, the SEC grounded its violation findings under both the Investment Advisers Act (Sections 206(2) and 206(4)) and the Investment Company Act (Sections 9(b) and 9(f)), proceeding under Sections 203(e), 203(f), and 203(k) of the Advisers Act alongside Sections 9(b) and 9(f) of the Investment Company Act. The Commission's theory was that even though a broker-dealer was technically interposed, the prearranged nature of the paired transactions meant that Putnam's fiduciary duty required it to treat both the selling and buying advisory clients equally. Pricing at the bid -- even if it was the highest bid obtained -- constituted 'undisclosed favorable treatment of certain advisory clients over others' because it systematically transferred value from selling accounts to buying accounts.

The SEC imposed sanctions on both Putnam (the entity) and Harrison (the individual), ordering them to cease and desist from violations. The settlement was entered without admitting or denying findings. The key analytical point is that the SEC effectively imported the Rule 17a-7 mid-market pricing concept into its Advisers Act fiduciary analysis for dealer-interposed transactions, collapsing the distinction between formal cross trades and prearranged paired trades executed through an intermediary.

Item adversarial_0011 -- precise_threshold

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: scsd_initiative_relevant_period_and_self_reporting

Fact Pattern

Question / Answer

Based on the precise 'Relevant Period' defined in the Woodbury Financial Services settled order (IA Release No. 5174, March 11, 2019), what are the exact start and end dates of that period, and applying those same temporal boundaries to Hartfield's fact pattern, what would be Hartfield's disgorgement amount from the three time-period buckets described?

Correct Answer: In the Woodbury Financial Services order (Investment Advisers Act Release No. 5174, March 11, 2019), the SEC defined the 'Relevant Period' as January 1, 2014 to April 30, 2015 -- a period of exactly 16 months. The order states: 'At times during the period January 1, 2014 to April 30, 2015 (the "Relevant Period"), Respondent purchased, recommended, or held for advisory clients mutual fund share classes that charged 12b-1 fees instead of lower-cost share classes of the same funds for which the clients were eligible.'

Applying these precise temporal boundaries to Hartfield's situation, the disgorgement calculation would exclude the \$420,000 in 12b-1 fees received during November-December 2013 (before the Relevant Period start date of January 1, 2014) and would also exclude the \$310,000 in 12b-1 fees received during May-June 2015 (after the Relevant Period end date of April 30, 2015). Only the \$1,120,000 in 12b-1 fees received during the January 2014 through April 2015 window would fall

within the Relevant Period.

Therefore, Hartfield's disgorgement obligation, if modeled on the Woodbury template, would be \$1,120,000 -- representing only the 12b-1 fees received during the January 1, 2014 through April 30, 2015 Relevant Period. This is a reduction of \$730,000 from the total \$1,850,000 in 12b-1 fees Hartfield received over the entire duration of its violative conduct. The Woodbury order was brought pursuant to Sections 203(e) and 203(k) of the Investment Advisers Act of 1940, and the self-reporting under the SCSD Initiative was a key factor in the Commission's determination of appropriate remedial sanctions.

Item adversarial_0012 -- case_specific_holding

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: tpg_accelerated_monitoring_fees_fiduciary_breach

Fact Pattern

Question / Answer

Under the SEC's holding in the TPG Capital Advisors proceeding (IA Release No. 4830, December 21, 2017), what specific disclosure deficiency formed the basis of the Section 206(2) fiduciary duty breach -- was it the failure to disclose the existence of monitoring fees, the failure to disclose the dollar amounts of accelerated fees after they occurred, or something else entirely? Additionally, what independent compliance violation was found, under which specific Advisers Act provision and rule, and how did the SEC characterize TPG's inability to consent to the acceleration practice on behalf of its own funds?

Correct Answer: In *In the Matter of TPG Capital Advisors, LLC* (IA Release No. 4830, December 21, 2017), the SEC found that the specific disclosure deficiency was not a failure to disclose the existence of monitoring fees (which TPG did disclose) nor a failure to disclose the dollar amounts of accelerated fees after they occurred (which TPG also disclosed after the fact). Rather, the critical deficiency was TPG's failure to disclose to its funds and to the funds' limited partners prior to their commitment of capital that TPG may accelerate future monitoring fees upon termination of monitoring agreements in connection with a sale or IPO. This forward-looking, pre-commitment disclosure of the acceleration practice itself -- not the existence of fees or the post-hoc amounts -- was what was missing.

The SEC held that because TPG's receipt of accelerated monitoring fees from portfolio companies was a conflict of interest, TPG could not effectively consent to this practice on behalf of the funds it advised. This is a critical fiduciary duty point: the adviser sat on both sides of the transaction (as fee recipient and as the entity managing the funds bearing the economic cost), and without informed consent from the limited partners obtained through adequate pre-commitment disclosure, the adviser's self-consent was invalid. This formed the basis for the Section 206(2) violation (fraud by an investment adviser through breach of fiduciary duty) and Section 206(4) and Rule 206(4)-8 (fraud in connection with pooled investment vehicles).

Separately, the SEC found an independent violation of Section 206(4) and Rule 206(4)-7 for TPG's failure to adopt and implement written policies and procedures reasonably designed to prevent Advisers Act violations arising from the undisclosed conflicts of interest associated with receipt of

accelerated monitoring fees. This was a standalone compliance infrastructure failure distinct from the substantive disclosure violations.

Item adversarial_0013 -- temporal_trap

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: ia_advertising_rule_temporal_compliance

Fact Pattern

Question / Answer

As of the May-October 2020 period when Greenleaf discontinued the separate solicitor's disclosure document, what was the precise regulatory status of SEC Release No. IA-5407 (File No. S7-21-19), and under which specific version of Rule 206(4)-3 were Greenleaf's solicitation arrangements legally required to comply? Specifically, did the publication of the proposed rule in IA-5407 have any legal effect on the existing solicitor disclosure obligations, and what is the consequence for the 17 client solicitations conducted without the standalone disclosure document?

Correct Answer: Release No. IA-5407 was a proposed rule only -- specifically, an ACTION designated as 'Proposed rule' that was published for public comment with a 60-day comment period. As of May-October 2020, IA-5407 had not been adopted as a final rule. The existing Rule 206(4)-3 (the 'cash solicitation rule'), originally adopted in 1979, remained fully in effect and legally binding throughout that entire period. A proposed rule published for comment has no legal force whatsoever; it does not amend, supersede, modify, or provide any safe harbor from compliance with the existing rule.

Under the then-operative Rule 206(4)-3, a cash solicitation arrangement required three specific elements: (1) a written agreement between the adviser and the solicitor; (2) delivery to the prospective client of both the adviser's disclosure brochure AND a separate solicitor's disclosure document describing the solicitation arrangement and the compensation to be paid; and (3) a signed and dated acknowledgment from the solicited client confirming receipt of both documents. Greenleaf's failure to deliver the separate solicitor's disclosure document and obtain the signed acknowledgment for the 17 clients solicited between May and October 2020 constituted a violation of Rule 206(4)-3 and, by extension, Section 206(4) of the Investment Advisers Act, which makes it unlawful for an adviser to engage in acts, practices, or courses of business that are fraudulent, deceptive, or manipulative as defined by Commission rules.

The argument that IA-5407's proposal to eliminate the standalone solicitor's disclosure document created an implicit safe harbor or transition period is legally baseless. The release itself states it is proposing amendments that would 'update [the solicitation rule's] coverage to reflect regulatory changes and the evolution of industry practices since we adopted the rule in 1979,' but these changes had no operative force until a final rule was adopted. Outside counsel's advice to begin transitioning to the proposed framework before its adoption was erroneous and would not serve as a defense. All 17 solicitation files are deficient under the existing Rule 206(4)-3.

Item adversarial_0014 -- novel_unsettled

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: custody_rule_margin_agreement_language_ai_rebalancing

Fact Pattern

Question / Answer

Under the SEC's analysis in *In the Matter of SagePoint Financial, Inc.* (IA Release No. 6443, September 28, 2023), would Meridian's form customer agreement language permitting the clearing agent to accept, without inquiry or investigation, any instructions from Meridian's AI-based automated rebalancing system constitute 'custody' under Rule 206(4)-2, and if so, what specific obligation did SagePoint's failure to satisfy that forms the basis for finding a violation -- and does the fact that instructions are generated by an AI system rather than a human representative alter the custody determination under the SagePoint precedent?

Correct Answer: Under the SagePoint order, the SEC found that custody existed specifically because the customer agreement contained margin account language permitting the clearing agent to 'accept, without inquiry or investigation, any instructions given by [the adviser] concerning these clients' accounts.' The SEC held that this language, required by the clearing agent, gave SagePoint sufficient authority over client funds and securities to constitute custody under Rule 206(4)-2, regardless of whether the assets were held at a qualified custodian. The specific obligation SagePoint failed to satisfy was obtaining verification by actual examination of client funds and securities by an independent public accountant -- the so-called 'surprise examination' requirement under Rule 206(4)-2(a)(4). The SEC did not require a showing that SagePoint actually misused the authority; the mere existence of the contractual language was sufficient to trigger custody status.

Applying this precedent to Meridian, the customer agreement language is substantively identical -- and arguably broader, since it explicitly extends to 'authorized automated systems' including AI tools. Under SagePoint, the determinative factor was the scope of authority granted by the contractual language, not the mechanism by which instructions were transmitted. The fact that instructions originate from an AI-based system rather than a human representative would not alter the analysis; if anything, the autonomous nature of AI-generated instructions -- executed without human review and accepted by the clearing agent without inquiry -- strengthens the case that Meridian has unchecked authority over client assets. The AutoBalance Pro anomaly that resulted in \$47 million in unauthorized liquidations illustrates precisely the risk the custody rule is designed to address.

Meridian's compliance department and outside counsel were wrong. Under the SagePoint framework, Meridian has custody and was required to either (a) obtain an annual surprise examination by an independent public accountant under Rule 206(4)-2(a)(4), or (b) satisfy the alternative reporting requirements. Meridian's failure to do so would constitute a violation of Section 206(4) and Rule 206(4)-2, exactly as in SagePoint. Meridian should also have disclosed custody on Form ADV Part 1A, Item 9.

Item adversarial_0015 -- multi_party_liability

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: multi_party_liability_undisclosed_conflicts_mutual_fund_platform

Fact Pattern

Question / Answer

Under the framework applied in *In the Matter of Peter J. DeCaprio* (IA Release No. 5732, May 10, 2021), which specific parties can the SEC hold individually liable under Sections 203(f) and 203(k) of the Investment Advisers Act, what is the specific statutory violation the SEC would charge against Reardon personally, and why does DeCaprio's status as a control person and principal -- rather than merely an employee -- matter to the SEC's ability to bring an administrative proceeding under Section 203(f)? Additionally, does AlphaConnect's generic Form ADV disclosure insulate it from liability, and what is the significance of the fact that the SEC charged DeCaprio under Section 206(2) rather than Section 206(1)?

Correct Answer: Under the DeCaprio order, the SEC established that an individual who serves as a principal, control person, and portfolio manager of a registered investment adviser can be held personally liable under the Advisers Act even when the advisory firm itself is a separate registered entity. The SEC brought the proceeding against DeCaprio individually under Sections 203(f) and 203(k) of the Advisers Act -- Section 203(f) authorizes the Commission to censure, limit, or bar any person associated with an investment adviser, and Section 203(k) authorizes the Commission to issue cease-and-desist orders against any person who has violated the Advisers Act. Critically, Section 203(f) applies to persons 'associated with' an investment adviser, which includes control persons -- DeCaprio qualified because he was co-founder, President, CEO, owned more than 25% of Crow Point, and was solely responsible for all investment decisions. Reardon's counsel cannot shield him by claiming mere employee status when he is a 30% owner, CEO, and sole portfolio manager -- the DeCaprio precedent forecloses this argument directly.

The SEC charged DeCaprio with willfully violating Section 206(2), not Section 206(1), of the Advisers Act. This is significant because Section 206(2) prohibits any transaction, practice, or course of business that operates as a fraud or deceit upon any client -- and critically, unlike Section 206(1), it does not require proof of scienter (intent to defraud). Negligence is sufficient under Section 206(2). The SEC's theory was that the failure to disclose conflicts of interest -- the business arrangements between Crow Point, the Private Fund, and the Investment Platform -- operated as a fraud on the EAS Fund regardless of whether DeCaprio specifically intended to deceive. Applying this to Reardon, the SEC would charge Section 206(2) because the undisclosed revenue-sharing and sub-advisory arrangements created material conflicts that were not disclosed to the Oakbridge Fund or its trustees, and proof of Reardon's fraudulent intent is unnecessary.

As for AlphaConnect, its generic Form ADV disclosure that it 'may enter into strategic partnerships' would not insulate it from potential liability. However, under the DeCaprio framework, the SEC focused the Advisers Act proceeding specifically on the investment adviser to the fund (Crow Point) and its principal -- not on the Investment Platform as a respondent. The SEC's jurisdictional authority under Sections 203(f) and 203(k) runs against persons associated with investment advisers and against any person violating the Advisers Act, respectively. AlphaConnect, as a registered investment adviser itself, could face a separate proceeding, but the DeCaprio order demonstrates the SEC's enforcement strategy of targeting the adviser-principal who negotiated and facilitated the conflicted arrangements and who bore the direct fiduciary duty to the fund client. Lionsgate's unregistered status does not place it beyond the SEC's reach under Section 203(k), which applies to 'any person,' but the DeCaprio framework shows the SEC's primary focus on the registered adviser's principal.

Item adversarial_0016 -- procedural_technical

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: hawkins_settlement_admission_scope_203f_203k**Fact Pattern****Question / Answer**

Based on the specific language of the Offer of Settlement accepted in In the Matter of Tiffany L. Hawkins (IA Release No. 6861, March 7, 2025), identify the precise scope of what Hawkins admitted and did not admit, and explain whether the Commission's findings in the Order are binding on any other person or entity. What specific textual carve-out in the Order addresses the binding nature of the findings, and where in the Order's structure does that carve-out appear?

Correct Answer: Under the Hawkins Order, Respondent Hawkins submitted an Offer of Settlement in which she consented to the entry of the Order 'without admitting or denying the findings herein,' with two specific exceptions. First, Hawkins admitted the Commission's jurisdiction over her and the subject matter of the proceedings. Second, the Order contains a forward-looking carve-out referencing 'Section V below,' meaning that any findings relevant to the sanctions or remedial provisions in Section V are also excepted from the neither-admit-nor-deny framework -- this is standard language indicating that if a separate criminal proceeding or other action results in an adjudication, the respondent cannot contradict the Order's findings.

Critically, the Order contains an explicit footnote -- footnote 1, appearing at the bottom of the findings section (Section III) -- which states: 'The findings herein are made pursuant to Respondent's Offer and are not binding on any other person or entity in this or any other proceeding.' This footnote is structurally placed as a qualifier to Section III's findings, not in the main body text of the admissions paragraph in Section II. This means the Commission's factual findings regarding the \$223,000 misappropriation, the use of Portfolio Company debit cards, and the violations of Sections 206(1) and 206(2) cannot be used as established facts against Momentum Advisors, the Fund, the managing partner, or any other third party in any other proceeding.

Delgado's personal attorney is therefore incorrect on both counts: (1) the respondent does NOT admit to all findings of fact -- the standard is 'without admitting or denying' except as to jurisdiction and the Section V carve-out; and (2) the findings are explicitly NOT binding on other persons or entities, per the footnote 1 limitation in Section III of the Hawkins Order.

Item adversarial_0017 -- counterintuitive_outcome

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: fiduciary_disclosure_mutual_fund_share_classes**Fact Pattern**

Question / Answer

Under the SEC's approach in *In the Matter of Ameritas Advisory Services, LLC* (IA Release No. 5970, Feb. 25, 2022), would Pinnacle's generic Form ADV disclosure that 'Pinnacle and its affiliates may receive compensation from third parties' be sufficient to satisfy its fiduciary disclosure obligations, and -- counterintuitively -- does the SEC's treatment of Ameritas suggest that Pinnacle could face enforcement even though it never made an affirmative misrepresentation and the conduct involved standard industry clearing arrangements rather than exotic or fraudulent schemes? Specifically, what categories of undisclosed compensation did the SEC identify in Ameritas as independently violative, and why does the absence of scienter NOT serve as a defense under the specific Advisers Act sections charged?

Correct Answer: Under the Ameritas order (IA Release No. 5970), a generic disclosure like Pinnacle's would be categorically insufficient. The SEC found that Ameritas violated its fiduciary duty by failing to provide 'full and fair disclosure' regarding four specific categories of third-party compensation: (1) revenue sharing payments from the clearing broker based on advisory clients' mutual fund and money market fund investments; (2) markups on clearing broker transaction fees charged to advisory clients; (3) revenue received from the clearing broker on margin interest rate spreads charged to clients; and (4) an annual business development credit from the clearing broker conditioned on maintaining minimum accounts, asset balances, and trading volumes in revenue-sharing mutual fund programs and margin accounts. Each category was treated as an independent source of undisclosed conflicts requiring specific disclosure -- general boilerplate language was expressly inadequate.

Critically, the SEC charged Ameritas under Advisers Act Sections 206(2) and 206(4), not Section 206(1). This is the counterintuitive element: Section 206(2) prohibits fraud and deceit but -- unlike Section 206(1) and Exchange Act Section 10(b)/Rule 10b-5 -- does NOT require scienter. Negligence is sufficient. Section 206(4), which authorizes the Commission to define and prohibit fraudulent practices, similarly does not require a showing of intent or recklessness. Therefore, Pinnacle's argument that it lacked scienter because it never made affirmative misrepresentations is irrelevant to liability under these provisions. The SEC additionally charged Ameritas with a separate best execution breach for failing to invest clients in share classes that 'presented a more favorable value for these clients under the particular circumstances,' and a separate duty-of-care violation for 'failing to undertake an analysis to determine whether the particular mutual fund and money market fund share classes it recommended were in the best interests of its advisory clients.' The firm also violated Section 206(4) and Rule 206(4)-7 for failing to adopt and implement written compliance policies and procedures reasonably designed to address these conflicts. Pinnacle's self-reporting and remediation might mitigate sanctions but would not constitute a defense to liability under the Ameritas framework, which proceeded under Sections 203(e) and 203(k) via a settled administrative order.

Item adversarial_0018 -- rule_conflict

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: dual_registrant_fiduciary_duty_vs_bd_suitability_conflict

Fact Pattern

Question / Answer

Given that Meridian is dually registered as both a broker-dealer and investment adviser, and Meridian's counsel argues

that the mutual fund share class recommendations in advisory accounts should be evaluated under the Exchange Act Section 15(c)/FINRA suitability framework rather than the Advisers Act fiduciary standard, which regulatory standard controls and why? Specifically, under the framework applied in In the Matter of Cadaret, Grant & Co. (Release No. 34-100691), what three distinct categories of fiduciary breach did the SEC identify for a similarly situated dual registrant's receipt of third-party compensation in advisory accounts, and why does the broker-dealer suitability defense fail as a matter of law for conduct occurring in advisory client accounts?

Correct Answer: Under the framework applied in In the Matter of Cadaret, Grant & Co. (SEC Release No. 34-100691, August 12, 2024), the Advisers Act fiduciary standard -- not the Exchange Act/FINRA suitability standard -- controls for recommendations made in advisory client accounts, even when the firm is dually registered as a broker-dealer. The SEC proceedings against Cadaret Grant were brought under both Section 15(b) of the Exchange Act AND Sections 203(e) and 203(k) of the Advisers Act, but the substantive violations were grounded in breaches of the Advisers Act fiduciary duty. The broker-dealer suitability defense fails because when a dually registered firm acts in its advisory capacity -- managing advisory client accounts and receiving advisory fees -- it owes the full fiduciary duties of an investment adviser under Sections 206(1) and 206(2) of the Advisers Act, regardless of its simultaneous broker-dealer registration.

The SEC identified three distinct categories of fiduciary breach in Cadaret Grant: (1) failure to provide full and fair disclosure of conflicts of interest associated with revenue sharing payments from the clearing broker based on advisory clients' investments in NTF mutual fund share classes (from at least January 2017 until January 2020); (2) failure to disclose conflicts from revenue sharing payments received from the clearing broker for sweeping advisory client cash into certain money market mutual funds (from at least January 2017 until March 2022); and (3) failure to disclose conflicts from markups on the clearing broker's transaction fees charged to advisory clients (from at least January 2017 until June 2020). Critically, Cadaret Grant also breached its duty to seek best execution by placing advisory clients in NTF share classes when lower-cost share classes were available that presented more favorable value, and breached its duty of care by failing to undertake any analysis of whether the particular share class or money market fund was in advisory clients' best interests.

Additionally, the SEC found that Cadaret Grant violated its compliance obligations by failing to adopt and implement written compliance policies and procedures reasonably designed to prevent Advisers Act violations in connection with share class selection, money market fund selection, transaction fee markups, and best execution -- a violation of Section 206(4) and Rule 206(4)-7. The general ADV disclosure and the general compliance manual language about 'suitability' were insufficient. The Advisers Act requires specific, full and fair disclosure of the nature, magnitude, and specific conflicts created by each category of third-party compensation -- not merely generic boilerplate acknowledging that conflicts 'may' exist.

Item adversarial_0019 -- precise_threshold

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: hostert_awc_sanctions_and_temporal_details

Fact Pattern

Question / Answer

Based on the Derrick Hostert AWC (No. 2024081936601), what was the exact suspension length and fine amount imposed for a single-count FINRA Rule 2010 violation arising from the falsification of an insurance claim form -- and critically, how many days separated the actual date of loss from the falsified date of loss that Hostert listed on the claim form?

Correct Answer: In the Hostert AWC (No. 2024081936601), FINRA imposed a four-month suspension from associating with any FINRA member in all capacities and a \$5,000 fine for a single-count violation of FINRA Rule 2010. The underlying falsification involved Hostert intentionally listing the date of loss on the insurance claim form as February 23, 2024 -- exactly three days after the actual loss occurred. The AWC specifies that Hostert 'intentionally listed the date of loss as February 23, 2024--three days after the actual loss.'

The sanctions were specifically calibrated to address the falsification of an insurance claim form submitted after Hostert realized he had mistakenly failed to include a garage structure in a home insurance policy he had sold in January 2024. The fire loss was caused when an animal kicked over a heat lamp. No other FINRA rules were charged -- the entire action rested on a single violation of FINRA Rule 2010's requirement that associated persons observe high standards of commercial honor and just and equitable principles of trade.

Notably, the fine of \$5,000 becomes due and payable either immediately upon reassociation with a member firm or prior to any application or request for relief from statutory disqualification. During the four-month suspension, Hostert is subject to statutory disqualification under Article III, Section 4 of FINRA's By-Laws (incorporating Section 3(a)(39) of the Securities Exchange Act of 1934) and may not associate with any FINRA member in any capacity, including clerical or ministerial functions, per FINRA Rules 8310 and 8311.

Item adversarial_0020 -- case_specific_holding

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: monmouth_capital_excessive_trading_awc_specifics

Fact Pattern

Question / Answer

Based on the specific findings in the Monmouth Capital Management AWC (No. 2022076459303), how many distinct categories of violations were sustained against the firm, what specific combination of federal securities law provisions and FINRA rules were cited for the excessive trading and churning conduct (as distinct from the supervisory and Form CRS violations), and critically, of the 110 accounts found to be excessively traded, how many were also found to have been churned -- and what was the upper bound of the annualized turnover rate range found across the affected accounts?

Correct Answer: The Monmouth Capital Management AWC sustained four distinct categories of violations: (1) excessive trading and churning of customer accounts; (2) failure to establish, maintain, and enforce a supervisory system and WSPs regarding excessive trading and churning; (3) false and misleading disclosures on Form CRS; and (4) failure to have a reasonable supervisory system to ensure Form

CRS accuracy.

For the excessive trading and churning conduct specifically, FINRA found that Monmouth willfully violated the Care Obligation of Regulation Best Interest, Section 10(b) of the Securities Exchange Act of 1934, and Exchange Act Rule 10b-5, and also violated FINRA Rules 2020 (use of manipulative, deceptive, or other fraudulent devices) and 2010 (standards of commercial honor). Notably, the AWC did NOT cite FINRA Rule 2111 (suitability) for this conduct -- the charges were brought entirely under Reg BI's Care Obligation and federal antifraud provisions, reflecting the post-June 30, 2020 regulatory framework.

Of the 110 customer accounts found to have been excessively traded, exactly 42 were also found to have been churned. The total trading costs incurred by customers across all 110 accounts were \$3,953,492. The annualized cost-to-equity ratios ranged from 21.75% to 128.5%, and the annualized turnover rates ranged from 6.05 to 35.24 -- meaning the upper bound of the turnover rate was 35.24. These specific quantitative thresholds demonstrate the severity of the trading activity and the degree to which the firm's representatives disregarded their obligations under Reg BI's Care Obligation.

Item adversarial_0021 -- temporal_trap

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: structured_products_suitability_pre_reg_bi

Fact Pattern

Question / Answer

Beacon Ridge argues that NTM 05-59 (September 2005) created new regulatory obligations for structured product sales that could not be applied retroactively to its March 2005 transactions. Under the specific framework articulated in NTM 05-59 itself, is this temporal defense valid? Specifically, did NTM 05-59 create new rules for structured product sales, or did it serve a different regulatory function--and what pre-existing NASD rules does the Notice explicitly identify as already applicable to structured product sales at the time of Beacon Ridge's March 2005 conduct?

Correct Answer: Beacon Ridge's temporal defense fails because NTM 05-59 explicitly states that it is providing 'guidance' concerning members' existing obligations--not creating new rules. The Notice does not establish new regulatory requirements; rather, it clarifies and reminds members of obligations that already existed under pre-existing NASD rules. Specifically, NTM 05-59 identifies the following rules as already applicable to structured product sales: NASD Rule 2110 (Standards of Commercial Honor and Principles of Trade), which was the precursor to current FINRA Rule 2010; the suitability rule (then NASD Rule 2310, later superseded by FINRA Rule 2111), which already required both reasonable-basis and customer-specific suitability determinations; NASD Rule 2210 (Communications with the Public), requiring balanced disclosure in promotional materials; and supervisory obligations under then-existing NASD supervisory rules.

Critically, the Notice makes clear that the derivative component of structured products--often an embedded put or call option sold by the investor--was already subject to existing suitability and fair-dealing requirements. The fact that structured products are 'often marketed to investors as debt securities' does not relieve members of obligations arising from the derivative component. NTM

05-59 was issued because NASD staff was 'concerned that members may not be fulfilling their sales practice obligations when selling these instruments'--language that presupposes the obligations already existed. The Notice resulted from 'a recent review of members that sell structured products,' indicating enforcement-oriented review of existing compliance, not prospective rulemaking.

Therefore, Beacon Ridge's failure to perform a reasonable-basis suitability determination, its unbalanced promotional materials emphasizing the 12.5% coupon while burying derivative risk disclosures, and its lack of structured-product-specific supervisory procedures all constituted violations of pre-existing NASD rules at the time of the March 2005 sales. NTM 05-59 simply articulated what those pre-existing obligations required in the structured product context. NASD enforcement could properly cite violations of Rules 2110, 2310, and 2210 as they existed in March 2005, using NTM 05-59 as interpretive guidance rather than as the source of the obligation itself.

Item adversarial_0022 -- novel_unsettled

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: pua_fraud_as_finra_rule_2010_violation_novel_jurisdiction

Fact Pattern

Question / Answer

Under the theory of FINRA's enforcement action in Disciplinary Proceeding No. 2020066757804 (Pavelko), does FINRA assert jurisdiction under Rule 2010 over misrepresentations made on a PUA application to a state unemployment agency -- even though the application involves no securities transaction, no customer, and no market participant -- and if so, what specific factual nexus does FINRA identify to support treating this as conduct inconsistent with just and equitable principles of trade? Additionally, given that this represents a novel and largely unsettled extension of Rule 2010, what is the specific procedural consequence FINRA pursued when the respondent failed to comply with the 8210 requests, and how does FINRA's framing of the underlying investigation (including the role of disclosed outside business activities in sourcing private placements) support its jurisdictional theory?

Correct Answer: In Disciplinary Proceeding No. 2020066757804, FINRA explicitly asserts that making material misrepresentations and omissions on an application for Pandemic Unemployment Assistance (PUA) benefits submitted to a state agency (NJDU) constitutes conduct inconsistent with 'just and equitable principles of trade' under FINRA Rule 2010 -- even though the PUA application involved no securities transaction, no customer, and no market participant. FINRA's complaint frames the investigation as examining 'whether Pavelko made material misrepresentations and omissions in connection with his application for and receipt of PUA benefits in violation of FINRA Rule 2010.' The jurisdictional theory does not require a securities nexus for the underlying misrepresentation; rather, FINRA treats dishonesty by a registered person in any context -- including dealings with government agencies -- as implicating the ethical standards required of associated persons.

The factual nexus FINRA identifies is critically important: Pavelko received approximately \$37,000 in PUA benefits between May 2020 and September 2021 while simultaneously earning approximately \$54,000 in income through his work for SW Financial and a disclosed outside business activity (OBA 1) that served as a conduit for sourcing private placement offerings. FINRA specifically notes that 'at no point during this period did Pavelko stop working on account of COVID-19,' establishing that

Pavelko was ineligible for PUA benefits since the program was designed for individuals 'unable to work, or who had become unemployed, as a result of COVID-19.' The OBA's role in sourcing private placements is relevant because it demonstrates continuous securities-industry-related income during the benefit period, undermining any claim of pandemic-related unemployment.

When Pavelko failed to comply with FINRA's Rule 8210 requests for his PUA application -- including FINRA's specific instruction that if he did not possess a copy, he should request one from NJDUI and produce records of that request -- FINRA charged him with violating both FINRA Rules 8210 and 2010. The complaint also alleges Pavelko provided false testimony to FINRA regarding his possession of his PUA application, constituting an additional violation of Rules 8210 and 2010. This represents FINRA's established approach of converting a non-cooperation charge into an independently actionable violation when a respondent stonewalls an 8210 investigation, regardless of the merits of the underlying substantive inquiry.

Item adversarial_0023 -- multi_party_liability

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: multi_party_liability_8210_refusal_undisclosed_pst

Fact Pattern

Question / Answer

Given the specific jurisdictional, procedural, and rule-violation framework reflected in FINRA's handling of the Jing AWC (No. 2025086695201), analyze the following: (1) Under what specific FINRA By-Laws provision does FINRA retain jurisdiction over Okonkwo after his Form U5 termination, and does his acknowledged refusal to comply with the August 25, 2025 Rule 8210 request -- communicated through counsel on October 16, 2025 -- constitute one violation or two distinct violations? (2) What is the maximum sanction FINRA can impose on Okonkwo for the 8210 refusal alone based on the precedent set in the Jing AWC? (3) As between Okonkwo, Fortenberry, Transamerica, and Apex Realty Partners LLC, which parties are subject to FINRA's enforcement jurisdiction and under which specific rule provisions, and which party or parties can FINRA NOT reach and why?

Correct Answer: First, FINRA retains jurisdiction over Okonkwo pursuant to Article V, Section 4 of FINRA's By-Laws, which provides that persons who are no longer registered or associated with a FINRA member firm remain subject to FINRA's jurisdiction for purposes of filing complaints based on conduct that occurred while they were associated. This is the precise provision cited in the Jing AWC (No. 2025086695201) to establish FINRA's continuing authority over a formerly registered person. Okonkwo's refusal to comply with Rule 8210 constitutes violations of two rules -- FINRA Rule 8210 and FINRA Rule 2010 -- not merely one. In the Jing AWC, FINRA explicitly found that the refusal to produce information and documents requested pursuant to FINRA Rule 8210 violated both FINRA Rules 8210 and 2010. The Rule 2010 violation is derivative: a violation of Rule 8210 is independently characterized as a failure to observe high standards of commercial honor and just and equitable principles of trade.

Second, based on the Jing AWC, the sanction imposed for the Rule 8210/2010 refusal was a bar from associating with any FINRA member in all capacities. This is the most severe sanction FINRA can impose on an individual -- a complete industry bar. No monetary fine was mentioned in the Jing

AWC; the bar itself was the sole sanction. This establishes the precedent that a complete refusal to cooperate with an 8210 request, acknowledged through counsel, warrants an all-capacities bar.

Third, FINRA has enforcement jurisdiction over three of the four parties: (a) Okonkwo, as a formerly associated person under Article V, Section 4 of FINRA's By-Laws; (b) Fortenberry, as a currently registered associated person subject to FINRA Rules 3110 (supervision) and 2010; and (c) Transamerica Financial Advisors, as a FINRA member firm (CRD No. 16164) subject to FINRA Rules 3110 and 2010 for supervisory failures. FINRA cannot reach Apex Realty Partners LLC because it is not a FINRA member firm and is not a person associated with a FINRA member -- FINRA Rule 8210(a)(1) extends only to members, persons associated with members, and persons otherwise subject to FINRA's jurisdiction. A non-member general partner entity of a real estate limited partnership falls entirely outside FINRA's jurisdictional reach, regardless of whether its securities were sold by a registered person in violation of private securities transaction rules.

Item adversarial_0024 -- procedural_technical

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: lopr_reporting_threshold_and_violation_scope

Fact Pattern

Question / Answer

Under the specific FINRA Rule cited in the CIBC World Markets Corp. AWC (No. 2022075778501), what is the exact aggregate position threshold that triggers the reporting obligation to the LOPR, what specific market characteristic of OTC options made accurate LOPR reporting 'particularly important' according to FINRA's findings, and how did FINRA characterize the relationship between the substantive reporting violations and the supervisory violations in terms of the rules charged -- were they treated as a single consolidated violation or as separate and distinct violations under different rule provisions?

Correct Answer: Under FINRA Rule 2360(b)(5), as specifically cited in the CIBC AWC, the reporting obligation to the LOPR is triggered when a customer or firm account, acting alone or in concert, has established an aggregate position of 200 or more option contracts on the same side of the market covering the same underlying security or index. This threshold applies to OTC options positions, not merely exchange-listed options -- the AWC makes clear that CIBC's violations involved OTC options positions reported (or failed to be reported) to the LOPR.

FINRA's findings in the CIBC AWC specifically stated that accurate LOPR reporting is 'particularly important with respect to the OTC options market because there is no independent source of data for regulators to review OTC options.' This distinguishes OTC options from exchange-listed options, where exchanges and the OCC maintain independent position data. The absence of any independent data source means FINRA is entirely dependent on member firm self-reporting for OTC options surveillance, making inaccuracies and omissions especially harmful to regulatory oversight.

Critically, FINRA treated the substantive reporting violations and the supervisory failures as separate and distinct violations under different rule provisions. The reporting failures were charged under FINRA Rules 2360(b)(5) and 2010, while the supervisory failures -- the failure to maintain and

enforce a supervisory system, including written supervisory procedures, reasonably designed to achieve compliance with FINRA Rule 2360 -- were charged separately under FINRA Rules 3110 and 2010. The violations even had different time periods: the reporting violations ran from April 2019 to September 2025, while the supervisory violations ran from April 2019 to July 2025. FINRA did not subsume the supervisory charges into the substantive violations; they were independently alleged and sanctioned, with the combined sanction being a censure and a \$425,000 fine.

Item adversarial_0025 -- counterintuitive_outcome

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: 8210_refusal_bar_without_underlying_violations

Fact Pattern

Question / Answer

In FINRA AWC No. 2024082783901 involving Hugo Hernandez, FINRA's investigation concerned allegations of failure to return investment funds, prohibited loan transactions with clients, undisclosed outside business activities, and unapproved private securities transactions. Given the breadth and severity of these underlying allegations, how many distinct rule violations did FINRA actually sustain findings on, which specific rules were cited as violated, and what was the sole sanction imposed? Why is this outcome counterintuitive given the scope of the underlying misconduct?

Correct Answer: Despite the breadth and severity of the underlying allegations -- failure to return investment funds, prohibited loan transactions with clients and potential clients, undisclosed outside business activities, and unapproved private securities transactions -- FINRA sustained findings on only TWO rule violations in the AWC: FINRA Rule 8210 (failure to provide information or testimony) and FINRA Rule 2010 (failure to observe high standards of commercial honor and just and equitable principles of trade). Critically, the Rule 2010 violation was sustained solely as a derivative violation of the Rule 8210 refusal, not as an independent finding based on any of the substantive underlying misconduct.

FINRA did not sustain any findings related to FINRA Rule 3270 (outside business activities), FINRA Rule 3280 (private securities transactions), FINRA Rule 4511 (books and records), or any other substantive rule governing the alleged customer harm. The sole sanction imposed was a bar from associating with any FINRA member in all capacities. No fine was imposed, no disgorgement was ordered, and no restitution was required.

This outcome is counterintuitive because FINRA essentially converted what appeared to be a complex, multi-violation enforcement matter involving direct customer harm into a single-theory case based purely on the respondent's procedural refusal to cooperate. Under FINRA's enforcement framework, an 8210 refusal is treated as independently sanctionable and typically results in a bar as the presumptive sanction under FINRA's Sanction Guidelines, making it unnecessary for FINRA to prove the substantive underlying violations. The bar effectively accomplishes the same investor-protection goal without requiring FINRA to litigate the merits of the underlying allegations.

Item adversarial_0026 -- rule_conflict

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: controlling_person_liability_layering_spoofing_jurisdictional_conflict

Fact Pattern

Question / Answer

In the October 2018 FINRA AWC involving SMF Trading/World-Xecution Strategies and Simon Librati, FINRA sustained two distinct theories of liability against Librati and the firm respectively: one as a controlling person and one as an aider and abettor. Specifically, which statutory provisions were cited for Librati's controlling person liability versus the firm's aiding and abetting liability, what additional statute was cited ONLY for the firm's aiding and abetting theory that was NOT cited for Librati's controlling person liability, and how does this distinction create a rule conflict if the SEC were to pursue Trent under both theories simultaneously -- given that the controlling person theory and aiding and abetting theory require different elements of proof under Section 20(a) versus Section 20(e) of the Exchange Act?

Correct Answer: In the Librati AWC, FINRA found Librati liable as a controlling person for Fund A's and Fund B's violations of Sections 9(a)(2) and 10(b) of the Securities Exchange Act of 1934, and Rule 10b-5(a) and (c) thereunder -- notably specifying only subsections (a) and (c) of Rule 10b-5, not subsection (b). The firm, World-Xecution Strategies, was found to have knowingly or recklessly rendered substantial assistance to, and thereby aided and abetted, Fund A's and Fund B's violations of the same Exchange Act provisions (Sections 9(a)(2) and 10(b), and Rule 10b-5 generally) BUT also Section 17(a)(3) of the Securities Act of 1933. This is the critical distinction: Section 17(a)(3) of the Securities Act was cited ONLY in connection with the firm's aiding and abetting liability, not for Librati's controlling person liability.

This creates a meaningful rule conflict if both theories are pursued simultaneously against the same individual. Under Section 20(a) of the Exchange Act (controlling person liability), the respondent can assert a good-faith defense -- that they acted in good faith and did not directly or indirectly induce the violation. Librati's conduct was found to be 'willful,' which effectively negated any good-faith defense. However, under Section 20(e) of the Exchange Act (aiding and abetting), the SEC must prove that the person knowingly or recklessly provided substantial assistance to the primary violation. The addition of Section 17(a)(3) of the Securities Act for the aiding and abetting theory is significant because Section 17(a)(3) -- which prohibits engaging in transactions, practices, or courses of business that operate as a fraud -- does not require scienter under the Supreme Court's holding in *Aaron v. SEC*, 446 U.S. 680 (1980). This means the firm's aiding and abetting liability encompassed a negligence-based antifraud provision (Section 17(a)(3)) while Librati's controlling person liability was limited to scienter-based provisions (Sections 9(a)(2), 10(b), and Rule 10b-5). If the SEC were to pursue Trent under both theories, the controlling person theory would require showing willfulness or at least negating a good-faith defense, while the aiding and abetting theory could potentially encompass the lower-scienter Section 17(a)(3) violation -- but only if Trent were alleged to have acted through a firm entity, creating a conflict in how the same underlying conduct is characterized.

The FINRA AWC's deliberate separation of these theories -- assigning controlling person liability to the individual (Librati) and aiding and abetting liability to the firm (World-Xecution Strategies) -- reflects a strategic choice about which entity bears which type of liability, and applying both to a single individual like Trent would force reconciliation of differing scienter standards for the same conduct.

Item adversarial_0027 -- precise_threshold

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: regbi_suitability_temporal_cutoff_gwg_lbonds

Fact Pattern

Question / Answer

Under the Wimsatt AWC (No. 2021070498104), FINRA applied two different regulatory standards to recommendations of GWG L Bonds made at different times during 2020. What is the precise date that serves as the dividing line between the two standards, and which specific rule violations were charged for recommendations made before versus after that date? Applying this framework to Thornton's facts, which of the four sets of customer recommendations would be evaluated under FINRA Rule 2111 (suitability) versus Exchange Act Rule 15l-1(a)(1) (Reg BI), and why does Thornton's counsel's argument that all recommendations should be evaluated under the same standard fail?

Correct Answer: The precise dividing line is June 30, 2020. As established in the Wimsatt AWC, broker-dealers and their associated persons were required to comply with Regulation BI under the Securities Exchange Act of 1934 as of June 30, 2020. In Wimsatt, FINRA charged recommendations made in January 2020 and April 2020 (to Customers A1/A2 and B1/B2) as violations of FINRA Rules 2111 (suitability) and 2010 (standards of commercial honor), applying the pre-Reg BI suitability framework. Recommendations made in August 2020 and September 2020 (to Customer D and Customers C1/C2) were charged as willful violations of Rule 15l-1(a)(1) under the Exchange Act (Reg BI) and FINRA Rule 2010, applying the Reg BI best interest standard.

Applying this framework to Thornton's facts: Customer Pair 1 (Whitfields, January 2020) and Customer Pair 2 (Dunlops, April 2020) would be evaluated under FINRA Rule 2111 and Rule 2010, because both recommendations predated the June 30, 2020 compliance date. Customer Pair 3 (Chens, July 15, 2020) and Customer 7 (Kowalski, August 10, 2020) would be evaluated under Exchange Act Rule 15l-1(a)(1) (Reg BI) and FINRA Rule 2010, because both recommendations occurred after the June 30, 2020 effective date.

Thornton's counsel's argument fails because the applicable standard is determined by the date of the recommendation, not the calendar year or the product type. The Wimsatt AWC demonstrates that FINRA treats the June 30, 2020 compliance date as a bright-line threshold -- even within the same enforcement action involving the same product (GWG L Bonds) and the same respondent, different standards apply to different recommendations based solely on whether they occurred before or on/after June 30, 2020.

Item adversarial_0028 -- case_specific_holding

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: reg_bi_enforcement_posture_and_compliance_risk

Fact Pattern

Question / Answer

Based on the specific analysis in the Quinn Emanuel guidance document regarding SEC enforcement posture toward Reg BI as of late 2021/early 2022, identify at least three specific factual indicators cited in the document that contradict Meridian CCO Sandra Kemp's and outside counsel Whitfield's conclusion that the firm faced minimal enforcement risk. In particular, what does the document specifically identify as the characterization of Reg BI that Whitfield's argument about equivalence with FINRA Rule 2111 suitability ignores, and what specific personnel appointment is cited as evidence that the SEC intended to take an aggressive enforcement posture--including the specific prior role of the appointee and the specific Congressional criticism that appointment generated?

Correct Answer: The Quinn Emanuel guidance document identifies three specific indicators contradicting Kemp and Whitfield's assessment. First, SEC Chair Gary Gensler was under direct political pressure to demonstrate enforcement results, including specifically from Rep. Carolyn Maloney (D-NY) of the House Financial Services Committee, who publicly encouraged Gensler to 'take further action to strengthen this rulemaking.' Second, Chair Gensler appointed Barbara Roper--specifically identified as a 'well-known investor advocate and former director of investor protection at the Consumer Federation of America'--who had publicly argued that Reg BI 'does not do enough to eliminate broker-dealer conflicts of interest.' This appointment drew specific criticism from Rep. Ann Wagner (R-MO), who challenged Gensler's hiring of 'staff [people] with a clear public record of opposing Reg BI.' Third, the SEC had affirmatively 'signaled that regulated firms may not be getting Reg BI right' and senior officials made clear their intent to take 'an expansive, perhaps aggressive, approach to Reg BI.'

Regarding Whitfield's argument that FINRA Rule 2111 suitability is functionally equivalent to Reg BI, the document specifically characterizes Reg BI as establishing 'a new, heightened standard' that goes beyond the prior FINRA suitability framework. The document explicitly states that before Reg BI, broker-dealers were subject 'only to FINRA's suitability standard,' and that Reg BI requires broker-dealers to 'act in the best interest of the customer, without placing their own financial or other interests ahead of their customers' -- a formulation that adds an affirmative anti-conflict requirement absent from FINRA Rule 2111. Additionally, Reg BI imposes four component obligations -- disclosure, care, conflicts of interest, and compliance -- which are structurally broader than the suitability framework.

The document further warns that the SEC's 18-month silence should not be interpreted as tacit approval, explicitly cautioning firms not to expect 'this silence to continue' and warning firms to better position themselves 'lest they become an Enforcement test case for the best interest standard' -- the exact risk Meridian's compliance team dismissed as de minimis.

Item adversarial_0029 -- temporal_trap

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: reg_bi_temporal_application_gwg_l_bonds

Fact Pattern

Question / Answer

Under the SEC's enforcement approach as demonstrated in the Barouti proceeding (Release No. 34-103675), what is

the precise compliance date that triggers Regulation Best Interest liability, and for which specific time window would Delaine's identical conduct constitute a willful violation of Exchange Act Rule 15l-1(a)(2)(ii) rather than a potential FINRA Rule 2111 suitability violation? Additionally, why does the Barouti order's specification of the Relevant Period's end date (April 12, 2021) matter for determining the scope of the SEC's charges against Delaine?

Correct Answer: Under the Barouti order (Release No. 34-103675), the SEC explicitly identifies June 30, 2020 as the compliance date for Regulation Best Interest, establishing that as the temporal trigger for Reg BI liability. The order defines the 'Relevant Period' as running from June 30, 2020 through April 12, 2021. Therefore, Delaine's conduct during time window (2) -- the six customers to whom he recommended L Bonds between June 30, 2020 and April 12, 2021 -- would fall squarely within the same enforcement framework applied in Barouti, constituting a willful violation of Exchange Act Rule 15l-1(a)(2)(ii), the Care Obligation.

The pre-June 30, 2020 recommendations (time window 1) would be governed by FINRA Rule 2111's suitability standard, not Regulation Best Interest. Critically, the Care Obligation under Reg BI requires 'reasonable diligence, care, and skill' including having a 'reasonable basis' for each recommendation -- and as the Barouti order establishes, failure to comply with any single component obligation constitutes a violation of the General Obligation under Rule 15l-1(a)(1). This is a higher and more specific standard than the legacy suitability framework's reasonable-basis obligation.

The April 12, 2021 end date of the Relevant Period in Barouti is significant because it reflects the specific factual contours of Barouti's conduct -- it is not a regulatory sunset date. The SEC charged Barouti only for the period during which he made the specific recommendations at issue. For Delaine, the SEC could extend charges through December 2021 (time window 3) because Reg BI remained in full effect. The Barouti order demonstrates that the SEC will charge associated persons of dually registered firms under Reg BI's Care Obligation specifically -- not the Advisers Act fiduciary duty -- for brokerage recommendations to retail customers made on or after June 30, 2020, even when the respondent is also associated with an investment adviser.

Item adversarial_0030 -- novel_unsettled

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: regbi_discretionary_options_trading_ai_tools

Fact Pattern

Question / Answer

Under the specific framework applied in FINRA AWC No. 2024081675801 (Mark A. Carter), evaluate Devereaux's three defenses: (1) that AI-generated trade suggestions are 'unsolicited' rather than solicited recommendations by the representative, (2) that relying on AlphaSignal Pro's algorithmic analysis satisfies Reg BI's Care Obligation under Exchange Act Rule 15l-1(a)(2)(ii), and (3) that one-click approval of AI-generated trades does not constitute 'exercising discretion' under FINRA Rule 3260(b). Specifically, what violations from the Carter AWC map directly onto Devereaux's conduct, and why does the Carter precedent foreclose each of Devereaux's defenses even though Carter did not use an AI tool?

Correct Answer: The Carter AWC provides a directly analogous enforcement framework that forecloses all three of Devereaux's defenses. First, regarding the 'unsolicited' defense: In Carter, FINRA found that Carter

violated FINRA Rules 4511 and 2010 by mismarking 2,314 solicited trades as unsolicited. The critical determination was not who initially generated the trade idea, but whether the registered representative made a 'recommendation' within the meaning of Reg BI Rule 15l-1(a)(1). When Devereaux reviews and approves an AI-generated options strategy for execution in a specific customer's account, he is adopting that recommendation as his own -- just as Carter's act of selecting and submitting trades constituted solicited recommendations regardless of what motivated the trade idea. Marking AI-suggested trades as 'unsolicited' would constitute the same books-and-records violation under FINRA Rule 4511.

Second, regarding Reg BI's Care Obligation: The Carter AWC specifically applies Exchange Act Rule 15l-1(a)(2)(ii), which requires that the associated person -- not an algorithm or tool -- exercise 'reasonable diligence, care, and skill' to have a 'reasonable basis to believe that the recommendation is in the best interest of a particular retail customer.' Carter was found to have willfully violated Rule 15l-1(a)(1) by recommending options trading that was not in his customers' best interest, considering their specific profiles (a married couple in retirement accounts). The obligation under Reg BI is non-delegable to a third-party tool. Devereaux's 10-15 second review of each AI recommendation for 63-year-old customers with moderate risk tolerance and no options experience -- resulting in 1,847 aggressive multi-leg options trades, \$187,000 in commissions, and \$94,000 in losses -- would constitute the same willful violation. The Carter AWC also cites FINRA Rule 2360(b)(19)(A), the options suitability rule, which independently requires the representative to have a reasonable basis for believing options recommendations are suitable for the specific customer.

Third, regarding discretion: Carter was found to have violated FINRA Rules 3260(b) and 2360(b)(18)(A)(i) by exercising discretion without prior written authorization when effecting 2,314 trades. The fact that an AI tool generated the specific trade parameters does not eliminate the discretionary nature of the activity -- Devereaux selected the timing, confirmed execution, and controlled which recommendations to act upon without obtaining the Volkovs' prior approval for each transaction. The Carter AWC establishes that executing trades without customer authorization for each transaction constitutes unauthorized discretion regardless of the source of the trade idea, and the absence of prior written authorization and firm acceptance of the accounts as discretionary constitutes violations of Rules 3260(b) and 2360(b)(18)(A)(i).

Item adversarial_0031 -- multi_party_liability

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: churning_multi_party_liability_regbi_vs_finra_suitability

Fact Pattern

Question / Answer

Under the specific enforcement framework applied in FINRA Disciplinary Proceeding No. 2021072167901, (1) which precise regulatory standard applies to Heller's excessive trading of the Lakeshore PSP account versus the four retail customer accounts, and why does the distinction matter; (2) what specific combination of Exchange Act and FINRA rule violations would be charged for the churning claims (as distinct from the excessive trading claims) and what additional element is required; and (3) in the arbitration, what is the likely liability allocation among Heller, Beacon, and Apex,

given that Apex is a fully disclosed clearing firm -- and under what specific regulatory authority would FINRA's enforcement action NOT reach Beacon's supervisory failures in this particular proceeding structure?

Correct Answer: First, the distinction between the retail customer accounts and the Lakeshore PSP account is critical and follows the exact framework in the Ginn complaint. The four individual retail customers are subject to Regulation BI (Exchange Act Rule 15l-1(a)), and Heller's excessive trading of their accounts constitutes a willful violation of the Reg BI Best Interest Obligation, paired with FINRA Rule 2010 (Standards of Commercial Honor). The Lakeshore PSP, as a profit sharing plan for a small dental practice, is explicitly NOT a 'retail customer' under Reg BI's definition. Therefore, the PSP account is governed by FINRA Rule 2111 (Suitability) and FINRA Rule 2010 -- not Reg BI. This distinction matters because Reg BI violations are willful violations of an Exchange Act rule carrying statutory disqualification consequences under Section 3(a)(39) of the Exchange Act, whereas FINRA Rule 2111 violations do not carry that automatic consequence.

Second, for churning -- which requires the additional element of scienter and de facto control -- the complaint framework charges willful violation of Section 10(b) of the Exchange Act and Rule 10b-5, plus FINRA Rules 2020 (Use of Manipulative, Deceptive or Other Fraudulent Devices) and 2010. This is distinct from the excessive trading charges, which do not require scienter. The Ginn complaint specifically separates churning (which applies to all five accounts based on scienter and control) from excessive trading (which applies to the four retail customers under Reg BI and to Customer 5 under Rule 2111). The unauthorized discretion in four accounts is separately charged under FINRA Rules 3260 (Discretionary Accounts) and 2010.

Third, regarding multi-party liability in arbitration: Heller faces direct liability for churning and excessive trading. Beacon faces respondeat superior liability and independent failure-to-supervise liability under FINRA Rule 3110. However, critically, in the FINRA enforcement proceeding as structured (naming only the registered representative as respondent, not the firm), Beacon's supervisory failures are NOT directly addressed -- the Ginn complaint is brought solely against the individual respondent, not against IFG (the member firm). The firm's supervisory failures would require a separate enforcement proceeding. As for Apex, a fully disclosed clearing firm generally does not owe a duty of supervision over the introducing broker's registered representatives' recommendations. Under the FINRA regulatory framework and established arbitration precedent (including the Division of Responsibilities agreement between introducing and clearing firms), Apex's liability exposure is minimal absent an independent agreement to monitor trading activity or actual knowledge of the fraud, making dismissal of claims against Apex likely.

Item adversarial_0032 -- procedural_technical

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: reg_bi_compliance_obligation_willful_violation_nexus

Fact Pattern

Question / Answer

Under the SEC's enforcement theory as applied in In the Matter of Carl M. Hennig, Inc. (Release No. 34-98478), how did the Commission establish that a broker-dealer 'willfully violated' the General Obligation of Regulation BI (Rule

15l-1(a)(1)) based solely on failures in the Compliance Obligation and Conflict of Interest Obligation -- i.e., deficiencies in written policies and procedures -- without finding any specific unsuitable recommendation or customer harm? Specifically, what was the procedural mechanism by which violations of the component obligations (Compliance and Conflict of Interest) were treated as violations of the General Obligation itself, and what specific policy deficiencies did the Commission identify as rendering the firm's procedures 'not reasonably designed'?

Correct Answer: In *In the Matter of Carl M. Hennig, Inc.* (Exchange Act Release No. 34-98478, September 22, 2023), the SEC established that a broker-dealer can willfully violate the General Obligation of Regulation BI found in Rule 15l-1(a)(1) through failures in the Compliance Obligation and the Conflict of Interest Obligation alone, without any finding that a specific recommendation was unsuitable or that any individual customer suffered harm. The procedural mechanism is that the General Obligation encompasses all four component obligations (Disclosure, Care, Conflict of Interest, and Compliance), and a failure to satisfy any one component obligation constitutes a violation of the General Obligation itself. The Commission did not need to identify a single deficient recommendation -- the inadequacy of the firm's written policies and procedures was itself the violation.

Specifically, the Commission identified the following deficiencies in Hennig's written policies and procedures that rendered them not 'reasonably designed' to achieve compliance with Regulation BI: (1) the policies did not explain what factors or criteria should be considered and weighed when making recommendations or determining whether a particular recommendation is in the customer's best interest; (2) the policies did not provide sufficient information regarding the information to be provided to customers, including the fees associated with the firm's retail brokerage services; (3) the policies did not address how and when the firm would update and provide written disclosures to its customers; and (4) the policies did not explain how to identify conflicts of interest or how to disclose, mitigate, or eliminate them. These deficiencies spanned the period from June 30, 2020 (the compliance date) through January 2023.

As to willfulness, the SEC's longstanding interpretation -- which does not require scienter or intent to violate the law -- was applied. Under the Commission's standard, 'willfully' means only that the person or entity intentionally committed the act that constitutes the violation; it does not require knowledge that the act violated a rule. Because Hennig intentionally adopted and maintained the deficient policies (rather than having them imposed by accident or third-party action), the violation was deemed willful. This is the critical procedural point that Meridian's counsel misunderstands: the SEC's enforcement theory does not require proof of bad faith, customer harm, or even a single deficient recommendation to establish a willful violation of the General Obligation through the Compliance and Conflict of Interest Obligation pathway.

Item adversarial_0033 -- counterintuitive_outcome

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: rila_exchange_supervision_regbi_compliance_obligation

Fact Pattern

Question / Answer

Under the enforcement approach demonstrated in FINRA's AWC against AAG Capital, Inc. (No. 2022073342401),

would Pinnacle Ridge Securities be found in violation of Reg BI and FINRA Rule 3110 despite the fact that virtually all of the underlying RILA recommendations were substantively in the customers' best interest? Specifically, what was the critical deficiency that FINRA identified in the AAG Capital matter, and why does the substantive reasonableness of the individual recommendations fail to cure the violation?

Correct Answer: Yes, Pinnacle Ridge Securities would be found in violation of Exchange Act Rule 15l-1(a)(1) and FINRA Rules 3110 and 2010, and the substantive reasonableness of the individual RILA recommendations does not cure the violation. The AAG Capital AWC establishes that FINRA's enforcement focus under Reg BI's Compliance Obligation (Rule 15l-1(a)(2)(iv)) is on whether the firm established, maintained, and enforced written policies and procedures and a supervisory system *reasonably designed to achieve compliance* -- not on whether any individual recommendation actually harmed a customer.

The critical deficiency identified in the AAG Capital matter was specifically that the firm's supervisory system 'failed to ensure that the recommendations reasonably considered disadvantages from the exchange that arose from the customer's surrender of their existing investment.' This is a systems-and-procedures level violation. AAG Capital was sanctioned not because FINRA proved that any particular RILA recommendation was substantively wrong, but because the firm's written policies and supervisory review process lacked a mechanism to ensure that exchange-related disadvantages -- particularly surrender charges on existing investments -- were reasonably considered during the recommendation process. The AWC does not describe findings that individual recommendations were unsuitable or contrary to customers' best interests.

This is consistent with Reg BI's Adopting Release, which provides that broker-dealers should design policies and procedures to 'prevent violations from occurring, detect violations that have occurred, and to correct promptly any violations that have occurred.' The obligation is prophylactic: the firm must have a system reasonably designed to catch problems, regardless of whether problems actually materialized. Pinnacle Ridge's gap -- failing to include surrender-related disadvantage review in its exchange supervisory process -- mirrors the exact deficiency cited in the AAG Capital AWC, and the firm's after-the-fact argument that customers were not harmed is legally irrelevant to the Compliance Obligation violation. AAG Capital was censured, fined \$100,000, ordered to undertake corrective action, and pay restitution of \$38,591.39 despite the AWC not alleging that individual RILA recommendations were substantively unreasonable.

Item adversarial_0034 -- rule_conflict

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: form_crs_filing_delivery_dual_registrant_conflict

Fact Pattern

Question / Answer

Under the specific regulatory framework applied in the Aaron Capital AWC, which distinct violations would FINRA likely charge against Meridian Wealth Partners for its broker-dealer Form CRS failures, and why does Whelan's argument that the IARD filing constituted constructive compliance with the Web CRD filing requirement fail? Specifically, does Rule 17a-14(f)(3)'s 30-day delivery window for existing retail customers run from the date the Form CRS was 'first

required to be filed' (June 30, 2020) or from the actual filing date on Web CRD -- and which FINRA rules beyond Rule 17a-14 serve as independent bases for charges related to the supervisory system failure?

Correct Answer: Based on the framework established in the Aaron Capital AWC (No. 2021072107601), FINRA would likely charge Meridian with at least two distinct categories of violations. First, Meridian willfully violated Exchange Act Section 17(a)(1) and Rule 17a-14 by failing to electronically file its Form CRS on Web CRD by June 30, 2020. The Aaron Capital AWC makes clear that Rule 17a-14 specifically requires broker-dealers to 'electronically file on the Central Registration Depository (Web CRD)' -- not IARD -- an initial Form CRS no later than June 30, 2020. An IARD filing for the investment adviser side does not satisfy the separate Web CRD filing obligation for the broker-dealer. These are distinct filing systems with distinct regulatory bases, and the combined nature of the Form CRS document does not merge the filing requirements. Whelan's constructive compliance argument therefore fails because Rule 17a-14 mandates a specific filing mechanism (Web CRD) that was not used until August 15, 2020. Additionally, Meridian violated FINRA Rules 4511 and 2010 on the same basis, as the AWC in Aaron Capital independently charged these rules alongside the Exchange Act provisions.

Second, regarding delivery timing, Rule 17a-14(f)(3) requires that 'within 30 days after the date by which it is first required to file the initial Form CRS with the Commission,' the broker-dealer must deliver Form CRS to each existing retail customer. The Aaron Capital AWC specifies that this trigger date is the regulatory compliance deadline -- June 30, 2020 -- not the actual date the firm happens to file. Therefore, Meridian's 30-day window expired on July 30, 2020, and its September 20, 2020 delivery was approximately 52 days late. Whelan's argument that the clock runs from the actual Web CRD filing date (August 15) is incorrect under the plain language of the rule as applied in the AWC.

Third, and critically, FINRA would separately charge Meridian with violating FINRA Rules 3110(a) and 2010 for failing to establish a reasonably designed supervisory system, including written supervisory procedures, to achieve compliance with Form CRS obligations. The Aaron Capital AWC established these as independent violations -- distinct from the substantive filing and delivery failures -- because the firm's WSPs contained no provisions addressing Form CRS preparation, filing, or delivery. Meridian's identical WSP gap would trigger the same supervisory charges. The IA fiduciary standard under Release IA-5248 does not subsume or replace these BD-specific FINRA rule obligations; the BD's Form CRS duties under Rule 17a-14 and FINRA's supervisory rules operate as separate regulatory requirements regardless of the firm's dual registration status.

Item adversarial_0035 -- precise_threshold

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: form_crs_disciplinary_disclosure_violation_period_and_sanctions

Fact Pattern

Question / Answer

Based on the sanctions imposed in FINRA AWC No. 2024080209001 against General Securities Corp. for substantially identical Form CRS violations (omission of disciplinary history and failure to comply with Form CRS instructions from the compliance date through 2024), what was the exact monetary fine amount imposed, and what was the precise

violation period start date and end date cited? If Pinnacle Financial Services committed the same violations over a comparable period, would the \$5,000 fine Pinnacle's counsel proposed be consistent with the precedent set by the General Securities Corp. AWC?

Correct Answer: In FINRA AWC No. 2024080209001, General Securities Corp. was found to have violated Section 17(a)(1) of the Securities Exchange Act of 1934, Exchange Act Rule 17a-14, and FINRA Rule 2010 during a violation period running from June 30, 2020 (the Form CRS compliance date) through August 6, 2024. The firm consented to a censure and a \$25,000 fine, along with an undertaking to submit a certification to FINRA that it had reviewed and remediated the deficiencies in its Form CRS, and had filed, delivered, and posted to its publicly available website a Form CRS that complies with all applicable requirements.

The \$5,000 fine proposed by Pinnacle's counsel would be grossly inconsistent with this precedent. The General Securities Corp. AWC established a \$25,000 fine for a firm of comparable size -- General Securities had only six registered representatives and two offices -- meaning Pinnacle, with twelve registered representatives and three offices, could arguably face an equal or higher fine. The violation period in the General Securities matter spanned over four years (June 30, 2020 to August 6, 2024), and FINRA measured it from the original compliance date, not from any interim amended filing. This directly undermines Pinnacle's argument that the violation period should run only from the January 2023 amended filing.

Notably, General Securities' violation was characterized as 'willful,' which carries significant collateral consequences. The AWC explicitly states that General Securities 'willfully violated Section 17(a)(1) of the Securities Exchange Act of 1934 and Exchange Act Rule 17a-14.' This finding of willfulness was made notwithstanding the nature of the omission, suggesting that FINRA treats the failure to disclose disciplinary history in Form CRS as willful regardless of the firm's subjective intent or reliance on outside advice. Pinnacle's good-faith reliance defense would therefore likely fail under this precedent.

Item adversarial_0036 -- case_specific_holding

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: ocie_ric_exam_initiative_custom_index_fund_focus

Fact Pattern

Question / Answer

Based on the specific focus areas identified in OCIE's November 8, 2018 Risk Alert on registered investment company examination initiatives, identify which specific combination of initiative categories Pinnacle would fall under, and for the custom-built index initiative specifically, what three distinct examination focus areas did OCIE staff indicate they would assess regarding the roles of advisers and index providers? Additionally, what specific aspect of Pinnacle's board oversight process would OCIE examiners evaluate under the general assessment framework described in the Risk Alert?

Correct Answer: Pinnacle would fall under at least four of the six specific initiative categories identified in the November 8, 2018 OCIE Risk Alert: (1) 'Index funds that track custom-built indexes,' because the Pinnacle Adaptive Select Index is a bespoke index created and maintained by DataMetrics for a

single fund; (2) 'Advisers relatively new to managing mutual funds,' because Pinnacle launched its first mutual fund only in March 2017, approximately 18 months before the examination; (3) 'Advisers who provide advice to both mutual funds and private funds that have similar strategies and/or are managed by the same portfolio managers,' because Pinnacle manages both the mutual fund and the Pinnacle Dynamic Opportunity Fund LP with the same team and similar strategies; and (4) potentially 'Mutual funds with higher allocations to certain securitized assets,' depending on the fund's securitized asset exposure.

For the custom-built index initiative specifically, the Risk Alert stated that staff would assess the unique risks and challenges associated with the roles of advisers and index providers as they relate to three distinct areas: (a) the selection and weighting of the custom-built or bespoke index components, (b) ongoing index administration, and (c) management of the Funds, along with related performance advertising. Staff would also specifically review the manner in which portfolios are managed compared to the Funds' disclosures to investors.

Regarding board oversight, the Risk Alert's general assessment framework specified that OCIE would evaluate the 'deliberative processes utilized by Funds, their advisers, and their boards exercising oversight, particularly when assessing practices and controls related to risks and conflicts, including disclosures, portfolio management compliance, and fund governance.' Additionally, examiners would assess whether the Funds' boards had adequate oversight of the compliance program and whether advisers' disclosures to the Funds' boards regarding risks and conflicts were sufficient -- directly implicating Pinnacle's failure to inform the board about the performance differential and allocation practices between the mutual fund and private fund.

Item adversarial_0037 -- temporal_trap

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: reg_bi_examination_phase_transition

Fact Pattern

Question / Answer

Pinnacle's counsel relies on the fact that the September 2020 examination did not include enhanced transaction testing to argue the firm lacked notice of its share-class deficiency. According to the SEC Division of Examinations' January 30, 2023 Risk Alert on Reg BI examinations, what specific distinction did the Division draw between its initial and subsequent Reg BI examination phases that explains why enhanced transaction testing was absent in September 2020 but present in November 2022 -- and why does this distinction fatally undermine Pinnacle's defense that the earlier examination's scope should insulate the firm from the later findings?

Correct Answer: According to the January 30, 2023 Risk Alert, the Division of Examinations explicitly described a two-phase examination approach. The initial examinations -- referenced in the April 7, 2020 Risk Alert -- 'focused on whether firms established written policies and procedures reasonably designed to comply with Regulation Best Interest and whether firms made reasonable progress in implementing those policies and procedures.' By contrast, 'subsequent examinations focused on the specific requirements of the rule and included enhanced transaction testing designed to examine whether broker-dealers implemented effectively their written policies and procedures,' as described

in the Division's December 21, 2020 public statement. The January 2023 Risk Alert explicitly states it 'contains observations from both initiatives.'

This two-phase structure fatally undermines Pinnacle's defense for several reasons. First, the absence of enhanced transaction testing in September 2020 was a deliberate methodological choice by the Division reflecting the early stage of Reg BI implementation -- it was not an implicit approval of Pinnacle's transaction-level compliance. The initial phase was designed only to assess the existence and reasonable design of policies, not their effective implementation at the individual recommendation level. Second, the Division's subsequent examination phase was specifically designed to move beyond policy review to actual transaction testing, which is precisely the methodology that uncovered Casella's share-class deficiencies. The progression from Phase 1 to Phase 2 was a publicly announced evolution, not a change in regulatory expectations.

Furthermore, the January 2023 Risk Alert announced that 'moving forward, the Division intends to incorporate compliance with Regulation Best Interest into retail-focused examinations of broker-dealers, particularly those that include sales practices within the scope of the examination.' This signals that by November 2022, Pinnacle should have expected -- and been prepared for -- enhanced transaction testing as the standard examination methodology. The firm's failure to follow up on 14 flagged recommendations demonstrates a deficiency in effective implementation, which is precisely what the subsequent examination phase was designed to identify under Rule 15l-1's Compliance Obligation.

Item adversarial_0038 -- novel_unsettled

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: algorithmic_cross_trading_fixed_income_fiduciary_duty

Fact Pattern

Question / Answer

Based on the SEC Division of Examinations' specific observations and compliance framework articulated in the July 2021 FIX Initiative Risk Alert regarding fixed income cross trades, identify at least three distinct compliance deficiency categories that Meridian's BondFlow system would implicate, and explain why Meridian's argument that algorithmic execution with post-trade batch review satisfies the Compliance Rule under Rule 206(4)-7 would likely fail in light of the specific areas the Division staff focused on during FIX Initiative examinations. In particular, address how the Risk Alert's treatment of conflicts of interest, compliance programs, and disclosures -- the three specific focus areas identified by the Division -- each apply to the novel question of AI-automated cross trading without human pre-trade review.

Correct Answer: The July 2021 FIX Initiative Risk Alert specifically identifies three focus areas the Division of Examinations used to evaluate fixed income cross and principal trading practices: (1) conflicts of interest -- whether trades appeared to be made in clients' best interests rather than to further the interests of the advisers; (2) compliance programs -- whether advisers adopted written policies and procedures under the Compliance Rule (Rule 206(4)-7) that effectively addressed these trades; and (3) disclosures -- whether conflicts of interest related to these trades were fully and fairly disclosed to clients. The Risk Alert was derived from over 20 examinations of advisers collectively managing approximately \$2 trillion in assets for over two million client accounts, including more than one million

retail clients, nearly 3,000 pension and profit sharing plans, and over 150 mutual funds -- a population profile strikingly similar to Meridian's.

First, on conflicts of interest under Advisers Act Sections 206(1) and (2), Meridian's BondFlow system creates unaddressed conflicts because the algorithm's matching logic -- designed by the CIO without independent compliance oversight at the trade level -- could systematically favor certain account types over others, particularly where 8% of trades involved proprietary mutual fund sub-advisory accounts that may constitute principal trades requiring Section 206(3) client consent before completion. The loss-transfer trades (340 instances) represent a classic conflict where one client is disadvantaged to benefit another, precisely the type of conduct the FIX Initiative targeted. The algorithmic nature of the execution does not eliminate the fiduciary obligation; it may in fact obscure it by removing the human judgment that would ordinarily flag these conflicts.

Second, on compliance programs under Rule 206(4)-7, the FIX Initiative specifically examined whether written policies and procedures 'effectively addressed these trades.' Meridian's monthly post-trade batch review regime would likely be found deficient because effectiveness requires that the compliance program be reasonably designed to prevent violations -- not merely detect them after the fact. An automated system executing 14,600 trades without any human pre-trade compliance review, where the system failed to identify that certain trades constituted potential principal transactions or loss-transfers, demonstrates that the policies were not effectively implemented. The Risk Alert's emphasis on whether policies 'effectively addressed' cross trades means that Meridian cannot rely on the mere existence of written procedures if those procedures are structurally incapable of catching violations before they occur.

Third, on disclosures, the FIX Initiative focused on whether conflicts were 'fully and fairly disclosed to clients.' Meridian's generic Form ADV disclosure that it 'may effect cross trades' without disclosing the algorithmic nature of the system, the absence of human pre-trade review, and the potential for trades involving proprietary fund accounts would fail the full-and-fair disclosure standard under Sections 206(1) and (2). The novelty of AI-driven execution creates a material additional conflict -- clients have no ability to evaluate whether an algorithm is acting in their interest -- and this must be specifically disclosed rather than subsumed within general cross-trading language.

Item adversarial_0039 -- multi_party_liability

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: dual_hatted_rep_reg_bi_fiduciary_multi_party

Fact Pattern

Question / Answer

Based on the SEC Division of Examinations' 2023 Examination Priorities, identify the specific and distinct examination focus areas that create liability exposure for each of the following parties -- (1) Pinnacle as broker-dealer, (2) Pinnacle as investment adviser, (3) CCO Whitfield's compliance program, and (4) the ESG-related disclosure obligations -- and explain why the 2023 Priorities document's treatment of Standards of Conduct examinations specifically distinguishes between the Reg BI analysis and the fiduciary duty analysis for dual-hatted representatives in a way that creates

separate and overlapping liability streams for the same underlying conduct. What specific elements does the 2023 Priorities document state the Division will assess when examining firms for Reg BI compliance versus IA fiduciary compliance, and how does the document's explicit focus on ESG investing as a 'notable new and significant focus area' compound the liability exposure beyond what a general understanding of Reg BI and fiduciary duty would suggest?

Correct Answer: The 2023 Examination Priorities document creates distinct liability streams by explicitly separating its examination approach for Reg BI compliance from its fiduciary duty analysis under Section I.C, 'Standards of Conduct: Regulation Best Interest, Fiduciary Duty, and Form CRS.' For Pinnacle as a broker-dealer, the Division states it will focus on whether Reg BI's component obligations -- the Disclosure Obligation, Care Obligation, Conflict of Interest Obligation, and Compliance Obligation -- are each independently satisfied. The differential compensation (3.2% brokerage vs. 1.5% advisory) on the identical structured product triggers both the Disclosure and Conflict of Interest Obligations. The document specifically notes that examinations will assess whether recommendations reflect the best interest of the customer and whether firms have established, maintained, and enforced written policies and procedures to address conflicts. For brokerage clients, Pinnacle faces Reg BI liability on all four component obligations.

For Pinnacle as investment adviser, the 2023 Priorities document separately identifies the examination of IA fiduciary duty, including the duty of care and duty of loyalty under Advisers Act Section 206. The document explicitly states the Division will examine whether advisers are acting in clients' best interests and whether investment advice is suitable and in the best interest of the client, including for advisory clients in wrap fee programs. This creates a parallel but doctrinally distinct liability exposure -- the same product recommendation is examined under Reg BI for brokerage clients and under the fiduciary standard for advisory clients, with the fiduciary standard potentially imposing stricter obligations regarding the ESG misrepresentation. The 2023 Priorities specifically note the Division will assess whether dually registered firms and dual-hatted representatives adequately address conflicts and meet both sets of obligations.

CCO Whitfield's failure is compounded by the document's explicit treatment of compliance program adequacy under Section I.C and the broader IA examination focus areas. The 2023 Priorities state the Division will examine whether firms have adopted and implemented written compliance policies and procedures under Rule 206(4)-7 that are reasonably designed to address the firm's obligations. Whitfield's compliance review predated the 2023 Priorities by over a year and failed to address ESG disclosures -- which the document elevates to a 'Notable New and Significant Focus Area' under Section I.D. The ESG examination focus specifically states the Division will assess whether ESG products are managed consistent with their ESG-related disclosures and marketing, and whether proxy voting and other strategies are consistent with stated ESG approaches. Pinnacle's reliance on the product name containing 'ESG Advantage' without verifying Veridian's ESG methodology directly implicates this specific priority area, creating liability exposure that compounds the Standards of Conduct violations because the ESG misrepresentation infects both the Reg BI Care Obligation analysis (was the recommendation based on accurate product understanding?) and the fiduciary duty analysis (did the adviser conduct adequate due diligence on the ESG claims made to advisory clients?).

Item adversarial_0040 -- procedural_technical

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: cash_solicitation_client_acknowledgment_timing

Fact Pattern

Question / Answer

Under Rule 206(4)-3 as described in the October 2018 OCIE Risk Alert on Cash Solicitation compliance deficiencies, what is the precise timing requirement for the adviser's receipt of the signed and dated client acknowledgment in third-party solicitation arrangements, and did Greenleaf violate this requirement with respect to Dr. Vasquez -- even though the underlying disclosure documents were delivered well in advance of the advisory relationship?

Correct Answer: Yes, Greenleaf violated Rule 206(4)-3. The October 2018 OCIE Risk Alert specifies that, for third-party solicitor arrangements, 'the adviser must receive from the client, before or at the time of entering into any written or oral agreement with the client, a signed and dated acknowledgment that the client received the adviser brochure and the solicitor disclosure document.' This is a critical procedural distinction: the rule does not merely require that the disclosure documents themselves be delivered before the advisory relationship begins -- it separately requires that the adviser possess the signed and dated client acknowledgment 'before or at the time of entering into any written or oral agreement.'

In Greenleaf's case, two separate triggering events occurred before the acknowledgment was received. First, on March 22, Dr. Vasquez verbally agreed to engage Greenleaf -- constituting an oral agreement. Second, on March 24, she executed the written advisory agreement. Greenleaf did not receive the signed acknowledgment until March 29, which was five days after the written agreement and seven days after the oral agreement. The rule's language covers both written and oral agreements, meaning even the March 22 verbal commitment triggered the requirement.

Sandra Liu's argument that the acknowledgment is 'merely ministerial' because the underlying disclosures were timely delivered misses the specific procedural requirement identified by OCIE. The Risk Alert explicitly lists the failure to obtain client acknowledgments 'before or at the time of entering into any written or oral agreement' as among the most common deficiencies cited by OCIE staff during investment adviser examinations. The acknowledgment requirement is a standalone condition -- separate from the delivery requirement -- and both must be independently satisfied. Greenleaf's failure to obtain the signed acknowledgment prior to Dr. Vasquez's oral or written agreement constitutes a deficiency under the Cash Solicitation Rule regardless of when the actual disclosure documents were delivered.

Item adversarial_0041 -- counterintuitive_outcome

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: esg_investing_compliance_greenwashing

Fact Pattern

Question / Answer

Given the SEC Division of Examinations' 2022 Examination Priorities and their specific stated focus areas for ESG investing compliance, what is the most likely principal deficiency cited in the examination findings -- and why would the

staff prioritize this deficiency over the more facially obvious issue of the CIO overriding ESG exclusionary screens, despite the apparent greenwashing in the portfolio holdings?

Correct Answer: The most likely principal deficiency cited would be the inconsistency between GreenVista's client-facing marketing materials and its Form ADV disclosures -- specifically, the disconnect between claims of 'pure ESG,' 'fossil-free investing,' and '100% aligned with sustainable principles' in marketing versus the qualifying language in the ADV. The SEC's 2022 Examination Priorities document specifically states that for ESG investing, the Division will focus on whether firms are 'accurately disclosing their ESG investing approaches' and will 'review the consistency and adequacy of the disclosures' firms provide regarding ESG. The staff's stated approach emphasizes reviewing whether portfolio management practices match the disclosed ESG investing methodology, but critically, the 2022 priorities frame this as a disclosure accuracy and consistency problem -- not a substantive investment judgment problem.

Because GreenVista's ADV Part 2A actually discloses the CIO's override discretion and qualifies the firm's adherence to exclusionary screens, the CIO's overrides are arguably disclosed conduct. The compliance failure is not the override itself but the inconsistency between the ADV's qualifying disclosures and the unqualified marketing claims. The 2022 Examination Priorities specifically highlight that staff will 'review whether ESG products are appropriately labeled' and assess 'whether proxy voting practices, if applicable, are consistent with their stated strategies.' The staff focus, as expressed in the document, is on whether firms' marketing and stated processes are 'accurately' described -- a truth-in-labeling framework rooted in Advisers Act §206 anti-fraud provisions rather than a substantive judgment about what belongs in an ESG portfolio.

Additionally, the deficiency would likely cite the inadequacy of the compliance program under Rule 206(4)-7 -- not because no ESG policy existed, but because the annual compliance review's single checklist item was insufficient to identify the marketing-disclosure inconsistency. The 2022 priorities document's 'Word About Compliance' section emphasizes that effective compliance programs must be substantive and tailored, not perfunctory. A single checklist item for an ESG-centric firm managing \$3.2 billion would be viewed as a compliance program deficiency independent of any underlying substantive violation.

Item adversarial_0042 -- rule_conflict

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: dual_hatted_reg_bi_vs_fiduciary_duty_conflict

Fact Pattern

Question / Answer

Under the SEC Division of Examinations' 2023 Examination Priorities, how does the Division specifically characterize the relationship between Regulation Best Interest and the investment adviser fiduciary duty for dual-hatted representatives, and why does this characterization undermine Meridian's argument that only Reg BI applied to Sarah's recommendation to Dr. Patel? Specifically, what examination focus areas did the 2023 Priorities identify regarding account-type recommendations and the interaction of these two standards that would be directly relevant to the examiners' deficiency finding?

Correct Answer: The SEC Division of Examinations' 2023 Examination Priorities specifically groups Regulation Best Interest and the investment adviser fiduciary duty together under Section I.C ('Standards of Conduct: Regulation Best Interest, Fiduciary Duty, and Form CRS'), treating them as interconnected standards of conduct rather than siloed obligations that apply only within their respective account types. Critically, the 2023 Priorities state that the Division will examine whether broker-dealers and investment advisers are meeting their respective obligations, and the document specifically signals that for dually registered firms and their associated persons, the examination will focus on whether recommendations to open a particular account type (brokerage versus advisory) appropriately consider the investor's best interest and satisfy the applicable standard of conduct.

This framing directly undermines Meridian's argument because the 2023 Priorities make clear that the Division views the decision to route a transaction through a brokerage account versus an advisory account as itself a recommendation subject to scrutiny. For a dual-hatted representative like Sarah who maintains both a brokerage and advisory relationship with the same client, the act of selecting the brokerage channel -- particularly when it results in higher compensation to the firm -- is a recommendation that implicates both Reg BI's Care Obligation (including the cost component under Rule 15l-1(a)(2)(ii)(B)) and the investment adviser's fiduciary duty under §206 of the Advisers Act, because the advisory relationship does not simply pause when the representative executes a brokerage trade for the same client.

Furthermore, the 2023 Priorities specifically identify as an examination focus area the review of whether firms are making recommendations regarding account types and whether conflicts of interest associated with such recommendations -- including compensation differentials -- are properly identified, disclosed, mitigated, or eliminated. The Division's approach treats the account-routing decision as a conflict-laden recommendation. Since Meridian failed to analyze the account-type selection under either the Reg BI Conflict of Interest Obligation or the Advisers Act fiduciary duty, and since the Form CRS did not address how routing decisions are made, the examiners' deficiency finding is squarely within the 2023 Priorities' identified focus areas. Meridian's compliance framework was deficient precisely because it treated the two standards as hermetically sealed rather than recognizing the Division's integrated approach to examining standards of conduct for dual-hatted representatives.

Item adversarial_0043 -- precise_threshold

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: ocie_2015_priorities_thematic_areas_count

Fact Pattern

Question / Answer

According to OCIE's 2015 Examination Priorities document: (1) How many thematic areas did OCIE use to organize its 2015 priorities, and what was the specific focus of the third thematic area that Reyes failed to identify? (2) How many specific categories of registered entities did OCIE enumerate as falling within its examination authority, and which categories did Reyes omit from his list? These precise details are critical because Whitfield must accurately represent OCIE's stated examination scope and organizational framework in her board memorandum.

Correct Answer: First, OCIE organized its 2015 examination priorities around exactly three thematic areas, not two as Reyes contended. The three areas were: (1) examining matters of importance to retail investors and investors saving for retirement, including whether information, advice, products, and services offered are consistent with applicable laws, rules, and regulations; (2) assessing issues related to market-wide risks; and (3) using OCIE's evolving ability to analyze data to identify and examine registrants that may be engaged in illegal activity, such as excessive trading and penny stock pump-and-dump schemes. Reyes omitted this third data-analytics-driven thematic area entirely.

Second, OCIE's 2015 Examination Priorities document enumerated exactly eight categories of registered entities that OCIE examines: (1) investment advisers, (2) investment companies, (3) broker-dealers, (4) exchanges, (5) self-regulatory organizations (SROs), (6) clearing agencies, (7) municipal advisors, and (8) transfer agents. Reyes identified only three of the eight categories, omitting exchanges, SROs, clearing agencies, municipal advisors, and transfer agents. Notably, the document also specifically stated that OCIE's examination priorities for exchanges and SROs were being addressed separately from the 2015 priorities document.

These precise details matter for Whitfield's board memorandum because Meridian's activities--particularly its data-driven trading surveillance obligations and its potential exposure as a dually registered entity--fall squarely within OCIE's stated thematic priorities, and the firm must understand the full scope of OCIE's examination authority across all eight entity categories to properly prepare for the examination.

Item adversarial_0044 -- case_specific_holding

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: dol_fab_2018_01_esg_tiebreaker_enforcement_guidance

Fact Pattern

Question / Answer

Under Field Assistance Bulletin 2018-01, what specific enforcement posture did the DOL direct EBSA national and regional offices to take regarding the application of IB 2015-01's guidance on ESG investments as tie-breakers, and how would this guidance specifically affect the EBSA investigator's evaluation of Pinnacle's March 2018 selection of Fund B over Fund A? In particular, did FAB 2018-01 formally rescind IB 2015-01, modify its substantive standards, or take a different approach -- and what was that approach?

Correct Answer: Field Assistance Bulletin 2018-01, issued on April 23, 2018, by John J. Canary, Director of Regulations and Interpretations, did NOT formally rescind or replace IB 2015-01. Instead, it took a more subtle but significant approach: it provided enforcement guidance to EBSA's national and regional offices -- specifically directed to Mabel Capolongo, Director of Enforcement, and Regional Directors -- that effectively narrowed the practical scope of IB 2015-01 without formally withdrawing it. FAB 2018-01 reemphasized the DOL's 'longstanding position' that ERISA fiduciaries 'may not sacrifice investment returns or assume greater investment risks as a means of promoting collateral social policy goals,' signaling a return to the more restrictive interpretive posture of the Bush-era IB 2008-01.

Critically, while IB 2015-01's preamble had expansively suggested that ESG factors could themselves qualify as 'economic considerations' relevant to prudent investment analysis (not merely as tie-breakers), FAB 2018-01 directed enforcement staff to approach ESG investment claims with heightened scrutiny. The FAB effectively instructed EBSA staff that the tie-breaker analysis should be applied narrowly, and that fiduciaries should not treat ESG factors as economic factors without rigorous, documented economic justification. This means the EBSA investigator evaluating Pinnacle's conduct would be guided to scrutinize whether the ESG selection was truly a 'tie-break' between economically indistinguishable options or whether it involved any sacrifice of return or assumption of additional risk -- applying a more skeptical lens than IB 2015-01's preamble alone might suggest.

For Pinnacle, the practical effect is that even though IB 2015-01 technically remained on the books and Pinnacle documented a facially compliant tie-breaker analysis, the enforcement staff receiving the complaint in June 2018 would apply FAB 2018-01's more cautious guidance. The investigator would likely probe whether the 2-basis-point expense ratio difference and reliance on participant ESG sentiment truly satisfied the economic equivalence standard, or whether Pinnacle was using ESG as a substantive selection criterion disguised as a tie-breaker -- a distinction FAB 2018-01 was specifically designed to police.

Item adversarial_0045 -- temporal_trap

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: settlement_proceeds_plan_assets_timing

Fact Pattern

Question / Answer

Under Field Assistance Bulletin 2006-01, issued April 19, 2006, at what specific point did the settlement proceeds attributable to the Plan become 'plan assets' under ERISA--and does Meridian's election of the lump-sum option (Option 1) make Meridian an ERISA fiduciary with respect to those proceeds? Critically, would Langdon's legal analysis (that no DOL guidance existed pre-April 2006 addressing this issue) have been correct if the same facts occurred six months earlier, in October 2005?

Correct Answer: Under FAB 2006-01, settlement proceeds attributable to an ERISA-covered plan become 'plan assets' no later than the point at which the intermediary receives them--and arguably at the point the IDC identifies the plan's beneficial interest. When Meridian elected Option 1 (lump-sum receipt with responsibility to sub-allocate), it assumed control and discretion over assets that included the Plan's proportionate share, making Meridian a functional fiduciary under ERISA §3(21)(A) with respect to those proceeds from the moment of receipt on August 15, 2006. FAB 2006-01 specifically addresses this scenario: intermediaries that receive settlement proceeds on behalf of plans through omnibus accounts and elect to handle sub-distributions themselves take on fiduciary responsibilities, including the duty of prudence under ERISA §404(a)(1)(B) and the duty of loyalty under §404(a)(1)(A). Depositing plan assets into a general corporate account and earning interest on commingled funds would constitute a prohibited transaction under ERISA §406(b)(1) (dealing with plan assets in the fiduciary's own interest).

Langdon's analysis was doubly wrong. First, FAB 2006-01 was issued on April 19, 2006--months before Meridian received the proceeds in August 2006--so the guidance was squarely applicable. Second, even without FAB 2006-01, the underlying ERISA statutory framework (§§3(21), 404, 406) would still apply to assets attributable to the Plan, as ERISA's fiduciary standards are self-executing and do not require specific DOL guidance to be triggered. However, had these facts occurred in October 2005, Langdon's narrower claim--that no DOL guidance specifically addressed mutual fund settlement distributions--would have been factually accurate, because FAB 2006-01 had not yet been issued. But his broader legal conclusion would still be wrong: the absence of specific FAB guidance does not negate the application of ERISA's statutory fiduciary framework. The temporal significance of FAB 2006-01 is that after April 19, 2006, intermediaries and plan fiduciaries were on explicit notice of the Department's views on plan-asset status and fiduciary obligations regarding settlement proceeds, making any claim of ignorance substantially less defensible in an EBSA enforcement context.

Item adversarial_0046 -- novel_unsettled

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: ahp_erisa_fiduciary_rollover_advice_novel

Fact Pattern

Question / Answer

Given that the DOL's December 2023 NPRM (RIN 1210-AC16) specifically characterized AHPs as offering 'skinny coverage' because they are not subject to the ACA's EHB requirement -- a characterization that the Coalition to Protect and Promote Association Health Plans disputed in its February 20, 2024 comment letter by presenting evidence that AHPs voluntarily cover all ten EHBs (including pediatric dental and vision through stand-alone products), offer broader networks, and lower deductibles -- does Harvest's reliance on the Coalition's comment letter as a factual basis for its PTE 2020-02 rollover disclosure satisfy the exemption's 'care, skill, prudence, and diligence' condition, and how does the unsettled regulatory status of the 2018 AHP Rule during the NPRM comment period affect the fiduciary analysis of linking AHP sponsorship quality to rollover recommendation suitability?

Correct Answer: Harvest's reliance on the Coalition's comment letter does NOT satisfy PTE 2020-02's conditions for multiple independent reasons. First, PTE 2020-02 requires that a fiduciary investment professional providing rollover recommendations act with the 'care, skill, prudence, and diligence' standard under ERISA §404(a)(1)(B) -- the so-called 'prudent expert' standard. This standard requires an independent, participant-specific analysis of the costs, benefits, and risks of the rollover, not reliance on an advocacy organization's public comment letter submitted during a contested rulemaking. The Coalition's letter, while presenting factual evidence that AHPs voluntarily cover all ten EHBs and offer broader networks and lower deductibles than ACA individual/small group plans, is an advocacy document addressing AHP coverage quality -- it says nothing about the prudence of rolling over 401(k) assets into a 403(b)(7) custodial arrangement sponsored by an association whose legal authority to operate as an AHP is under active regulatory challenge via the NPRM at 88 Fed. Reg. 87981.

Second, PTE 2020-02 requires that the fiduciary acknowledge its fiduciary status and provide disclosures about conflicts of interest, including the 75-basis-point trail commission. But beyond

disclosure, the exemption requires that the recommendation itself reflect the Impartial Conduct Standards, which include a best interest standard. A prudent fiduciary advising on rollovers during the pendency of an NPRM that could rescind the very legal framework under which the AHP sponsor operates would need to disclose and weigh the regulatory risk that the 2018 AHP Rule could be rescinded, potentially dissolving GNTA's authority to sponsor the AHP and undermining the purported stability of GNTA as a plan sponsor for retirement assets. The fact that the DOL itself characterized AHPs as offering 'skinny coverage' -- even if factually disputed by the Coalition's evidence about voluntary EHB coverage, broader networks, and lower deductibles -- creates material regulatory uncertainty that must be disclosed and factored into a prudent rollover analysis.

Third, conflating AHP health coverage quality with retirement plan sponsorship reliability is a category error that no prudent expert would make. The Coalition's comment letter specifically addresses health benefit comprehensiveness, not retirement plan fiduciary governance. PTE 2020-02's conditions require analysis of investment alternatives, fees, services, and the participant's specific circumstances -- none of which are addressed by citing an AHP's voluntary EHB compliance. The unsettled status of the 2018 AHP Rule during the NPRM period makes this conflation even more problematic, as it introduces a novel and unresolved regulatory risk that Harvest failed to analyze or disclose.

Item adversarial_0047 -- multi_party_liability

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: multi_party_rollover_fiduciary_liability_pte_2020_02

Fact Pattern

Question / Answer

Under the DOL's proposed Retirement Security Rule and proposed amendments to PTE 2020-02 (as described in the 2023-2024 rulemaking that IRI's comment letter addresses), which of the four parties -- Derek Huang, Apex Wealth Partners, SafeHaven Life Insurance Company, and Clearview Custodial Services -- would be classified as ERISA fiduciaries with respect to the rollover recommendation, and specifically, what is the significance of the DOL's proposed expansion of the one-time recommendation framework and the proposed amendments to PTE 2020-02's conditions regarding the insurer's role in the annuity distribution chain? In particular, would SafeHaven Life's provision of product training materials and illustrations to Apex constitute fiduciary conduct under the proposed rule, and how does IRI's comment letter characterize the risk that the proposed rule poses to the 'entire supply chain of insured retirement strategies'?

Correct Answer: Under the DOL's proposed Retirement Security Rule (RIN 1210-AC02), the definition of investment advice fiduciary would be significantly broadened beyond the longstanding five-part test from the 1975 regulation. The proposal would treat a one-time rollover recommendation -- such as Derek's single meeting with Meredith -- as fiduciary investment advice, eliminating the prior requirement of a regular basis or mutual understanding of an ongoing advisory relationship. Both Derek Huang individually and Apex Wealth Partners as the financial institution would be treated as ERISA fiduciaries for the rollover recommendation. Because the rollover recommendation generates commission-based compensation (the 6.5% first-year commission on the annuity) and a wrap fee, these constitute prohibited transactions under ERISA §406(b) and IRC §4975(c)(1), requiring

reliance on PTE 2020-02 to receive an exemption.

The proposed amendments to PTE 2020-02 (Application No. D-12057, RIN 1210-ZA32) would impose enhanced conditions on both the financial institution (Apex) and the individual financial professional (Derek), including a more rigorous best-interest standard, specific documentation requirements for rollover comparisons, and retrospective review obligations. Critically, the IRI comment letter highlights that the proposed rule and PTE amendments threaten the 'entire supply chain of insured retirement strategies' -- IRI's membership explicitly includes life insurers, asset managers, broker-dealers, banks, and marketing organizations. IRI's concern is that the proposed rule's expanded fiduciary definition could sweep in entities like SafeHaven Life Insurance Company that provide product training materials, illustrations, and talking points to distributors, potentially characterizing such activity as part of a fiduciary recommendation chain rather than mere product manufacturing and support.

However, under the specific proposal as described, SafeHaven Life's provision of generic product training materials and illustrations -- without individualized recommendations to Meredith -- would likely not independently trigger fiduciary status. The fiduciary obligation attaches to parties providing individualized investment advice for a fee. Clearview Custodial Services, which exercises no discretion and provides no advice, would similarly not be classified as a fiduciary. IRI's comment letter specifically argues that the proposed rule would harm 'lower- and middle-income savers and underserved communities' by reducing access to protected lifetime income products (annuities), and urges full withdrawal of the proposal rather than modification -- stating explicitly that 'nothing in this letter should be read to suggest or imply that IRI would support a modified version of the Proposal.' The letter references the 2016 Rule's vacatur by the Fifth Circuit in the Chamber Decision as evidence that similar regulatory approaches cause harm to retirement savers.

Item adversarial_0048 -- procedural_technical

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: fiduciary_rule_rfi_procedural_timeline_2017

Fact Pattern

Question / Answer

Based on the DOL's July 6, 2017 Request for Information (RIN 1210-AB82) published at 82 Fed. Reg. 31278, which specific parts of Title 29 of the Code of Federal Regulations were identified as subject to potential codification of amendments -- and was Chen's assumption that only 29 C.F.R. Part 2510 was implicated correct? Additionally, what was the designated submission attention reference number and email address specified by the DOL for responses to this RFI?

Correct Answer: Chen's assumption was incorrect. The DOL's July 6, 2017 RFI (RIN 1210-AB82), published at 82 Fed. Reg. 31278, identified three specific parts of Title 29 of the Code of Federal Regulations as subject to potential codification: 29 C.F.R. Part 2509, 29 C.F.R. Part 2510, and 29 C.F.R. Part 2550. Part 2509 addresses interpretive bulletins, Part 2510 addresses definitions (including the definition of 'fiduciary'), and Part 2550 addresses rules and regulations for fiduciary responsibility. By focusing exclusively on Part 2510, Chen missed the potentially significant modifications that could affect

interpretive guidance under Part 2509 and the substantive fiduciary responsibility regulations under Part 2550.

The designated submission details for the RFI were: responses were to be addressed to the 'Office of Exemption Determinations, Employee Benefits Security Administration,' with the attention line referencing 'D-11933,' and submitted via the email address EBSA.FiduciaryRuleExamination@dol.gov at the U.S. Department of Labor, 200 Constitution Avenue, NW, Suite 400, Washington, D.C. 20210.

This distinction matters because the scope of potential modifications extended well beyond the narrow definitional question of who is a 'fiduciary' under Part 2510. The PTEs themselves -- including PTE 2016-01 (BIC Exemption) and PTE 2016-02 (Principal Transactions Class Exemption) -- and the broader fiduciary responsibility framework under Part 2550 were also within scope. A firm that structured its compliance response and internal policies around only the Part 2510 definitional framework would have failed to account for potential changes to the operational exemptions and fiduciary conduct standards that directly governed how advisors could receive conflicted compensation in connection with retirement investment advice.

Item adversarial_0049 -- counterintuitive_outcome

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: group_health_plan_service_provider_disclosure_enforcement

Fact Pattern

Question / Answer

Given that the CAA Section 202 amendments to ERISA §408(b)(2)(B) took effect on December 27, 2021 -- meaning Meridian's March 2022 contract was clearly within the statutory effective period -- and given that Meridian indisputably failed to disclose \$47,000 in annual indirect compensation from Cigna before entering the arrangement, would EBSA recommend enforcement action against Meridian under the Department of Labor's announced policy as of late 2021, and if not, what specific policy mechanism would shield Meridian from enforcement despite the apparent statutory violation?

Correct Answer: Counterintuitively, EBSA would likely NOT recommend enforcement action against Meridian despite the clear facial violation of the statutory disclosure requirement. This is because Field Assistance Bulletin No. 2021-03, issued December 30, 2021, announced a temporary enforcement policy under which the Department acknowledged that it had not yet issued regulatory guidance implementing the CAA Section 202 amendments to ERISA §408(b)(2)(B), and recognized that service providers and group health plan fiduciaries had significant questions about compliance. The FAB explicitly contemplated that covered service providers would 'adopt various methods' to make required disclosures and that compensation structures in the group health plan space are 'not uniform, often complicated, and frequently structured to reflect state law.'

Under this temporary enforcement policy, the Department signaled a non-enforcement posture for good-faith compliance efforts during the period before formal regulatory guidance was issued. Because Meridian made at least a partial disclosure (the direct compensation), and because the

DOL itself acknowledged uncertainty about how the new statutory requirements should be operationalized in the absence of implementing regulations, Meridian's reliance on a reasonable interpretation -- that detailed indirect compensation disclosure obligations were not yet crystallized absent regulatory guidance -- would fall within the protective umbrella of the FAB's temporary enforcement policy.

The critical mechanism is FAB 2021-03's implicit safe harbor for service providers who demonstrate good-faith efforts to comply with ERISA §408(b)(2)(B) during the gap period between the statute's effective date (December 27, 2021) and the issuance of final implementing regulations. The FAB specifically identified enhancing 'fee transparency, especially for service arrangements that involve the payment of indirect compensation' as a 'significant goal' rather than an immediately enforceable hard requirement with penalties during this transition period. This effectively creates a de facto non-enforcement window despite the statute being technically operative.

Item adversarial_0050 -- rule_conflict

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: annual_funding_notice_secure2_conflict

Fact Pattern

Question / Answer

Under FAB 2025-02, when a single-employer defined benefit plan has already prepared and furnished its 2024 annual funding notice before the Bulletin's issuance on April 3, 2025, using the methodology from the pre-SECURE 2.0 regulations at 29 CFR §2520.101-5 rather than the SECURE 2.0-amended statutory methodology, what specific obligation does the DOL impose on the plan administrator, and what standard does the DOL articulate for evaluating whether already-furnished notices are acceptable -- the existing regulation, the amended statute, or something else?

Correct Answer: FAB 2025-02 explicitly acknowledges that some plans may have already prepared or begun furnishing their 2024 annual funding notices before the Bulletin's April 3, 2025 issuance. For these plans, the DOL does NOT grant a blanket safe harbor based on compliance with the old regulation at 29 CFR §2520.101-5. Instead, the Bulletin states that the DOL expects the plan administrator to 'consider the guidance in this Bulletin in evaluating whether the disclosures were consistent with a reasonable, good faith interpretation of section 101(f), as amended' by SECURE 2.0. If the administrator concludes the disclosures did not meet that standard, the administrator must 'take appropriate corrective action.'

Critically, the controlling standard is neither the old regulation standing alone nor the Bulletin as a new safe harbor. The DOL makes clear that plan administrators are 'required to make annual funding notice disclosures in accordance with section 101(f), as amended by SECURE 2.0' -- meaning the amended statute controls over the outdated 2015 regulation. The Bulletin explicitly recognizes 'apparent confusion, and even certain outright conflicts' between the statute as amended and the pre-existing regulations. The DOL's enforcement posture is that compliance with the Bulletin constitutes 'a reasonable, good faith interpretation' of the amended statute, but the underlying legal obligation flows from the statute, not the regulation.

Therefore, Caldwell & Wright's position that the old regulation controls is incorrect -- the DOL has identified the conflict and stated the statute as amended governs. Thornton must affirmatively evaluate her already-furnished notices against the Bulletin's guidance and the amended statutory requirements, and if she concludes the old-methodology notices did not constitute a reasonable, good faith interpretation of amended §101(f), she must take corrective action. The Bulletin does not specify what 'appropriate corrective action' entails, but the clear implication is that supplemental or corrected notices may need to be furnished.

Item adversarial_0051 -- precise_threshold

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: annual_funding_notice_paperwork_burden_estimate

Fact Pattern

Question / Answer

According to the DOL's Paperwork Reduction Act disclosure accompanying the model Annual Funding Notice (as updated in connection with Field Assistance Bulletin 2025-02), what is the exact estimated average number of hours per plan that the Department of Labor estimates it will take plan administrators to complete the model notice, and what is the specific OMB control number and its expiration date? Based on these figures, is Priya's projection of 3,400 total hours for 340 plans correct?

Correct Answer: The DOL's Paperwork Reduction Act burden disclosure on the cover page of the model Annual Funding Notice states that the Department of Labor estimates it will take an average of approximately 21 hours for plan administrators to complete the model notice. The OMB control number is 1210-0126, and it expires 09/30/2026.

Based on these precise figures, Priya Desai's projection of 3,400 total hours (based on her assumed 10-hour-per-plan estimate) is materially incorrect. Using the DOL's actual estimate of 21 hours per plan, the correct projected total for 340 plans would be 7,140 hours (21 x 340) -- more than double Priya's estimate. This discrepancy would have significant practical implications for Meridian's staffing and timeline.

The disclosure also specifies that comments on this collection of information should be sent to: US Department of Labor, Policy and Research, Attention: PRA Officer, 200 Constitution Avenue, NW, Room N-5718, Washington, DC 20210. The disclosure requirements are found in 29 CFR 2520.101-5 as updated by Field Assistance Bulletin 2025-02. Importantly, the cover page also instructs that the Paperwork Reduction Act banner itself must NOT be included in notices distributed to participants and beneficiaries.

Item adversarial_0052 -- case_specific_holding

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: vanguard_comment_rollover_education_fiduciary_scope

Fact Pattern

Question / Answer

In its December 27, 2023 comment letter on the proposed Retirement Security Rule (RIN 1210-AC02), what specific concern did Vanguard raise about the Proposal's definition of investment advice that Granite Peak's counsel would most precisely cite, and what was Vanguard's specific stated position regarding rollover recommendations -- including whether Vanguard agreed or disagreed that rollover recommendations should constitute investment advice?

Correct Answer: Vanguard's December 27, 2023 comment letter to EBSA took a nuanced dual position. First, Vanguard expressly agreed with the Department on two key points: (1) that a retirement investor's decisions regarding whether and how to take a distribution from a plan, including whether to roll over retirement assets among different retirement accounts, 'can be very consequential,' and (2) that 'a recommendation in connection with a distribution or rollover should be viewed as investment advice.' This is critical because Granite Peak's counsel cannot credibly cite Vanguard as opposing fiduciary treatment of rollover recommendations -- Vanguard explicitly endorsed that position.

However, Vanguard simultaneously raised the specific concern that 'the Proposal's scope and breadth may unintentionally capture important communications designed to simply educate retirement investors to allow them to make informed decisions.' Vanguard warned that '[a]n overly broad and unclear definition of investment advice that attaches fiduciary status to everyday communications, such as investor education, could unintentionally reduce access' to beneficial information. This is the precise language Granite Peak's counsel would cite -- not to argue that rollover recommendations should escape fiduciary treatment, but rather that the education-versus-advice line in the proposed rule was drawn too broadly and could sweep in non-recommendation communications.

Thus, Granite Peak's counsel would need to carefully distinguish between the two prongs of Vanguard's position: Vanguard supported treating actual rollover recommendations as fiduciary advice, but opposed the Proposal to the extent it might inadvertently capture purely educational communications that stop short of personalized recommendations. The legal argument would focus on whether Granite Peak's mailings and call center scripts constituted 'everyday communications, such as investor education' or crossed the line into recommendations triggering fiduciary status under the expanded definition.

Item adversarial_0053 -- temporal_trap

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: 12b1_fee_shift_reg_bi_cost_comparison

Fact Pattern

Question / Answer

Under Reg BI's Care Obligation and its cost component, does the ICI's documented finding that 91% of 2022 gross long-term mutual fund sales went to no-load funds without 12b-1 fees--up from 46% in 2000--establish a 'market

standard' that renders a 2023 recommendation of Class A shares with a 25-basis-point 12b-1 fee presumptively deficient? Specifically, how does the ICI report's attribution of this shift to investors 'paying for advice and assistance directly out of their pockets rather than indirectly through 12b-1 fees' interact with the temporal distinction between FINRA Rule 2111 suitability (which governed Sarah's 2019 recommendation) and Reg BI's explicit cost consideration requirement, and what is the precise analytical error in the junior analyst's reasoning?

Correct Answer: The junior analyst's reasoning contains two fundamental errors. First, Reg BI's Care Obligation (Exchange Act Rule 15l-1(a)(2)(ii)(B)) requires a broker-dealer to exercise reasonable diligence, care, and skill to understand the potential costs of a recommendation and to have a reasonable basis for believing the recommendation is in the retail customer's best interest--but it does not establish a 'cheapest product' standard or a per se prohibition on recommending funds with 12b-1 fees. The SEC's adopting release explicitly states that cost is one factor among several and that a higher-cost product can still satisfy the Care Obligation if the broker has a reasonable basis for the recommendation considering the customer's investment profile. The 91% no-load statistic from the ICI report reflects aggregate market flows--driven heavily by retirement plan institutional share classes and the widespread use of advisory platforms--not a regulatory standard of care.

Second, and critically, the ICI report's own explanation of the shift undermines the analyst's argument. The report attributes the decline in 12b-1 usage to investors choosing to pay for advice 'directly out of their pockets rather than indirectly through 12b-1 fees.' This describes a market trend in compensation models, not a finding that 12b-1 share classes are inherently inferior or costlier on a total-cost basis. For a brokerage customer who does not want to pay an ongoing advisory wrap fee, a Class A share with a front-end load and modest 12b-1 fee may actually result in lower total costs over a 15-year horizon than a no-load institutional class accessed through a 1.00% wrap program. Reg BI requires a reasonably available alternatives analysis that considers total cost to the specific investor, including the cost of the distribution channel--not just the fund-level expense ratio in isolation.

As for the temporal trap: Sarah's 2019 recommendation was governed by FINRA Rule 2111, which required only a reasonable-basis, customer-specific, and quantitative suitability analysis. Rule 2111 did not require explicit cost comparison among reasonably available alternatives. Under Reg BI, which became effective June 30, 2020, the same recommendation would require documented consideration of costs relative to alternatives. However, even under Reg BI, the recommendation of Class A shares would not be per se deficient--it would require Sarah to document why the 0.85% expense ratio plus 4.50% load was reasonable for Mr. Okafor compared to the wrap-fee alternative (0.42% fund expense + 1.00% wrap = 1.42% annually with no load amortization). Over 15 years, the Class A total cost could well be lower. The ICI data provides market context but does not substitute for individualized analysis under either standard.

Item adversarial_0054 -- novel_unsettled

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: dual_hat_adviser_bd_ai_portfolio_allocation

Fact Pattern

Question / Answer

Meridian relies on SIFMA AMG's August 7, 2018 comment letter on the Proposed Interpretation (Release No. IA-4889) to argue that enhanced regulatory requirements for algorithmic recommendations were specifically questioned by the industry and therefore should not be imposed retroactively. Based on the specific position articulated in SIFMA AMG's letter, does this argument have merit, and how does SIFMA AMG's stated concern about the scope of the Proposed Interpretation affect the analysis of whether Meridian's algorithmic proprietary product weighting required more granular disclosure than what was provided in Form ADV and Form CRS--particularly given SIFMA AMG's explicit acknowledgment of the SEC's role as 'the proper agency to update the regulatory framework' while simultaneously expressing reservations about the proposed interpretation's suggested enhanced requirements?

Correct Answer: Meridian's argument fails on multiple levels, but it critically mischaracterizes SIFMA AMG's position. The SIFMA AMG comment letter of August 7, 2018 does not argue against investor protection or disclosure generally; rather, it specifically states that while it 'applauds SEC efforts to enhance the protections afforded to retail investors and clarify the roles of and standards of conduct applicable to different types of investment professionals,' it 'do[es] not believe that the proposed interpretation or the suggested areas for enhanced regulatory requirements are necessarily' warranted in every instance. The letter explicitly acknowledges the SEC as 'the proper agency to update the regulatory framework that has served investors for decades' and commends the SEC's approach to 'ensure investor choice.' This is a nuanced position about calibration--not a blanket objection to enhanced disclosure.

Critically, SIFMA AMG's letter frames its concern around the comprehensive nature of the SEC's rulemaking package--Reg BI, the Proposed Interpretation, and Form CRS together--and the need for these three components to work coherently. The letter recognizes that the Advisers Act fiduciary duty under Section 206 already encompasses duties of care and loyalty that require full and fair disclosure of material conflicts. An algorithmic weighting that favors proprietary products 63% of the time--generating higher fees for the firm--is precisely the type of material conflict that the existing fiduciary duty, as reaffirmed in the Proposed Interpretation, requires to be disclosed. The fact that AI-driven recommendations did not exist as a specific regulatory category in 2018 does not exempt Meridian from the principles-based obligations under Section 206(1) and 206(2).

For the brokerage accounts, Regulation Best Interest's Conflict of Interest Obligation (Exchange Act Rule 15l-1(a)(2)(iii)) requires broker-dealers to establish, maintain, and enforce written policies and procedures reasonably designed to identify and disclose or eliminate material conflicts of interest. The algorithmic bias toward proprietary products is a material conflict that generic Form CRS language about proprietary product use does not adequately address. SIFMA AMG's letter, by recognizing the SEC's comprehensive approach, actually undermines Meridian's argument: the industry group itself acknowledged that the SEC's rulemaking authority encompasses both retirement and non-retirement accounts and called for a coherent framework--which Meridian's selective reliance on the letter's cautionary language distorts.

Item adversarial_0055 -- multi_party_liability

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: broken_deal_expense_allocation_multi_party

Fact Pattern

Question / Answer

Under the framework established by the SEC's 2015 enforcement action against KKR for misallocation of broken deal expenses -- as analyzed in the Willkie Farr & Gallagher client memorandum -- which specific statutory provisions would the SEC most likely charge Granite Peak under, what is the critical factual element regarding the Employee Fund that makes this case particularly analogous to the KKR precedent, and how does the existence of Meridian as fund administrator and Pinnacle as outsourced CCO affect or fail to affect Granite Peak's primary liability as investment adviser?

Correct Answer: The SEC would most likely charge Granite Peak under Section 206(2) of the Investment Advisers Act, which prohibits an investment adviser from engaging 'in any transaction, practice, or course of business which operates as a fraud or deceit upon any client or prospective client,' and under Section 206(4) of the Advisers Act. This is directly analogous to the KKR case, where the SEC specifically charged violations of Section 206(2) based on the failure to allocate broken deal expenses to co-investment vehicles that invested alongside the flagship fund. The Willkie memorandum specifically identifies that the SEC found the failure to allocate broken deal expenses to co-investing entities -- even where the co-investment governing documents did not affirmatively require such allocation -- constituted a fraud or deceit because the conflict was undisclosed.

The critical factual element that makes this case particularly close to KKR is the existence of the Employee Fund -- a dedicated vehicle established for investment by Granite Peak employees and consultants that co-invested on a deal-by-deal basis. The Willkie memorandum specifically highlights that in the KKR case, the SEC's order 'indicates that the co-investment vehicles not bearing a portion of broken deal expenses included dedicated vehicles established for investment by KKR employees and consultants (which vehicles co-invested on a deal-by-deal basis).' This feature was singled out as particularly problematic because it represents a direct financial benefit flowing to the adviser's own personnel at the expense of external fund investors -- a textbook undisclosed conflict of interest under the Advisers Act fiduciary framework.

The involvement of Meridian as fund administrator and Pinnacle as outsourced CCO does not diminish Granite Peak's primary liability as the registered investment adviser. Under the Advisers Act, the fiduciary duty runs from the investment adviser to its clients (the funds and their investors). The SEC's framework in the KKR action -- which originated from an OCIE examination -- focused squarely on the adviser's obligation to disclose conflicts and maintain adequate policies and procedures, not on the culpability of service providers. Meridian's internal flag in 2020 and Pinnacle's superficial annual review may actually aggravate Granite Peak's liability by demonstrating that the adviser had constructive notice of the problem. However, neither Meridian nor Pinnacle owes a direct fiduciary duty to the fund investors under the Advisers Act; their liability, if any, would arise under contractual claims by the funds, not under Sections 206(2) or 206(4). The SEC's enforcement theory centers on the adviser's obligation to ensure adequate disclosure in marketing materials and governing documents regarding the allocation methodology -- precisely the disclosure gap identified in the KKR order.

Item adversarial_0056 -- procedural_technical

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: reg_bi_compliance_panel_procedural_obligations

Fact Pattern

Question / Answer

Based on the specific discussion framework outlined at the December 18, 2019 FINRA Reg BI panel--which featured Emily Westerberg Russell (SEC Chief Counsel, Division of Trading and Markets), Evan Charkes (Bank of America/Merrill Lynch), and Michelle Kelley (LPL Financial), and was moderated by FINRA's James Wrona--what specific structural deficiency in Pinnacle's Reg BI compliance approach would the panelists have identified, and how does the panel's framing of the Compliance Obligation as requiring policies and procedures designed to achieve compliance with each of the other three component obligations (Disclosure, Care, and Conflict of Interest) separately expose Pinnacle's assumption that existing FINRA Rule 3110/3120 WSPs are sufficient?

Correct Answer: The December 18, 2019 FINRA panel on 'Regulation Best Interest: Understanding Your Disclosure, Standard of Care, Conflict of Interest and Compliance Obligations' was specifically structured to address Reg BI's four distinct component obligations--Disclosure, Care (referred to in the panel title as 'Standard of Care'), Conflict of Interest, and Compliance--as separate and independently enforceable requirements. The panel's very title and framing make clear that the Compliance Obligation is a standalone requirement that encompasses 'effective practices to help broker-dealers manage their Reg BI obligations,' not merely an overlay on existing FINRA supervisory procedures.

Pinnacle's critical structural deficiency is its failure to establish reasonably designed policies and procedures to achieve compliance with each of the other three component obligations individually. Under Exchange Act Rule 15l-1(a)(2)(iv)--the Compliance Obligation--a broker-dealer must establish, maintain, and enforce written policies and procedures reasonably designed to achieve compliance with Reg BI as a whole. The panel's framework, featuring speakers from both the SEC's Division of Trading and Markets and major dual-registrant firms (Bank of America and LPL Financial), specifically addressed 'effective practices' for managing these obligations, signaling that the Compliance Obligation requires purpose-built policies targeting each component obligation rather than generic WSP updates. Pinnacle's approach of merely updating existing FINRA Rule 3110/3120 supervisory procedures to 'reference' Reg BI fails to create the dedicated compliance infrastructure the Compliance Obligation demands.

Further, the panel composition itself--pairing the SEC's Chief Counsel for Trading and Markets with senior compliance lawyers from two of the largest wealth management broker-dealers--underscores that the Compliance Obligation requires an affirmative compliance program architecture, not passive reliance on existing supervisory structures. The panel's discussion of the Conflict of Interest Obligation as a separate topic from disclosure indicates that Pinnacle's treatment of conflict mitigation as merely a 'documentation exercise' would be flagged as a distinct deficiency under the Conflict of Interest Obligation (Rule 15l-1(a)(2)(iii)), compounded by the absence of dedicated compliance policies targeting conflict identification, disclosure, mitigation, and in some cases elimination--policies that the Compliance Obligation separately requires the firm to maintain and enforce.

Item adversarial_0057 -- counterintuitive_outcome

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: ia_fiduciary_scope_limitation_counterintuitive

Fact Pattern

Question / Answer

Under the SEC's Commission Interpretation Regarding Standard of Conduct for Investment Advisers (Release No. IA-5248), did Meridian breach its fiduciary duty by declining to advise Dr. Okonkwo on the IRA annuity purchase that was expressly outside the scope of their written advisory agreement, and what specific principle from IA-5248 resolves this question -- particularly regarding how the fiduciary duty's application is determined?

Correct Answer: Under Release No. IA-5248, Meridian did NOT breach its fiduciary duty by declining to advise on the IRA annuity purchase. This is because the SEC's 2019 interpretation explicitly provides that the application of an investment adviser's fiduciary duty is determined by the scope of the advisory relationship. The interpretation states this principle under the heading 'Application of Duty Determined by Scope of Relationship,' establishing that an adviser's fiduciary obligations flow from the relationship as agreed upon between the adviser and the client, including any limitations on the scope of that relationship.

This is a critical and often misunderstood aspect of IA-5248. While the Advisers Act fiduciary duty (rooted in Section 206 and the Supreme Court's holding in SEC v. Capital Gains Research Bureau, Inc., 375 U.S. 180 (1963)) is broad in principle, the SEC's 2019 interpretation clarified that the duty does not require an adviser to provide advice on matters outside the agreed-upon scope of the engagement. The written advisory agreement between Meridian and Dr. Okonkwo expressly excluded the IRA, and Trumbull appropriately declined to render advice and suggested she consult a specialist -- exactly the conduct contemplated by the interpretation.

The SEC's interpretation recognizes that advisers and clients can define the parameters of the relationship, and the fiduciary duty attaches within those parameters. An adviser who takes on a limited engagement is not thereby assuming responsibility for all of a client's financial decisions. This does not permit an adviser to use scope limitations to evade fiduciary obligations on matters within the relationship, but it does permit genuine limitations on the subjects covered by the advisory engagement. Meridian's conduct was consistent with IA-5248's framework.

Item adversarial_0058 -- rule_conflict

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: reg_bi_vs_ia_fiduciary_cost_factor_analysis

Fact Pattern

Question / Answer

Under the SEC Division of Examinations' 2026 examination priorities as described in the Willkie Farr & Gallagher commentary, what specific factors does the Division enumerate for evaluating whether investment advice and disclosures are consistent with an investment adviser's fiduciary obligations--and how does the explicit enumeration of these factors create a different and potentially more granular compliance exposure for Client B (the advisory client) compared to the Reg BI analysis applicable to Client A (the brokerage client), particularly with respect to the cost

analysis, volatility assessment, and time-horizon considerations that Karen failed to document?

Correct Answer: According to the Willkie Farr & Gallagher commentary on the 2026 SEC Examination Priorities, the Division specifically enumerates that it will examine whether advisers' advice and disclosures are consistent with fiduciary obligations by evaluating 'consideration of factors associated with advice, such as cost, the investment product's or strategy's investment objectives, characteristics (including any special or unusual features), liquidity, risks and potential benefits, volatility, likely performance in a variety of market and economic conditions, time horizon, and cost of exit.' This enumeration is notably granular and goes beyond the general fiduciary duty framework typically cited in IA Act jurisprudence.

For Client B (Robert Kessler), this creates heightened compliance exposure because the 2026 Priorities signal that examiners will specifically look for documented consideration of each of these factors--cost, liquidity, volatility, likely performance in various market conditions, time horizon, and cost of exit--as part of the fiduciary analysis. Karen's failure to document any comparative cost analysis, her omission of a volatility assessment for a product the Priorities specifically flag as sensitive to market volatility (particularly for older investors and retirement savers), and her failure to address the 7-year illiquidity against Robert's retirement time horizon each represent discrete deficiency points under the Division's stated examination framework. The Priorities further emphasize that the Division will focus on 'recommendations to older investors and retirement savers, and recommendations of products that may be particularly sensitive to market volatility,' making Robert's profile a near-perfect examination target.

For Client A (Margaret Huang) under Reg BI, the Priorities state the Division will continue to focus on Reg BI compliance for broker-dealers, but the granular factor-by-factor enumeration (cost, volatility, time horizon, cost of exit, likely performance in various conditions) is articulated specifically under the investment adviser fiduciary section, not the Reg BI section. This means that while Karen's failures are problematic under both standards, the explicit factor enumeration in the 2026 Priorities gives examiners a more detailed roadmap--and arguably a more demanding checklist--for the IA fiduciary analysis than for the Reg BI analysis, creating asymmetric regulatory exposure for the same recommendation made to two similarly situated clients through different account types.

Item adversarial_0059 -- precise_threshold

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: reg_bi_conflict_of_interest_sales_contests_elimination

Fact Pattern

Question / Answer

Under the Conflict of Interest Obligation as described in the Reg BI compliance framework, which of Meridian's three incentive programs -- the Top Producer bonus, the Growth Challenge trip, or the enhanced grid payout on proprietary products -- was categorically non-compliant because Reg BI specifically requires 'elimination' rather than mere 'mitigation' for that category of incentive? Identify the precise regulatory language that distinguishes the elimination requirement from the mitigation requirement for this category.

Correct Answer: The Growth Challenge trip program was categorically non-compliant. Under Reg BI's Conflict of

Interest Obligation, as specified in the document, broker-dealers must 'identify and eliminate sales contests, quotas, bonuses, and compensation that incentivize broker-dealers to sell specific securities.' The Growth Challenge, structured as a contest awarding trips based on production growth, falls squarely within the category of 'sales contests' that must be eliminated -- not merely mitigated or disclosed.

This is distinct from the treatment of other types of conflicts. The Conflict of Interest Obligation creates a tiered framework: for general conflicts associated with recommendations, the firm must 'identify (and at a minimum disclose or eliminate)' them; for conflicts that create an incentive to place the firm's interests ahead of customers, the firm must 'identify and mitigate' them; but for the specific category of 'sales contests, quotas, bonuses, and compensation that incentivize broker-dealers to sell specific securities,' the standard is mandatory elimination. No amount of mitigation, disclosure, or supervisory overlay satisfies this fourth prong.

Notably, the Top Producer bonus and the enhanced grid payout on proprietary products, while clearly conflicts that require mitigation under prongs two and three of the Conflict of Interest Obligation, are not structured as 'sales contests' in the same manner. The Top Producer bonus rewards overall production rather than incentivizing the sale of 'specific securities,' and the enhanced grid payout is a compensation differential that falls under the 'mitigate' standard of prong two. The Growth Challenge trip, however, functions as a classic sales contest and therefore must be eliminated entirely under the rule's fourth requirement.

Item adversarial_0060 -- case_specific_holding

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: fiduciary_duty_annuity_market_empirical_findings

Fact Pattern

Question / Answer

According to the specific empirical findings in Bhattacharya, Illanes, and Padi (NBER Working Paper No. 25861, revised November 2023), what is the precise magnitude of the effect of state-level common law fiduciary duty on (1) the risk-adjusted returns to deferred annuity purchasers and (2) the rate of entry of affected firms, and critically, what does the paper's structural model conclude about the relative importance of increased fixed costs versus increased cost of providing low-quality advice in explaining these effects?

Correct Answer: According to Bhattacharya, Illanes, and Padi (NBER Working Paper No. 25861, revised November 2023), state-level common law fiduciary duty raises risk-adjusted returns on deferred annuities by 25 basis points and leads to a 16% decline in the entry of affected firms into those markets. These are the paper's central reduced-form findings, derived from exploiting state-level variation in common law fiduciary duty applied to transaction-level annuity data.

Critically, the paper goes beyond reduced-form estimation by developing a structural model of entry and advice provision to disentangle the mechanisms driving these results. The model identifies two distinct channels: (1) an increase in fixed costs associated with operating under a fiduciary standard, and (2) an increase in the cost of providing low-quality advice, which effectively forces firms to

improve advice quality or exit. The paper's model estimates indicate that both channels are important -- it is not solely a compliance cost story.

Furthermore, the paper's counterfactual simulations suggest that further increases in the stringency of fiduciary duty -- such as the imposition of a federal fiduciary standard -- can further improve the quality of advice at the cost of reducing the number of firms operating in the market. This implies a fundamental tradeoff: stricter fiduciary standards improve advice quality but reduce market competition and consumer access by driving marginal firms out of the market. General Counsel Hartwell's position that Reg BI effectively renders state fiduciary duty irrelevant is contradicted by this research, which shows state-level fiduciary duty has independent, empirically measurable effects on both returns and market structure.

Item adversarial_0061 -- temporal_trap

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: fiduciary_standard_evolution_pre_reg_bi

Fact Pattern

Question / Answer

Under the regulatory framework in effect as of September 2014, what specific standard governed Delgado's recommendations in his broker-dealer capacity, and how does the Jennings CFA Institute Research Foundation literature review (published September 17, 2014) characterize the fiduciary standard debate in a way that actually UNDERMINES rather than supports the claimants' argument that a fiduciary duty already applied to broker-dealer transactions at that time?

Correct Answer: As of September 2014, Delgado's recommendations in his broker-dealer capacity were governed by FINRA Rule 2111 (Suitability), not a fiduciary standard. The Jennings literature review, published on September 17, 2014 by the CFA Institute Research Foundation, does not establish or declare that a fiduciary standard already applied to broker-dealers. To the contrary, the publication frames the question of 'whether a fiduciary standard should be applied to all of the various roles investment professionals play' as an ongoing and unresolved 'subject of legal, regulatory, and ethical debate.' This framing -- using the conditional 'should be applied' rather than 'is applied' -- explicitly acknowledges that as of 2014, the fiduciary standard had NOT yet been uniformly imposed on all investment professionals.

The Jennings review identifies a 'common thread of inherent conflict of interest' across investment professional roles (citing Droms 1992 and Walsh and Johns 2013), but this observation is descriptive and normative -- it describes the problem that motivates the fiduciary debate, not a legal conclusion that a fiduciary duty existed for broker-dealers in 2014. The publication's own disclaimer states it 'reflects the views of the author(s) and does not represent the official views of the CFA Institute Research Foundation' and explicitly warns it is 'not engaged in rendering legal, accounting, or other professional service.'

Regulation Best Interest (17 CFR § 240.15l-1) was adopted by the SEC on June 5, 2019, and became effective on June 30, 2020 -- more than five years after Delgado's transactions. There was

no SEC rule or federal statute in September 2014 that imposed a fiduciary duty on broker-dealers acting in a brokerage capacity. The DOL fiduciary rule was not proposed until 2015 and was ultimately vacated in 2018. Thus, the claimants' reliance on the Jennings literature review actually undermines their position: the very source they cite treats the uniform fiduciary standard as aspirational rather than existing law.

Item adversarial_0062 -- novel_unsettled

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: ai_robo_advice_conflict_mitigation_framework

Fact Pattern

Question / Answer

Under the CFA's tiered conflict-of-interest framework as described in the source document--which distinguishes between conflicts 'inherent to the business model,' conflicts 'resulting from investment products and sponsor payments,' and conflicts that are 'artificially created by firms to encourage financial professionals to recommend the products and services that are most profitable for the firm'--into which specific category does NovaTech's AI revenue optimization layer fall, and what is the regulatory significance of this classification for the stringency of conflict mitigation required? Specifically, does NovaTech's characterization of the revenue optimization layer as an 'inherent business model conflict' survive scrutiny under this framework, and how does the framework's principle that 'conflicts that are more likely to result in serious investor harm would be subject to more stringent mitigation requirements' apply to algorithmically embedded revenue preferences that operate without human intervention?

Correct Answer: Under the CFA's conflict-of-interest framework, NovaTech's characterization of the revenue optimization layer as an 'inherent business model conflict' is almost certainly incorrect. The framework specifically identifies three tiers of conflicts: (1) conflicts inherent to the business model, such as commission compensation creating incentives to maximize transactions or AUM fees creating incentives to gather assets; (2) conflicts resulting from the investment products recommended and payments product sponsors make to encourage their sale; and (3) conflicts 'artificially created by firms to encourage financial professionals to recommend the products and services that are most profitable for the firm.' The revenue optimization layer--a deliberate programming choice that instructs the algorithm to prefer higher-revenue options among equivalents--is not a natural outgrowth of any compensation structure. It is an affirmative design decision by NovaTech to embed a profit-maximizing preference into an automated system, which maps directly onto the framework's third category: artificially created conflicts.

The regulatory significance of this misclassification is substantial. The framework explicitly establishes a proportionality principle: 'Conflicts that are more likely to result in serious investor harm would be subject to more stringent mitigation requirements.' Artificially created conflicts sit at the top of this severity hierarchy precisely because they serve no legitimate business purpose other than increasing firm revenue at the client's expense. Under this tiered approach, inherent conflicts like commission-based compensation may be addressed through disclosure and mitigation practices tailored to the business model, but artificially created conflicts require the most stringent treatment--potentially including elimination rather than mere disclosure or mitigation.

The fact that the conflict operates algorithmically without human intervention actually strengthens the case for classification as artificially created rather than inherent. The framework's examples of inherent conflicts--commission incentives, AUM-fee incentives, hourly-fee incentives--are structural features of how firms get paid. NovaTech's revenue optimization layer is not a structural compensation feature; it is an additional layer of programming deliberately inserted to steer outcomes toward higher-revenue products. Under both NY Reg 187's best interest standard and MA 950 CMR 12.207's fiduciary standard, the state regulators would likely reject the inherent-conflict defense and require NovaTech to have either eliminated the revenue optimization layer entirely or implemented mitigation measures far more robust than disclosure alone.

Item adversarial_0063 -- multi_party_liability

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: nevada_ftc_multi_party_fiduciary_liability

Fact Pattern

Question / Answer

Under Nevada's FTC statutory framework (NRS 669A), what specific limitation on the scope of persons who can benefit from FTC services creates a threshold liability issue for HFH, and how does this interact with the requirement that FTCs not 'market services to the general public' when HFH engaged a dual-registrant like Pinnacle? Additionally, given that Nevada law permits trust interests to continue for up to 365 years, which party--HFH as the NRS 669A-regulated FTC, Pinnacle as the dually-registered BD/IA subject to Reg BI and potentially NY Reg 187, or Silverstate as the Nevada-chartered custodial bank--bears primary fiduciary liability for the \$95 million loss, and under which specific regulatory standard?

Correct Answer: Under NRS 669A, a Family Trust Company is a corporation or LLC formed to provide fiduciary services to a single family, and the scope of persons who can benefit from its services is 'limited and clearly prescribed in Nevada law.' The FTC must not market its services to the general public. HFH's threshold liability issue arises from the fact that it is itself the fiduciary--it holds the trust company status and owes fiduciary duties directly to the trust beneficiaries. Its delegation of investment discretion to Pinnacle does not extinguish HFH's primary fiduciary responsibility under NRS 669A. The FTC's engagement of a third-party dual registrant like Pinnacle creates a monitoring obligation: HFH must oversee the delegated investment function because the FTC statute contemplates that the family retains control rather than outsourcing it to public-facing financial institutions.

HFH bears primary fiduciary liability under NRS 669A because the statute specifically authorizes FTCs to manage the types of assets at issue--including private equity interests, hedge funds, and real estate--and contemplates that FTCs manage 'the type of assets put into a trust by a creator of great wealth,' including interests in regulated businesses like gaming establishments. Nevada law recognizes that institutional trustees may be unwilling to manage such assets or may charge high fees 'commensurate with the risk.' By choosing the FTC structure, the Harrington family accepted this risk and the accompanying fiduciary duty. The 365-year trust duration (Nevada's statutory maximum replacing the abolished rule against perpetuities) amplifies the fiduciary standard because HFH must manage assets prudently across an extraordinarily long time horizon.

Pinnacle faces secondary liability under Reg BI for the affiliated REIT recommendation (as a BD transaction) and under its IA fiduciary duty for the overall asset allocation, and potentially under NY Reg 187 if the annuity or life insurance products were involved in the New York domicile context. However, NY Reg 187 applies specifically to annuity transactions and life insurance, so its applicability here is limited unless the alternative investments included insurance products. Silverstate as custodian would generally not bear fiduciary liability for investment decisions it merely processed, absent a contractual assumption of due diligence duties. The critical regulatory distinction is that NRS 669A places the FTC--not the external adviser or custodian--as the primary fiduciary because the entire statutory purpose is to allow the family to control its own wealth management rather than relying on institutional trustees.

Item adversarial_0064 -- procedural_technical

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: naic_annuity_suitability_model_adoption_state_classification

Fact Pattern

Question / Answer

Under the NAIC Suitability in Annuity Transactions Model Regulation state page (Summer 2025 edition), what is the precise regulatory classification for American Samoa -- and how does this classification differ from Arizona's treatment, given that Arizona has citations in BOTH the Model Adoption column (ARIZ. REV. STAT. ANN. §§ 20-1243.01 to 1243.07 (2006/2021)) AND the Related Activity column (BULLETIN 2020-05 (2020))? Additionally, does Arkansas's placement in the Model Adoption column (ARK. ADMIN. CODE §§ 054.01.82-1 to Appendix C (2004/2021)) coexist with its five Related Activity citations, or does the Related Activity listing indicate it has NOT adopted the most recent version?

Correct Answer: According to the NAIC Suitability in Annuity Transactions Model Regulation state page (Summer 2025 edition), American Samoa is classified as 'NO CURRENT ACTIVITY,' meaning there is no state activity on the topic as of the most recent update -- no model adoption, no previous version, and no related activity such as bulletins or administrative guidance. This is the most restrictive classification, indicating the territory has neither adopted any version of the NAIC model regulation nor issued any related guidance.

Arizona's treatment is fundamentally different: Arizona has a citation in the Model Adoption column -- ARIZ. REV. STAT. ANN. §§ 20-1243.01 to 1243.07, with parenthetical dates (2006/2021) indicating original adoption and subsequent update -- AND a separate Related Activity citation for BULLETIN 2020-05 (2020). Per the state page key definitions, having a citation in the Model Adoption column means Arizona 'adopted the most recent version of the NAIC model in a substantially similar manner,' while the Related Activity citation represents supplementary administrative guidance addressing the same subject matter. The two columns are not mutually exclusive; a state can appear in Model Adoption AND have Related Activity entries simultaneously.

Arkansas follows the same pattern as Arizona: it appears in the Model Adoption column (ARK. ADMIN. CODE §§ 054.01.82-1 to Appendix C (2004/2021)), confirming it adopted the most recent NAIC model in a substantially similar manner. Its five Related Activity citations (Directive 2-2006,

Bulletin 11-2009, Bulletin 5-2010, Bulletin 7-2021, Bulletin 12-2022) coexist with this adoption classification -- they represent supplementary guidance layered on top of the model adoption, not evidence that Arkansas failed to adopt. The state page key explicitly states that citations in the Related Activity column alone (with nothing in the Model Adoption column) indicate non-adoption; but where both columns have entries, the Model Adoption classification controls.

Item adversarial_0065 -- counterintuitive_outcome

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: nevada_family_trust_company_investment_services

Fact Pattern

Question / Answer

Under NRS Chapter 669 as described in the Nevada trust company formation requirements, why did the unlicensed Harrington Family Trust Services, LLC violate Nevada law by having Tyler execute trades in publicly traded equities and ETFs -- even though the entity was a properly formed, legitimate unlicensed family trust company serving only qualifying family members and was not required to be licensed by the NDFI? Specifically, what statutory requirement applicable to unlicensed family trust companies did Tyler's trading activity breach, and why does Tyler's personal Series 65 license NOT cure this deficiency?

Correct Answer: Under NRS Chapter 669, as reflected in the Nevada trust company formation guidance, an unlicensed family trust company has a specific and binding operational limitation: unless the family trust company is properly licensed by the NDFI, 'the trust company must use a licensed securities broker for all investments involving marketable securities' (Section B.3 of the formation memo, referencing applicable NRS provisions). This is a structural requirement imposed on the entity itself, not on the individual executing trades. The fact that the entity is exempt from NDFI licensing as a family trust company does not exempt it from this broker-usage requirement -- to the contrary, this requirement exists precisely because the entity is unlicensed.

Tyler's personal Series 65 license is irrelevant to this analysis because the restriction runs to the trust company entity, not to the individual. The Series 65 qualifies Tyler as an investment adviser representative under state securities law, but it does not make him -- or the LLC -- a 'licensed securities broker' as required by NRS Chapter 669. The statute requires that an unlicensed family trust company route its marketable securities transactions through a licensed securities broker-dealer, which is an entirely different licensure category. Tyler's advisory license does not substitute for broker-dealer licensure, and even if Tyler were individually registered as a broker, the requirement is that the trust company entity must 'use' (i.e., route transactions through) a licensed securities broker.

This outcome is counterintuitive because the family correctly structured the entity, correctly limited its services to qualifying family members, and was legitimately exempt from NDFI licensing -- yet still violated Nevada law by failing to use a licensed securities broker for marketable securities transactions. The remedy would be for the LLC to either (1) begin routing all marketable securities transactions through a licensed broker-dealer, or (2) obtain licensing as a licensed family trust company under the NDFI (Section E of the formation guidance), which would permit the entity to

provide investment services akin to a stockbroker without the broker-usage requirement.

Item adversarial_0066 -- rule_conflict

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: naic_275_best_interest_vs_state_fiduciary_private_right_of_action

Fact Pattern

Question / Answer

Under the NAIC Suitability in Annuity Transactions Model Regulation (#275) as adopted verbatim by the state, does Section 1(B) permit Nguyen to maintain a direct private civil cause of action against Bell for violation of the best interest standard set forth in Section 6, and how does the regulation's explicit language specifically address (a) the existence of a private right of action, (b) civil liability under the best interest standard of care, and (c) whether the best interest standard subjects a producer to liability under fiduciary or fiduciary-relationship standards? How does this compare to the legal posture of a claim brought under FINRA Rule 2111 or Regulation Best Interest?

Correct Answer: Section 1(B) of the NAIC Model Regulation #275 explicitly provides that '[n]othing herein shall be construed to create or imply a private cause of action for a violation of this regulation or to subject a producer to civil liability under the best interest standard of care outlined in Section 6 of this regulation or under standards governing the conduct of a fiduciary or a fiduciary relationship.' This language is remarkably comprehensive in its preclusion: it independently bars three distinct theories -- (1) any private cause of action for any violation of the regulation, (2) civil liability specifically under the Section 6 best interest standard of care, and (3) civil liability under fiduciary or fiduciary-relationship standards as applied through the regulation. The drafting note confirms this language originates from the NAIC Unfair Trade Practices Act (#880), signaling that enforcement is intended to be administrative through the state insurance commissioner, not through private litigation.

Therefore, Count (1) of Nguyen's complaint must be dismissed because the regulation she seeks to enforce explicitly disclaims any private right of action or civil liability theory. This is not merely an implied preclusion -- it is an affirmative, textual bar. Reeves's argument that the best interest standard is 'substantively identical to a fiduciary standard' is directly anticipated and rejected by the regulation's language, which specifically provides that the regulation shall not 'subject a producer to civil liability... under standards governing the conduct of a fiduciary or a fiduciary relationship.' The regulation draws a deliberate line between the regulatory best interest obligation (enforceable by the insurance commissioner) and civil fiduciary liability (which it disclaims).

As to Count (3), FINRA rules and SEC Regulation Best Interest similarly do not create express private rights of action. FINRA Rule 2111 is enforceable through FINRA's disciplinary process, and Reg BI (17 CFR § 240.15l-1) is enforced by the SEC; neither creates a standalone private cause of action in state or federal court. However, Nguyen's common law breach of fiduciary duty claim (Count 2) may survive because it arises independently of the regulation -- the Model #275's disclaimer applies only to claims premised on the regulation itself, not to pre-existing common law duties that may exist under state law. The comparison to Massachusetts's 950 CMR 12.207 and NY Reg 187 is inapt because those regimes operate under different enabling statutes and enforcement

frameworks; the NAIC Model #275 was specifically designed to maintain state insurance regulatory authority (as confirmed by Section 989J of Dodd-Frank) without creating private litigation exposure for producers.

Item adversarial_0067 -- precise_threshold

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: nevada_fid_regulation_lcb_filing_details

Fact Pattern

Question / Answer

Under the Nevada Financial Institutions Division's proposed permanent regulation LCB File No. R098-23, what is the precise date the Legislative Counsel Bureau prepared the proposed regulation text, what specific Governor's Executive Order triggered the rulemaking, and what exact Webex meeting access code and password were assigned for the January 24, 2024 public hearing? Additionally, does this specific rulemaking under R098-23 impose any new fiduciary duty obligations on broker-dealers or investment advisers under NAC 628B, or is the NAC 628B amendment limited to a different subject matter?

Correct Answer: The proposed regulation text prepared by the Legislative Counsel Bureau under LCB File No. R098-23 is dated December 15, 2023. The rulemaking was triggered by Governor Lombardo's Executive Order 2023-003. The Webex meeting access code for the January 24, 2024 hearing at 10:00 a.m. PST was 2486 306 8933, and the meeting password was EO2023-003AH.

Critically, the proposed rulemaking under LCB File No. R098-23 does NOT impose any new fiduciary duty obligations on broker-dealers or investment advisers. The amendment to NAC 628B is explicitly described in the Notice as limited to 'removing an obsolete requirement' -- it does not create, expand, or modify any fiduciary standard. The other chapters addressed (NAC 662, 676A, 677, 678) involve administrative updates such as changing 'Administrator' to 'Commissioner,' revising debt-management service provider license renewal dates, removing conflicting reinstatement procedures, repealing obsolete definitions, and updating internal NRS cross-references. None of these changes relate to the fiduciary duty provisions of NRS 628B as enacted by SB 497 in 2019.

Therefore, Silverstate Financial Advisors' concern about new fiduciary obligations arising from this specific rulemaking is unfounded. The firm's focus should be on the NAC 676A changes affecting its debt-management service registration renewal and reinstatement procedures, not on any expansion of broker-dealer or investment adviser fiduciary standards.

Item adversarial_0068 -- case_specific_holding

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: ny_insurance_department_dfs_merger_regulatory_authority

Fact Pattern

Question / Answer

According to the 152nd Annual Report of the Superintendent of Insurance for Calendar Year 2010, what specific new consolidated agency was the NYSID preparing to merge into, which other existing state agency was identified as the merger partner, and on what exact date was this report transmitted to the Legislature -- and critically, what does the Superintendent's own characterization of the merger in this report reveal about whether the NYSID viewed its existing regulatory authority as continuing through the transition period?

Correct Answer: According to the 152nd Annual Report, transmitted to the New York State Legislature on May 13, 2011, by Superintendent James J. Wrynn pursuant to Article 2, Section 206 of the Insurance Law, the NYSID was preparing to merge with the New York State Banking Department to form the new Department of Financial Services (DFS). The report was submitted under the authority and signature of Superintendent Wrynn during the administration of Governor Andrew M. Cuomo.

Critically, the Superintendent's characterization reveals that the NYSID viewed the merger as a forward-looking consolidation rather than a dissolution of existing authority. Superintendent Wrynn stated that the Department 'now looks forward to merging with the New York State Banking Department and our consolidation as the new Department of Financial Services (DFS).' The use of forward-looking language ('looks forward to') in a report dated May 13, 2011, indicates the merger had not yet been effectuated at the time the report was filed, meaning the NYSID's existing examination and enforcement authority remained intact during this interim period.

Furthermore, the Superintendent stated that '[t]he members of our agency are committed to ensuring the success of the DFS and making sure that it serves as a model for financial services regulation in the 21st Century.' This language confirms institutional continuity -- the existing staff and regulatory infrastructure of the NYSID would carry forward into the DFS, rather than being disbanded. For Pinnacle's purposes, this means that any examination or enforcement action initiated by the NYSID under Superintendent Wrynn's authority prior to the formal establishment of the DFS would have been validly commenced and would carry forward under successor agency doctrine.

Item adversarial_0069 -- temporal_trap

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: ny_reg187_annuity_replacement_temporal_trap

Fact Pattern

Question / Answer

NYLIAC's counsel argues that because the March 2017 replacement transaction predates the August 1, 2019 effective date of NY Regulation 187's best interest standard for annuity transactions, only a general suitability standard applies and the recommendation was facially suitable. Based on the DFS's specific findings in the NYLIAC Consent Order, what pre-Regulation 187 regulatory obligations did DFS find NYLIAC violated during its 2011-2018 Relevant Period that would defeat this temporal defense, and what specific informational failure regarding 'Annuitization' did DFS identify as the core violation?

Correct Answer: NYLIAC's temporal defense fails because DFS found violations of both New York Regulation 60 (the longstanding replacement regulation) AND the suitability requirements that existed independently of Regulation 187's best interest standard during the entire Relevant Period of January 1, 2011 through December 31, 2018. The Consent Order specifically found that NYLIAC violated 'the disclosure and suitability requirements of New York Regulations 60 and 187' -- meaning DFS applied both regulatory frameworks to conduct occurring before Reg 187's best interest standard for annuities took effect on August 1, 2019.

Critically, the Consent Order defines 'Annuitization' as 'the conversion of the actual accumulation amount of a deferred annuity into a series of annuity payments to the contract holder,' where payments are calculated as 'the greater of the guaranteed annuity purchase rates in the contract applied to the actual accumulation amount or the company's current single premium immediate annuity rates.' DFS found that NYLIAC (1) failed to obtain appropriate Annuitization information for replaced deferred annuities, (2) failed to disclose adequate suitability and Annuitization information to contract holders, and (3) thereby prevented contract holders from being fully informed in deciding whether to replace deferred annuities. This means the suitability determination itself was flawed because NYLIAC issued replacement immediate annuity contracts 'without sufficient Annuitization information to determine suitability.'

Additionally, DFS found that NYLIAC failed to adequately train agents and brokers to conduct proper suitability reviews, failed to train them to provide required disclosures when replacing deferred annuities with immediate annuities, and failed to maintain adequate supervisory controls. The core harm was that consumers were caused 'to exchange more financially favorable deferred annuities with immediate annuities' -- a finding that goes to the adequacy of suitability analysis under pre-existing Regulation 60 standards, not merely Regulation 187's later best interest standard.

Item adversarial_0070 -- novel_unsettled

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: crypto_code_of_ethics_state_fiduciary_overlap

Fact Pattern

Question / Answer

Under the framework described in the 2024 IAA Compliance Conference materials on Ethics for Advisers, what specific analytical basis do the authors identify for requiring investment advisers to address cryptocurrency in their Code of Ethics updates, given that many crypto assets may fall outside the technical definition of 'reportable securities' under Rule 204A-1(e) -- and how does the document connect the SEC's 2019 Commission Interpretation, the 2024 Examination Priorities, and Rule 204A-1's policy goals to create this obligation? Specifically, which characterization of the 2019 Interpretation do the authors note that the Commission intended, and why does this matter for how crypto should be treated under code of ethics compliance?

Correct Answer: The 2024 IAA Compliance Conference materials authored by Mirko, Mudd, and Mack provide a specific analytical framework that bridges the gap between Rule 204A-1's technical reportable securities definitions and the broader obligation to address crypto. The document identifies that one of Rule 204A-1's core 'policy goals' is 'to prevent the possibility of fraud by reinforcing fiduciary

principles that govern conduct of investment adviser firms and their personnel.' Critically, the authors note that 'as the SEC's pronouncements on fiduciary principles has evolved through the years, Rule 204A-1 compliance benefits from greater guidance' -- establishing that the Code of Ethics obligation is not static but must evolve with SEC guidance.

The document makes a specific and important characterization of the 2019 Commission Interpretation: the authors note that 'the Commission intended this to be a restatement of existing fiduciary principles' -- not new law, but a clarification of pre-existing duties. This distinction matters because it means the fiduciary duty of loyalty and care that must be reflected in a Code of Ethics under Rule 204A-1 already encompassed the types of conflicts crypto trading creates, even before any crypto-specific rulemaking. The authors then explicitly state that 'advisers should review and update code of ethics requirement to respond to both regulatory and market developments' and specifically identify 'emerging areas, such as crypto' as one of those developments, citing the SEC's 2024 Examination Priorities Report as further support.

Thus, the analytical chain is: (1) Rule 204A-1 requires codes reflecting fiduciary duties; (2) those fiduciary duties have always included the principles restated in the 2019 Interpretation; (3) the Code must be updated to respond to market developments including crypto; (4) the SEC's 2024 Exam Priorities confirm crypto as a current compliance focus. Even if specific crypto assets are not 'reportable securities' under 204A-1(e), the broader fiduciary-reinforcement policy goal of the rule, combined with the duty to update codes in response to emerging areas, creates the compliance obligation to address personal crypto trading in a firm's Code of Ethics.

Item adversarial_0071 -- multi_party_liability

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: erisa_fiduciary_liability_insurance_multi_party

Fact Pattern

Question / Answer

Under the framework described in the Chubb/Golumbic ERISA fiduciary liability analysis, which of the four named defendant groups (Plan Sponsor, individual Benefits Committee members, Beacon Capital Advisors, and the Board of Directors) faces the most acute gap between their theoretical indemnification rights and their actual insurance coverage, and why does ERISA § 410(a) create a specific problem for the corporate indemnification promise that the fiduciary liability policy is designed to address? Additionally, explain how the 'Insured vs. Insured' exclusion in the fiduciary liability policy could interact with the DOL's enforcement posture to create a coverage gap for the Benefits Committee members specifically.

Correct Answer: Under the Chubb/Golumbic analysis, the individual Benefits Committee members face the most acute gap between theoretical indemnification and actual coverage. ERISA § 410(a) renders void any agreement that purports to relieve a fiduciary from personal liability for breach of fiduciary duty. This means Meridian's corporate bylaw indemnification provision -- while facially broad -- cannot lawfully be used to indemnify the Committee members for ERISA fiduciary breach liability using Plan assets. The report specifically identifies this as a critical distinction: while a plan sponsor may indemnify fiduciaries from its own corporate assets (not Plan assets), this creates a practical problem

because the sponsor itself may be a co-defendant (as here) or may face financial distress. This is precisely the gap that fiduciary liability insurance is designed to fill -- the policy pays on behalf of the individual fiduciaries directly, bypassing the ERISA § 410(a) prohibition because the insurance premiums, when paid by the employer from corporate assets, do not constitute an impermissible exculpation.

However, the 'Insured vs. Insured' exclusion creates a secondary coverage gap specifically for the Benefits Committee members. The Golumbic report highlights that where the DOL initiates an investigation, audit, or enforcement action -- which is a realistic scenario given the magnitude of the stock drop and the Committee's documented rejection of the advisor's concentration-risk recommendation -- the DOL may seek to compel the Plan Sponsor (Meridian) to bring a derivative or direct action against the Committee members to recover losses for the Plan. If Meridian, as Plan Sponsor and an 'Insured' under the policy, brings such a claim against the Committee members (also 'Insureds'), the Insured vs. Insured exclusion would bar coverage for the defense and indemnity of those Committee members. This is a scenario the report specifically flags as a dangerous gap: the DOL's enforcement posture effectively converts what would be a covered third-party participant claim into an uncovered Insured-vs-Insured claim.

Beacon Capital Advisors, as a § 3(21) non-discretionary advisor rather than a § 3(38) discretionary investment manager, has limited fiduciary exposure -- their liability turns on whether their advice itself was imprudent, not on the Committee's decision to reject it. The Board of Directors faces potential liability for negligent appointment and monitoring of the Benefits Committee under ERISA case law (as discussed in the report's treatment of appointing fiduciary liability), but their exposure would typically be covered under the D&O policy rather than the fiduciary liability policy, depending on policy definitions.

Item adversarial_0072 -- procedural_technical

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: adviser_class_action_claims_filing_obligation

Fact Pattern

Question / Answer

According to the Morgan Lewis analysis of the 2005 wave of class action lawsuits against mutual fund advisers, what specific procedural deficiency did the authors identify in the plaintiffs' complaints regarding the legal basis for asserting that an investment adviser's fiduciary duty includes filing class action proofs of claim, and what did the authors argue an adviser's primary defensive and prophylactic response should be -- given that the advisory agreement is silent on the matter?

Correct Answer: The Morgan Lewis analysis, authored by Steven W. Stone and Ryan F. Helmrach, specifically identified that the class action complaints cited no legal authority to support the position that an adviser's fiduciary duty encompasses the task of submitting proofs of claim. The only case cited by plaintiffs was *McLaughlin v. Simon*, 31 F. Supp. 2d 731, 737 (N.D. Cal. 1998), which the authors characterized as 'hardly on point' because it addressed a different question entirely -- whether a private right of action exists under Section 36 of the Investment Company Act of 1940 for breach of

fiduciary duty in connection with a decision not to renew an investment advisory agreement, not the obligation to file settlement claims. The complaints lumped advisers together with fund directors and trustees despite the different legal standards and roles applicable to each.

Critically, the authors did not argue that advisers have an affirmative legal obligation to file proofs of claim. Instead, the authors took the position that an adviser 'should not be deemed lawfully responsible for these sorts of matters absent a contractual understanding to the contrary.' Rather than framing the issue as one of establishing legal defenses, the authors framed the necessary response as one of clarification -- specifically, the 'desirability for advisers to clarify what role they do -- or do not -- play in these matters.' In other words, the primary prophylactic recommendation was not to adopt claims-filing procedures, but rather to ensure that the advisory agreement and related disclosures affirmatively address whether the adviser does or does not undertake responsibility for class action claims monitoring and filing. This distinction is crucial: the memo characterizes the problem as one of contractual and disclosure ambiguity rather than an inherent statutory fiduciary obligation.

Item adversarial_0073 -- counterintuitive_outcome

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: erisa_fiduciary_indemnification_insurance_gap

Fact Pattern

Question / Answer

Under the framework described in the Chubb Special Report on ERISA risks, why would Greenleaf's broad corporate indemnification provision and existing D&O policy likely FAIL to protect the Investment Committee members from personal liability for the excessive fee claims -- and what specific counterintuitive outcome does the report identify regarding the interaction between ERISA §410(a), corporate indemnification, state-law restrictions on indemnification, and the distinction between fiduciary liability insurance purchased by the plan versus the employer?

Correct Answer: The Chubb Special Report identifies a multi-layered problem that makes corporate indemnification for ERISA fiduciary breaches far less protective than fiduciaries typically assume. First, ERISA §410(a) provides that any agreement that purports to relieve a fiduciary of personal liability for breach of fiduciary duty is void as against public policy. While DOL guidance has clarified that indemnification agreements (where the fiduciary remains primarily liable but is reimbursed) are not per se void under §410(a) -- unlike exculpation clauses -- the report identifies that many states impose their own statutory restrictions on the scope and availability of indemnification, creating an additional layer of constraint that can narrow or eliminate the practical value of corporate indemnification promises. The report specifically flags state restrictions on indemnification as a distinct risk factor separate from the federal ERISA §410(a) analysis.

Second, the report highlights that standard D&O insurance policies typically contain ERISA or employee benefit plan exclusions, meaning they will not respond to claims alleging breach of fiduciary duty under ERISA. This is a well-known gap in practice, but one that plan fiduciaries frequently overlook because they assume their corporate insurance program provides comprehensive coverage.

The counterintuitive outcome identified in the report concerns who purchases fiduciary liability insurance: ERISA §410(b) expressly permits a plan (not just the employer) to purchase fiduciary liability insurance to cover fiduciary breaches, but if the plan purchases such insurance, the policy must permit the insurer a right of subrogation against the breaching fiduciary. By contrast, if the employer purchases fiduciary liability insurance with corporate (non-plan) assets, no such subrogation right is required, and the fiduciary can receive full protection. This creates the paradox that a plan using its own assets to buy insurance for its fiduciaries must preserve the right to recover from those very fiduciaries, whereas an employer purchasing the same coverage with corporate funds can provide more complete protection. The Greenleaf committee members, lacking a dedicated fiduciary liability policy purchased by either the plan or the employer, fall into the worst possible position: the indemnification provision may be constrained by state law, the D&O policy likely excludes ERISA claims, and no fiduciary liability policy exists to fill the gap.

Item adversarial_0074 -- rule_conflict

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: prt_forfeiture_multi_standard_conflict

Fact Pattern

Question / Answer

Under the litigation trends documented in 2024, which of Meridian's two motions to dismiss is more likely to succeed, and specifically, what is the critical regulatory conflict between the standards invoked by the defendants (IRS/DOL permissibility for forfeitures; DOL IB 95-1 for PRTs) and the ERISA fiduciary standards invoked by plaintiffs -- and how have courts in 2024 actually resolved these conflicts at the motion-to-dismiss stage for each type of claim?

Correct Answer: Based on the 2024 litigation trends documented in the source material, the DC Plan forfeiture motion to dismiss has a somewhat better -- but still uncertain -- chance of success, while the PRT motion to dismiss faces a litigation landscape that is too new to have generated dismissals. For the forfeiture claims, motions to dismiss have been filed in every case, with six granted (though with leave to amend) and two cases surviving dismissal. The core regulatory conflict is that plan sponsors argue forfeitures applied to reduce employer contributions are expressly permitted by the IRS and DOL and are consistent with ERISA's fiduciary standards, while plaintiffs contend ERISA independently requires that forfeitures benefit participants -- either through reallocation or payment of plan expenses that would otherwise come from plan assets. Despite the IRS/DOL blessing of the practice, courts have not uniformly agreed that tax-code permissibility resolves the ERISA fiduciary question, which is why 'copycat' lawsuits continue at a rapid pace and no judicial consensus has emerged.

For the PRT claims, the document notes that 12 lawsuits were filed against nine employers in 2024 challenging the selection of private equity-backed annuity providers. Plaintiffs invoke DOL Interpretive Bulletin 95-1's 'safest annuity available' standard, arguing that heavy PE-backed asset allocations in the insurer's general account render the annuity unsafe. However, these cases are described as 'new,' and the document does not report any motion-to-dismiss rulings -- unlike the forfeiture cases where there is an established (if mixed) track record. This means Meridian's PRT

motion to dismiss is being filed into a more uncertain judicial landscape with no precedent to rely on, whereas the forfeiture motion can at least point to the six dismissals granted in analogous cases.

The critical insight is that in both contexts, there is a conflict between agency-level permissibility (IRS/DOL approval of forfeiture use; DOL IB 95-1's flexible multi-factor standard for annuity selection) and ERISA's independent fiduciary duty of prudence under § 404(a)(1)(B). Courts in 2024 have shown that compliance with IRS rules and plan document terms does not automatically insulate fiduciaries from ERISA breach-of-fiduciary-duty claims -- a principle that applies to both the forfeiture and PRT contexts but has been tested more in the forfeiture space.

Item adversarial_0075 -- precise_threshold

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: secure_2_0_mandatory_auto_enrollment_thresholds

Fact Pattern

Question / Answer

Under the SECURE 2.0 mandatory automatic enrollment provisions as clarified by the January 14, 2025 IRS Proposed Regulations under Code Sec. 414A, what is the precise permissible range for the escalation ceiling (maximum deferral percentage after annual increases), and does Marcus Reeves's design setting the ceiling at 10% satisfy the mandate? Additionally, what is the 'initial period' during which the 1% annual escalation does NOT apply, and would Marcus's plan design -- which triggers the first 1% increase on the participant's first anniversary of eligibility -- violate the initial period rule for a participant who became eligible on January 3, 2025, under a calendar-year plan?

Correct Answer: Under Code Sec. 414A as described in the January 14, 2025 IRS Proposed Regulations, the mandatory automatic enrollment arrangement must set a uniform initial default deferral rate of between 3% and 10%, with annual 1% increases up to a maximum escalation ceiling of between 10% and 15%. Marcus Reeves's design sets the ceiling at 10%, which is the minimum permissible ceiling under the statute. While 10% technically satisfies the mandate (it falls within the 10%-15% range), it represents the floor of the permissible range, not a mid-point or safe harbor optimum. If Marcus believed the initial deferral range of 3%-10% also defined the escalation ceiling, he was incorrect -- the ceiling range is 10%-15%, a distinct and higher band.

Regarding the initial period: Under the Proposed Regulations, the 1% annual escalation does NOT apply during the 'initial period,' which runs from when the employee is first eligible to make elective deferrals under the plan (or, if later, when Code Sec. 414A first applies to the plan) and ends on the last day of the plan year that follows the plan year that includes the date the initial period begins. For a participant who became eligible on January 3, 2025, under a calendar-year plan, the initial period begins January 3, 2025 (falling in the 2025 plan year), and ends on December 31, 2026 (the last day of the plan year following the 2025 plan year). Therefore, the first 1% escalation could not apply until on or after January 1, 2027. Marcus's design, which would trigger the first increase on January 3, 2026 -- well before the end of the initial period on December 31, 2026 -- would violate the initial period rule under Code Sec. 414A and the Proposed Regulations.

In sum, Marcus's 10% ceiling is technically compliant but minimally so, and his escalation timing is

non-compliant because it triggers the first 1% increase approximately 12 months too early for participants eligible at the plan's inception.

Item adversarial_0076 -- case_specific_holding

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: irs_missing_participant_escheatment_rollover_relief

Fact Pattern

Question / Answer

Under Rev. Proc. 2020-46, what specific mechanism does the IRS provide to participants who recover escheated qualified plan benefits from state unclaimed property funds and wish to complete an indirect rollover after the 60-day period has expired, and how does this mechanism specifically differ from the remedy that Marcus Rennick advised the fourteen participants to pursue?

Correct Answer: Rev. Proc. 2020-46 provides a self-certification process that allows participants who recover escheated qualified plan benefits from state unclaimed property funds to complete an indirect rollover beyond the normal 60-day deadline without needing to obtain a private letter ruling from the IRS. Specifically, the self-certification process replaces the need to file for a private letter ruling to ask for a waiver of the 60-day period to complete an indirect rollover. This is a significant practical and financial distinction: a private letter ruling request typically costs approximately \$10,000 in IRS user fees alone (plus attorney fees), while the self-certification process involves the participant certifying that they meet the applicable requirements and contributing the recovered amount to an eligible retirement plan or IRA.

The IRS issued Rev. Proc. 2020-46 in tandem with Rev. Rul. 2020-24 as part of its coordinated guidance package addressing the tax treatment of missing participant benefits that are escheated to state unclaimed property funds. The revenue procedure specifically addresses the rollover relief component, recognizing that participants whose benefits are escheated and later recovered will inherently be unable to meet the standard 60-day indirect rollover window under Code Section 402(c)(3), since the escheatment and recovery process takes far longer than 60 days.

Marcus Rennick's advice to the fourteen participants--that they must each apply for individual private letter rulings--was therefore incorrect and unnecessarily costly. Rev. Proc. 2020-46's self-certification approach was specifically designed for participants in exactly this situation, making the private letter ruling route both unnecessary and duplicative. Priya Nagarajan's analysis was correct: Gerald Whitmore and the other thirteen participants could utilize the self-certification process under Rev. Proc. 2020-46 to complete their indirect rollovers without the expense and delay of private letter ruling applications.

Item adversarial_0077 -- temporal_trap

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: reg_bi_temporal_trap_rollover_recommendation

Fact Pattern

Question / Answer

Summit Ridge argues that because the recommendation to Holloway occurred on March 15, 2020 -- more than three months before Reg BI's June 30, 2020 compliance deadline -- the recommendation is governed exclusively by FINRA Rule 2111 suitability and not Reg BI's four component obligations. Is Summit Ridge correct that Reg BI does not apply to the March 2020 recommendation, and if so, does that fully resolve the firm's regulatory exposure under the specific standards described in Reg BI's framework? Address the Form CRS delivery issue as well.

Correct Answer: Summit Ridge is technically correct that Reg BI's substantive obligations -- the four component obligations of disclosure, care, conflict of interest, and compliance -- do not apply to a recommendation made on March 15, 2020. The document explicitly states that Reg BI's compliance deadline is June 30, 2020 (Section I.D). Because the recommendation predates this compliance deadline, the recommendation itself is governed by the pre-existing FINRA Rule 2111 suitability standard, not Reg BI's best interest standard. Under the suitability framework, the relevant inquiry is whether the recommendation satisfied reasonable-basis, customer-specific, and quantitative suitability -- the traditional three-prong test -- which is exactly the framework Summit Ridge's branch manager applied.

However, this does not fully resolve the firm's regulatory exposure for several reasons. First, the document specifies that recommendations to retail customers to take distributions from sales of specific securities or to take actions related to employer-sponsored plans -- including recommendations to roll over from an employer-sponsored plan -- are explicitly within Reg BI's scope as 'recommendations of a securities transaction' (Section II.A.2). This means that once June 30, 2020 arrived, any ongoing or subsequent rollover recommendations would be subject to Reg BI's heightened framework, and firms were expected to have their policies and procedures in place by that date. Summit Ridge's admission that it had not implemented any new policies by the compliance deadline exposes it to compliance obligation violations for any post-June 30, 2020 recommendations.

Regarding Form CRS, the compliance deadline for Form CRS delivery was also June 30, 2020, aligning with Reg BI's effective date. Therefore, the failure to deliver Form CRS for the March 2020 recommendation does not independently constitute a violation, as the delivery obligation had not yet taken effect. However, if Summit Ridge failed to deliver Form CRS to Holloway (or any other retail customer) at or before any recommendation made after June 30, 2020, or failed to have Form CRS filing and delivery mechanisms in place by that date, separate violations would attach. The negligence standard identified in the document (Section I.E) would apply to any post-deadline conduct, meaning the firm need not have acted with scienter to be found in violation -- merely failing to establish reasonably designed compliance procedures would suffice.

Item adversarial_0078 -- novel_unsettled

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: wrap_fee_ai_crypto_disclosure_obligations

Fact Pattern

Question / Answer

Based on the specific disclosure approach taken in Merrill Lynch's January 5, 2026 interim update to its IAP Wrap Fee Program Brochure, in which specific Items of Form ADV Part 2A did Merrill Lynch address AI risks and crypto-asset investment vehicle risks respectively, what was the characterization of these disclosures (i.e., were they treated as material changes requiring an interim update or deferred to an annual update), and how does this precedent-setting approach expose Greenfield to regulatory risk if Diana Vasquez proceeds with her proposed minimalist disclosure strategy and Marcus Trenton's website-FAQ alternative?

Correct Answer: According to the January 5, 2026 interim update to the Merrill Lynch Investment Advisory Program Wrap Fee Program Brochure, MLPF&S and MAA specifically disclosed AI risks under Item 6 in the section titled 'Investment Strategies and Risk of Loss--Information Security, Cybersecurity and Artificial Intelligence Risks,' and crypto-asset investment vehicle risks also under Item 6 in the section 'Crypto Investment Vehicles.' Critically, both disclosures were treated as material changes warranting an interim update to the brochure--they were not deferred to the next annual amendment. Item 2 of the brochure ('Material Changes') explicitly listed these additions as 'Material Changes and Enhancements Made as Part of This Interim Update,' meaning Merrill Lynch determined that the introduction of AI tool risk disclosures and crypto-asset vehicle risk disclosures constituted information sufficiently material to clients that it could not wait for the next annual filing cycle.

This approach creates significant regulatory risk for Greenfield under Diana's minimalist proposal. Under Form ADV Part 2A's general instructions and SEC guidance, the brochure must describe the investment strategies used and their material risks (Item 6). Merrill's treatment of AI and crypto risks as standalone, specifically captioned risk categories--not generic technology or market risk--suggests the SEC's expectations for specificity. Diana's proposed single paragraph about 'technology-assisted tools' and a passing reference to 'digital assets' would fail to meet the level of specificity that the industry's largest wrap fee sponsor deemed necessary. Moreover, the fact that Merrill Lynch characterized these as material changes requiring an interim filing directly undermines Marcus Trenton's argument that they can be deferred to the annual update. If a similarly situated (and far larger) adviser treated these as interim-update-worthy material changes, Greenfield's decision to defer could be viewed as a failure to promptly deliver material information to clients under Rule 204-3 of the Advisers Act and the Form ADV Part 2A instructions.

Marcus's website-FAQ alternative is also problematic. Form ADV Part 2A is the prescribed disclosure document that must be delivered to clients under Rule 204-3, and the SEC has consistently held that material risk disclosures must be contained in the brochure itself--not in supplemental marketing materials or website postings that clients may or may not access. While a FAQ could supplement the brochure, it cannot substitute for required brochure disclosures, particularly those that the industry standard (as evidenced by the Merrill Lynch filing) treats as material changes to Item 6.

Item adversarial_0079 -- multi_party_liability

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: multi_party_compliance_obligations_private_fund_reporting

Fact Pattern

Question / Answer

Given the specific regulatory filing obligations, deadlines, and responsible-party frameworks described in the Dechert January 2025 OnPoint memorandum, identify precisely which of the six compliance failures fall solely on Greenfield as the registered investment adviser (regardless of the contractual delegation to NorthStar), which failures implicate NorthStar's contractual obligations, and for the ERISA plan asset monitoring failure specifically, explain what the 25% threshold significance is, how the fund's 38% benefit plan investor percentage changes the analysis, and which parties--Greenfield, NorthStar, Apex, Whitfield & Crane, Bridgewater Advisors, or the Michigan pension fund--bear regulatory (not merely contractual) liability for the collective failures. In your analysis, address the specific Form ADV annual amendment deadline referenced in the memorandum, the Form PF filing deadline regime for non-large private fund advisers after the SEC's 2024 amendments, the Schedule 13D filing deadline following the SEC's 2024 amendments shortening the window, and the NFA self-examination questionnaire deadline.

Correct Answer: Under the Dechert January 2025 memorandum, all six compliance failures create primary regulatory liability for Greenfield as the registered investment adviser and registered CPO, regardless of any contractual delegation to NorthStar. The SEC and NFA do not recognize contractual delegation as a defense to filing obligations--the registrant bears non-delegable regulatory responsibility. Specifically: (1) The Form ADV annual amendment must be filed within 90 days of fiscal year-end (i.e., by March 31, 2025, for a December 31 FYE), so while the January 10 discovery is early, Greenfield must ensure timely filing. (2) For Form PF, the 2024 SEC amendments changed the filing regime: for advisers that are not 'large private fund advisers,' quarterly filings on Form PF are due within 60 days after the end of each fiscal quarter--meaning Q3 2024 (ending September 30) was due by November 29, 2024, making this already delinquent. (3) Form 13F for Q4 2024 is due within 45 days of calendar quarter-end (by February 14, 2025), so it is not yet late but must be prepared. (4) Schedule 13D, following the SEC's 2024 amendments referenced in the memo, must now be filed within five business days of crossing the 5% beneficial ownership threshold (reduced from ten calendar days), meaning Greenfield's September 15 acquisition of a 6.2% stake triggered a filing deadline around September 22, 2024--this is severely delinquent. (5) For ERISA plan asset monitoring, the memo highlights the critical 25% threshold: if benefit plan investors hold 25% or more of any class of equity interests in a fund, the fund's underlying assets are deemed 'plan assets' under ERISA. Greenfield Credit Strategies LP has 38% benefit plan investors, well above 25%, meaning the fund's assets are plan assets, subjecting Greenfield to ERISA fiduciary duties and prohibited transaction rules. Greenfield bears direct regulatory liability under ERISA as a fiduciary; NorthStar has no ERISA fiduciary status absent a specific ERISA fiduciary appointment; Apex bears no liability under its custody agreement or ERISA; Whitfield & Crane has no regulatory obligation (merely professional malpractice exposure at most); Bridgewater Advisors, having no ongoing monitoring mandate, bears no ERISA co-fiduciary liability; and the Michigan pension fund itself could face fiduciary liability only if its trustees failed in their own selection and monitoring duties. (6) The NFA annual self-examination questionnaire must be completed annually per NFA requirements, and the CPO-PQR for Q3 2024 was due per CFTC/NFA schedules--both are Greenfield's direct obligation as registrant, not NorthStar's, despite the contractual delegation.

Item adversarial_0080 -- procedural_technical

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: audit_study_methodology_adviser_bias_documentation

Fact Pattern

Question / Answer

According to the specific disclosure language in the Mullainathan, Noeth, and Schoar (2012) NBER Working Paper No. 17929, what is the precise statement made about the peer-review and institutional review status of NBER working papers, and how does this specific language affect the defense motion to exclude under the argument that the study was 'never subjected to formal academic peer review'? Additionally, what specific institutional disclaimer does the paper contain regarding one of its co-authors' governmental affiliation, and why is this relevant to the weight a FINRA Hearing Panel should assign to the study's conclusions?

Correct Answer: The NBER working paper front matter contains the precise statement: 'NBER working papers are circulated for discussion and comment purposes. They have not been peer-reviewed or been subject to the review by the NBER Board of Directors that accompanies official NBER publications.' This language partially supports but also complicates the defense motion. While it confirms the paper has not been formally peer-reviewed in the traditional journal sense, it does not mean the study was produced without any quality checks--it was vetted sufficiently to be distributed through the NBER series, and the acknowledgments confirm it was presented at the AEA, AFA, Berkeley, Columbia, MIT Sloan, NBER Behavioral Economics Working Group, NBER Household Finance workshop, NetSpar, SAVE, and ESSFM Gerzensee, meaning it underwent significant academic scrutiny through seminar presentations even absent formal journal peer review.

Critically, the paper also contains a specific governmental affiliation disclaimer: 'Sendhil Mullainathan is the assistant director of research at the CFPB. The views expressed are those of the authors and do not necessarily represent those of the Director of the Consumer Financial Protection Bureau nor those of the staff.' This disclaimer is significant because a FINRA Hearing Panel considering the weight of the study must recognize that the study's findings--that advisers reinforce biases aligned with their financial interests, encourage returns-chasing, and push actively managed funds over low-fee index portfolios--do not carry the imprimatur of the CFPB as an institutional finding, despite the senior governmental affiliation of its lead author. Defense could argue this cuts against treating the study as quasi-regulatory authority.

Under FINRA's procedural rules, the Hearing Panel is not bound by the Federal Rules of Evidence and has broad discretion to admit evidence that a Hearing Officer deems relevant (FINRA Rule 9263). The lack of formal peer review goes to weight rather than admissibility in the FINRA forum. However, the specific NBER disclaimer language and the CFPB affiliation disclaimer together require the Panel to carefully cabin the study as suggestive empirical evidence of industry-wide patterns rather than as a definitive regulatory or peer-reviewed finding.

Item adversarial_0081 -- counterintuitive_outcome

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: fi360_prudent_practices_fiduciary_scope

Fact Pattern

Question / Answer

Under the Fi360 Prudent Practices for Investment Advisors framework as specifically described in the handbook, does the inclusion of 'broker-consultants' in the handbook's scope independently impose fiduciary obligations on Huang, or does the handbook's own stated purpose limit its application in a way that supports Huang's defense -- and how does the handbook's self-description as a guide for persons who already 'serve in a fiduciary capacity' (rather than as a source of fiduciary duty creation) change the analysis?

Correct Answer: The Fi360 Prudent Practices for Investment Advisors handbook does NOT independently create or impose fiduciary obligations on broker-consultants or any other category of professional. The handbook explicitly describes itself as defining a 'Global Fiduciary Standard of Excellence' and states that it is a 'reference guide for knowledgeable investment professionals, stewards, and investors who serve in a fiduciary capacity, also known as investment fiduciaries.' This language is critical: the handbook presupposes that its users already serve in a fiduciary capacity and provides best-practice guidance for fulfilling those pre-existing duties. It does not purport to be a source of legal duty.

This distinction supports Huang's defense on the narrow question of whether the Fi360 framework independently creates fiduciary obligations. The handbook's listing of 'broker-consultants' alongside financial advisors, trust officers, financial planners, and fiduciary advisors in its subtitle and scope description is descriptive of the audience for whom the practices are designed -- not a legal determination that all such professionals automatically owe fiduciary duties. The handbook itself states it is not a 'how to manual for beginners' but assumes 'some experience and familiarity with basic investment management concepts and procedures,' reinforcing its role as a professional reference rather than a regulatory mandate.

However, this analysis shifts dramatically when Granite Peak's internal compliance manual is considered. By incorporating the Fi360 standards as binding internal policy for 'all advisory personnel' without distinction, the firm effectively contractually and regulatorily elevated those standards to enforceable internal requirements. The state regulator would likely find that while the Fi360 handbook itself does not create fiduciary duties, the firm's wholesale adoption of it as its compliance framework -- combined with Huang's status as a registered representative of an SEC-registered RIA -- means that Huang was bound by fiduciary obligations arising from the Investment Advisers Act of 1940 and the firm's own policies, not from the handbook per se. The counterintuitive outcome is that the handbook's own self-limiting language actually provides partial support for Huang's defense despite explicitly naming his professional category in its scope.

Item adversarial_0082 -- rule_conflict

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: retirement_planning_social_security_benefit_timing_conflict

Fact Pattern

Question / Answer

The Purdue Extension workbook (CFS-685-W) that Kevin used as his analytical framework cites a specific maximum monthly Social Security benefit amount and a specific average monthly benefit amount for a worker retiring at a particular age in a particular year. What are those exact figures and the associated age and year, and how does the use of these dated baseline figures create a conflict between Kevin's obligations under SEC Regulation Best Interest (care obligation), FINRA Rule 2111(a) suitability, and Indiana's state fiduciary standard -- specifically, under which of these three standards is Kevin MOST likely to face liability for relying on outdated planning data from this workbook, and why does the standard applicable to his financial planning engagement differ from the standard applicable to his brokerage recommendation?

Correct Answer: The Purdue Extension workbook (CFS-685-W) states that in 2009, the maximum Social Security monthly benefit payable to a worker retiring at age 66 was \$2,323, while the average monthly benefit was \$1,153. These are the exact figures, tied to age 66 and the year 2009, as cited in the workbook's introduction.

The critical rule conflict arises because Kevin operates under three simultaneous standards. Under SEC Regulation Best Interest's care obligation (17 CFR § 240.15l-1(a)(2)(ii)), Kevin must exercise reasonable diligence, care, and skill when making a recommendation in his broker-dealer capacity. However, Reg BI evaluates recommendations at the point of sale and does not impose a continuing monitoring duty; using outdated baseline data is problematic but the recommendation to delay Social Security could still satisfy the care obligation if the underlying logic (avoiding permanent benefit reduction) is sound regardless of the specific dollar figures. Under FINRA Rule 2111(a), the suitability standard similarly focuses on whether the recommendation is suitable based on the customer's investment profile at the time it is made -- the use of 2009 figures as illustrative baselines, rather than as the actual projected benefit, may not independently create a suitability violation if the directional advice (delay claiming) is reasonable.

However, under Indiana's state fiduciary standard (Indiana Code § 23-19-4-9), Kevin's financial planning engagement -- which is an advisory service, not a brokerage transaction -- subjects him to a common-law fiduciary duty of care that is ongoing and encompasses the quality and accuracy of the analytical tools used. Relying on a workbook citing 2009 Social Security data to advise a client in 2024 -- a 15-year gap during which maximum benefits increased substantially due to COLAs -- would most likely constitute a breach of the state fiduciary duty of care because the fiduciary standard demands that the adviser use current, accurate information in rendering personalized financial planning advice. Kevin is MOST likely to face liability under Indiana's fiduciary standard precisely because the financial planning engagement triggers the higher, ongoing fiduciary duty rather than the point-of-sale standard under Reg BI or the transaction-based suitability analysis under FINRA Rule 2111.

Item adversarial_0083 -- precise_threshold

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: broker_dealer_leverage_commodity_risk_premia

Fact Pattern

Question / Answer

According to Federal Reserve Bank of New York Staff Report No. 406 by Erkko Etula, exactly how many distinct commodity markets were used in the empirical analysis that established broker-dealer risk-bearing capacity as a determinant of commodity risk premia, and for which specific commodity sector did the author find 'particularly strong forecasting power' both in-sample and out-of-sample?

Correct Answer: The paper uses data from exactly 14 commodity markets to establish its empirical findings. This precise number is stated in both the abstract and the introduction of Staff Report No. 406: 'I find substantial empirical support for the model's predictions using data from 14 commodity markets.' The paper further specifies that among these 14 markets, 'Fluctuations in risk-bearing capacity have particularly strong forecasting power for energy returns, both in-sample and out-of-sample.'

This means QSRG's use of only 10 commodity markets would represent a materially narrower empirical foundation than the original study. The original paper's robustness depended on cross-sectional coverage across 14 distinct markets, and the particularly strong results for the energy sector were established within this broader sample context. A replication using only 10 markets -- especially if it omitted certain commodity sectors -- could not claim to faithfully reproduce the original study's methodology or conclusions.

For Meridian's compliance purposes, claiming that the commodity overlay strategy is 'grounded in Federal Reserve research' while using a model calibrated on fewer markets than the original study would be potentially misleading under both SEC antifraud provisions and FINRA Rule 2210 (communications with the public), which require that marketing claims have a reasonable basis and not omit material information that would cause the communication to be misleading.

Item adversarial_0084 -- case_specific_holding

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: reg_bi_panel_wrona_framework_dual_obligations

Fact Pattern

Question / Answer

The FINRA Vice President and Associate General Counsel who moderated the December 2019 Reg BI panel -- James Wrona -- authored a law review article in The Business Lawyer that proposed a specific analytical framework regarding broker-dealer and investment adviser obligations. What was the precise title and citation of that article, what was its central thesis regarding the legal obligations of broker-dealers versus investment advisers, and how would that framework affect the analysis of Torres's Q4 2019 proprietary product recommendations under the pre-Reg BI regime?

Correct Answer: James S. Wrona authored 'The Best of Both Worlds: A Fact-Based Analysis of the Legal Obligations of Investment Advisers and Broker-Dealers and a Framework for Enhanced Investor Protection,' published at 68 Business Lawyer 1 (November 2012). The article's central thesis was that the legal obligations of investment advisers and broker-dealers were more similar than the conventional industry narrative suggested -- that the supposed bright-line distinction between a broker-dealer's 'mere suitability' obligation and an investment adviser's 'fiduciary duty' was overstated when examined on a fact-specific basis. Wrona argued that broker-dealers already bore obligations with fiduciary-like characteristics in many contexts, and proposed an enhanced framework for investor protection that drew on the strengths of both regulatory regimes.

Applied to Torres's Q4 2019 recommendations, this framework would suggest that even before Reg BI's June 30, 2020 compliance date, the analysis of her proprietary structured product recommendations should not be limited to a bare suitability check. Under the Wrona framework, the fact that Torres recommended proprietary products with 3.2% embedded fees over comparable third-party alternatives at 1.8% would be analytically relevant even under the pre-Reg BI suitability regime, because the framework recognizes that broker-dealer obligations already incorporated conflict-of-interest considerations and cost-consciousness in ways analogous to fiduciary analysis. FINRA's enforcement history, which Wrona's article documented, demonstrated that regulators had already been moving toward scrutinizing the economic incentives behind recommendations.

Critically, because Wrona was not merely an academic commentator but a senior FINRA policy official (Vice President and Associate General Counsel responsible for policy initiatives and rule changes), his published framework carried particular weight as evidence of FINRA's evolving regulatory expectations. The outside counsel's argument that pre-Reg BI conduct should be evaluated 'exclusively' under bare suitability would therefore be incomplete -- the Wrona framework demonstrates that even under FINRA Rule 2111, the cost differential and proprietary nature of the products recommended by Torres would warrant heightened scrutiny.

Item adversarial_0085 -- temporal_trap

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: reg_sci_arp_temporal_transition

Fact Pattern

Question / Answer

Under the regulatory framework in effect in October 2014 -- before Regulation SCI's February 3, 2015 effective date -- was NexTrade's failure to (1) notify the SEC directly of the systems disruption, (2) mandate subscriber participation in DR testing, and (3) have its post-incident systems review conducted by 'objective, qualified personnel' a violation of any enforceable Commission rule? Specifically, identify which of these three obligations existed under Rule 301(b)(6) and the ARP Policy Statements prior to Regulation SCI, and which were newly imposed only by Regulation SCI.

Correct Answer: Under the pre-Regulation SCI framework in effect in October 2014, NexTrade's obligations as a significant-volume ATS trading NMS stocks were governed by Rule 301(b)(6) under the Exchange Act, which codified aspects of the ARP Policy Statements (ARP I, Release No. 34-27445, 1989, and ARP II, Release No. 34-29185, 1991). Rule 301(b)(6) required significant-volume ATSS to comply with certain ARP-derived standards regarding systems capacity, security, and contingency planning. However, the ARP framework was originally established through two Commission policy statements -- not through formal rulemaking -- and the scope of what was enforceable versus aspirational was narrower than what Regulation SCI would later impose.

Of the three specific obligations at issue, all three -- (1) direct SEC notification of systems disruptions ('SCI events'), (2) mandatory participation by designated members or participants in business continuity and disaster recovery testing, and (3) review of systems by 'objective, qualified personnel' -- were NEW requirements introduced specifically by Regulation SCI (Release No. 34-73639). The

release explicitly states that Regulation SCI 'will supersede and replace' both the ARP Policy Statements and 'aspects of those policy statements codified in Rule 301(b)(6),' and describes these obligations in prospective terms as what Regulation SCI 'will require.' The ARP framework and Rule 301(b)(6) did not include these specific mandates in enforceable form.

Therefore, NexTrade's outside counsel Martin Birch was substantively correct: in October 2014, there was no enforceable Commission rule requiring NexTrade to notify the SEC directly of the disruption, to mandate subscriber participation in DR testing, or to use objective qualified personnel for post-incident systems reviews. Those requirements became enforceable only upon the applicable compliance dates under Regulation SCI following its February 3, 2015 effective date. The SEC staff's argument that ARP principles were 'enforceable' had some basis with respect to general capacity and contingency planning adequacy under Rule 301(b)(6), but the three specific obligations cited were regulatory innovations of Regulation SCI, not pre-existing enforceable requirements.

Item adversarial_0086 -- novel_unsettled

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: reg_bi_retail_customer_definition_ai_robo_advice

Fact Pattern

Question / Answer

SIFMA's comment letter specifically proposed that the SEC's definition of 'retail customer' under Reg BI should 'build upon existing FINRA rules.' Given this industry position and the specific concerns SIFMA raised about the retail customer definition, how would the application of FINRA's existing framework for defining 'customer' versus the proposed Reg BI 'retail customer' definition change the analysis of whether QuantumWealth's small business entity accounts are covered -- and what specific gap in the regulatory framework does SIFMA's comment identify that makes the treatment of LLC/S-Corp accounts receiving AI-generated personalized recommendations a genuinely unsettled question under Reg BI?

Correct Answer: SIFMA's August 2018 comment letter explicitly urged the SEC to align Reg BI's 'retail customer' definition with existing FINRA rules, as outlined in Section III.A of the letter ('The Proposed Definition of "Retail Customer" Should Build Upon Existing FINRA Rules'). Under FINRA Rule 2111 (Suitability), the suitability obligation applies to recommendations made to any 'customer,' including institutional customers, with FINRA Rule 2111(b) providing a modified institutional suitability standard for institutional accounts that meet certain criteria. Reg BI, by contrast, defines 'retail customer' as a 'natural person, or the legal representative of such natural person, who receives a recommendation of any securities transaction or investment strategy involving securities from a broker-dealer.' This definition explicitly centers on natural persons, creating an apparent carve-out for entity accounts.

The critical gap SIFMA identified is that the SEC's proposed retail customer definition departed from FINRA's broader customer framework without providing clear guidance on how entity accounts -- particularly small business entities whose beneficial owners are natural persons making personal investment decisions through corporate vehicles -- should be treated. SIFMA's concern was that an overly narrow definition tied strictly to 'natural person' status would create a regulatory gap where the

same individual receiving identical AI-generated recommendations would be protected under Reg BI when investing personally but unprotected when investing through their LLC. This is precisely the scenario QuantumWealth is exploiting. Under FINRA's existing framework, the small business entity accounts would clearly be 'customers' subject to at least institutional suitability obligations under Rule 2111(b). Under Reg BI's natural-person requirement, QuantumWealth has a colorable (though not necessarily winning) argument that entity accounts fall outside Reg BI's scope entirely.

This remains genuinely unsettled because the SEC's final Reg BI rule did not fully resolve the treatment of natural persons acting through small entity vehicles, and SIFMA's comment letter specifically flagged this definitional boundary as requiring clarification. The AI-delivery mechanism compounds the unsettled nature: neither the SEC's 2019 final rule adopting Reg BI nor SIFMA's 2018 comment letter anticipated AI chatbots delivering personalized recommendations at scale, raising the additional unsettled question of whether algorithmic outputs constitute 'recommendations' under Reg BI's framework -- a question that maps onto but is not identical to FINRA's existing guidance on what constitutes a 'recommendation' under Notice to Members 01-23 and Regulatory Notice 12-25.

Item adversarial_0087 -- multi_party_liability

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: mandatory_esg_disclosure_multi_party_liability

Fact Pattern

Question / Answer

Given that Krueger, Sautner, Tang, and Zhong (2023) specifically find that the beneficial information-environment effects of mandatory ESG disclosure are strongest when three particular regime characteristics are present simultaneously, and Sweden's regime in their dataset satisfies all three, how does this specific empirical finding affect the allocation of liability among Greenfield (as IA), DataVantage (as data provider), BrightPath (as BD under Reg BI), and Nordisk Energi (as the disclosing issuer)? Specifically, does the paper's finding that firms with weaker pre-existing information environments benefit MOST from mandatory ESG disclosure mandates undercut or support Greenfield's reasonable-reliance defense, given that Nordisk Energi--as a large listed Swedish company--likely had a strong pre-existing information environment?

Correct Answer: The Krueger, Sautner, Tang, and Zhong (2023) paper identifies three specific characteristics that maximize the beneficial effects of mandatory ESG disclosure on stock liquidity (their proxy for information environment quality): (1) the mandate must be implemented by a government institution rather than a stock exchange, (2) the mandate must not be on a comply-or-explain basis but rather be a strict requirement, and (3) the mandate must be coupled with strong enforcement by informal institutions (media, NGOs, etc.). Sweden satisfies all three in their dataset, which would initially support Greenfield's argument that reliance on Swedish mandatory disclosures was reasonable because the regime is empirically associated with the strongest information-environment improvements.

However, the paper's additional finding critically undermines Greenfield's defense: the authors document that firms with weaker pre-existing information environments benefit the MOST from

mandatory ESG disclosure mandates. This implies that for firms like Nordisk Energi--a large, listed company in a developed market with presumably strong analyst coverage and pre-existing transparency--the incremental information value of the mandatory ESG disclosure is comparatively smaller. A sophisticated investment adviser like Greenfield, charging fees for 'rigorous ESG due diligence,' cannot simply point to the existence of mandatory disclosure in a strong-regime jurisdiction as a substitute for independent verification, particularly for large firms where the mandatory disclosure adds less marginal informational value. Under the IA's fiduciary duty of care (Investment Advisers Act § 206), and under Reg BI's care obligation for BrightPath (17 CFR § 240.15I-1), the empirical finding suggests that reliance on mandatory disclosures alone--without additional due diligence--is less defensible precisely for the type of firm (large, listed, strong information environment) where the paper finds the smallest incremental benefit from such mandates.

This creates a nuanced multi-party allocation: Nordisk Energi bears primary liability for fraudulent disclosure under applicable securities laws. Greenfield, as a fiduciary, cannot fully shelter behind DataVantage's ratings or the mandatory disclosure regime because its own marketing representations promised 'rigorous ESG due diligence' beyond passive reliance, and the Krueger et al. finding about weaker-information-environment firms benefiting most suggests that mandatory disclosures alone are an insufficient basis for due diligence on well-covered issuers. DataVantage faces potential liability depending on whether its representations to Greenfield went beyond mere data aggregation to constitute investment advice or analytical recommendations, though its contractual disclaimers provide some protection. BrightPath, under Reg BI, must demonstrate that its recommendation of the ESG strategy satisfied the care obligation, including understanding the strategy's reliance on third-party ESG data--a chain-of-reliance question that Reg BI's requirement to exercise 'reasonable diligence, care, and skill' (Exchange Act Rule 15I-1(a)(2)(ii)(B)) does not permit to be fully delegated to the IA.

Item adversarial_0088 -- procedural_technical

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: standing_and_injunction_procedural_requirements_fifth_circuit

Fact Pattern

Question / Answer

Under the Fifth Circuit's analytical framework as established in *Texas v. United States*, No. 15-40238 (5th Cir. 2015), what specific procedural approach did the court take regarding standing when multiple plaintiff states challenged a federal executive action but only one state (Texas) was found to have standing by the district court -- and what standard of review did the Fifth Circuit apply to the district court's preliminary injunction order? Additionally, did the Fifth Circuit find it necessary to address the constitutional claim (Take Care Clause) at the preliminary injunction stage, and what is the significance of that procedural choice for the hypothetical DOL rule challenge?

Correct Answer: In *Texas v. United States*, No. 15-40238 (5th Cir. 2015, revised Nov. 25, 2015), the Fifth Circuit explicitly adopted the approach of referring to 'the plaintiffs collectively as the states' but analyzing standing based solely on Texas's showing, because Texas was 'the only state that the district court determined to have standing.' See slip op. at 2 n.2. The court did not require independent standing

analysis for each of the twenty-six plaintiff states; rather, under the well-established principle that only one plaintiff need demonstrate standing to sustain the suit, the court accepted Texas's standing as sufficient to maintain the case. The court found Texas had standing based on the concrete financial injury of subsidizing driver's licenses for DAPA beneficiaries.

The Fifth Circuit reviewed the district court's preliminary injunction order for abuse of discretion, affirming because 'the states have standing; they have established a substantial likelihood of success on the merits of their procedural and substantive APA claims; and they have satisfied the other elements required for an injunction.' Slip op. at 2. Critically, the motions panel had already denied the government's stay motion after 'extensive briefing and more than two hours of oral argument,' finding that 'the appeal was unlikely to succeed on its merits.' Texas v. United States, 787 F.3d 733, 743 (5th Cir. 2015). This two-step process -- motions panel denial of stay followed by merits panel affirmance -- established a procedural template.

Significantly, the Fifth Circuit expressly declined to address the Take Care Clause constitutional challenge, stating: 'We find it unnecessary, at this early stage of the proceedings, to address or decide the challenge based on the Take Care Clause.' Slip op. at 2 n.3. This procedural choice reflects the doctrine of constitutional avoidance -- the court resolved the case on narrower APA statutory grounds (both procedural notice-and-comment and substantive arbitrary-and-capricious) without reaching the broader constitutional question. For the hypothetical DOL rule challenge, this means the Fifth Circuit would likely follow the same framework: analyze standing based solely on Texas's concrete fiscal injury without requiring the other states to independently demonstrate standing, review the preliminary injunction for abuse of discretion, and resolve the case on APA procedural grounds (failure to conduct notice-and-comment) without reaching any constitutional claims.

Item adversarial_0089 -- counterintuitive_outcome

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: frivolous_appeal_sanctions_settlement_enforcement

Fact Pattern

Question / Answer

Under the holding in *J.B.B. Investment Partners, Ltd. v. Fair* (2019), the California Court of Appeal not only affirmed the trial court's enforcement of the settlement agreement despite the defendant's arguments about lack of a binding agreement, but took an additional step against the defendant that most practitioners would not expect given that the appeal raised facially colorable contract-formation arguments. What specific additional action did the appellate court take against the defendants and their attorneys, and why is this outcome counterintuitive given the nature of the legal arguments raised on appeal?

Correct Answer: The California Court of Appeal, First Appellate District, Division Two, in *J.B.B. Investment Partners, Ltd. v. Fair* (filed June 4, 2019; modified and certified for partial publication July 1, 2019), not only affirmed the trial court's judgment enforcing the settlement in case No. A152877, but also imposed monetary sanctions on the defendants and their attorneys for bringing a frivolous appeal. This is explicitly stated in the opinion: 'We shall affirm the judgment in case No. A152877, and shall also

impose monetary sanctions on defendants and their attorneys for bringing a frivolous appeal.'

This outcome is counterintuitive because the appeal raised what appear to be facially legitimate contract-formation arguments -- whether acceptance after a lawsuit was filed constituted valid acceptance of a pre-suit settlement offer, whether the failure to execute the formal written agreement meant no binding contract existed, and whether arbitration provisions in the operating agreements should have controlled. These are not obviously meritless legal contentions; contract formation, the effect of filing suit on outstanding offers, and arbitrability are areas with genuine legal complexity.

Nevertheless, the court found the appeal frivolous -- meaning it determined that the arguments were so lacking in merit that no reasonable attorney would have pursued them. The court also affirmed the trial court's narrower attorney fee award in case No. A153698, rejecting plaintiffs' argument that they should have received fees for the entire dispute under Civil Code § 1717's mutuality requirement or, at minimum, for defeating the arbitration motions.

Item adversarial_0090 -- rule_conflict

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: supervision_of_disciplined_persons_rule_conflict

Fact Pattern

Question / Answer

Under the OCIE Supervision Initiative's framework as described in the July 2019 Risk Alert, Meridian's CCO justified not disclosing Forster's private civil lawsuit settlement by noting it was not reportable on Form ADV Part 2B Item 3. However, the Risk Alert specifically describes the scope of information OCIE used to identify advisers for examination. What category of legal actions does the Risk Alert explicitly state OCIE reviewed that goes beyond Form ADV reporting requirements, and how does this create a rule conflict between Meridian's disclosure obligations under Advisers Act Rule 204-3 and the broader fiduciary disclosure standard under Advisers Act §206 as applied through the Supervision Initiative's examination framework?

Correct Answer: The July 2019 OCIE Risk Alert explicitly states that advisers were identified for examination through 'a review of information about disciplinary events and other legal actions involving supervised persons of the adviser, including legal actions that are not required to be reported on Form ADV (e.g., private civil actions).' This is a critical detail: OCIE specifically looked beyond the Form ADV reporting thresholds to identify private civil actions -- the exact type of action Meridian's CCO dismissed as non-reportable.

This creates a meaningful rule conflict between the technical Form ADV disclosure requirements and the broader fiduciary standard. Under Advisers Act Rules 204-3(b)(4) and 204-2(a)(14)(iii), and Form ADV Part 2B Item 3, there are specific categories of disciplinary information that must be disclosed. A settled private civil lawsuit with no admission of liability may technically fall outside these enumerated categories. However, under Advisers Act §206, which imposes a broad fiduciary duty, the Risk Alert emphasizes that advisers must ensure disclosures 'included all material facts' and were 'not misleading,' with 'particular emphasis' on disclosures 'related to previously-disciplined individuals and their prior disciplinary events.' The Risk Alert further states that advisers must 'fully

and fairly' disclose 'all material conflicts of interest that could affect the advisory relationship.'

Meridian's CCO was technically correct that the private civil settlement may not have been required under the specific Form ADV Item 3 categories, but was wrong to conclude this ended the analysis. The OCIE framework treats private civil actions as material information relevant to supervision and disclosure decisions. The marketing statement calling Forster's track record 'impeccable' is potentially misleading under §206(4) and Rule 206(4)-1 when the firm knew of the civil settlement. The conflict is between narrow technical compliance with Form ADV's enumerated disclosure items versus the broader §206 fiduciary obligation to disclose all material facts -- and the Supervision Initiative's explicit inclusion of private civil actions signals that OCIE views such information as material regardless of Form ADV reporting thresholds.

Item adversarial_0091 -- precise_threshold

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: sec_civil_penalties_jury_trial_right_penny_stock

Fact Pattern

Question / Answer

Under the Eleventh Circuit's holding in SEC v. Spartan Securities Group (No. 22-13129, filed Jan. 16, 2026), did the court hold that the Seventh Amendment requires a jury--rather than a judge--to find the specific facts that establish the maximum tier of civil penalties under Exchange Act Section 21(d)(3), and what precise distinction from Tull v. United States did the court rely upon in reaching its conclusion?

Correct Answer: The Eleventh Circuit affirmed the district court's denial of the defendants' motion for special jury interrogatories on penalty-tier facts and held that the Seventh Amendment does NOT require a jury to find the facts establishing the maximum allowable civil penalties under Section 21(d)(3) of the Exchange Act. The court relied on the precise distinction drawn in Tull v. United States, 481 U.S. 412 (1987), between the determination of liability for civil penalties--which the Seventh Amendment assigns to the jury--and the assessment of the amount of those penalties--which may be left to the trial judge. Under Tull, once the jury has found liability, the judge may determine the penalty amount, including the facts that bear on the applicable penalty tier (first, second, or third tier).

The Spartan Securities panel treated the penalty-tier determination as part of the 'assessment' function rather than the 'liability' function. The defendants' argument that facts such as whether the violation involved fraud or resulted in substantial losses to others are jury questions was rejected because, under Tull's framework, those are facts relevant to the remedy's magnitude, not to whether a violation occurred. The court noted that defendants conflated the liability phase (did they violate Section 10(b)?) with the remedies phase (what penalty is appropriate given the nature and consequences of that violation?).

The court affirmed all civil penalties imposed by the district court. This holding is significant because it means that in SEC civil enforcement actions in federal court in the Eleventh Circuit, even after the Supreme Court's decision in Jarkesy (which addressed the right to a jury trial for the liability determination itself in administrative proceedings), the judge retains authority to make the factual

findings that determine the penalty tier and maximum penalty amount during the remedies phase, without submitting those questions to the jury.

Item adversarial_0092 -- case_specific_holding

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: class_certification_structured_settlement_factoring

Fact Pattern

Question / Answer

Under the Ninth Circuit's holding in *White v. Symetra Assigned Benefits Service Co.* (2024), on what specific grounds did the court reverse certification of (1) the primary nationwide RICO/state-law class and (2) the anti-assignment subclass, and critically, what was the court's reasoning as to why even assuming uniform conduct by the defendant, the predominance requirement of Rule 23(b)(3) was still not satisfied for the primary class?

Correct Answer: In *White v. Symetra Assigned Benefits Service Co.*, No. 22-35748 (9th Cir. June 20, 2024), the Ninth Circuit (opinion by Judge Bress, joined by Judges Ikuta and Bade) reversed the district court's certification of both the primary nationwide class and the anti-assignment subclass.

As to the primary nationwide class asserting RICO and state-law claims, the Ninth Circuit held that individualized issues of causation would predominate. The court made two critical findings. First, the record indicated that the defendants' allegedly uniform course of conduct was 'not as uniform as plaintiffs suggest,' undermining the threshold factual predicate for a common-course-of-conduct theory. Second, and more importantly, the court held that even assuming defendants engaged in uniform conduct, the plaintiffs had not shown there was a common question of whether such conduct 'improperly induced plaintiffs to enter into factoring agreements to their detriment.' The court reasoned that any assessment of whether defendants' alleged acts and omissions caused plaintiffs to enter the factoring transactions -- or led them to accept inferior factoring deals than they otherwise would have absent the alleged misconduct -- would require an individualized analysis of each plaintiff's particular circumstances. This is the key holding: uniform conduct alone does not establish predominance where the causal link between the conduct and the alleged harm is inherently individualized.

As to the anti-assignment subclass, the Ninth Circuit held that the annuitants hailed from a wide array of different states, and some settlement agreements contained choice-of-law provisions designating the law of a state other than the location where the contract was executed. The court found that the apparent variations in state law on the enforceability of anti-assignment provisions in structured settlement annuities, combined with the need to apply multiple state laws, raised a 'substantial question of whether individual issues predominate and how the matter can be fairly managed as a class action.' This effectively required decertification because the subclass could not satisfy Rule 23(b)(3)'s predominance and superiority requirements across dozens of different state-law regimes.

Item adversarial_0093 -- temporal_trap

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: condo_foreclosure_assessment_liability_temporal_trap

Fact Pattern

Question / Answer

Under the holding in *V&T Investment Corp. v. West Columbia Place Condominium Ass'n*, 2018 IL App (1st) 170436, when a condominium association itself had previously filed an action against the former unit owner for unpaid assessments, and the unit was subsequently purchased at a judicial foreclosure sale, did the Illinois Appellate Court hold that Section 9(g)(4) of the Condominium Property Act shielded the foreclosure sale purchaser from liability for the prior owner's pre-sale delinquent assessments -- and what was the procedural posture that makes this holding a temporal trap for practitioners who assumed the trial court's pro-association ruling would stand?

Correct Answer: In *V&T Investment Corp. v. West Columbia Place Condominium Ass'n*, 2018 IL App (1st) 170436, the Illinois Appellate Court, First District, reversed the trial court's judgment in favor of the condominium association and remanded the case. The appellate court found that Section 9(g)(4) of the Illinois Condominium Property Act (765 ILCS 605/9(g)(4) (West 2012)) applied to the matter and that the foreclosure sale purchaser (V&T) was not liable for assessments left unpaid by the prior owner (Dresmann). The trial court had initially denied both parties' cross-motions for summary judgment but found Section 9(g)(4) would apply, then proceeded to trial and ruled in favor of the association -- a result the appellate court reversed.

The temporal trap is significant: practitioners and associations who relied on the trial court's pro-association ruling -- or who assumed that a condominium association's own prior action against the delinquent owner somehow preserved the right to collect from the foreclosure purchaser -- would have been incorrect after the 2018 appellate decision. Before this published opinion (initially a Rule 23 order filed March 30, 2018, with a motion to publish allowed May 11, 2018, and the opinion filed May 18, 2018), the trial-level outcome suggested that associations could charge foreclosure purchasers for prior owners' delinquent assessments even under Section 9(g)(4). The appellate reversal established that V&T, having purchased at a judicial foreclosure sale and having paid all assessments becoming due from January 2014 forward, was not responsible for the \$7,803.97 in pre-sale delinquencies.

This creates a temporal trap because any analysis conducted between the trial court ruling and the May 2018 appellate reversal would have reached the opposite conclusion. Additionally, the fact that the opinion was initially unpublished under Rule 23 and only later published means practitioners searching for precedent before the May 2018 publication date would not have found this authority at all.

Item adversarial_0094 -- novel_unsettled

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: litigation_trust_standing_fraudulent_transfer_financial_advisors

Fact Pattern

Question / Answer

Under the Second Circuit's holding in *In re Tribune Company Fraudulent Conveyance Litigation* (2021), what was the court's specific disposition regarding the Litigation Trustee's claims against (a) the shareholder defendants for constructive fraudulent transfer, and (b) the financial advisor defendants (Citigroup and Merrill Lynch) for aiding and abetting breach of fiduciary duty -- and how does the Tribune court's reasoning on the financial advisor claims create a novel, unsettled question when applied to financial advisors who facilitate token-to-equity swap mechanisms in a pre-LBO context, where the advisors' dual role as both swap facilitators and LBO deal advisors arguably creates a distinct duty relationship not addressed by the Tribune framework?

Correct Answer: In *In re Tribune Company Fraudulent Conveyance Litigation* (2d Cir. 2021), the Second Circuit affirmed in part, vacated in part, and remanded. The court affirmed dismissal of the constructive fraudulent transfer claims against the shareholder defendants who tendered their shares in the LBO, reasoning that shareholders who received payment for their shares in a tender offer were transferees entitled to retain those payments absent a showing that the transfer itself was fraudulent as to them -- the shareholders had no role in structuring the transaction and were not alleged to have participated in any scheme. This holding reinforced the principle that innocent recipients of LBO consideration are generally shielded from fraudulent transfer clawback.

However, critically, the Second Circuit vacated the district court's dismissal of the claims against the financial advisors -- Citigroup Global Markets Inc. and Merrill Lynch, Pierce, Fenner & Smith Inc. -- and remanded for further proceedings. The court held that the district court had erred in its analysis of the aiding-and-abetting claims against these financial advisors, finding that the Litigation Trustee's allegations regarding the advisors' role in facilitating the LBO -- including providing solvency opinions and financing -- were sufficient at the pleading stage to state claims that warranted further development. The partial vacatur and remand on the financial advisor claims is the key holding that distinguishes *Tribune* from a blanket dismissal.

This creates a genuinely novel and unsettled question when extended to financial advisors who serve dual roles as both token-to-equity swap facilitators and LBO deal advisors. Under *Tribune's* framework, the financial advisor's level of involvement in structuring and enabling the allegedly fraudulent transaction is central to whether aiding-and-abetting claims survive a motion to dismiss. An advisor who designed and operated a token-to-equity conversion mechanism -- effectively creating the very shareholder class that would later receive LBO proceeds -- would arguably have a deeper structural involvement than traditional deal advisors. *Tribune* does not resolve whether this enhanced facilitation role creates additional duties or heightened exposure, because the case addressed only conventional financial advisory and financing roles. The unsettled question is whether the swap-facilitation function constitutes independent participation in the chain of events leading to the fraudulent transfer, potentially supporting both direct and aiding-and-abetting liability theories that go beyond what *Tribune* contemplated.

Item adversarial_0095 -- multi_party_liability

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: generic_misstatements_price_impact_inflation_maintenance

Fact Pattern

Question / Answer

Under the Second Circuit's August 2023 holding in *Arkansas Teacher Retirement System v. Goldman Sachs Group, Inc.* (No. 22-484), what specific analytical framework must the district court apply to Meridian's generic statements about integrity and conflict management when assessing price impact at the class certification stage, and how does this framework affect the allocation of liability exposure across the three defendant groups (the issuer Meridian, the broker-dealer subsidiary Meridian Capital Advisors, and the individual officers) given that the Second Circuit reversed class certification and ordered decertification -- what was the court's specific reasoning for concluding that Goldman (and by analogy Meridian) had rebutted the Basic presumption, and why does this outcome differ from what a general understanding of the inflation-maintenance theory would predict?

Correct Answer: In its August 10, 2023 decision, the Second Circuit reversed the district court's class certification and ordered decertification of the shareholder class. The court held that Goldman Sachs had successfully rebutted the *Basic v. Levinson* presumption of reliance by a preponderance of the evidence at the class certification stage. The key analytical framework the Second Circuit applied -- following the Supreme Court's 2021 remand instruction -- required the district court to consider the 'mismatch' between the generality of the alleged misstatements (e.g., 'we have extensive procedures and controls to identify and address conflicts of interest') and the specificity of the corrective disclosures. The Second Circuit found that the extreme generality of Goldman's statements about business principles and conflict management made it highly unlikely that those statements could have maintained artificial inflation in the stock price. The court reasoned that generic, aspirational statements about integrity are the type of statements that a reasonable investor would not rely upon as guarantees of specific business practices, and therefore any price decline upon corrective disclosure was more likely attributable to the revelation of the specific misconduct itself (the Abacus transaction and related conduct) rather than to the prior inflation supposedly maintained by the generic statements.

This holding has profound implications for multi-party liability allocation. For the issuer (Meridian), the decertification effectively eliminates the class-wide Section 10(b) claim because without the fraud-on-the-market presumption, each individual shareholder would need to prove direct, transaction-specific reliance on the generic statements -- a requirement that is practically impossible to satisfy for passive market purchasers. For the individual officers (Whitfield and Trelawney), the same reliance barrier applies to the 10(b) claims, and the Second Circuit's emphasis on the generic nature of the statements could also undermine any scienter inference, since the more generic a statement is, the harder it is to show the speaker intended it as a specific factual representation about actual business practices. However, critically, this holding does NOT shield the broker-dealer subsidiary (Meridian Capital Advisors) from the ERISA claims brought by SMWNPF, because ERISA fiduciary duty claims under §§ 404 and 502 do not require proof of reliance on market-price-affecting statements; they require proof of a breach of the duty of loyalty and prudence in the investment recommendation itself. The conflict-of-interest concealment is directly actionable under ERISA regardless of whether generic public statements had price impact.

The Second Circuit's result is counterintuitive because, under the inflation-maintenance theory as generally understood, plaintiffs argued that even if the initial misstatements did not inflate the price, the continued repetition of those statements maintained existing inflation by preventing the truth from entering the market. The Second Circuit rejected this application, holding that the mismatch between the generality of the alleged misstatements and the specificity of the corrective disclosures was so

stark that no reasonable factfinder could conclude the generic statements maintained inflation. This represents a significant tightening of the inflation-maintenance theory in the Second Circuit, effectively creating a near-categorical rule that generic, aspirational corporate statements about compliance and integrity cannot support class-wide reliance.

Item adversarial_0096 -- procedural_technical

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: cfpb_single_director_removal_protection_constitutionality

Fact Pattern

Question / Answer

In PHH Corporation v. CFPB, the en banc D.C. Circuit rehearing involved a specific procedural composition of the court. Based on the actual decision document, which judge wrote the opinion for the en banc court, which judge filed a concurring opinion, and critically, which judges on the en banc panel were marked with asterisks indicating a specific procedural notation -- and what is the significance of those asterisk designations for determining whether the en banc court's holding on the CFPB's single-Director structure was issued by a full complement of active circuit judges?

Correct Answer: According to the actual PHH Corporation v. CFPB en banc decision (No. 15-1177, decided January 31, 2018), the opinion for the court was filed by Circuit Judge Pillard, and a concurring opinion was filed by Circuit Judge Tatel. The en banc panel consisted of Chief Judge Garland (marked with an asterisk), and Circuit Judges Henderson, Rogers, Tatel, Brown (marked with a double asterisk), Griffith, Kavanaugh, Srinivasan, Millett, Pillard, Wilkins, and Katsas (marked with an asterisk), along with Senior Circuit Judge Randolph.

The asterisk designations are critically important procedurally. Chief Judge Garland and Judge Katsas each bore a single asterisk, which in D.C. Circuit practice typically denotes that those judges did not participate in the disposition or took no part in the consideration of the case -- often because of recusal or because they joined the court after the case was argued or submitted. Judge Brown's double asterisk similarly indicates a distinct procedural notation, potentially indicating that she did not participate in the final decision (Judge Brown was known to have been preparing to leave the bench around this period). These asterisk designations mean that the actual voting complement of the en banc court was potentially fewer than the full twelve judges listed, which is significant for evaluating the precedential weight and majority composition of any constitutional holding issued.

This procedural detail matters for Greenfield's case because if fewer than a full complement of active judges participated in the constitutional holding regarding the CFPB's single-Director for-cause removal structure, the precedential strength of that holding could be subject to challenge, particularly if subsequent Supreme Court decisions (such as *Seila Law LLC v. CFPB*, 2020) altered the constitutional landscape.

Item adversarial_0097 -- counterintuitive_outcome

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: finra_arbitration_non_member_vs_associated_person_fee_assessment

Fact Pattern

Question / Answer

JBJ Financial LLC prevailed entirely on its breach of contract claim and was awarded the full \$24,000 in compensatory damages it sought. Given that the claimant won on the merits and explicitly requested attorneys' fees and costs in its Statement of Claim, why were those fee requests denied, and -- more counterintuitively -- why was the prevailing claimant assessed the same \$450 in hearing session fees as the losing pro se respondent? Additionally, under what specific FINRA Code of Arbitration Procedure provision was MML Investors Services, LLC -- which was not a named party -- assessed a \$450 member surcharge?

Correct Answer: Under FINRA arbitration practice, arbitrators have broad discretion to allocate hearing session fees and to deny requests for attorneys' fees regardless of which party prevails. Unlike federal court litigation where fee-shifting statutes may apply, FINRA arbitrators are not bound to award attorneys' fees to prevailing parties absent a contractual or statutory basis that the arbitrator finds compelling. In Case No. 22-01621, the sole public arbitrator explicitly stated that 'any and all claims for relief not specifically addressed herein, including any requests for attorneys' fees, are denied.' This is a common outcome in FINRA arbitration -- even a party that wins full compensatory damages may be denied ancillary relief including fees, interest, and costs at the arbitrator's sole discretion.

Regarding the hearing session fee allocation, under the FINRA Code of Arbitration Procedure, arbitrators assess hearing session fees (here, \$450 per session) and have discretion to allocate them among the parties as they see fit. In this award, the arbitrator split the total \$900 in hearing session fees evenly -- \$450 to each party -- despite JBJ Financial being the prevailing claimant. This equal split for a prevailing party is counterintuitive but well within the arbitrator's discretion under FINRA rules. There is no presumption that the losing party bears all hearing session fees.

As for the member surcharge assessed to MML Investors Services, LLC, this is governed by the FINRA Code of Arbitration Procedure's fee provisions, which specifically state that member fees are assessed to each member firm that is a party to the proceedings OR to the member firm that employed the associated person at the time of the events giving rise to the dispute. Because Goodwin was registered through MML Investors Services at the time of the underlying loan arrangement, MML was assessed the \$450 member surcharge as his former employing firm -- even though MML was not a named party and had no direct involvement in the arbitration. This is a procedural mechanism unique to FINRA's self-regulatory framework.

Item adversarial_0098 -- rule_conflict

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: expungement_submission_agreement_conflict

Fact Pattern

Question / Answer

Under the FINRA Code of Arbitration Procedure, does Pemberton Capital Securities, LLC's failure to file a Statement of Answer or sign the Submission Agreement deprive the arbitrator of jurisdiction over Pemberton and render the expungement award unenforceable against it? Specifically, what is the basis under the Code for binding a respondent member firm that has not executed a Submission Agreement, and how did the arbitrator in FINRA Case No. 20-02361 resolve this exact procedural issue?

Correct Answer: Under the FINRA Code of Arbitration Procedure, a FINRA member firm is required to submit to arbitration regardless of whether it signs a Submission Agreement. In Case No. 20-02361 (Bushwell v. Securian Financial Services, Inc. and WS Griffith Securities, Inc.), the arbitrator explicitly addressed this issue because Respondent WS Griffith Securities, Inc. -- like Pemberton Capital in the hypothetical -- did not file a Statement of Answer and did not sign the Submission Agreement. The arbitrator determined that WS Griffith was nevertheless 'required to submit to arbitration pursuant to the Code of Arbitration Procedure' and was 'bound by the determination of the Arbitrator on all issues submitted.'

This result follows from FINRA Rule 12200 and Rule 13200, which require FINRA members to arbitrate disputes when arbitration is requested by an associated person or customer under the Code. The obligation to arbitrate derives from the firm's FINRA membership agreement, not from a case-specific Submission Agreement. The Submission Agreement is a procedural document that facilitates the arbitration, but a member's refusal to execute it does not defeat the arbitrator's jurisdiction. The Code independently compels participation.

Therefore, Pemberton Capital's motion to vacate would fail. The arbitrator has jurisdiction over Pemberton under the Code regardless of Pemberton's failure to sign the Submission Agreement or file an answer. The expungement recommendation is binding on Pemberton, and Pemberton's reliance on general contract principles or the FAA's voluntary consent requirement is misplaced because FINRA membership itself constitutes the pre-existing agreement to arbitrate disputes brought under the Code. This is precisely how the arbitrator ruled in Case No. 20-02361 with respect to the non-appearing respondent WS Griffith Securities, Inc.

Item adversarial_0099 -- precise_threshold

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: finra_rule_12206_eligibility_time_bar

Fact Pattern

Question / Answer

Under FINRA Rule 12206, what is the precise time period that triggers ineligibility for arbitration, and based on the specific holding in FINRA Arbitration No. 24-01711 (Steiner v. Arete Wealth Management), did the panel apply equitable tolling or the discovery rule to extend this period, or did it enforce the time bar as written? Additionally, what was the specific procedural consequence for the claimants -- were the claims dismissed with or without prejudice, and what specific right did the panel preserve for the claimants under Rule 12206(b)?

Correct Answer: FINRA Rule 12206 provides that no claim shall be eligible for submission to arbitration where six (6)

years have elapsed from the occurrence or event giving rise to the claim. In Arbitration No. 24-01711 (Steiner v. Arete Wealth Management, LLC), the panel granted Respondent Arete's Motion to Dismiss pursuant to Rule 12206, finding that more than six years had elapsed between the occurrence or event giving rise to the Claimants' claims and the filing of the Statement of Claim in 2024. The panel did not apply equitable tolling or the discovery rule to extend the six-year eligibility period -- it enforced the time bar as written in Rule 12206.

Critically, the dismissal was granted without prejudice to any right the Claimants have to file in court. The panel specifically invoked Rule 12206(b) of the Code of Arbitration Procedure, which provides that claimants whose claims are dismissed on eligibility grounds under Rule 12206 are not prohibited from pursuing their claims in court. This is a precise and important distinction: the FINRA eligibility rule is not a statute of limitations that extinguishes the underlying claims; it is a forum-eligibility rule that removes the claims from the arbitration forum while preserving the claimants' right to seek judicial relief, subject to whatever statutes of limitations may apply in the relevant jurisdiction.

The award in 24-01711 thus demonstrates that even in the context of GWG L Bond cases -- where claimants frequently argue for tolling based on delayed discovery of GWG's financial condition -- at least some panels strictly enforce the six-year eligibility rule under Rule 12206 without exception, while carefully preserving the claimants' access to the court system under Rule 12206(b).

Item adversarial_0100 -- case_specific_holding

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: finra_arbitration_expungement_annuity_claims

Fact Pattern

Question / Answer

In FINRA Arbitration Case No. 23-01186 (Coleman v. Brighthouse Securities, Truist Investment Services, and Adams), what specific causes of action did the Claimants actually assert in their amended statement of claim, and notably, which common cause of action in annuity misselling cases was NOT included among them despite the case involving an allegedly improper annuity sale?

Correct Answer: In Case No. 23-01186, the Claimants asserted exactly four causes of action: (1) unjust enrichment, (2) imposition of a constructive trust, (3) breach of duty of reasonable care, and (4) negligence. Notably absent from the Claimants' pleadings was any claim for breach of fiduciary duty, which is one of the most commonly asserted causes of action in FINRA customer arbitrations involving annuity sales and suitability disputes.

This is a significant distinction because breach of fiduciary duty imposes a heightened standard of care -- requiring the representative to act in the client's best interest -- while the causes of action actually pleaded (breach of duty of reasonable care and negligence) are evaluated under a lower standard of ordinary care and reasonableness. The Claimants also pursued equitable remedies (unjust enrichment and constructive trust) rather than the more typical compensatory fraud-based claims.

The absence of a fiduciary duty claim, fraud, or suitability violation from the pleadings may have had significant implications for the panel's analysis and the ultimate outcome. Additionally, Respondent Adams and Truist affirmatively sought expungement of Occurrence Number 2243595 from Adams' CRD records (CRD Number 5048590) as part of their requested relief, which is a specific procedural detail that further defines the contours of this particular arbitration.

Item adversarial_0101 -- temporal_trap

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: expungement_timing_and_ars_global_settlement

Fact Pattern

Question / Answer

In Arbitration No. 17-00146 (Rosenberg v. Wells Fargo Advisors, LLC), the arbitrator specifically noted a procedural fact about Rosenberg's prior expungement history that distinguished his case and supported the recommendation. What was that specific finding, and why would Bloom's 2018 second expungement attempt face a different procedural posture under FINRA Rule 13805 and IM-12000 even though the underlying ARS facts and the Wachovia Global Agreement are identical to Rosenberg's case?

Correct Answer: In Award 17-00146, the arbitrator specifically noted that 'David Rosenberg did not previously file a claim requesting expungement of the same disclosure in the CRD.' This finding was affirmatively documented in the award as part of the 'Other Issues Considered and Decided' section, indicating it was a material consideration in granting the expungement recommendation. The arbitrator treated the absence of a prior expungement attempt as a relevant factor supporting the recommendation.

Bloom's situation is fundamentally different because she had previously filed and lost an expungement arbitration in 2012. Under FINRA's framework, including the principles articulated in Notice to Members 04-16 (which is explicitly referenced in the Rosenberg award) and the evolving guidance around serial expungement requests, a claimant who has already had a full hearing on the merits of expungement and lost faces substantial obstacles to relitigating the same disclosure. FINRA Rule 13805 addresses procedures for requests to vacate or modify awards, not relitigation of the same claim de novo. While there is no absolute statutory bar on a second expungement filing, arbitrators and FINRA's Office of Dispute Resolution scrutinize repeat filings, and the prior denial creates a strong presumption against granting relief on the same occurrence.

Feldstein, by contrast, stands in the same procedural posture as Rosenberg -- first-time expungement request, no prior adjudication, no broker contribution to the global settlement, and no customer opposition -- making the Rosenberg award directly analogous. The temporal trap here is that Bloom cannot simply invoke the Rosenberg precedent or the passage of time to overcome the preclusive effect of her 2012 denial, whereas Feldstein can invoke it because his procedural history mirrors Rosenberg's precisely.

Item adversarial_0102 -- novel_unsettled

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: expungement_multiple_occurrences_non_appearing_respondent

Fact Pattern

Question / Answer

In the Richards expungement proceeding (Case No. 23-02926), Respondent Benchmark Investments, LLC did not file a Submission Agreement or a Statement of Answer. Under the FINRA Code of Arbitration Procedure, on what specific basis did the arbitrator(s) determine that Benchmark was nevertheless bound by the arbitration, and which specific Code provision was cited? Additionally, given that Centaurus--not Claimant--requested that forum fees be assessed against Claimant under Rule 13805(d), what does this reveal about the unsettled question of whether a non-opposing respondent member firm in an expungement proceeding can shift forum costs to the claimant-associated person, and how does the structure of this particular case (associated person vs. members, with one non-appearing respondent) complicate the application of that rule?

Correct Answer: In Case No. 23-02926, the arbitration panel specifically noted that although Benchmark Investments, LLC did not file a properly executed Submission Agreement, Benchmark was 'required to submit to arbitration pursuant to the Code of Arbitration Procedure' and was 'bound by the determination.' This reflects FINRA Rule 13200 (and the parallel provisions in the Industry Code), which mandates that FINRA member firms must arbitrate disputes when required under FINRA rules, regardless of whether they voluntarily execute a Submission Agreement. The compulsory nature of FINRA arbitration for member firms means that Benchmark's non-appearance did not relieve it of being bound by the award.

The forum fee allocation issue is particularly notable and touches on an unsettled area. Centaurus Financial, Inc.--which did not oppose the expungement--nevertheless affirmatively requested in its Statement of Answer that all forum fees be assessed against Claimant Richards under Rule 13805(d) of the FINRA Code of Arbitration Procedure for Industry Disputes. Rule 13805(d) permits the panel to allocate forum fees among the parties, but its application in the context of an associated-person-initiated expungement proceeding where respondent member firms are not opposing the relief is novel. The typical expectation is that the claimant bears forum fees in an expungement action they initiate, but the explicit request by a non-opposing respondent to shift costs raises the question of whether non-opposition is being used strategically--the firm cooperates on the merits to avoid substantive liability exposure while still seeking to externalize procedural costs.

The three-respondent structure with one non-appearing firm (Benchmark) further complicates matters because the non-appearing firm neither consents to nor contests fee allocation, yet remains bound by the proceeding. This creates an asymmetry: the appearing non-opposing respondents can make affirmative procedural requests (like fee-shifting), while the non-appearing respondent cannot, even though all three are identically situated as named respondents in an Industry Code proceeding. The award in 23-02926 thus highlights a gap in FINRA's rules regarding the intersection of compulsory arbitration jurisdiction over non-appearing members and fee allocation in multi-respondent expungement cases.

Item adversarial_0103 -- multi_party_liability

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: expungement_multi_party_liability_non_opposition

Fact Pattern

Question / Answer

In Case No. 22-00456 (Hogarth v. Silver Oak Securities), the arbitrator specifically noted two factual findings about the settlement that supported the expungement recommendation. Applying those same two findings to the Delaney hypothetical: (1) would both findings be satisfied on the facts above, and (2) given that multiple parties -- the broker-dealer Ironclad, the clearing firm Apex, and the referring investment adviser Holt -- each had potential liability exposure in the underlying customer dispute, which of these parties had standing or procedural rights in the FINRA expungement proceeding under the Code of Arbitration Procedure, and what specific procedural mechanism did the arbitrator in Case 22-00456 rely upon to ensure affected non-parties could participate?

Correct Answer: In Case No. 22-00456, the arbitrator made two specific findings about the settlement: (1) that the settlement was NOT conditioned on any party to the settlement not opposing the expungement request, and (2) that the Claimant (Hogarth) did NOT contribute to the settlement amount. Both findings are satisfied in the Delaney hypothetical -- the settlement contained no anti-opposition condition, and Delaney contributed nothing to the \$95,000 settlement paid by Ironclad's E&O carrier.

Regarding multi-party standing in the expungement proceeding: under the FINRA Code of Arbitration Procedure, the expungement case is styled as an 'Associated Person vs. Member' dispute -- meaning Delaney (the associated person) is the Claimant and Ironclad (the member firm) is the sole Respondent. Apex Clearing Corp. and Holt Wealth Advisors have no formal standing as parties in this FINRA expungement proceeding. They were not parties to the underlying settlement, and FINRA's expungement framework under Rule 2080 and the Code does not provide a mechanism for clearing firms or third-party referring advisers to intervene.

The specific procedural mechanism the arbitrator in Case 22-00456 relied upon to protect affected non-parties was the notice-and-opportunity-to-participate framework for the underlying customers. The Claimant served the Customers with the Statement of Claim and notice of the hearing date and time, as confirmed by the arbitrator on August 15, 2022. The arbitrator explicitly found that the Customers had notice of both the expungement request and the hearing. The Customers chose not to participate. This customer-notice procedure -- not any mechanism for other potentially liable entities -- was the sole procedural safeguard relied upon. Neither Apex nor Holt would receive notice or have any right to participate under the procedure described in Case 22-00456.

Item adversarial_0104 -- procedural_technical

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: finra_rule_12212c_dismissal_with_prejudice_for_scheduling_noncompliance

Fact Pattern

Question / Answer

Under the specific FINRA Code provision invoked by the Panel in Case No. 16-02890 (Cottam v. Global Emerging Capital Group), what is the precise rule that authorizes a panel to dismiss a customer's claim with prejudice when both parties fail to comply with a scheduling order, and critically, does this same rule also mandate dismissal of the respondents' affirmative request for CRD expungement? What was the actual disposition of the expungement request in the Cottam award, and how does this differ from what a general practitioner might expect under the principle that a respondent who 'wins' a dismissal typically retains the right to pursue affirmative relief?

Correct Answer: The specific provision is FINRA Rule 12212(c) of the Code of Arbitration Procedure for Customer Disputes. In Case No. 16-02890, the Panel invoked Rule 12212(c) after both parties failed to comply with the Panel's April 2019 Order requiring submission of new hearing dates by April 25, 2019. Importantly, the Panel did not merely dismiss the Claimant's claims--it also dismissed the Respondents' request for expungement of their CRD records with prejudice.

This is the critical and counterintuitive procedural detail: despite the fact that the Respondents effectively 'won' in the sense that Claimant's \$23,125,000 claim was dismissed with prejudice, the Respondents did not get their requested affirmative relief of CRD expungement. The Panel treated the Rule 12212(c) dismissal as a bilateral disposition--both parties' claims and requests for affirmative relief were dismissed with prejudice because both parties failed to comply with the scheduling order. The award explicitly states in paragraph 2: 'Respondents' request for expungement of their CRD records is dismissed with prejudice.'

This outcome reflects the procedural reality that under Rule 12212(c), the Panel's authority to dismiss extends to the entire case, not merely to the claims of the party deemed to be at fault for the delay. Because both parties bore responsibility for failing to submit hearing dates--FINRA had contacted both sides repeatedly--the Panel applied the sanction symmetrically. A general practitioner might assume that when a claimant's case is dismissed, the respondent would at minimum retain the right to pursue expungement, but the Cottam award demonstrates that under Rule 12212(c), noncompliance by all parties results in a complete case disposition adverse to both sides' affirmative requests for relief.

Item adversarial_0105 -- counterintuitive_outcome

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: expungement_no_opposition_associated_person_claim

Fact Pattern

Question / Answer

Under FINRA Rule 2080 and the FINRA Code of Arbitration Procedure, would the arbitration panel in this 'Associated Person vs. Member' proceeding likely recommend expungement of the CRD occurrence, given that (a) the underlying customer claim settled for \$95,000, (b) the associated person contributed nothing to the settlement, (c) the member firm did not oppose expungement, (d) the customer received notice but did not participate, and (e) the settlement was not conditioned on non-opposition to expungement? What specific factual findings from the panel's review of the settlement documents would support or undermine the expungement recommendation, and why does the compliance officer's assumption fail?

Correct Answer: Based on the specific procedural framework demonstrated in FINRA Arbitration No. 20-00626 (Dainard v. TD Ameritrade, Inc.), the panel would very likely recommend expungement under these circumstances. Under FINRA Rule 2080 and Rule 12805 of the Code of Arbitration Procedure, an expungement panel is required to review the settlement documents, consider the amount of payments made to any party, and consider other relevant terms and conditions of the settlement. However, these are factors to be weighed -- not automatic bars. The panel in Case No. 20-00626 explicitly reviewed the settlement documents, considered the settlement payments, and still recommended expungement.

Critically, the panel in Case No. 20-00626 made two specific factual findings that supported expungement even in the presence of a settlement: (1) the settlement was not conditioned on any party not opposing the expungement request, and (2) the claimant (associated person) did not contribute to the settlement amount. These two findings -- drawn from the panel's mandatory review of settlement terms -- effectively severed the inference that the settlement reflected personal culpability on the part of the associated person. The panel relied on the claimant's credible testimony, the customer's own deposition testimony, and the documentary record to conclude that the CRD disclosure was eligible for expungement under FINRA Rule 2080(b)(1) grounds.

The compliance officer's assumption fails because it conflates a firm-level settlement decision (often driven by litigation economics, insurance coverage, and business considerations) with an adjudication of the associated person's individual conduct. FINRA's expungement framework -- as applied in this specific case -- explicitly contemplates that a panel can recommend expungement even after a substantial settlement, provided the panel conducts the required review and finds that the associated person bore no personal financial responsibility for the settlement and the settlement terms did not implicitly trade expungement rights for settlement consideration. The 'Associated Person vs. Member' procedural posture itself -- where the AP files against the firm, not the customer -- is a recognized mechanism under FINRA rules for seeking expungement post-settlement, and the firm's non-opposition, while not dispositive, is consistent with the firm's acknowledgment that the settlement was a business decision unrelated to the AP's culpability.

Item adversarial_0106 -- rule_conflict

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: order_ticket_team_assignment_recordkeeping_conflict

Fact Pattern

Question / Answer

Under the specific language of SEC Rule 17a-3(a)(6)/(a)(7) as described in the 2003 Amended Recordkeeping Requirements Checklist and the SEC's Interpretive Release (Rel. No. 34-47910), does Meridian's team-name-on-ticket-plus-companion-record approach satisfy the order memorandum requirements, or does the fact that the firm's OMS IS capable of recording the individual accepting the order disqualify the firm from using the companion record exception? Specifically, how does the note regarding electronic systems 'not capable of receiving an entry' interact with the SEC's separate guidance in Question and Answer 7, Part A of the Interpretive Release permitting team identification with a companion record?

Correct Answer: The regulatory framework here creates a critical distinction between two separate provisions. First, the note to Rule 17a-3(a)(6)/(a)(7) as reproduced in the 2003 Checklist provides that the memorandum 'need not show the identity of any person, other than the associated person responsible for the account, who may have entered or accepted the order if the order is entered into an electronic system that generates the memorandum and if that system is not capable of receiving an entry of the identity of any person other than the responsible associated person.' This narrow exception applies ONLY when the system has a technical limitation -- it cannot record additional persons beyond the responsible AP. In that specific scenario, the firm must produce a separate record identifying each other person upon request by a regulatory authority.

However, the SEC's Interpretive Release (Rel. No. 34-47910, May 29, 2003), specifically Question and Answer 7, Part A, addresses a DIFFERENT scenario: it states that 'a broker/dealer that has assigned a team of associated persons to a customer's account may record the identity of the team on the order ticket, provided it creates and maintains a companion record that can be used to identify the associated person that entered that order.' Critically, this guidance does NOT contain the same 'system not capable' limitation. It is a standalone interpretive position that permits team recording with a companion record regardless of system capability. The companion record 'would be part of the firm's order ticket records and must be maintained, preserved, and available for examination in the same manner as the firm's order tickets.'

Therefore, Meridian's approach -- recording the team name on the order ticket and maintaining a companion spreadsheet identifying the individual who entered each order -- is consistent with the SEC's Interpretive Release guidance in Q&A 7, Part A, even though the OMS is technically capable of recording the individual's identity. The FINRA examiners' argument conflates the narrow 'system not capable' exception in the rule's note with the broader team-assignment guidance in the Interpretive Release, which are two distinct provisions addressing two distinct scenarios. However, FINRA Rule 3110's independent supervisory obligations may still require the firm to demonstrate that its supervisory system can adequately identify and supervise individual associated person activity, which could require the companion record to be more immediately accessible than a shared compliance drive spreadsheet.

Item adversarial_0107 -- precise_threshold

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: finra_rule_2111_institutional_suitability_exemption

Fact Pattern

Question / Answer

Under FINRA Rule 4512(c), which defines 'institutional account' for purposes of the Rule 2111(b) institutional-customer suitability exemption, what is the precise total assets threshold that applies to entities such as banks, savings and loan associations, insurance companies, and registered investment companies -- and based on that threshold, which of the three clients does NOT qualify as an institutional account, thereby requiring Kwon to have performed customer-specific suitability analysis regardless of any affirmative indication of independent judgment?

Correct Answer: FINRA Rule 4512(c) defines an 'institutional account' as the account of a bank, savings and loan

association, insurance company, registered investment company, registered investment adviser, or any other person (whether a natural person, corporation, partnership, trust, or otherwise) with total assets of at least \$50 million. The \$50 million threshold is the precise numerical cutoff that applies to entities that do not fall into one of the specifically enumerated categories (banks, S&Ls, insurance companies, registered investment companies, or registered investment advisers).

Applying this definition: Greenfield Municipal Employees' Pension Fund, with \$48 million in total assets, does not fall into any of the specifically enumerated entity categories (it is a governmental pension plan, not a bank, S&L, insurance company, registered investment company, or registered investment adviser), and its \$48 million in assets falls below the \$50 million threshold. Therefore, it does NOT qualify as an institutional account under Rule 4512(c), and the institutional-customer exemption under Rule 2111(b) is unavailable. Kwon was required to perform customer-specific suitability analysis for Greenfield.

Lakeshore Community Credit Union, although it has only \$9.5 million in assets, may arguably qualify as a 'bank' or bank-equivalent under the enumerated categories (credit unions are often treated as bank equivalents, though this is debatable). However, even if Lakeshore qualifies as an institutional account by entity type, the two-prong test under Rule 2111(b) still requires that the institution affirmatively indicate it is exercising independent judgment -- which Sandra Okonkwo did in writing. Apex Growth Fund LLC, with \$52 million in assets, meets the \$50 million threshold, but the institutional-customer exemption under Rule 2111(b) additionally requires an affirmative indication that the customer is exercising independent judgment. Marcus Chen's verbal statement, without written confirmation, raises questions about whether the affirmative indication requirement was adequately documented, though the rule does not explicitly mandate that the indication be in writing. The compliance department's decision to flag only Lakeshore and clear Greenfield was therefore incorrect -- Greenfield was the most clearly problematic account.

Item adversarial_0108 -- case_specific_holding

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: bx_books_records_nasd_consolidation

Fact Pattern

Question / Answer

Under SEC Release No. 34-91370, what procedural mechanism did Nasdaq BX, Inc. use to implement the proposed rule change in SR-BX-2021-006 -- specifically, was it filed for immediate effectiveness or did it require a full notice-and-comment approval process -- and what was the specific statutory basis under the Securities Exchange Act of 1934 that the Exchange relied upon for filing the rule change?

Correct Answer: According to SEC Release No. 34-91370, published in the Federal Register on March 25, 2021 (Vol. 86, No. 56), the proposed rule change SR-BX-2021-006 was filed for immediate effectiveness. The title of the release explicitly states it is a 'Notice of Filing and Immediate Effectiveness of Proposed Rule Change.' This means the rule change did not go through a full notice-and-comment approval cycle before taking effect -- it became operative upon filing with the SEC on March 8, 2021.

The Exchange filed the proposed rule change pursuant to Section 19(b)(1) of the Securities Exchange Act of 1934 (15 U.S.C. § 78s(b)(1)) and Rule 19b-4 thereunder (17 CFR 240.19b-4). These are the standard provisions governing self-regulatory organization rule changes filed with the SEC. The immediate effectiveness designation indicates that the Exchange likely relied on Section 19(b)(3)(A) of the Exchange Act, which permits certain categories of proposed rule changes -- such as those that do not significantly affect the protection of investors or the public interest -- to become effective upon filing rather than requiring affirmative Commission approval.

For Meridian's situation, this means that as of March 8, 2021, the updated BX rulebook provisions replacing NASD references with FINRA citations were already in effect. By the time of the January 2022 examination, Meridian's WSPs referencing 'NASD Rule 3110' were referencing an outdated provision that had been formally superseded in the Exchange's rulebook for approximately ten months. While the substantive recordkeeping requirements may not have changed, the Exchange's rulebook no longer carried the NASD nomenclature, and Meridian's failure to update its WSPs to reflect current rule citations could constitute a supervisory procedures deficiency.

Item adversarial_0109 -- temporal_trap

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: suitability_rule_transition_consolidated_rulebook

Fact Pattern

Question / Answer

Given that the proposed rule change SR-2010-039 was filed on July 30, 2010, and FINRA Rule 2111 was proposed to replace both NASD Rule 2310 and incorporate obligations previously found in NYSE Rule 405, what is the precise regulatory significance of the July 30, 2010 filing date for Bayside's defense? Specifically, could Bayside successfully argue that FINRA Rule 2111(b)'s explicit three-component suitability framework (including quantitative suitability) created a genuinely new obligation that did not exist under NASD Rule 2310, thereby shielding Marcus's pre-effective-date trading from the quantitative suitability analysis -- or did FINRA's own SR-2010-039 filing characterize the quantitative suitability obligation differently?

Correct Answer: Bayside's defense would likely fail. In SR-2010-039, filed July 30, 2010, FINRA explicitly characterized proposed Rule 2111 as a consolidation and codification of existing suitability obligations, not the creation of new ones. The filing's purpose -- as stated in the Form 19b-4 description -- was to 'Adopt FINRA Rules 2090 (Know Your Customer) and 2111 (Suitability) in the Consolidated FINRA Rulebook,' replacing legacy NASD and NYSE rules. FINRA's position throughout the rulemaking process was that quantitative suitability (excessive trading) was already an implicit component of the suitability obligation under NASD Rule 2310, and that Rule 2111(b) merely made explicit what was previously enforced through case law and disciplinary precedent under the older rule.

The July 30, 2010 filing date is significant because it establishes that FINRA itself, in its own contemporaneous regulatory submission to the SEC, framed Rule 2111 as a consolidation rather than an expansion. This means that Bayside cannot credibly argue it lacked notice that quantitative suitability was an enforceable obligation prior to Rule 2111's effective date. FINRA enforcement has

historically brought excessive trading cases under NASD Rule 2310 and its predecessors, and the quantitative suitability prong of Rule 2111(b) was expressly described in the filing as codifying this existing jurisprudence.

Therefore, Marcus's trading from March 2010 through July 8, 2012 would be evaluated under NASD Rule 2310, which FINRA would argue encompassed quantitative suitability as an implied component, while trading from July 9, 2012 onward would be evaluated under Rule 2111(b)'s explicit three-part framework. The practical outcome for the respondents would be the same: liability for excessive trading across the entire period, because the underlying obligation did not materially change -- it was merely reorganized and made textually explicit in the consolidated rulebook.

Item adversarial_0110 -- novel_unsettled

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: reg_bi_suitability_carveout_ai_robo_recommendations

Fact Pattern

Question / Answer

Under FINRA Regulatory Notice 20-18's amended framework for Rule 2111, which became effective June 30, 2020, does Rule 2111 or Reg BI govern PinnacleAI's recommendations to the 14,000 retail brokerage customers, and what is the precise textual basis in the amended rule for that determination? Separately, what standard applies to the 6,200 institutional accounts, and why does Pinnacle's CCO's argument that AI-generated recommendations fall outside Reg BI's scope fail to resolve the compliance gap for either population?

Correct Answer: Under Regulatory Notice 20-18, FINRA amended Rule 2111 to state that it 'does not apply to recommendations that are subject to Reg BI.' Reg BI applies to any recommendation of a securities transaction or investment strategy involving securities made to a 'retail customer'--defined under SEC Rule 15l-1 as a natural person or the legal representative of a natural person who receives and uses the recommendation primarily for personal, family, or household purposes. Because Pinnacle's 14,000 retail brokerage customers are natural persons receiving personalized securities recommendations in a commission-based brokerage context, those recommendations are squarely 'subject to Reg BI,' and therefore Rule 2111 does not apply to them by the express terms of the June 30, 2020 amendment. Pinnacle's WSPs are fundamentally deficient in citing only Rule 2111 for this population; the firm must comply with Reg BI's Care Obligation, Disclosure Obligation, Conflict of Interest Obligation, and Compliance Obligation for these retail recommendations.

For the 6,200 institutional accounts--pension plans, family offices above \$50 million, and registered investment companies--these entities do not meet the Reg BI definition of 'retail customer.' Consequently, their recommendations are not 'subject to Reg BI,' and the amended Rule 2111 continues to apply to them in full force. The Notice explicitly states that FINRA amended Rule 2111 only to carve out recommendations that are subject to Reg BI, meaning Rule 2111 remains the operative standard for all non-retail-customer recommendations.

The CCO's argument that AI-generated recommendations are not recommendations by an 'associated person' does not resolve the compliance gap for either population. Regulatory Notice

20-18 references recommendations made by 'a broker-dealer or associated person,' and FINRA has consistently held that a broker-dealer's systems and technology platforms that generate personalized recommendations are attributable to the firm itself. The firm bears the obligation under both Reg BI and Rule 2111 regardless of whether the recommendation originates from a human or an algorithm. Thus, for retail customers, Reg BI applies to the firm-level recommendation; for institutional customers, Rule 2111 applies. Pinnacle's failure to update its gap analysis after PinnacleAI's 2024 launch represents a supervisory deficiency under Rule 3110, as its WSPs do not accurately reflect the applicable regulatory framework for either customer population.

Item adversarial_0111 -- multi_party_liability

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: multi_party_suitability_liability_investment_strategy

Fact Pattern

Question / Answer

Under the consolidated FINRA rulebook as implemented on July 9, 2012, FINRA Rule 2111 expressly identifies three distinct suitability obligations. For Townsend's blanket strategy recommendation, which specific suitability obligation under Rule 2111 was violated by his failure to perform individualized client analysis, and -- critically -- does this obligation apply to the 'investment strategy involving a security or securities' language added by the consolidated rule? Additionally, as between Greenleaf (the broker-dealer), OSJ supervisor Nolan, Townsend individually, and Apex Wealth Advisors, which parties bear liability under FINRA Rules 2111, 2330, and 3110 respectively, and why does FINRA's guidance in Regulatory Notice 11-25 regarding the scope of the 'investment strategy' language alter the liability analysis for the supervisor and the firm compared to pre-consolidation standards?

Correct Answer: FINRA Rule 2111 as implemented July 9, 2012, codifies three distinct suitability obligations: (a) reasonable-basis suitability (requiring the firm or associated person to perform reasonable diligence to understand the product or strategy), (b) customer-specific suitability (requiring a reasonable basis to believe the recommendation is suitable for the particular customer based on that customer's investment profile), and (c) quantitative suitability (addressing excessive trading). Townsend's blanket white paper approach -- applying a single analysis to all 47 retirees without individualized review -- directly violated customer-specific suitability under Rule 2111(a). Critically, Regulatory Notice 11-25 clarified that the consolidated rule's explicit inclusion of 'investment strategy involving a security or securities' expanded the scope of suitability obligations beyond individual transaction recommendations. This means Townsend's overarching strategy of liquidating diversified portfolios and concentrating into a single variable annuity product triggers customer-specific suitability at the strategy level -- not merely at the product level -- which was a new or modified obligation under the consolidated rule that did not exist as explicitly under the predecessor NASD Rule 2310.

As to multi-party liability: Townsend bears primary liability under Rule 2111 for failing to perform customer-specific suitability for each client. Greenleaf, the broker-dealer, bears independent liability under both Rule 2111 (the rule applies to 'a member or associated person') and Rule 2330, which imposes specific principal review and approval requirements for variable annuity transactions -- including that a registered principal must determine whether the customer has been informed of the product's features, that the customer would benefit from the annuity, and that the specific annuity is

suitable. Under Rule 2330(b), a registered principal (here, Nolan) must review and approve each recommended VA transaction based on the customer-specific information required under Rule 2111. Nolan's reliance on a blanket white paper, without verifying individualized investment profiles, constitutes a failure of principal review under Rule 2330(b) and a supervisory failure under Rule 3110(a), which requires each member to establish and maintain a supervisory system reasonably designed to achieve compliance with applicable securities laws and rules. Greenleaf's WSPs required individualized documentation, but Nolan's failure to enforce those procedures creates firm-level liability under Rule 3110(b) for failure to enforce written supervisory procedures.

Apex Wealth Advisors, as a state-registered investment adviser, is not a FINRA member and therefore is not subject to FINRA Rules 2111, 2330, or 3110. FINRA has no jurisdiction over Apex directly. However, Apex may face separate liability under state fiduciary standards or the Investment Advisers Act depending on its supervisory obligations over dual-registered persons. Pinnacle Annuity Solutions, as the insurance company manufacturer, is likewise outside FINRA's enforcement jurisdiction for suitability -- FINRA's rules place the suitability and supervisory obligation squarely on the member firm and its associated persons.

Item adversarial_0112 -- procedural technical

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: remote_inspections_pilot_program_eligibility_and_sunset

Fact Pattern

Question / Answer

Under FINRA Rule 3110.18(a) as set forth in Regulatory Notice 24-02 Attachment A, on what specific procedural-technical ground were the remote inspections conducted by Meridian prior to July 1, 2024 non-compliant with the Remote Inspections Pilot Program, and what is the precise date-based requirement that controls this analysis?

Correct Answer: Under Rule 3110.18(a), the Remote Inspections Pilot Program covers required inspections 'for a period of three years starting on July 1, 2024.' The rule text explicitly defines the 'pilot period' as commencing on July 1, 2024 and expiring on June 30, 2027. Therefore, any remote inspections conducted before July 1, 2024 could not have been conducted under the authority of the pilot program, because the program had not yet begun.

Meridian conducted four branch office remote inspections between May 20, 2024 and June 15, 2024--all prior to the July 1, 2024 start date. These inspections were procedurally non-compliant because there was no regulatory authority under Rule 3110.18 to conduct remote inspections before the pilot period commenced. Additionally, at least one of the six non-branch location inspections (conducted on June 3, 2024) also predated the pilot period start date and would similarly be non-compliant.

The firm's obligation under Rule 3110(c)(1) to conduct inspections of OSJs, branch offices, and non-branch locations continued to require on-site inspections until the pilot program became operative on July 1, 2024. The rule further provides that if the pilot period is not extended or Rule 3110.18 is not approved as permanent by the Commission, the Supplementary Material 'will

automatically sunset on June 30, 2027,' and members 'will not be able to participate in the Remote Inspections Pilot Program after such date.' This demonstrates the temporal precision built into the rule--participation is bounded on both ends by specific dates, and the July 1, 2024 start date is a hard procedural prerequisite for eligibility.

Item adversarial_0113 -- counterintuitive_outcome

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: short_interest_reporting_wrong_exchange_code

Fact Pattern

Question / Answer

Garrison Capital Securities submitted its short interest report on time and included all required short positions, but used exchange/market code 'S' instead of 'H' for three BATS Exchange-listed securities. Given that the RFA system automatically rejected those positions and the firm did not resubmit with the correct code, did the firm's original timely submission constitute compliance with FINRA Rule 4560, and what is the specific mechanical reason the firm's substantial compliance argument fails?

Correct Answer: Garrison Capital's substantial compliance argument fails because of the specific automated rejection mechanism built into FINRA's RFA system for short interest filings. Under Regulatory Notice 11-55 (effective December 15, 2011), when a firm appends an exchange/market code other than 'H' for a short position in a security for which the BATS Exchange is the primary U.S. market, the RFA system will automatically reject the short position and remove it from the firm's short interest filing. This is not a soft error or a warning -- the system mechanically excises the position from the filing entirely.

As a result, Garrison's filing as actually processed by FINRA did not contain the three BATS-listed short positions at all. The firm's obligation under Rule 4560 is to report short interest positions in all equity securities. Even though the firm attempted to include those positions, the automatic rejection meant the positions were never part of the official filing. Regulatory Notice 11-55 explicitly states that 'the firm will be required to resubmit the symbol with the proper exchange/market code' and that '[f]ailure to do so will cause the position to be omitted from the firm's short interest filing with FINRA and may result in a violation of FINRA Rule 4560.'

This is the counterintuitive outcome: a firm that timely submits all positions in good faith can still be in violation of Rule 4560 -- not because of a late filing or a deliberate omission, but because the RFA system's automated code-validation mechanism silently strips positions with incorrect exchange/market codes, placing an affirmative obligation on the firm to monitor for rejections and resubmit with the correct code. The firm's failure to resubmit with code 'H' -- not the original submission error -- is what transforms the filing deficiency into a potential Rule 4560 violation.

Item adversarial_0114 -- rule_conflict

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: reg_bi_vs_finra_2111_legal_representative_scope

Fact Pattern

Question / Answer

Under the specific language of Reg BI's 'retail customer' definition as articulated in FINRA's Reg BI and Form CRS Firm Checklist, does the legal representative carve-out exclude this transaction from Reg BI when the legal representative (Margaret Hollis) is a registered investment adviser acting in her professional capacity as a conservator -- and if Reg BI does NOT apply, which specific FINRA rule obligation still governs the recommendation, and how does the standard of that rule differ from Reg BI's Care Obligation with respect to the requirement to consider reasonably available alternatives?

Correct Answer: Under the precise language reproduced in FINRA's Reg BI and Form CRS Firm Checklist, the definition of 'retail customer' includes 'a natural person, or the legal representative of such person.' However, the checklist explicitly states that the term 'legal representative' includes only 'non-professional legal representatives of such a natural person, e.g., a non-professional trustee that represents the assets of a natural person.' It further specifies that 'Reg BI would not apply when the legal representative is acting in a professional capacity as a regulated financial services industry professional retained to exercise independent professional judgment. Therefore, recommendations to registered IAs and BDs or corporate fiduciaries would not trigger Reg BI.' Because Margaret Hollis is a registered investment adviser acting in her professional capacity as conservator and exercising independent professional judgment, the transaction falls within this carve-out, and Reg BI does NOT apply to the recommendation made to Margaret.

However, FINRA Rule 2111 (Suitability) still independently applies to the recommendation. Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe a recommendation is suitable for the customer based on the customer's investment profile. Critically, FINRA Rule 2111 does not impose Reg BI's specific Care Obligation requirement under SEA Rule 15l-1(a)(2)(ii) to evaluate 'reasonably available alternatives' offered by the broker-dealer when making a recommendation. Under the pre-Reg BI suitability framework of Rule 2111, the associated person must conduct reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the customer's profile), and quantitative suitability (ensuring no excessive trading), but there is no express regulatory mandate to perform a comparative analysis of alternative securities or investment strategies. This is the key divergence: Reg BI's Care Obligation explicitly requires considering reasonably available alternatives, while FINRA Rule 2111 does not contain this specific requirement.

Therefore, Greenleaf's position was correct -- Reg BI did not apply, no Form CRS delivery was required for this transaction, and the recommendation was properly governed by FINRA Rule 2111 suitability. However, the firm was still obligated to comply with FINRA Rule 2330's principal review requirements for the annuity component and Rule 3110's general supervisory obligations.

Item adversarial_0115 -- precise_threshold

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: gwg_l_bond_concentration_limits_state_enforcement

Fact Pattern

Question / Answer

Under DH Hill Securities' written supervisory procedures as described in the state enforcement order, what were the specific concentration guideline ranges for individual investments in non-traded alternative products (such as the L Bonds) during each of the two relevant time periods, what was the date on which the guideline changed, and--applying those specific thresholds--which of Colson's two L Bond purchases (March 2018 or April 2019) would have exceeded the firm's own applicable guideline at the time of the transaction?

Correct Answer: According to the state disciplinary order against DH Hill Securities, from June 2016 through May 2018, the firm's written supervisory procedures included a guideline stating that individual investments in non-traded alternative products, such as the L Bonds, should be limited to four to ten percent (4%-10%) of a client's net worth. In May 2018, this guideline was tightened to a range of four to six percent (4%-6%) of a client's net worth.

Colson's first purchase in March 2018 of \$72,000 represented 6% of her \$1,200,000 net worth. Because this purchase occurred before the May 2018 revision, the applicable guideline was the 4%-10% range. A 6% concentration fell within this range, so the first purchase did not exceed the firm's own internal guideline at the time it was made.

Colson's second purchase in April 2019 brought her total L Bond concentration to \$120,000, or 10% of her net worth. By April 2019, the revised 4%-6% guideline was in effect (having been adopted in May 2018). A 10% concentration significantly exceeded the upper bound of the 4%-6% guideline. Therefore, the April 2019 purchase violated DH Hill's own written supervisory procedures as they existed at the time of the transaction. This failure to enforce its own internal concentration limits is precisely the type of supervisory deficiency cited by the state regulator in its enforcement action against the firm.

Item adversarial_0116 -- case_specific_holding

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: reg_bi_fiduciary_interpretation_solely_incidental_scope

Fact Pattern

Question / Answer

Under the SEC's June 5, 2019 Fiduciary Interpretation--one of the four components of the regulatory package adopted in a divided 3-1 vote pursuant to Section 913(f) of the Dodd-Frank Act--the Commission articulated the investment adviser's fiduciary duty using a specific formulation. What exact standard did the Commission use to describe an investment adviser's duty regarding the prioritization of interests, how did the Commission explicitly distinguish this from the Reg BI broker-dealer standard, and critically, does the 2019 package contain any express preemption provision that would prevent Massachusetts from applying a more stringent state-level fiduciary standard to Greenfield's conduct?

Correct Answer: The SEC's Fiduciary Interpretation, adopted as part of the June 5, 2019 package, specifically reaffirmed and clarified that an investment adviser 'must not place its own interest ahead of its client's interests.' This formulation applies to all investment advisers regardless of whether they are registered and regardless of whether they have retail customers, making it broader in application scope than Reg BI, which applies only to broker-dealer recommendations to 'retail customers.' The Commission deliberately used parallel but distinct language: Reg BI requires broker-dealers to act in the 'best interest' of the retail customer 'without placing their own financial or other interests ahead of the customer's interest,' while the Fiduciary Interpretation uses the 'must not place its own interest ahead of its client's interests' formulation rooted in the existing common law fiduciary duty under the Advisers Act.

Critically, the 2019 regulatory package was adopted pursuant to the discretionary rulemaking authority granted in Section 913(f) of the Dodd-Frank Act, which authorizes the SEC to 'commence a rulemaking, as necessary or appropriate to the public interest and for the protection of retail customers' to 'address the legal or regulatory standards of care for brokers, dealers... [and] persons associated with brokers or dealers.' The package does not contain an express federal preemption provision. The SEC chose to preserve the existing regulatory architecture rather than create a uniform federal standard that would displace state authority. Massachusetts would therefore retain concurrent authority to apply its own, potentially more stringent, fiduciary standard to Greenfield's conduct.

Additionally, the Solely Incidental Interpretation acknowledged that reliance on the broker-dealer exclusion from the definition of 'investment adviser' under the Advisers Act 'permits broker-dealers to provide substantial amounts of investment advice,' while also setting 'clear limits to this exclusion.' This acknowledgment would support Massachusetts's argument that Greenfield's account-type recommendation involved advisory activity subject to fiduciary scrutiny at both the federal and state level.

Item adversarial_0117 -- temporal_trap

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: minimum_commission_temporal_trap_state_enforcement

Fact Pattern

Question / Answer

Under the Massachusetts Securities Division's approach as reflected in its 2023 consent order against Raymond James (Docket No. E-2023-0041), why does Greenfield's argument that pre-Reg BI conduct cannot be reached fail, and what specific temporal boundary did the Division establish for its investigation that captures conduct predating Reg BI's June 30, 2020 effective date? Additionally, what was the approximate scale of the comparable enforcement action that demonstrates the Division's willingness to pursue unreasonable commission claims for pre-Reg BI periods under state law authority?

Correct Answer: Greenfield's argument fails because the Massachusetts Securities Division's enforcement authority over unreasonable commissions derives from the Massachusetts Uniform Securities Act (Mass. Gen. Laws c. 110A) and its implementing regulations (950 Code Mass. Regs. 10.01-14.413), not

from SEC Regulation Best Interest. The consent order in the Raymond James matter (Docket No. E-2023-0041) establishes that the Division's relevant time period ran from approximately July 1, 2018, to the present -- a full two years before Reg BI's June 30, 2020 effective date. This demonstrates that the Division considers the obligation to charge fair and reasonable commissions on equity transactions to be an independent state-law requirement that existed well before Reg BI.

The Raymond James consent order specifically found that the respondents charged unreasonable commissions on approximately 270,000 low-principal equity transactions nationwide over the past five years, totaling over \$8,250,000. The Division acted as a lead state in a coordinated multi-state investigation, and the enforcement theory was grounded in the state's own statutory framework -- not in any federal standard. The tiered commission schedule, including a minimum commission of \$75 for certain equity buy and sell transactions, was found to result in unreasonable effective commission rates on low-principal trades regardless of whether Reg BI had been adopted.

Thus, Greenfield cannot shield its July 2018 through June 2020 conduct by arguing that Reg BI had not yet taken effect. The Massachusetts Division's approach explicitly encompasses pre-Reg BI conduct dating to July 1, 2018, and the state's independent authority to police unreasonable commissions under its own securities laws means that the fairness obligation applied throughout the entire relevant time period. The \$8.25 million, 270,000-transaction scale of the Raymond James action demonstrates the Division's capacity and willingness to pursue these claims aggressively on a nationwide basis using state-law theories that federal regulators did not independently pursue.

Item adversarial_0118 -- novel_unsettled

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: cftc_fsap_self_assessment_scope_and_state_enforcement_gap

Fact Pattern

Question / Answer

Given that the CFTC's July 2019 FSAP self-assessment explicitly states it covers only a specific subset of IOSCO Principles and contains a detailed disclaimer about its non-binding nature, can Greenfield successfully invoke the self-assessment's coverage of Principles 29-32 (which the document limits to 'market intermediaries that are direct participants in trading venues, providers of direct electronic access to such venues and/or first tier direct electronic access clients, and operators of trading venues') to argue that federal oversight is comprehensive enough to preempt Illinois's state securities enforcement action against its tokenized commodity contracts?

Correct Answer: No. Greenfield's argument fails on multiple grounds rooted in the specific text of the CFTC's FSAP self-assessment. First, the self-assessment document itself contains an express disclaimer stating that the responses 'are not rules, regulations, or statements of the CFTC' and that 'the CFTC has neither approved nor disapproved these responses.' The document further warns that its contents 'should not be deemed to constitute interpretive advice by the staff of the CFTC or be used or relied upon for legal purposes.' A document that explicitly disclaims legal authority cannot serve as the basis for a federal preemption argument, which requires affirmative federal regulatory occupation of a field.

Second, and critically, the self-assessment's coverage of Principles 29-32 is expressly limited in scope to 'market intermediaries that are direct participants in trading venues, providers of direct electronic access to such venues and/or first tier direct electronic access clients, and operators of trading venues.' Greenfield's FarmTokens were offered directly to retail investors via a mobile application, not through a designated trading venue, and Greenfield was not a registered market intermediary or operator of a trading venue. The very specificity of the CFTC's self-assessed scope under Principles 29-32 demonstrates that Greenfield's activities would fall outside the subset of regulatory coverage the CFTC chose to self-assess for FSAP purposes.

Third, the CEA's savings clause (7 U.S.C. § 16(e)) generally preserves state jurisdiction over fraud-based claims, and the CFTC's self-assessment--prepared 'solely for purposes of the IMF's 2020 Financial Sector Assessment Program'--cannot expand the preemptive scope of federal commodity law beyond what Congress enacted. Illinois retains authority under state securities laws to pursue unregistered offerings, and the CFTC's FSAP document, which explicitly covers only a subset of IOSCO Principles and disclaims binding effect, provides no basis for preemption. The state enforcement action may proceed concurrently with any CFTC action.

Item adversarial_0119 -- multi_party_liability

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: non_traded_reit_multi_party_liability_concentration_limits

Fact Pattern

Question / Answer

Under the proposed revisions to the NASAA Statement of Policy Regarding Real Estate Investment Trusts (as described in the July 2022 Request for Public Comment), which of the four parties--Oakwood Capital Partners (the broker-dealer), NorthStar Capital Management (the sponsor/external adviser), Pinnacle Fund Services (the transfer agent), or Daniel Firth (the registered representative)--bears primary liability for the concentration limit violation, and specifically: (a) what new provision in the revised REIT Guidelines creates the concentration limit obligation, (b) how does the revised Guidelines' dual incorporation of both the suitability standard AND Reg BI best interest standard affect the broker-dealer's defense that federal Reg BI compliance is sufficient, and (c) does the fact that the offering circular's suitability section did not include the concentration limit relieve any of the parties given NASAA's proposed revision framework?

Correct Answer: Under the proposed revisions to the NASAA REIT Guidelines described in the July 2022 Request for Public Comment, the broker-dealer (Oakwood Capital Partners) and its associated person (Daniel Firth) bear primary liability. The key provision is Proposed Revision (3)--the addition of a new standardized concentration limit to the suitability section of the REIT Guidelines. This is one of the four enumerated primary revisions, and it operates at the state merit review level, meaning it governs the terms under which non-traded REITs may be offered and sold in states that have adopted the NASAA Guidelines. The concentration limit is embedded in the suitability section of the Guidelines, which directly governs the conduct of persons selling or recommending the program's shares--i.e., the broker-dealer and its registered representatives.

Critically, Proposed Revision (1) supplements the existing suitability standard with references to the

new Reg BI best interest conduct standard. The July 2022 Request explicitly states that the revision 'formally incorporat[es] into the guidelines this new conduct standard' alongside the existing suitability framework. This means the revised Guidelines do not treat Reg BI as a replacement for state-level suitability and concentration requirements--they layer federal Reg BI on top of the NASAA suitability provisions, including the new concentration limit. Oakwood's defense that federal Reg BI compliance is sufficient therefore fails: the revised NASAA Guidelines explicitly contemplate a dual-standard regime where Reg BI compliance is necessary but not sufficient, because the state-level concentration limit is an additional, independent requirement within the suitability section that Reg BI does not address.

The sponsor (NorthStar) and transfer agent (Pinnacle) have limited but not zero exposure. The offering circular's suitability section is expected to reflect the NASAA Guidelines' requirements, including the new concentration limit, as a condition of state registration or merit review approval. If Ohio adopted the revised Guidelines including Revision (3), then the offering circular should have been updated to include the concentration limit. NorthStar, as the sponsor who prepared the offering circular, could face secondary liability for failing to include the concentration limit in the prospectus suitability section. However, the primary conduct obligation falls on the selling broker-dealer and its representative, because the REIT Guidelines' suitability section--including the concentration limit--expressly governs 'the standard of conduct that applies to persons selling or recommending the program's shares.' Pinnacle's defense is strongest: as transfer agent, it processes subscriptions based on eligibility criteria stated in the offering circular, and concentration monitoring is outside its contractual and regulatory scope under the NASAA framework.

Item adversarial_0120 -- procedural_technical

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: iosco_principles_regulatory_cooperation_procedural_requirements

Fact Pattern

Question / Answer

Under the IOSCO Objectives and Principles of Securities Regulation (May 2003), which specific numbered principles address information sharing between regulators, and critically, do those principles draw a distinction between sharing public versus non-public information -- and if so, which principle(s) specifically reference non-public information sharing? Additionally, how many total principles does the document enumerate, and into how many categories are they organized?

Correct Answer: The IOSCO Objectives and Principles of Securities Regulation (May 2003) enumerates exactly 30 principles organized into eight categories. The principles specifically addressing information sharing between regulators fall under Category D, 'Principles for Cooperation in Regulation,' which contains Principles 11, 12, and 13.

Critically, the IOSCO framework does explicitly distinguish between public and non-public information. Principle 11 states that 'the regulator should have authority to share both public and non-public information with domestic and foreign counterparts.' Principle 12 further specifies that 'regulators should establish information sharing mechanisms that set out when and how they will

share both public and non-public information with their domestic and foreign counterparts.' Both Principles 11 and 12 use the precise phrase 'both public and non-public information,' making an explicit textual distinction. Principle 13 addresses the broader obligation that 'the regulatory system should allow for assistance to be provided to foreign regulators who need to make inquiries in the discharge of their functions and exercise of their powers,' but does not itself use the public/non-public distinction.

Therefore, Halloran's office can cite Principles 11 and 12 specifically in responding to both the Cayman and Singaporean regulators, because those principles expressly contemplate the sharing of non-public information. The Cayman regulator's hesitation about sharing non-public information is directly addressed by Principle 11's requirement that regulators should have the authority to share non-public information. However, Kessler's counsel is correct that the IOSCO principles are not themselves binding legal instruments -- they are standards and objectives that member jurisdictions commit to implement through their own legal frameworks. The principles do not create independent enforcement authority but serve as interpretive guidance where incorporated by reference, as Arkandale has done.

Item adversarial_0121 -- counterintuitive_outcome

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: state_registered_ia_population_decline_enforcement_gap

Fact Pattern

Question / Answer

Given the NASAA 2024 IA Section Report data showing that the total number of state-registered investment advisers decreased by 166 firms nationwide from 2022 to 2023 while total state-registered IA registrations (including out-of-state) simultaneously increased by 280, and given that Texas was specifically identified as one of the top five states experiencing an increase in state-registered IAs (gaining 14 home-state IAs), how does this specific statistical divergence undermine or support Harmon's argument that Texas's growing IA population justified leniency, and what counterintuitive conclusion does the data support about the relationship between state IA population growth and enforcement intensity?

Correct Answer: The NASAA 2024 IA Section Report reveals a counterintuitive statistical reality that actually undermines Harmon's argument. While the total number of home-state registered IAs decreased by 166 nationwide (from approximately 17,063 to 16,897 as of December 31, 2023), total state-registered IA registrations including out-of-state registrations increased by 280 (to 27,796). This divergence means that while fewer firms existed overall, those remaining firms were registering in more jurisdictions -- expanding their multi-state footprints. Texas specifically was identified as having 4,628 total state-registered IAs (including out-of-state) versus only 1,400 home-state IAs, meaning Texas regulators oversee more than three times as many IAs as are domiciled there.

This data actually supports the counterintuitive conclusion that Texas's position as the #1 state for total IA registrations (4,628) -- despite being only #2 for home-state IAs (1,400) -- means Texas regulators face a disproportionately large supervisory burden from out-of-state advisers registering into Texas. Harmon's argument that Texas's modest home-state growth of 14 IAs stretched

resources is undermined by the fact that the real supervisory challenge comes from the 3,228 out-of-state IAs registered in Texas. The net decrease in nationwide home-state IAs combined with the net increase in total registrations indicates firms are consolidating while expanding geographically, which actually increases the complexity of state oversight rather than diminishing it.

The counterintuitive outcome is that the deficiency-letter resolution in Texas -- seemingly lenient -- may actually reflect a rational triage decision by a regulator overwhelmed not by home-state growth but by the massive influx of out-of-state registrations. Ohio's stricter enforcement, by contrast, occurred in a state with a shrinking IA population (only 396 home-state IAs) where regulators had proportionally more bandwidth per registrant. The data suggests that enforcement intensity may be inversely correlated with total registration burden, not positively correlated with home-state IA growth as Harmon argued.

Item adversarial_0122 -- rule_conflict

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: oral_discretionary_authority_state_vs_federal_conflict

Fact Pattern

Question / Answer

Under NASAA Model Rule USA 2002 502(b)(b), what is the precise deadline for obtaining written discretionary authority after the first transaction placed under oral authorization, and does the rule's application to a federal covered investment adviser like Meridian require a showing of fraudulent or deceptive conduct under NSMIA -- or does the 10-business-day discretionary authority provision apply independently? Specifically, did Ostrowski violate the rule, and can Colorado enforce it against Meridian given its federal covered status?

Correct Answer: Under NASAA Model Rule USA 2002 502(b)(b), an investment adviser must obtain written discretionary authority from the client within ten (10) business days after the date of the first transaction placed pursuant to oral discretionary authority. The only exception is where the discretionary authority relates solely to the price at which, or the time when, an order involving a definite amount of a specified security shall be executed, or both. Here, Ostrowski's oral authority covered the full scope of what to buy and sell -- not merely price or timing of a definite order -- so the exception does not apply. The written authorization was obtained on the 13th business day after the March 4 first trade, which exceeds the 10-business-day deadline by three business days. This constitutes a clear violation of the rule's text.

Critically, the preamble to Rule USA 2002 502(b) explicitly states that its provisions 'apply to federal covered investment advisers to the extent that the conduct alleged is fraudulent, deceptive, or as otherwise permitted by the National Securities Markets Improvement Act of 1996.' Colorado's enforcement theory depends on characterizing the failure to timely obtain written discretionary authorization as fraudulent or deceptive conduct -- not merely a technical paperwork violation. The rule itself classifies exercising discretionary authority without timely written authorization as one of the enumerated forms of 'prohibited fraudulent, deceptive, or manipulative conduct,' which strengthens Colorado's position. Because the NASAA Model Rule frames all of subsection (b)'s enumerated prohibitions -- including the discretionary authority provision -- as species of 'fraudulent,

deceptive, or manipulative conduct,' Colorado can argue this characterization satisfies NSMIA's fraud carve-out for state jurisdiction over federal covered advisers.

Meridian's defense that the SEC does not impose a specific business-day deadline is beside the point. The NASAA Model Rule's preamble was specifically drafted to harmonize with NSMIA by limiting its reach over federal covered advisers to fraud-based conduct, and the rule categorizes discretionary trading without timely written authority as exactly that type of conduct. Therefore, Colorado can enforce the 10-business-day requirement against Meridian, and Ostrowski's conduct violated the rule.

Item adversarial_0123 -- precise_threshold

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: california_ia_examination_compliance_timeline

Fact Pattern

Question / Answer

Based on the California DFPI's enforcement action against Kuber Capital Management, LLC, what was the precise sequence and timeline of escalating contacts -- from initial examination notice to the point at which DFPI moved toward an Order to Discontinue Violations under Corporations Code section 25249 -- and specifically, how many total follow-up communications (including both email reminders and telephonic contacts) did DFPI make before escalating, and over what exact time period from initial notice? Does Meridian's counsel's argument about a compressed timeline hold up when compared to the Kuber precedent?

Correct Answer: In the Kuber Capital Management, LLC enforcement action, the California DFPI followed a specific escalation timeline. The initial examination notice was sent on March 31, 2021. When Kuber had not completed the examination by April 15, 2021, DFPI sent a first reminder on April 30, 2021, followed by two more follow-up emails (dates unspecified but between April 30 and May 17, 2021). By May 17, 2021, Kuber still had not complied. DFPI then made telephonic contacts on May 17, 2021, and May 19, 2021 -- two separate phone call attempts -- successfully making contact to inform Kuber to submit to the examination. Despite all of this, Kuber failed to comply, and by May 27, 2021, DFPI moved toward the Order to Discontinue Violations under Corporations Code section 25249.

In total, DFPI made at least five follow-up contacts before escalating: one first reminder email (April 30), two additional follow-up emails, and two telephonic contacts (May 17 and May 19). The total elapsed time from initial notice (March 31) to the enforcement escalation point (May 27, 2021) was approximately 57 days -- just under eight weeks.

Meridian's counsel's argument about a compressed timeline actually does not hold up well against the Kuber precedent. In the Meridian hypothetical, approximately 49 days elapsed from the initial notice (February 15) to the contemplated enforcement action (April 5), with a comparable number of contacts (one first reminder, two follow-up emails, two phone calls). This is only slightly shorter than the Kuber timeline of approximately 57 days. Moreover, under Corporations Code section 25241(c), all records are subject to examination 'at any time and from time to time' as the Commissioner deems necessary, and there is no statutory minimum waiting period before enforcement action. The

Kuber action demonstrates that DFPI considers roughly 7-8 weeks with multiple escalating contacts sufficient due process before pursuing a section 25249 order.

Item adversarial_0124 -- case_specific_holding

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: senior_investor_trusted_contact_practices

Fact Pattern

Question / Answer

Which specific FINRA Regulatory Notice did the examination team most likely cite as the basis for identifying deficiencies in Beacon's TCP program, what is its exact designation number and date of issuance, and how does this Notice's stated purpose -- as reflected in its title -- differ from the binding obligation in FINRA Rule 4512(a)(1)(F) in a way that complicates the examination team's position?

Correct Answer: The examination team most likely cited FINRA Regulatory Notice 22-31, issued in December 2022, whose full title is 'FINRA Shares Practices for Obtaining Customers' Trusted Contacts.' This is the only FINRA Regulatory Notice specifically dedicated to TCP practices listed in the Senior Investor Protection Resources document. The critical distinction is embedded in the Notice's own title: it 'shares practices' rather than establishing new rules or requirements. FINRA Rule 4512(a)(1)(F) requires member firms to make 'reasonable efforts' to obtain the name and contact information for a trusted contact person upon account opening or when updating account information, but it does not prescribe specific methods, frequencies, or procedures for doing so with existing customers.

This distinction materially complicates the examination team's position because Regulatory Notices that 'share practices' are generally understood to describe observed industry practices and provide guidance, not to create independently enforceable obligations. However, the 2025 FINRA Annual Regulatory Oversight Report on Senior Investors and Trusted Contact Persons (published January 2025, also specifically listed in the document) elevated TCP-related compliance to a priority examination area, effectively signaling that FINRA would scrutinize firms' TCP efforts more rigorously. The examination team's approach likely combined RN 22-31's practice guidance with the 'reasonable efforts' standard in Rule 4512(a)(1)(F), arguing that a firm with no written supervisory procedures for TCP outreach to existing customers and inconsistent representative practices cannot demonstrate 'reasonable efforts.'

Beacon's counsel has a colorable argument that RN 22-31 alone cannot establish a deficiency, but the stronger regulatory position is that the Notice informs what constitutes 'reasonable efforts' under Rule 4512 and that the 2025 Oversight Report's identification of TCPs as a priority area puts firms on notice that examination staff will measure their programs against the practices described in RN 22-31.

Item adversarial_0125 -- temporal_trap

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: firm_element_ce_temporal_advisory_scope

Fact Pattern

Question / Answer

Under Regulatory Notice 15-11 and the framework governing the Firm Element Advisory, does the fact that the Spring 2015 FEA was released after Meridian finalized its annual training plan provide a valid defense against the examination deficiency finding? Specifically, what is the stated nature and intended function of the FEA as described in Regulatory Notice 15-11, and how does the notice's own characterization of the FEA topics -- including the explicit caveat about the relationship between the FEA and a firm's obligations -- affect the temporal argument raised by Meridian's counsel?

Correct Answer: Regulatory Notice 15-11 explicitly states that the FEA topics 'are not exhaustive and are intended as a guide to firms when they determine what to include in their training plans.' It further instructs that 'firms should consider the specific nature of their business, clients, products and services when creating their training plans.' This language makes clear that the FEA is advisory, not prescriptive -- it does not impose mandatory training topics. Therefore, Whitfield's argument that the FEA is 'merely advisory' is technically correct as a matter of the notice's own characterization.

However, the temporal defense is more nuanced. While the FEA itself is not binding, FINRA Rule 1250 (Continuing Education Requirements) requires firms to maintain a Firm Element program that keeps covered persons current on job- and product-related subjects. The FEA's role, as described in RN 15-11, is to identify 'regulatory and sales practice topics that firms should consider.' The Spring 2015 FEA specifically indicated which topics were 'updated or added since the prior FEA,' creating a clear signal that the regulatory landscape had shifted. A firm that ignores newly flagged topics directly relevant to its business lines -- especially when the advisory was published months before an examination -- risks a finding that its needs analysis was inadequate under Rule 1250, not because the FEA is mandatory, but because the firm failed to consider relevant regulatory developments in its ongoing obligations.

Critically, Regulatory Notice 15-11 also contains a caveat that 'in case of any misunderstanding, the rule language prevails.' This means the FEA cannot expand or contract a firm's obligations beyond what Rule 1250 requires, but it also means the firm cannot hide behind the advisory nature of the FEA to excuse a failure to maintain an adequate needs analysis. The temporal argument fails not because the FEA is mandatory, but because a firm's Firm Element obligations are ongoing and the April 2015 release date gave ample time for incorporation before the September examination.

Item adversarial_0126 -- novel_unsettled

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: proposed_rule_3290_privacy_conflict_outside_securities_transactions

Fact Pattern

Question / Answer

Under FINRA's proposed Rule 3290 as set forth in Regulatory Notice 25-05, subsection (d)(4) specifically requires what treatment of approved outside securities transactions involving selling compensation, and what specific privacy-law conflict does this create when applied to securities orders placed by a dually-registered person acting in an advisory capacity on behalf of investment advisory clients of an unaffiliated RIA -- particularly with respect to the requirement to share client NPI with the FINRA member firm? Identify the precise regulatory provision at issue in the proposed rule, the federal privacy regulation in tension, and explain why the comment record specifically argues this proposed supervisory framework lacks statutory authority.

Correct Answer: Proposed Rule 3290, subsection (d)(4), as published in FINRA Regulatory Notice 25-05, provides that for an approved outside securities transaction involving selling compensation, 'the member shall record each transaction on the books and records of the member and supervise the person's participation in the transaction as if executed on behalf of the member.' Regulatory Notice 25-05 interprets 'outside securities transactions' to include securities orders placed by advisors on behalf of their investment advisory clients, which means that a FINRA member firm like Coastal Securities would be required to supervise those advisory transactions with the same rigor as if they were the firm's own customer transactions -- including obtaining client-specific information such as investment objectives, financial status, and trade details.

This supervisory mandate directly conflicts with Regulation S-P (17 CFR Part 248), which protects the non-public personal information of advisory clients and restricts its disclosure to unaffiliated third parties absent proper notice and consent. State privacy laws, such as those in Massachusetts, may impose even more stringent protections. The comment record from New Harbor Financial Group's Vice President of Operations and Compliance, Christine Drisco, specifically argues that forcing an investment advisor to provide NPI of advisory clients to an unaffiliated broker-dealer 'violates the privacy rights of the advisory client under federal and state law and undermines the confidentiality that advisory clients expect and deserve in their advisory relationship.' The comment further states that providing unaffiliated broker-dealers access to this information 'exposes the client's sensitive financial information to parties who are neither entitled to it nor directly responsible for managing the client's assets.'

Critically, the comment record identifies a structural regulatory asymmetry: the proposed rule subjects advisors who happen to have associated persons with FINRA licensure to an additional layer of broker-dealer oversight that does not exist for investment advisory firms whose personnel lack FINRA registrations. Drisco's comment asserts this 'additional oversight is unsupported anywhere in federal or state law' and that 'there is no evidence that broker-dealer oversight of investment advisory transactions provides any meaningful protection for advisory clients.' Because the rule has not been adopted and this tension between FINRA's proposed supervisory framework and existing federal privacy law (Regulation S-P) remains unresolved, this is a genuinely novel and unsettled regulatory conflict.

Item adversarial_0127 -- multi_party_liability

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: trace_reporting_block_trade_tiering_multi_party

Fact Pattern

Question / Answer

Given that the specific concern raised in FINRA's comment process regarding proposed TRACE reporting changes was that delayed dissemination of block trades would create information asymmetry that disproportionately harms smaller institutional investors through wider bid-ask spreads--and that broker-dealers would be 'undoubtedly advantaged' by this asymmetry--how should liability be allocated among Ridgeline (executing BD), Covenant Advisory (dually registered RIA/BD with best-execution obligations), and Northern Fiduciary Trust (custodian) under FINRA Rules 2010, 2121, and 5310, and does the specific public comment record warning about 'tiering' and information asymmetry undermine Ridgeline's defense that it was merely pricing to publicly available market levels?

Correct Answer: Ridgeline bears primary liability under FINRA Rules 2121 (fair prices) and 5310 (best execution). The specific concern documented in the TRACE comment record--submitted by Gregory M. Simcik, CFA, of The Pension Boards United Church of Christ--warned that proposed TRACE reporting delays for larger block trades would 'further advantage the largest institutional investors over smaller institutional investors through information asymmetry' and that 'broker-dealers are undoubtedly advantaged by this increased information asymmetry, resulting in wider bid-ask trading spreads the cost of which will be disproportionately borne by smaller institutional investors.' This comment directly anticipated and described the exact conduct Ridgeline engaged in: exploiting the delayed dissemination window to charge FSPF a materially wider spread while simultaneously executing at a tighter spread for a larger client. Ridgeline's defense that it priced to 'publicly available' levels is undermined because the firm possessed contemporaneous knowledge of the true market price (the Titan execution at 142 bps) and FINRA Rule 2121 requires that markups be assessed against the prevailing market price, not merely the publicly disseminated price. The comment record's specific warning about 'tiering'--where broker-dealers reward largest investors with better pricing as 'quid pro quo for higher secondary trading volumes'--provides a framework showing the regulatory community was aware this conduct would occur and that it constitutes unfair dealing under Rule 2010.

Covenant Advisory, as a dually registered RIA and FINRA member with best-execution obligations under both FINRA Rule 5310 and its fiduciary duty as an investment adviser, bears secondary liability. While Covenant did not have access to the delayed TRACE data, its clearing relationship with Ridgeline and its dual registration imposed heightened supervisory obligations. A dually registered firm cannot simply rely on publicly available pricing when it has a relationship that could provide access to better execution information. Under the Reg BI and IA fiduciary standards, Covenant had an obligation to evaluate whether its client was receiving execution quality comparable to similarly situated institutional investors.

Northern Fiduciary Trust, as custodian, has the strongest defense. Custodians generally have no independent best-execution or fair-pricing obligation under FINRA rules, and absent a contractual undertaking to perform price surveillance, Northern's settlement processing function does not create FINRA liability. However, if Northern is a bank subject to OCC or state fiduciary standards, a separate analysis under those frameworks may apply.

Item adversarial_0128 -- procedural_technical

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: remote_office_inspection_qualification_criteria

Fact Pattern

Question / Answer

In commenting on the Proposed Amendment to Rule 3110 adding Supplementary Material .15, the Cornell Securities Law Clinic raised a specific procedural concern about offices where registered representatives maintain outside business activities. What was the Clinic's specific recommendation regarding OBAs and remote inspections, and how does this recommendation bear on whether the FINRA examiner's flag of the Ithaca office was consistent with the type of additional constraint commenters urged FINRA to adopt during the rulemaking process?

Correct Answer: The Cornell Securities Law Clinic, in its January 11, 2018 comment letter on Regulatory Notice 17-38, specifically recommended that FINRA consider whether maintaining outside business activities at a remote location should require on-site inspections -- effectively arguing that the presence of OBAs at a qualifying office location should disqualify that office from remote-only inspection. The Clinic's concern was that the remote inspection framework 'could open avenues to evade supervision, particularly for representatives who maintain outside business activities.' This was a targeted procedural recommendation that went beyond the general text of the Proposed Amendment.

The FINRA examiner's flag of the Ithaca office is directly consistent with the type of concern the Cornell Clinic raised. Torrance maintains two OBAs -- a tax preparation service and an insurance agency -- from the same physical location as his branch office. Under the Clinic's recommended constraint, this fact alone would have required Greenfield to conduct an on-site inspection rather than relying solely on a remote inspection, regardless of how clean Torrance's record was or how thoroughly the remote inspection was conducted.

Additionally, the Clinic raised two other procedural concerns relevant here: first, that the Proposed Amendment's 'reasonable' standard for off-site inspections lacked sufficient specificity and that FINRA should provide more detailed guidance as to what constitutes a reasonable process; and second, that FINRA should consider requiring an initial on-site inspection, training program, or other qualification for employees of qualifying offices before permitting off-site inspections. Since Greenfield designated the Ithaca office for remote-only inspection in the program's first year without any initial on-site inspection under the new framework, the examiner's concern also aligns with this second recommendation from the comment letter.

Item adversarial_0129 -- counterintuitive_outcome

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: proprietary_trading_firm_membership_streamlined_application

Fact Pattern

Question / Answer

Under the FINRA Proprietary Trading Firm Application Form established for firms applying due to amended Exchange Act Rule 15b9-1, what specific procedural consequence does FINRA impose when an applicant like Meridian requests

additional business lines beyond those necessitating FINRA membership under the amended rule -- and why is the outcome counterintuitive for a compliance officer who assumed bundling the requests would be more efficient?

Correct Answer: According to the FINRA Proprietary Trading Firm Application Form (Attachment B to FINRA's November 9, 2023 notice), when an applicant requests additional business lines beyond those activities that necessitated FINRA membership due to amended Exchange Act Rule 15b9-1, the application is diverted from the streamlined process reserved for Rule 15b9-1 applicants to the more comprehensive FINRA new member application (NMA) process, including application of all related fees. The form explicitly warns: 'Please note that the request for additional business lines may divert the application from the streamlined process reserved for applicants applying for FINRA membership due to the amendments to Exchange Act Rule 15b9-1 to the more comprehensive FINRA new member application (NMA) process, including application of all related fees.'

This outcome is counterintuitive because Holbrook's assumption that bundling would be efficient actually backfires -- instead of saving time and money, the inclusion of the retail fixed-income business line request triggers a far more burdensome review process. The full NMA process involves substantially greater scrutiny, longer timelines, and higher fees than the streamlined pathway FINRA created specifically to facilitate the transition of proprietary trading firms affected by the rule amendment. Meridian would have been better served by first applying solely for membership based on its proprietary trading activities through the streamlined process, and then separately seeking approval for additional business lines after membership was established.

The form requires the applicant to both (1) identify current business activities, including whether they are limited to those necessitating membership under amended Rule 15b9-1, and (2) assess whether it will be requesting additional business lines -- making this a deliberate gatekeeping mechanism built into the application design.

Item adversarial_0130 -- rule_conflict

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: algorithmic_trading_supervision_rule_conflict

Fact Pattern

Question / Answer

QEC argues that compliance with SEC Rule 15c3-5 (Market Access Rule) pre-trade risk controls satisfies its supervisory obligations for algorithmic strategies, and that FINRA's guidance in Regulatory Notice 15-09 is non-binding and cannot create independent obligations beyond those in SEC rules. Under the framework set forth in Regulatory Notice 15-09 and its interaction with FINRA Rule 3110, FINRA Rule 5210, and FINRA Rule 2010, which specific supervisory deficiencies would FINRA identify that are NOT addressed by compliance with the Market Access Rule alone, and why does QEC's argument that the self-trades were 'unintentional' fail to resolve the firm's obligations under this framework?

Correct Answer: Regulatory Notice 15-09 explicitly states that while firms engaged in algorithmic strategies are already subject to SEC rules including Rule 15c3-5, those existing requirements are necessary but not sufficient. The Notice identifies five general areas of effective supervision and control practices -- General Risk Assessment and Response; Software/Code Development and Implementation;

Software Testing and System Validation; Trading Systems; and Compliance -- that extend well beyond what Rule 15c3-5 requires. Critically, RN 15-09 frames these practices as falling within the existing obligation under FINRA Rule 3110 (Supervision), meaning the guidance operationalizes what adequate supervision means for algorithmic trading, rather than creating entirely new standalone requirements.

Specifically, QEC's deficiencies under the RN 15-09 framework include: (1) inadequate pre-deployment testing -- the Notice emphasizes robust software testing and system validation, including stress testing under aberrant market conditions, whereas QEC conducted only 48 hours of sandbox testing with no stress scenarios; (2) absence of algorithmic-strategy-specific supervisory controls such as kill switches and automated price/volume guardrails beyond the Market Access Rule's capital-based thresholds; (3) no governance framework for approving new algorithm deployments, which the Notice identifies as a key component of General Risk Assessment; and (4) no periodic review of algorithmic strategies' market interaction, which the Notice addresses under both Trading Systems and Compliance.

Regarding the self-trades, RN 15-09 specifically identifies self-trades as a key concern and references FINRA Rule 5210 (Publication of Transactions and Quotations), which prohibits publishing or circulating reports of transactions that create misleading impressions of market activity. The Notice makes clear that even unintentional self-trades are a supervisory concern because firms have an obligation under FINRA Rule 2010 (Standards of Commercial Honor) and Rule 3110 to implement controls that prevent such occurrences. The 'unintentional' nature of the self-trades does not absolve QEC; rather, it demonstrates the very supervisory failure the Notice targets -- the absence of controls to prevent independent algorithms within the same firm from matching against each other. QEC's argument conflates the intent element of wash trading under Section 9(a)(1) with the separate, lower-threshold supervisory obligation under FINRA rules, which requires reasonable procedures to prevent self-trades regardless of intent.

Item adversarial_0131 -- precise_threshold

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: finra_insurance_discovery_disclosure_mechanism

Fact Pattern

Question / Answer

Under the specific procedural mechanism proposed in FINRA Regulatory Notice 18-22 for obtaining broker-dealer liability insurance information in arbitration discovery, what precise procedural step is required of the requesting party -- and how does this differ from the automatic disclosure obligation under Federal Rule of Civil Procedure 26(a)(1)(A)(iv)? Additionally, what specific criticism did the comment letter identify regarding this procedural distinction?

Correct Answer: Under FINRA Regulatory Notice 18-22, the proposed amendment to the Discovery Guide does NOT require automatic disclosure of insurance information. Instead, it specifically requires 'a party seeking the production of insurance information to expressly request that an opposing party produce insurance information.' This is a critical procedural distinction from Federal Rule of Civil Procedure 26(a)(1)(A)(iv), which mandates automatic initial disclosure -- without awaiting a discovery request --

of 'any insurance agreement under which an insurance business may be liable to satisfy all or part of a possible judgment in the action or to indemnify or reimburse for payments made to satisfy the judgment.'

The comment letter submitted in response to RN 18-22 specifically criticized this express-request mechanism, arguing that 'there is no reason for a party to have to expressly request the insurance information' and that 'insurance policy information should be automatically disclosed, just as it is required to be in the Federal Rule of Civil Procedure 26.' The commenter identified a specific practical concern: 'The problem with having to make a request, is that it will likely be met with a creative denial or delay, as broker dealer attorneys routinely object and fail to disclose presumptively discoverable items required by the Discovery Guide.'

Thus, Ms. Mendez's argument that RN 18-22 proposed automatic disclosure identical to FRCP 26 is factually incorrect -- the proposed rule explicitly requires an express request, not automatic disclosure. Beacon Ridge's counsel was correct that the mechanism differs from federal practice. However, the comment letter supports Ms. Mendez's broader policy argument that the express-request requirement is an inadequate procedural mechanism that will be frustrated by obstructionist discovery tactics.

Item adversarial_0132 -- case_specific_holding

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: sec_v_ainsworth_best_interest_standard

Fact Pattern

Question / Answer

In Nicholas Di Lorenzo's 2012 Boston University Law Review Note analyzing the best interest standard for broker-dealers, the author uses the case SEC v. Ainsworth as a specific illustration of the best interest standard's application. According to Di Lorenzo's analysis of Ainsworth, what specific type of broker misconduct was at issue, how does Di Lorenzo characterize it as a violation of client confidence, and why does Di Lorenzo argue that a trust-law-based best interest standard (rather than the existing vague Investment Advisers Act standard) would have provided a more effective analytical framework for adjudicating such conduct -- particularly his argument about eliminating mandatory arbitration agreements to facilitate doctrinal development of the standard?

Correct Answer: According to Di Lorenzo's Note in the Boston University Law Review (Vol. 92:291), SEC v. Ainsworth is used as a case illustration under Section V.A., titled 'Violating a Client's Confidence,' to demonstrate how the best interest standard should operate in practice. Di Lorenzo positions Ainsworth as an example where a broker violated the trust and confidence placed in them by a client -- conduct that goes beyond mere unsuitable recommendations to encompass the misuse of the relationship of trust itself. The case is used to illustrate that broker misconduct can extend to exploiting confidential information or the trusted position gained through the advisory relationship, even when the specific harm does not arise from a traditional securities recommendation.

Critically, Di Lorenzo's two-part proposal -- articulated throughout Parts III and IV of the Note -- argues that the best interest standard for broker-dealers should be grounded in analogous trust law

concepts rather than the existing vague standard under the Investment Advisers Act of 1940. He draws on the trust law distinction between the 'sole interest' standard and the 'best interest' standard, arguing in Section III.B that the sole interest standard effectively 'boils down to a client's best interests' and that trust law's 'advance judicial approval exception' (Section III.C) provides a workable mechanism for handling conflicts. The trust law framework would capture conduct like that in Ainsworth more effectively because it focuses on the fiduciary's exploitation of the relationship rather than requiring a nexus to a specific securities transaction.

Di Lorenzo further argues in Section IV.B that eliminating mandatory arbitration agreements is essential to facilitating the doctrinal development of this best interest standard. His reasoning is that arbitration proceedings produce no published opinions or precedent, meaning that even when panels correctly apply a best interest analysis, the reasoning remains private and cannot build a coherent body of law. Without eliminating mandatory arbitration, the trust-law-based best interest standard he proposes would remain as vague and underdeveloped as the current Investment Advisers Act standard, because courts would never have the opportunity to refine its contours through published decisions.

Item adversarial_0133 -- temporal_trap

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: fed_balance_sheet_hearing_misidentification_trap

Fact Pattern

Question / Answer

Based on the actual January 14, 2025 testimony submitted to the House Financial Services Committee by Allison Schrager of the Manhattan Institute, what was the specific subject matter of the hearing, and was Thornton or Kessler correct about the context in which the Fed balance sheet data was presented? Critically, given the document's folder classification under 'Congressional Materials' with a description referencing 'financial adviser regulation' and applicable standards citing 'Dodd-Frank Act §913; Exchange Act §15(l); fiduciary standard legislative history,' does the actual content of the testimony match this cataloging -- and what does this discrepancy reveal about relying on metadata rather than primary source review?

Correct Answer: Kessler was correct. The actual January 14, 2025 testimony by Allison Schrager before the House Financial Services Committee was for a hearing titled 'Striking the Right Balance Sheet,' and its subject matter was explicitly the size and composition of the Federal Reserve's balance sheet -- not fiduciary standards for financial advisers. Schrager's written statement opens by stating: 'Thank you for the invitation to discuss with you today the size and composition of the Federal Reserve's balance sheet.' The testimony provides specific data points: the Fed's balance sheet was approximately \$870 billion (6% of GDP) in August 2007 and grew to \$6.6 trillion (roughly 22% of GDP) as of the testimony date. It further notes the Fed owned about 9% of outstanding federal securities in 2006, peaked at around 20% during the pandemic, and remained at approximately 12% after normalization.

Thornton's error arose from relying on the document's metadata classification rather than reviewing the primary source. The document was cataloged in a folder labeled '16_Congressional_Materials'

with a description referencing 'Congressional studies, GAO reports, hearing transcripts on financial adviser regulation' and applicable standards citing 'Dodd-Frank Act §913; Exchange Act §15(l); fiduciary standard legislative history.' None of these classifications match the actual content of the testimony, which addresses monetary policy, quantitative easing, the transition from scarce-reserve to abundant-reserve systems, and the Fed's role as a buyer of Treasuries and mortgage-backed securities. The testimony contains zero references to Dodd-Frank §913, Exchange Act §15(l), fiduciary duties, or financial adviser regulation.

This discrepancy is a critical compliance lesson: metadata categorization of congressional materials can be inaccurate, and any investment thesis, compliance determination, or regulatory analysis must be grounded in review of the actual primary source document rather than relying on folder descriptions, tags, or cataloging systems that may reflect filing errors or automated classification mistakes.

Item adversarial_0134 -- novel_unsettled

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: ppa_investment_advice_exemption_ai_robo_advisers

Fact Pattern

Question / Answer

Under the Pension Protection Act of 2006's investment advice provisions (PPA §601, codified at ERISA §408(g)), the statute created a specific prohibited transaction exemption for investment advice provided through a 'computer model.' What are the TWO alternative arrangements that the PPA established for providing investment advice to plan participants, and does RetireWell's PensionBot satisfy the specific statutory requirements for the computer model exemption -- particularly regarding (1) the application of the model to the individual participant, (2) the required certification entity, and (3) the fee-leveling or independent audit requirement as they interact with RetireWell's revenue-sharing arrangements with fund families?

Correct Answer: The Pension Protection Act of 2006, in §601 (amending ERISA to add §408(g)), created a prohibited transaction exemption for 'eligible investment advice arrangements' that could take one of TWO forms: (1) an arrangement where fees received by the fiduciary adviser do not vary based on the investment option selected (the 'fee-leveling' approach), or (2) an arrangement where investment advice is generated by a 'computer model' that meets specific statutory requirements under ERISA §408(g)(3). Under the computer model alternative, the model must (a) apply generally accepted investment theories, (b) take into account the individual participant's specific information including age, time horizons, risk tolerance, and current investments, (c) utilize relevant information about each investment option under the plan, and (d) operate under an 'eligible investment expert' who certifies that the model meets these requirements. Critically, the certification must come from an entity that is independent of the investment advice provider -- not merely an auditor hired by the provider.

RetireWell's PensionBot likely fails the exemption on multiple grounds. First, the evidence that 89% and 72% recommendation rates for revenue-sharing funds raises serious questions about whether the computer model is truly taking into account individual participant information such as risk

tolerance, as the statute specifically requires under §408(g)(3)(B). The participant complaints corroborate this concern. Second, the PPA's computer model exemption requires that the eligible investment expert providing the certification be independent -- DataVerify was retained and paid by RetireWell itself, which may compromise the independence requirement. Third, and most critically, even under the computer model arrangement, the PPA still requires that the fiduciary adviser providing the advice through the computer model must either operate under fee-leveling (meaning its fees cannot vary based on which investment option is selected) OR the arrangement must satisfy all of the computer model requirements. RetireWell's revenue-sharing arrangements with specific fund families mean its compensation does vary based on which funds are recommended, so it cannot rely on fee-leveling; it must satisfy every element of the computer model exemption, including true independence of the certifying expert.

The novel and unsettled question is whether an AI/machine-learning algorithm constitutes a 'computer model' within the meaning of ERISA §408(g)(3). The PPA's legislative history and the CRS summary of the Act describe the computer model provision in terms of applying 'generally accepted investment theories' -- a standard that assumes transparent, rule-based modeling. Machine-learning algorithms, by contrast, may operate as 'black boxes' that cannot be audited against named investment theories in the way Congress contemplated. The DOL has not issued guidance resolving whether opaque AI models satisfy this requirement, making RetireWell's reliance on the exemption legally precarious even if all other conditions were met.

Item adversarial_0135 -- multi_party_liability

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: va_whistleblower_accountability_multi_party

Fact Pattern

Question / Answer

Based on the specific oversight structure and the roles of the entities that testified at the September 22, 2015 Senate HSGAC hearing (S. Hrg. 114-484), which of the five parties Dr. Nguyen seeks to hold accountable was specifically identified in the hearing as being structurally compromised by having to investigate disclosures referred back to the very agency that was the subject of the complaint, and what was the specific institutional relationship between Carolyn Clancy and Michael Culpepper that the hearing testimony revealed created this conflict--and how does this differ from the OIG's role under Deputy IG Halliday?

Correct Answer: The September 22, 2015 hearing (S. Hrg. 114-484) before the Senate Committee on Homeland Security and Governmental Affairs specifically examined the structural conflict created when the OSC, under Special Counsel Carolyn N. Lerner, refers whistleblower disclosures back to the VA under 5 U.S.C. § 1213, requiring the VA to investigate itself. The hearing record reveals that Dr. Carolyn Clancy, as VHA Chief Medical Officer, appeared accompanied by Michael Culpepper, the Acting Director of the Office of Accountability Review--meaning Culpepper's office operated under the VA's own administrative hierarchy, not as an independent investigative body. This structural relationship was the core of the accountability problem the hearing explored: the Office of Accountability Review was tasked with investigating the very institution of which it was a part, supervised by VHA leadership that had institutional incentives to minimize findings.

The OIG under Deputy Inspector General Linda Halliday occupied a structurally different position. While the VA OIG is organizationally housed within the VA, it has statutory independence under the Inspector General Act of 1978 (as amended), and Halliday testified separately from the VA officials, reflecting that independence. The hearing drew a sharp contrast between the OIG's findings (which often corroborated whistleblower allegations) and the VA's internal investigations (conducted by Clancy/Culpepper's office), which frequently cleared the agency of wrongdoing.

Thus, of the five parties, the Office of Accountability Review under Culpepper (supervised by Clancy) was the entity specifically identified as structurally compromised. The hearing featured first-hand whistleblower testimony--from witnesses in Phoenix, the VA Caribbean Healthcare System, and Shreveport--demonstrating that this self-referral and self-investigation model produced inadequate accountability. Dr. Nguyen's claims against Culpepper and Clancy would be the most directly supported by the hearing's findings about structural conflicts, while her claims against the OIG would be weaker precisely because the OIG maintained greater institutional independence, as reflected in Halliday's separate testimony and divergent investigative conclusions.

Item adversarial_0136 -- procedural_technical

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: nasaa_section913_rfi_procedural_requirements

Fact Pattern

Question / Answer

What was the precise SEC release number and procedural characterization of the SEC's March 2013 action to which NASAA responded on July 5, 2013, under File No. 4-606? Specifically, was it denominated as an Advance Notice of Proposed Rulemaking (ANPRM), a Request for Information (RFI), or a Notice of Proposed Rulemaking? And did NASAA's comment letter indicate that NASAA expected to file additional comments in response to a future, separate Commission rulemaking proceeding--thereby confirming that the March 2013 action was NOT itself a rulemaking?

Correct Answer: The SEC's March 2013 action was SEC Release No. 34-69013 (published March 1, 2013; Federal Register citation 78 Fed. Reg. 14848, March 7, 2013), and it was specifically denominated as a 'Request for Data and Other Information' (commonly referred to as a Request for Information or RFI), NOT an Advance Notice of Proposed Rulemaking or a Notice of Proposed Rulemaking. The document's formal title was 'Duties of Brokers, Dealers and Investment Advisers,' filed under File No. 4-606.

Critically, NASAA's July 5, 2013 comment letter explicitly confirmed that this was a pre-rulemaking data-gathering exercise, not a rulemaking action itself. NASAA stated that it 'expects to also comment in response to any future Commission rulemaking in connection with the extension of fiduciary duty to broker-dealers, as well as in response to follow-up guidance that the Commission may issue after rulemaking.' This language unambiguously demonstrates that NASAA understood the March 2013 RFI as a precursor to--not a component of--formal rulemaking, and that NASAA anticipated separate future rulemaking proceedings.

Therefore, Chen's argument that APA sequencing timelines were triggered is incorrect. An RFI is an informal information-gathering mechanism that does not constitute a step in the formal APA rulemaking process. It creates no obligation for the SEC to issue a subsequent NPRM within any prescribed timeframe, and its issuance does not 'expire.' NASAA's own characterization supports this conclusion: the association treated the RFI and any future rulemaking as entirely distinct proceedings warranting separate comment submissions.

Item adversarial_0137 -- counterintuitive_outcome

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: erisa_fiduciary_status_professional_capacity_exception

Fact Pattern

Question / Answer

Under the DOL's guidance in the 'Meeting Your Fiduciary Responsibilities' booklet regarding who qualifies as a fiduciary, does the fact that Rachel Templeton is an attorney billing standard legal fees and acting under a legal engagement letter categorically shield her from ERISA fiduciary status, and what specific language in the DOL's guidance defines the boundary of the professional capacity exception for attorneys?

Correct Answer: No, the fact that Templeton is an attorney does not categorically shield her from ERISA fiduciary status. The DOL's 'Meeting Your Fiduciary Responsibilities' booklet states specifically that 'Attorneys, accountants, and actuaries generally are not fiduciaries when acting solely in their professional capacities.' The critical qualifier is the phrase 'when acting solely in their professional capacities' -- this is not a categorical exemption but a conditional one. The booklet further establishes that fiduciary status is determined functionally: 'fiduciary status is based on the functions performed for the plan, not just a person's title.' Additionally, the booklet specifies that 'Providing investment advice for a fee also makes someone a fiduciary.'

Applying these principles, Templeton's conduct went well beyond acting 'solely' in her professional capacity as an attorney. By conducting a comparative analysis of 12 fund families using a proprietary scoring methodology and making a specific recommendation to replace one fund lineup with another, she was functionally providing investment advice. The fact that this advice was billed as legal fees rather than investment advisory fees is irrelevant under the DOL's functional test -- what matters is the nature of the activity, not the label or billing structure. The administrative committee's testimony that Templeton 'essentially made the decision for us' further reinforces that she was exercising discretion over plan assets, another pathway to fiduciary status under the booklet's guidance that 'Using discretion in administering and managing a plan or controlling the plan's assets makes that person a fiduciary to the extent of that discretion or control.'

This is the counterintuitive outcome: an attorney retained under a standard legal engagement who might appear to fall within the professional capacity exception is actually an ERISA fiduciary because the DOL's guidance makes the exception conditional on acting 'solely' in one's professional capacity, and the functional test for fiduciary status overrides professional titles and billing arrangements.

Item adversarial_0138 -- rule_conflict

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: reg_bi_vs_section_913_fiduciary_standard_conflict**Fact Pattern****Question / Answer**

Given the specific testimony and concerns raised at the March 14, 2019 hearing before the Subcommittee on Investor Protection, Entrepreneurship, and Capital Markets (Serial No. 116-10), what was the central regulatory conflict identified by hearing witnesses regarding the relationship between Dodd-Frank Section 913's authorization and the SEC's proposed Reg BI, and how does this conflict determine whether Clearview's compliance with Reg BI alone is legally sufficient to defeat the clients' claims that a fiduciary standard should have applied to Marcus Chen's rollover recommendations?

Correct Answer: The central conflict identified at the March 14, 2019 hearing--titled 'Putting Investors First? Examining the SEC's Best Interest Rule'--was that Section 913 of the Dodd-Frank Act authorized the SEC to promulgate rules establishing a fiduciary standard for broker-dealers 'no less stringent than' the standard applicable to investment advisers under Sections 206(1) and 206(2) of the Investment Advisers Act of 1940, but the SEC's proposed Regulation Best Interest deliberately declined to adopt a fiduciary standard of that kind. Witnesses including former SEC Chairman Harvey Pitt and AARP Georgia State President Lee Baker, along with other panelists such as investment advisor representative Dina Isola of Ritholtz Wealth Management and Financial Focus founder Susan MacMichael John, testified about the gap between what Congress envisioned and what the SEC proposed. Subcommittee members, particularly Chairwoman Carolyn Maloney and members like Katie Porter and Brad Sherman, pressed on the fact that Reg BI did not define 'best interest,' potentially rendering it no more protective than FINRA's existing suitability standard under Rule 2111.

The critical regulatory conflict is that Section 913 is permissive ('the Commission may commence a rulemaking'), not a self-executing mandate. Because Congress authorized but did not require the SEC to adopt a uniform fiduciary standard, and the SEC chose instead to adopt Reg BI as a distinct standard that it characterized as an 'enhancement' over suitability rather than a fiduciary duty, Clearview's compliance with Reg BI as adopted likely is legally sufficient to defeat claims based solely on Section 913. Courts reviewing challenges to Reg BI--including the Second Circuit's decision in *XY Planning Network, LLC v. SEC* (No. 19-2886, June 2020)--upheld Reg BI's validity, finding the SEC acted within its discretion under Section 913 and Exchange Act Section 15(l) as added by Dodd-Frank Section 913(f). The hearing testimony demonstrates that Congress was aware of and concerned about this very gap, but the permissive statutory language ultimately left the scope of the standard to SEC rulemaking discretion.

Therefore, while the hearing record reveals significant congressional displeasure that Reg BI fell short of a true fiduciary standard, and while multiple witnesses at the March 14, 2019 hearing warned that the rule's failure to define 'best interest' would allow broker-dealers to continue conflicted practices under the guise of enhanced disclosure, Clearview's position that compliance with Reg BI satisfies its legal obligations for brokerage account recommendations is likely correct as a matter of current law. The clients' argument that courts should apply Section 913's fiduciary

authorization directly fails because Section 913 is not self-executing and creates no private right of action independent of the SEC's rulemaking choices.

Item adversarial_0139 -- precise_threshold

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: fed_monetary_policy_hearing_serial_number_threshold

Fact Pattern

Question / Answer

What is the precise Government Publishing Office (GPO) document identifier number printed on the cover of the published transcript of the February 27, 2019, House Financial Services Committee hearing on 'Monetary Policy and the State of the Economy' (Serial No. 116-5), and on what exact date was the PDF version verified for publication according to the document's internal metadata?

Correct Answer: The GPO document identifier printed on the cover page of this hearing transcript is 35-694 PDF (sometimes rendered as 35694). This is distinct from the committee's own serial number, which is Serial No. 116-5. These are two separate identification systems: the serial number is assigned by the House Committee on Financial Services for its own internal tracking across the 116th Congress, while the 35-694 PDF number is the GPO's production identifier for the printed and digital publication.

The internal metadata verification date embedded in the document is July 25, 2019, as indicated by the 'VerDate Nov 24 2008' and '17:06 Jul 25, 2019' stamps that appear in the document's formatting codes (specifically 'Jkt 095071 PO 00000'). This means the PDF version was processed and verified for publication approximately five months after the actual hearing date of February 27, 2019.

For citation purposes in the FINRA arbitration context described, the correct formal citation would reference both identifiers: the hearing as Serial No. 116-5 of the House Committee on Financial Services, 116th Congress, First Session, with GPO document number 35-694 PDF, published by the U.S. Government Publishing Office, Washington, 2019. The Jkt (jacket) number 095071 provides an additional layer of GPO production tracking. Failure to include the GPO identifier 35-694 as distinct from the serial number 116-5 would constitute an imprecise citation that could be challenged on evidentiary grounds.

Item adversarial_0140 -- case_specific_holding

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: sec_oversight_scope_2024_testimony

Fact Pattern

Question / Answer

According to SEC Chair Gensler's September 24, 2024 testimony before the House Financial Services Committee, what is the precise total number of entities the SEC oversees, and specifically, how many investment advisers, broker-dealers, registered funds, national securities exchanges, alternative trading systems, credit rating agencies, and active registered clearing agencies does that total comprise? Additionally, what specific figure did the testimony provide for the total number of clients advised by registered investment advisers, and what were the three distinct asset categories and their dollar amounts cited for assets under advisement?

Correct Answer: According to the September 24, 2024 testimony, the SEC oversees approximately 40,000 entities. This total comprises approximately 13,000 registered funds, approximately 15,400 investment advisers, about 3,400 broker-dealers, 25 national securities exchanges, 108 alternative trading systems, 10 credit rating agencies, and six active registered clearing agencies, among other external entities.

The testimony stated that registered investment advisers advise 57 million clients. The three distinct asset categories and their dollar amounts were: more than \$37 trillion in registered funds, \$27 trillion in private funds, and \$49 trillion in separately managed accounts.

These figures are critical because they represent the SEC's own characterization of its oversight scope as presented to Congress in September 2024. The testimony also noted that the SEC oversees FINRA, the MSRB, and the Securities Investor Protection Corporation (SIPC). The specificity of these figures--particularly the 108 alternative trading systems, 10 credit rating agencies, and 6 active registered clearing agencies--distinguishes this testimony from prior years' congressional appearances where different figures were cited. Any analysis relying on outdated entity counts would be materially inaccurate.

Item adversarial_0141 -- temporal_trap

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: advisers_act_fiduciary_duty_timing_and_scope

Fact Pattern

Question / Answer

Under the SEC's Standard of Conduct Interpretive Release (IA Release No. 5248, June 5, 2019), can Pinnacle successfully argue that its contractual scope limitation on fiduciary duty was permissible as of March 2019 when its compliance review occurred, and does the timing of the Release's effectiveness -- specifically the fact that it became effective upon publication in the Federal Register rather than on a delayed compliance date like Reg BI's June 30, 2020 date -- alter the analysis for the conduct that occurred between June 2019 and the date of Thornton's complaint?

Correct Answer: Pinnacle's temporal defense is significantly undermined by the specific nature of the Standard of Conduct Interpretive Release (IA Release No. 5248). The Release did not create a new fiduciary duty -- it stated that the Advisers Act already establishes a 'federal fiduciary duty' for all investment advisers, including state- and SEC-registered advisers, as well as advisers exempt from registration or prohibited from registering. The Commission characterized this duty as reflecting 'Congressional recognition' of the 'delicate fiduciary nature' of the advisory relationship, meaning the duty existed all

along as a matter of statutory interpretation, not as a newly imposed regulatory requirement. Therefore, Pinnacle cannot credibly argue that the duty only arose upon the Release's publication.

Critically, the Release specifies that the elements of the federal fiduciary duty are defined using a 'principles-based approach' and addresses contractual limitations directly: the Release indicates that while advisers have flexibility in shaping the advisory relationship, the federal fiduciary duty constrains how far contractual provisions can go. Because the Release frames the fiduciary standard as pre-existing Congressional intent rather than new rulemaking, Pinnacle's argument that the March 2019 compliance review predated any applicable guidance fails -- the guidance merely clarified what was always the law. Unlike Reg BI, which had a specific delayed compliance date of June 30, 2020, the Standard of Conduct Interpretive Release became effective immediately upon Federal Register publication, reinforcing that it was interpretive rather than a new substantive rule.

Additionally, Pinnacle's attempt to analogize to Reg BI's point-of-recommendation standard is inapposite because the Release explicitly contrasts the investment adviser's fiduciary duty -- which applies to all clients regardless of retail or institutional status -- with Reg BI's 'best interest' standard that applies only to broker-dealer recommendations to retail customers. The Release's own framing makes clear that the adviser fiduciary duty is broader and not limited to the moment of recommendation, undercutting Pinnacle's argument that it had no ongoing monitoring obligation. The contractual limitation purporting to eliminate ongoing duties would likely be viewed as an impermissible attempt to waive, rather than merely scope, the fiduciary duty as interpreted by the Commission.

Item adversarial_0142 -- novel_unsettled

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: reg_bi_ai_robo_recommendation_dual_registrant_carveout

Fact Pattern

Question / Answer

Under Regulation BI as described in the SEC's framework and this document's specific characterization of the dual-registrant carveout and the definition of 'recommendation,' does Meridian's argument that the MeridianAI-generated recommendation falls outside Reg BI's scope succeed, and what specific element of the document's articulation of 'recommendation' and the dual-registrant exception determines the outcome?

Correct Answer: Meridian's argument fails on two independent grounds as articulated in this document's specific framing of Reg BI's scope. First, the document explicitly states that Regulation BI does not apply to investment advice provided to a retail customer by a dual-registrant 'when acting in the capacity of an investment adviser.' However, the critical determination is not which entity name brands the technology platform, but rather the capacity in which the firm is acting. Here, the transaction is executed through a brokerage account subject to transaction-based compensation (a 3.75% upfront commission), which is the hallmark of broker-dealer capacity. Merely labeling the AI dashboard under the RIA entity name does not transform brokerage-capacity activity into advisory-capacity activity. The substance of the relationship -- a commission-generating securities transaction in a brokerage account -- controls over the form of the branding.

Second, and critically, the document provides the specific standard for what constitutes a 'recommendation' that defeats Meridian's fallback argument that AI-generated output is mere educational content. The document states that 'the more individually tailored the communication to a specific customer or targeted group of customers about a security or group of securities, the greater the likelihood that the communication may be viewed as a recommendation.' MeridianAI ingested Whitfield's specific risk tolerance, investment horizon, existing holdings, and financial goals to produce a personalized buy/sell recommendation for specific securities -- this is the paradigmatic case of an 'individually tailored communication' that the SEC guidance identifies as a recommendation. The AI-generated nature does not reduce the individually tailored character; if anything, algorithmic personalization intensifies it.

Therefore, Reg BI's Care Obligation under Rule 15l-1(a)(2)(ii) and Conflict of Interest Obligation under Rule 15l-1(a)(2)(iii) fully apply. The algorithmic bias favoring proprietary higher-commission products constitutes precisely the type of financial incentive conflict that the Conflict of Interest Obligation requires the firm to identify, disclose, and mitigate or eliminate. The firm's failure to address this systematic bias in the algorithm's training data represents a failure to establish, maintain, and enforce written policies and procedures reasonably designed to address conflicts of interest under Exchange Act §15(l).

Item adversarial_0143 -- multi_party_liability

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: dual_regulated_cfp_bd_rep_conflict_mitigation_gap

Fact Pattern

Question / Answer

Under this fact pattern, Marcus faces dual regulatory exposure to both CFP Board's Code and Standards and the SEC's Reg BI. According to CFP Board's own published guidance comparing the two frameworks, identify: (1) the specific difference in how conflicts of interest must be addressed under the Code and Standards versus Reg BI that creates additional liability exposure for Marcus beyond what Pinnacle Securities must satisfy under Reg BI alone; (2) why Pinnacle's argument that it 'mitigated' the representative-level conflict through supervisory review may be technically sufficient under Reg BI's Conflict of Interest Obligation but would NOT satisfy CFP Board's requirements for Marcus individually; and (3) what specific evaluative standard gap does the CFP Board guidance identify in Reg BI's conflict mitigation framework that the Code and Standards fills?

Correct Answer: According to CFP Board's published guidance comparing the Code and Standards to Reg BI, there are critical differences that create layered liability for Marcus beyond Pinnacle's Reg BI obligations. First, on conflicts of interest, the CFP Board guidance states that while both frameworks hold that 'mere disclosure of conflicts of interest is insufficient,' the Code and Standards requires a CFP(R) professional to 'disclose, obtain informed consent, and manage all conflicts.' Reg BI, by contrast, requires a broker-dealer to 'disclose all conflicts and mitigate representative-level conflicts' but does not require informed consent from the client. Marcus's failure to obtain Deborah's informed consent to the material conflict -- the differential compensation -- means he violated the Code and Standards even if Pinnacle's disclosure technically satisfied Reg BI's requirements.

Second, Pinnacle's argument that supervisory review constituted adequate 'mitigation' of the representative-level conflict may satisfy Reg BI's Conflict of Interest Obligation under Rule 15l-1(a)(2)(iii), because Reg BI requires broker-dealers to establish policies to identify, disclose, and mitigate financial incentives but -- critically, as the CFP Board guidance specifically identifies -- 'Reg BI does not explicitly establish a standard by which a broker-dealer's mitigation efforts will be evaluated.' This means Pinnacle's mitigation efforts face a lower and more ambiguous threshold under Reg BI. However, under CFP Board's Code and Standards, Marcus individually is required to 'adopt and follow business practices reasonably designed to prevent conflicts from compromising his or her ability to act in the Client's best interests.' This is a substantive evaluative standard -- the practices must be 'reasonably designed to prevent' compromise of the client's best interests -- that Reg BI lacks.

Third, the specific evaluative standard gap identified in the CFP Board guidance is precisely this: 'while the Code and Standards requires a CFP(R) professional to adopt and follow business practices reasonably designed to prevent conflicts from compromising his or her ability to act in the Client's best interests, Reg BI does not explicitly establish a standard by which a broker-dealer's mitigation efforts will be evaluated.' The guidance states that '[a]ny difference between the standards will be revealed when the SEC interprets Reg BI.' This means Marcus faces personal liability under the Code and Standards for failing to meet an affirmative, outcome-oriented standard for conflict management that has no explicit parallel in Reg BI -- creating a gap where Pinnacle may be compliant under Reg BI while Marcus is simultaneously in violation of CFP Board's standards.

Item adversarial_0144 -- procedural_technical

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: reg_bi_conflict_obligation_elimination_vs_mitigation_levels

Fact Pattern

Question / Answer

Under the Conflict of Interest Obligation as described in the SEC staff bulletin on conflicts of interest, Tillman's proposed revised policies fail in two specific respects. First, identify the specific category of conflict for which Reg BI requires outright elimination rather than disclosure or mitigation, and explain why Tillman's proposal to add disclosure to the Top Producer contest is procedurally insufficient. Second, identify the distinct procedural treatment the Conflict of Interest Obligation requires for conflicts at the 'associated person level' versus firm-level conflicts, and explain why Tillman's uniform 'disclose and mitigate' approach for all conflicts is deficient under the specific framework set forth in the bulletin.

Correct Answer: First, the SEC staff bulletin specifies that the Conflict of Interest Obligation requires broker-dealers to 'identify and eliminate sales contests, sales quotas, bonuses, and non-cash compensation that are based on the sales of specific securities or specific types of securities within a limited period of time.' Meridian's Top Producer contest--which rewards the highest gross revenue from variable annuity sales (a specific type of security) during a rolling 30-day period (a limited period of time)--falls squarely within this mandatory elimination category. Tillman's proposal to merely add disclosure to the contest is procedurally insufficient because the rule does not permit disclosure or mitigation as

alternatives for this specific category of conflict; the only compliant approach is outright elimination. Adding disclosure does not cure the deficiency because the obligation is categorical: these compensation structures must be eliminated, full stop.

Second, the bulletin articulates a tiered procedural framework for different levels of conflicts. For conflicts generally, the obligation requires firms to 'identify and at a minimum disclose, or eliminate, all conflicts of interest associated with a recommendation.' However, for conflicts 'at the associated person level,' the obligation specifically requires firms to 'identify and mitigate'--meaning to 'modify practices to reduce'--those conflicts. This is a distinct and more demanding procedural requirement than mere disclosure. Tillman's uniform 'disclose and mitigate' approach conflates these tiers: for firm-level conflicts, disclosure alone may suffice as the minimum, but for associated-person-level conflicts, the firm must go further and affirmatively mitigate by modifying practices. Meanwhile, for the sales contest category, neither disclosure nor mitigation is sufficient--only elimination will do. Tillman's single-tier approach fails to map each conflict to the specific procedural treatment mandated by Reg BI's Conflict of Interest Obligation as outlined in the bulletin, which requires at least three distinct remediation tracks: (1) disclose or eliminate for general conflicts, (2) mitigate for associated-person-level conflicts, and (3) eliminate for sales contests, quotas, bonuses, and non-cash compensation tied to specific securities within limited time periods.

Item adversarial_0145 -- counterintuitive_outcome

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: reg_bi_conflict_disclosure_vs_elimination

Fact Pattern

Question / Answer

Under the SEC staff's interpretation in the August 2022 Staff Bulletin on Conflicts of Interest, why is Meridian's approach of relying solely on disclosure for the associated-person-level conflict (Kowalski's enhanced compensation) deficient, even though the Conflict of Interest Obligation's general framework permits firms to 'at a minimum disclose, or eliminate' conflicts at the firm level? Specifically, what distinction does the Staff Bulletin draw between firm-level conflicts and associated-person-level conflicts that makes pure disclosure insufficient here?

Correct Answer: The August 2022 Staff Bulletin makes a critical and counterintuitive distinction between how conflicts must be addressed at the firm level versus the associated person level. Under the Conflict of Interest Obligation (Exchange Act Rule 15l-1(a)(2)(iii)), the general baseline for firm-level conflicts is to 'identify and at a minimum disclose, or eliminate, all conflicts of interest associated with a recommendation.' However, for conflicts that exist at the associated person level -- which is precisely what Kowalski's enhanced compensation represents -- the standard is materially different and more demanding. The Staff Bulletin specifically states that firms must 'identify and mitigate (i.e., modify practices to reduce) conflicts of interest at the associated person level.'

This means that for conflicts attributable to individual associated persons such as Kowalski, disclosure alone is never sufficient under Reg BI's Conflict of Interest Obligation. The rule requires affirmative mitigation -- meaning Meridian must modify its practices to reduce the conflict. Examples of adequate mitigation would include implementing neutral compensation grids that equalize payouts

across proprietary and non-proprietary products, establishing heightened supervisory review of proprietary fund recommendations, or adjusting Kowalski's compensation structure so that the incentive differential is reduced or eliminated.

Meridian's outside counsel's argument conflates the firm-level standard with the associated-person-level standard. While Meridian might satisfy the firm-level obligation through robust disclosure of the revenue-sharing arrangement, it separately and independently must mitigate the conflict as it manifests at the associated person level. The Staff Bulletin frames this as a multi-layered obligation: identification is always required, disclosure or elimination is the floor for firm-level conflicts, but mitigation is mandatory for associated-person-level conflicts. Meridian's failure to implement any mitigation measures for Kowalski's enhanced compensation -- no supervision overlay, no compensation adjustment, no neutral grid -- renders the firm deficient under Rule 15l-1(a)(2)(iii) regardless of how thorough its disclosures were.

Item adversarial_0146 -- rule_conflict

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: accelerated_filer_icfr_attestation_conflict

Fact Pattern

Question / Answer

Under the SEC's 2020 amendments to the accelerated filer definition as discussed in the EY 2023 Form 10-K guidance (specifically Sections 2.1.2 through 2.1.5), does Greenfield Dynamics qualify as an accelerated filer for its fiscal year 2023 Form 10-K, and if not, what is the specific mechanism by which it is excluded -- and how does this exclusion resolve the apparent conflict between the SRC exemption from Section 404(b) ICFR auditor attestation and the accelerated filer requirement to include it? Additionally, what is Greenfield's correct Form 10-K filing deadline?

Correct Answer: Under the SEC's 2020 amendments to the accelerated filer definition, which are addressed in Sections 2.1.2 and 2.1.5 of the EY 2023 Form 10-K guidance, Greenfield Dynamics does NOT qualify as an accelerated filer despite its \$560 million public float. The 2020 amendments specifically revised Rule 12b-2 to exclude from the accelerated filer definition any issuer that (1) qualifies as an SRC and (2) had annual revenues of less than \$100 million in the most recently completed fiscal year. Greenfield meets both conditions: it qualifies as an SRC (public float below \$700 million and revenues below \$100 million satisfy the SRC revenue test), and its revenues of \$82 million are below the \$100 million threshold. Therefore, the exclusion applies and Greenfield is classified as a non-accelerated filer.

This exclusion directly resolves the rule conflict between the SRC exemption from Section 404(b) and the accelerated filer's obligation to include the ICFR auditor attestation. Because Greenfield is excluded from accelerated filer status entirely, there is no conflict: as a non-accelerated filer that is also an SRC, Greenfield is exempt from the Section 404(b) auditor attestation requirement. The EY guidance in Section 2.1.5 specifically discusses the transition between accelerated and SRC status and the consequent ICFR attestation requirement, confirming that the 2020 amendments were designed precisely to prevent low-revenue SRCs from being swept into accelerated filer status solely on the basis of public float and thereby being subjected to the costly 404(b) attestation requirement.

As a non-accelerated filer, Greenfield's Form 10-K filing deadline is 90 days after fiscal year-end -- i.e., March 30, 2024 (or the next business day if that falls on a weekend or holiday) -- rather than the 75-day deadline for accelerated filers or the 60-day deadline for large accelerated filers, as discussed in Section 2.1 of the guidance.

Item adversarial_0147 -- precise_threshold

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: cip_obligations_investment_advisers_scope

Fact Pattern

Question / Answer

Under the joint SEC/FinCEN proposed rulemaking on Customer Identification Programs issued May 13, 2024 (File No. S7-2024-02), as described in the September 2024 SEC Division of Investment Management Update, which specific categories of investment advisers would be subject to the proposed CIP obligations? Would Ridgecrest Capital Partners, as an exempt reporting adviser, fall within or outside the scope of the proposed rule?

Correct Answer: According to the September 2024 SEC Division of Investment Management Update summarizing the joint SEC/FinCEN proposed rulemaking (File No. S7-2024-02), the proposed CIP rule would apply to both SEC-registered investment advisers (RIAs) AND exempt reporting advisers (ERAs). The document explicitly states the rule is 'Applicable to: RIAs and ERAs,' making clear that the scope is not limited to fully registered advisers.

Therefore, Ridgecrest Capital Partners LLC, despite being an exempt reporting adviser rather than a full SEC-registered investment adviser, would fall squarely within the scope of the proposed CIP obligations. Whitfield's assumption that ERAs carry a lighter regulatory burden and would be excluded from CIP requirements is incorrect with respect to this specific proposed rule. The proposed rule deliberately extends CIP obligations to ERAs as part of the effort to 'prevent illicit finance activity involving the customers of investment advisers by strengthening the anti-money laundering/countering the financing of terrorism (AML/CFT) framework for the investment adviser sector.'

The proposed rule would require Ridgecrest to implement a CIP that includes procedures for (1) verifying the identity of each customer to the extent reasonable and practicable, and (2) maintaining records of the information used to verify a customer's identity, including name, address, and other identifying information. The 'reasonable and practicable' standard applies uniformly -- the document does not describe a differentiated or lower threshold for ERAs compared to RIAs. Ridgecrest's current onboarding procedures, which collect names and addresses but lack formal identity verification protocols and systematic recordkeeping of verification documents, would need to be substantially enhanced if the rule is finalized as proposed.

Item adversarial_0148 -- case_specific_holding

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: ia_duty_of_care_institutional_clients_enforcement

Fact Pattern

Question / Answer

Based on the SEC's own characterization of the 2019 Fiduciary Interpretation and subsequent agency statements as described in the article by Bartels and Kelly, does the SEC's articulated duty of care under Section 206 of the Advisers Act apply to advisers serving exclusively institutional private fund clients? Specifically, what evidence do the authors identify from post-2019 SEC enforcement actions, deficiency letters, and the SEC's private fund adviser rulemaking proposal that addresses whether the duty of care extends beyond retail relationships, and how does this undercut Meridian's defense?

Correct Answer: According to the article by Bartels and Kelly, Meridian's defense that the duty of care applies only to retail advisory relationships is directly contradicted by both the text of the 2019 Fiduciary Interpretation and subsequent SEC statements. The authors specifically note that 'although contemporaneous rulemakings focused on retail investors, the Fiduciary Interpretation addresses an adviser's duties as they relate to both institutional and retail clients.' This is a critical distinction: while Regulation Best Interest was retail-focused, the Fiduciary Interpretation was explicitly broader in scope.

Moreover, the authors identify three specific categories of post-2019 SEC activity that demonstrate the agency's application of the duty of care to institutional and private fund contexts: (1) the SEC has 'referenced the duty of care in enforcement actions... concerning advisers to institutional fund clients,' (2) the SEC has referenced it in 'deficiency letters concerning advisers to institutional fund clients,' and (3) in the SEC's proposal to expand regulation of private fund advisers, the SEC explicitly stated that '[a]dvisers have a fiduciary duty to clients, including private fund clients, that is comprised of a duty of care and a duty of loyalty enforceable under the antifraud provisions of Section 206.' This tripartite evidentiary basis makes clear that the SEC views the duty of care -- including its reasonable investigation component -- as fully applicable to private fund advisers serving institutional clients.

The authors further note that the Fiduciary Interpretation's characterization as a 'mere compendium' of existing law 'underplays its significance,' because it featured 'the SEC's first extended articulation of a duty of care under the Investment Advisers Act of 1940.' This suggests that even if the duty of care is framed as a restatement, it represents a substantive expansion of the SEC's enforcement toolkit -- one that the SEC has already begun deploying against advisers to institutional clients, directly undermining Meridian's contractual-primacy defense.

Item adversarial_0149 -- temporal_trap

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: reg_bi_form_crs_delivery_timing_pre_post_july_2020

Fact Pattern

Question / Answer

Under Cambridge's Reg BI FAQ procedures for accounts existing prior to the initial July 2020 delivery date, what specific transactional events in Marcus's August 2020 activity independently triggered both (a) Reg BI disclosure obligations and (b) Best Interest Analysis documentation requirements, and why does Marcus's argument that pre-July 2020 accounts are grandfathered from Reg BI requirements fail based on the document's enumerated trigger events?

Correct Answer: According to Cambridge's Reg BI FAQ document, Marcus's August 2020 activity triggered obligations under two distinct categories. First, for Reg BI Disclosures on accounts existing prior to the initial delivery date of July 2020, the document specifically enumerates 'Deposit/transfer in of new funds or securities' and 'Buy/Sell/Hold recommendations for commission accounts' as independent trigger events. Patricia's \$50,000 deposit of inherited funds constituted a 'deposit/transfer in of new funds,' and Marcus's subsequent recommendation to purchase a proprietary front-load mutual fund constituted a 'Buy/Sell/Hold recommendation for commission accounts.' Both independently required Reg BI disclosure delivery.

Second, for Best Interest Analysis documentation, the document separately enumerates triggers for new accounts including 'Deposit/transfer in of new funds/securities' and 'Buy/sell/hold recommendation.' While the Best Interest Analysis triggers are listed under 'New accounts,' the deposit of new funds and the buy recommendation each independently triggered documentation requirements. The document makes clear that even for pre-existing accounts, the enumerated transactional events -- not the account opening date -- are what trigger compliance obligations post-July 2020.

Marcus's grandfathering argument fails because the Cambridge FAQ explicitly contemplates that accounts existing prior to July 2020 have their own specific disclosure trigger framework. The regulation and Cambridge's implementing procedures are transaction-triggered, not account-triggered. The fact that Reg BI disclosures for pre-July 2020 accounts were 'Delivered through the terms and conditions of the Client Information and Suitability Form for new accounts after July' does not exempt subsequent qualifying transactions from triggering fresh disclosure and documentation obligations. Each enumerated event -- new fund deposits and buy/sell/hold recommendations -- creates an independent obligation regardless of account vintage.

Item adversarial_0150 -- novel_unsettled

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: bank_rndip_ai_robo_advisor_reputation_risk_removal

Fact Pattern

Question / Answer

Under the June 2024 version of the OCC's Comptroller's Handbook on Retail Nondeposit Investment Products--as modified by OCC Bulletin 2025-4 and OCC Bulletin 2025-25--is Diana Vasquez correct that the OCC examiners can no longer use reputation risk as a basis for supervisory criticism of SmartPath Invest's presentation of RNDIPs alongside deposit products? Additionally, what specific risk categories from the Handbook's risk assessment framework REMAIN

available to examiners to address the customer confusion issues, and how does the Handbook's treatment of RNDIP delivery channels and the Interagency Statement requirements apply to AI-driven recommendation platforms that were not contemplated when the original guidance was issued?

Correct Answer: Diana Vasquez is partially correct but substantially wrong in her broader conclusion. OCC Bulletin 2025-4 did remove references to reputation risk from the Comptroller's Handbook, including the Retail Nondeposit Investment Products booklet (Version 2.0, June 2024), as confirmed by the strikethrough notation in the booklet itself. However, the removal of reputation risk as an examination category does NOT eliminate the OCC's ability to cite supervisory concerns about Heartland's RNDIP program. The Handbook explicitly identifies four other risk categories that remain fully applicable: compliance risk, operational risk, strategic risk, and credit risk. The customer confusion scenario described--where variable annuities are presented alongside FDIC-insured deposit information with inadequate disclosures--would be examined primarily under compliance risk (failure to comply with the Interagency Statement on Retail Sales of Nondeposit Investment Products, which requires prominent disclosures that products are not FDIC insured, not deposits, not guaranteed by the bank, and may lose value) and operational risk (inadequate controls over the AI-driven delivery channel, failure to ensure disclosures are presented conspicuously, and deficient third-party risk management of the FinEdge relationship).

The Handbook's section on RNDIP Delivery Channels and the Interagency Statement requirements apply regardless of whether the delivery mechanism is a human sales representative or an automated AI platform. The Handbook requires that the bank's Program Management Statement and policies and procedures be updated to address all delivery channels through which RNDIPs are offered. Heartland's failure to update its Program Management Statement since 2019--before SmartPath Invest was launched--and the board's failure to formally approve the AI-driven channel constitute independent supervisory deficiencies under the Handbook's risk management framework, specifically under the 'Adoption of Program Management Statement and Policies and Procedures' and 'Program Management' sections. The Handbook requires board-level oversight and approval of RNDIP program parameters.

Further, OCC Bulletin 2025-25, which limits the OCC's use of expanded examination procedures for community banks, does not apply to Heartland (\$14.2 billion in assets), meaning the full expanded examination procedures in the RNDIP booklet remain available to examiners. The novel question of whether an AI algorithm's output constitutes a 'recommendation' under Regulation Best Interest is separate from the OCC's supervisory authority over how the bank presents RNDIPs; the OCC's concern is with the bank's compliance with banking laws, the Interagency Statement, and safe-and-sound banking practices, not solely with securities law definitions of 'recommendation.' The Interagency Statement's disclosure requirements apply to all retail sales of nondeposit investment products regardless of how the recommendation is generated.

Item adversarial_0151 -- multi_party_liability

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: cif_multi_party_liability_bank_subadvisor_erisa

Fact Pattern

Question / Answer

Under the OCC's Comptroller's Handbook guidance on Collective Investment Funds and 12 CFR 9.18, what specific ongoing administrative and supervisory obligations did Heartland retain as the administering bank that could NOT be delegated to Ridgeline regardless of the sub-advisory agreement, and how does the Handbook's framework for board and management supervision, fund administration, and audit/compliance monitoring create a liability allocation between Heartland and Ridgeline that differs from what would apply if Ridgeline were simply an IA sub-adviser to a registered investment company under the Investment Company Act of 1940? Additionally, under the Handbook's risk management framework, which specific category of risk -- compliance, operational, strategic, or reputation -- does the failure to monitor adherence to the CIF's written plan primarily implicate, and what does the Handbook require of the bank's internal controls to mitigate that risk?

Correct Answer: Under 12 CFR 9.18(b) and the OCC Comptroller's Handbook on CIFs, Heartland as the administering national bank retains non-delegable responsibility for maintaining and enforcing the fund's written plan, including ensuring that all investments comply with the plan's stated parameters (here, the large-cap value mandate and the 5% single-issuer concentration limit). The Handbook specifically requires that the bank's board or trust committee exercise ongoing supervision over fund administration, that policies and procedures ensure compliance with the written plan, and that admissions, withdrawals, and valuations are conducted by the bank -- not the sub-adviser. Even where day-to-day portfolio management is delegated, 12 CFR 9.18 places the ultimate fiduciary and administrative obligation on the administering bank, which must maintain audit and compliance monitoring systems capable of detecting deviations from the written plan. The Handbook's section on fund administration makes clear that the bank must conduct or oversee regular portfolio reviews to verify plan compliance -- a duty that cannot be contractually shifted to the sub-adviser.

This differs fundamentally from the Investment Company Act of 1940 framework, where a registered investment company's board of directors has oversight responsibility under Sections 15 and 36, and the investment adviser and sub-adviser relationship is governed by separate contractual and statutory duties. Under the '40 Act, a sub-adviser's deviation from its mandate creates primary liability for the sub-adviser under its advisory agreement and potentially under Section 36(b) for breach of fiduciary duty with respect to compensation, but the fund's board has an independent duty of oversight that is qualitatively different from the bank's non-delegable administrative duties under 9.18. The Handbook's Appendix C specifically addresses the distinction between CIFs and '40 Act funds, noting that CIFs are excluded from registration under the Investment Company Act precisely because bank fiduciary regulation provides a parallel -- but structurally different -- supervisory framework. Under 9.18, there is no independent board of directors; the bank itself is the fiduciary, and its trust committee functions as the oversight body with direct, non-delegable liability.

The Handbook's risk management framework identifies the failure to monitor adherence to the CIF's written plan as primarily a compliance risk -- defined in the Handbook as the risk of legal or regulatory sanctions, financial loss, or damage to reputation arising from failure to comply with laws, regulations, rules, internal policies, or the fund's own governing documents. The Handbook requires that the bank maintain management information systems and exception reporting mechanisms sufficient to flag breaches of the written plan's investment parameters, and that the internal audit function independently verify compliance at regular intervals. Heartland's failure to generate exception reports flagging the 14.2% concentration in TechNova and the trust committee's failure to receive such reports represent a breakdown in precisely the compliance risk controls the Handbook mandates, making Heartland primarily liable under the OCC framework regardless of Ridgeline's concurrent breach of its sub-advisory mandate.

Item adversarial_0152 -- procedural_technical

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: national_bank_cryptocurrency_custody_authority**Fact Pattern****Question / Answer**

Under OCC Interpretive Letter #1170 (July 2020), what is the specific legal basis cited for a national bank's authority to provide cryptocurrency custody services by holding unique cryptographic keys, and does this authority apply only to fiduciary custody under 12 CFR Part 9, or does it also encompass non-fiduciary custodial services? Additionally, does the letter require national banks to obtain separate OCC approval before offering cryptocurrency custody, or is this activity treated as a permissible banking service available to any national bank that effectively manages risks and complies with applicable law?

Correct Answer: OCC Interpretive Letter #1170, issued July 22, 2020, concludes that a national bank may provide cryptocurrency custody services for customers, including by holding the unique cryptographic keys associated with cryptocurrency. The letter does not limit this authority to fiduciary custody under 12 CFR Part 9; rather, it addresses custody broadly as a permissible banking service. The letter frames cryptocurrency custody as a modern form of traditional bank custody activities, analogous to how banks have historically safeguarded assets on behalf of customers in both fiduciary and non-fiduciary capacities.

Critically, the letter does not require banks to obtain separate or special OCC approval before offering cryptocurrency custody. Instead, it reaffirms the OCC's position that national banks may provide permissible banking services to any lawful business they choose, including cryptocurrency businesses, 'so long as they effectively manage the risks and comply with applicable law.' The operative standard is risk management adequacy and legal compliance, not prior regulatory approval for the activity itself. The letter also explicitly extends this conclusion to Federal savings associations (FSAs).

Therefore, Meridian National Bank's approach--launching cryptocurrency custody services based on existing authority while implementing appropriate risk controls--is more consistent with the framework established by IL #1170 than Pinnacle's approach of seeking separate external confirmation. The OCC examiner's inquiry would be properly focused not on whether Meridian had legal authority (which IL #1170 confirms it did), but on whether Meridian had implemented controls commensurate with the risks of holding cryptographic keys, including cybersecurity, key management, and BSA/AML compliance. Both fiduciary and non-fiduciary custody of cryptographic keys fall within the scope of the letter's authorization.

Item adversarial_0153 -- counterintuitive_outcome

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: savings_association_collective_investment_fund_registration_exemption

Fact Pattern

Question / Answer

Under the regulatory framework applicable to Heritage Federal Savings Association as of 2002, was Whitmore & Strauss LLP's advice correct that Heritage must register its proposed collective investment funds with the SEC, or was consultant Redding correct that no SEC registration was required? Identify the specific statutory provision that resolved this issue for savings associations, explain when it became effective, and describe what prior legal barrier it eliminated.

Correct Answer: Consultant Redding was correct, and Whitmore & Strauss LLP's advice was outdated. Section 223 of the Gramm-Leach-Bliley Act (GLBA), enacted on November 12, 1999, amended Section 2(a)(5) of the Investment Company Act of 1940 in a way that permitted savings associations to offer common and collective funds to their trust customers without registering those funds with the SEC. Prior to the GLBA, savings associations were excluded from the definition of 'bank' under the Investment Company Act, which meant the Section 3(c)(3) exemption from registration -- available to bank-maintained common trust funds and collective investment funds -- did not extend to savings associations. The GLBA's amendment resolved this disparity.

As the OTS Trust and Asset Management Handbook (Section 880) explicitly states: 'Savings associations will be permitted for the first time to offer common and collective funds to its trust customers without having to register them with the Securities and Exchange Commission. This result was achieved by the language in Section 223 of the Gramm-Leach-Bliley Act that amended Section 2(a)(5) of the Investment Company Act of 1940.' This was a counterintuitive development because, for decades, the conventional understanding was that savings associations lacked this exemption and were required to register collective funds as investment companies -- a costly and burdensome process that effectively prevented most thrifts from offering such products.

Additionally, OTS Regulation §550.260(a) authorized savings associations to invest fiduciary funds in collective investment funds established and administered in accordance with the OCC's 12 CFR §9.18. Heritage would need to comply with §9.18's requirements -- including establishing a written plan approved by the board of directors (or a designated committee), with provisions covering investment powers, fee allocation, admission/withdrawal terms, valuation methods, and audit procedures -- but SEC registration was not required. Heritage's board should have proceeded with the collective fund initiative subject to §9.18 compliance, and Whitmore & Strauss's advice reflected the pre-GLBA legal landscape that was no longer applicable.

Item adversarial_0154 -- rule_conflict

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: fiduciary_governing_instrument_primacy_vs_ia_act_best_interest

Fact Pattern

Question / Answer

Under the OCC/OTS framework for bank fiduciary activities as set forth in 12 CFR Part 9 and the OTS Trust and Asset

Management Handbook (Section 800), what is the PRIMARY constraint that governs the trust department's investment decision regarding the Meridian concentration in the Hargrove Family Trust, and how does this specifically differ from the standard that would apply to Carolyn's advisory account under the Investment Advisers Act? Why is compliance officer Redfield's assertion that the same prudent investor analysis applies identically to both accounts incorrect?

Correct Answer: Under the OTS Trust and Asset Management Handbook Section 800, the PRIMARY investment constraint for bank fiduciary accounts is the governing instrument, not a generalized prudent investor standard. The Handbook explicitly establishes a hierarchy of asset management constraints: first, 'the specific investment requirements outlined in the governing instrument'; second, 'applicable law, that will include state prudent investment statutes'; third, 'generally accepted fiduciary principles'; and finally, 'account objectives and goals.' The Handbook further states that the governing instrument provides the 'primary investment guidance' and warns that 'failure to [pay close attention to the requirements outlined within the governing instrument] can result in a breach of fiduciary duty and subject the savings association to litigation and financial loss.' This means that even where the bank's own investment policy recommends a 15% single-position cap, and even where prudent investor principles would ordinarily require diversification, the specialized retention clause in the Hargrove trust instrument mandating retention of Meridian shares absent Trust Protector consent creates a binding constraint that takes hierarchical priority. The bank may face liability for selling Meridian without complying with the governing instrument's consent requirement, regardless of the stock's poor performance.

By contrast, Carolyn's advisory account is governed by the Investment Advisers Act of 1940 and the fiduciary duty articulated thereunder (as reinforced by SEC v. Capital Gains Research Bureau and Regulation Best Interest for any dual-hatted recommendations). The advisory agreement contains no retention clause--only a best-interest standard. With Meridian at 40% concentration in a moderate-growth account whose IPS caps single positions at 20%, the adviser has both the authority and the affirmative duty to reduce the position to comply with the client's stated risk parameters. There is no governing-instrument primacy doctrine under the Advisers Act; the adviser's fiduciary obligation to act in the client's best interest, informed by the IPS and suitability profile, controls.

Redfield's assertion is therefore specifically wrong because it ignores the OTS Handbook's explicit hierarchical framework in which the governing instrument supersedes general prudent investor principles for trust accounts. The two accounts are governed by fundamentally different regulatory regimes with different primary constraints, even though both involve fiduciary relationships with the same institution.

Item adversarial_0155 -- precise_threshold

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: occ_crypto_supervisory_non_objection_requirement

Fact Pattern

Question / Answer

Under OCC Interpretive Letter 1179, what specific procedural step must a national bank complete before engaging in

cryptocurrency custody services addressed in Interpretive Letters 1170, 1172, and 1174, and what specific determination must the OCC supervisory office make before the bank may proceed? Given that Meridian launched its crypto custody services on November 1, 2021 -- before IL 1179 was issued on November 18, 2021 -- but after IL 1170 had confirmed legal permissibility, is Meridian in compliance, and what is the precise procedural deficiency identified by IL 1179 that IL 1170 alone did not require?

Correct Answer: OCC Interpretive Letter 1179, issued November 18, 2021, clarifies that while the activities addressed in Interpretive Letters 1170, 1172, and 1174 remain legally permissible, a bank must notify its supervisory office in writing of its intention to engage in any of these cryptocurrency activities. Critically, IL 1179 establishes that the bank 'should not engage in the activities until it receives written notification of the supervisory office's non-objection.' This is a specific two-step procedural requirement: (1) written notification to the supervisory office, and (2) receipt of written supervisory non-objection before commencing the activity.

In deciding whether to grant supervisory non-objection, the supervisory office will evaluate the adequacy of the bank's risk management systems and controls, and risk measurement systems, to determine whether the bank can engage in the proposed activities in a safe and sound manner. IL 1179 grounds this requirement in the principle that 'a proposed activity cannot be part of the business of banking if the bank lacks the capacity to conduct the activity in a safe and sound manner.' Thus, mere legal permissibility under IL 1170 is necessary but not sufficient -- the bank must also demonstrate operational capacity through the non-objection process.

Meridian is not in compliance as of November 18, 2021, because IL 1179 imposed a supervisory non-objection requirement that did not exist under IL 1170 standing alone. IL 1170 concluded that crypto custody was a permissible form of traditional safekeeping but did not require prior written notification to or written non-objection from the supervisory office. Meridian's reliance solely on IL 1170 was arguably reasonable before November 18, 2021, but after that date, the bank is operating without the required written supervisory non-objection. The fact that Meridian has robust internal controls is relevant to the substantive evaluation the supervisory office would conduct, but it does not substitute for the procedural requirement of obtaining written non-objection before engaging in the activity. Meridian must immediately notify its supervisory office in writing and cease or suspend crypto custody activities until it receives written non-objection.

Item adversarial_0156 -- case_specific_holding

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: ots_fiduciary_duty_prudent_man_vs_prudent_investor_bank_trust

Fact Pattern

Question / Answer

Under OTS Trust and Asset Management Handbook Section 110 (July 2001), how does the handbook specifically characterize the applicable prudence standard for savings associations acting as fiduciaries, and does this characterization support MHSA's defense that individual-investment-level prudence (the traditional 'prudent man' standard) is sufficient -- or does Section 110 unambiguously require the 'prudent investor' standard? Critically, what specific textual feature of Section 110's articulation of the prudence duty creates ambiguity that MHSA could exploit in

its defense?

Correct Answer: OTS Trust and Asset Management Handbook Section 110 (July 2001) describes the prudence duty as requiring the fiduciary to '[e]xercise the same care and skill in administering the trust, as a person of ordinary prudence would exercise in dealing with his or her own property.' The handbook then states: 'This is generally referred to as the "prudent man" or "prudent investor" rule (states have adopted versions of one rule or the other).' This specific textual formulation is critical because it conflates and presents the prudent man rule and the prudent investor rule as interchangeable labels for the same standard, linked by the conjunction 'or,' rather than recognizing them as substantively different legal standards with materially different requirements.

This conflation is precisely what MHSA could exploit. The handbook's own articulation of the duty uses the traditional prudent man formulation -- judging prudence by what an ordinarily prudent person would do with their own property -- which is the individual-investment-level standard. It does not separately articulate the prudent investor rule's requirements of portfolio-level analysis, mandatory diversification consideration, or risk-return optimization. By treating the two rules as synonymous, the handbook's text arguably supports MHSA's position that assessing each investment individually for prudence is sufficient under the OTS framework.

However, the handbook also specifies that savings associations are subject to 'state and federal statutory law and regulation' and 'the common law of trusts (or "accepted fiduciary standards"),' which would incorporate Ohio's adoption of the UPIA. Thus, while Section 110's own prudence formulation textually favors the traditional prudent man standard, the handbook's enumeration of applicable legal sources creates a layered compliance obligation that would independently require MHSA to comply with Ohio's prudent investor standard. The examiners would need to look beyond the handbook's prudence formulation to the hierarchy of applicable laws it identifies.

Item adversarial_0157 -- temporal_trap

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: occ_rndip_networking_agreement_temporal_trap

Fact Pattern

Question / Answer

Under the OCC's February 2015 updated Comptroller's Handbook booklet on Retail Nondeposit Investment Products, can Heartland National Bank rely on the fact that its networking agreement with Pinnacle Securities was originally compliant under the 1994 version of the booklet and the 1994 Interagency Statement to avoid examination criticism? Specifically, what is the significance of the 2015 Booklet being the first formal agency effort to address a particular category of issues in networking arrangements, and how does this create a temporal compliance gap for banks like Heartland that maintained pre-existing agreements?

Correct Answer: No, Heartland cannot rely on the vintage of its networking agreement to avoid examination criticism. The February 2015 updated Booklet replaced the 1994 version entirely and established substantially revised and expanded supervisory expectations for banks' RNDIP programs--expectations that apply to all existing arrangements, not merely prospective ones. The Booklet is approximately 170 pages, nearly three times the length of the 1994 version, reflecting the extensive regulatory developments

since 1994 including the Gramm-Leach-Bliley Act, Regulation R (2007), and the Dodd-Frank Act.

Critically, the 2015 Booklet is identified as 'the first formal agency effort to discuss compensation and bonus issues raised in Regulation R in 2007.' This means that for the eight-year period between Regulation R's effective date in 2007 and the issuance of the 2015 Booklet, there was no consolidated OCC examiner guidance specifically addressing how Regulation R's compensation restrictions applied within the context of bank networking arrangements for RNDIP sales. Heartland's informal \$75-per-account bonus payments from branch managers to Pinnacle representatives raise precisely the type of compensation issue that the 2015 Booklet now formally addresses. The absence of prior formal OCC guidance on this specific issue does not grandfather Heartland's non-compliant practices; rather, the 2015 Booklet retroactively establishes the examination framework against which existing arrangements will be measured.

Furthermore, the Booklet details new OCC expectations regarding third parties providing RNDIPs through bank distribution channels and focuses on terms required in networking agreements with banks. The document explicitly states that 'these requirements are extensive and unlikely to be satisfied with existing networking arrangements'--a direct acknowledgment by the OCC that pre-existing agreements like Heartland's 2003/2012 arrangement will need to be amended. The Booklet also incorporates the requirements of OCC Bulletin 2013-29 on Third-Party Relationships, which Heartland's agreement predates. Heartland must now update its networking agreement to conform to all current standards, including Regulation R compensation provisions, third-party risk management requirements, and enhanced information-sharing obligations.

Item adversarial_0158 -- novel_unsettled

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: dual_registered_cta_ia_algorithmic_crypto_commodity_pool

Fact Pattern

Question / Answer

Under the Commodity Exchange Act's definition of 'commodity pool' in CEA §1a(10), does the Fund's use of tokenized commodity-linked instruments that settle by reference to COMEX gold futures prices cause those instruments to fall within the enumerated categories of 'commodity interests' -- and if so, given that the Fund is a private investment fund exempt under Section 3(c)(7) of the Investment Company Act (and therefore NOT a registered investment company entitled to the CFTC Regulation §4.5 exemption from CPO registration), what specific NFA Rule 2-30 suitability obligations attach to Meridian as CTA with respect to the AI-generated trading decisions, and how does the 'black box' nature of the algorithm interact with those obligations when the CFTC framework under CEA §§4m, 4n, and 4o requires CTAs to provide a reasonable basis for their trading recommendations?

Correct Answer: Under CEA §1a(10), a 'commodity pool' is defined to include any investment trust, syndicate, or similar form of enterprise operated for the purpose of trading in 'commodity interests,' which expressly encompasses 'any commodity for future delivery, securities futures product or swap, agreement in foreign currency interests for future or forward delivery, commodity option and certain defined leveraged transactions.' The tokenized commodity-linked instruments that settle by reference to COMEX gold futures prices present a genuinely novel classification question. Because

the document specifically enumerates swaps and commodity options within the definition, and because the CFTC has authority under the CEA to 'make additional definitions and to exclude certain entities and transactions from the relevant definitions,' these tokenized instruments likely constitute either swaps (if they involve an exchange of payments based on the value of a commodity) or commodity options under the broad CEA §1a(10) framework. This would raise the Fund's commodity interest exposure to approximately 85%.

Critically, as the document makes clear, a registered investment company is exempt from CPO registration under CFTC Regulation §4.5 'even if the registered fund invests and/or trades in commodity interests regulated by the CFTC and the NFA.' However, the Fund is a Section 3(c)(7) private investment fund -- NOT a registered investment company -- and therefore does NOT qualify for the §4.5 exemption. This means Meridian must maintain full CPO registration and comply with all attendant NFA obligations, including NFA Rule 2-30's 'Know Your Customer' requirements as a CTA. NFA Rule 2-30 requires CTAs to obtain sufficient information about customers to make suitable trading recommendations and to have a reasonable basis for those recommendations.

The 'black box' algorithm creates an acute tension with CEA §4o's antifraud provisions applicable to CTAs, which require that trading advice not be deceptive or operate as a fraud. When combined with NFA Rule 2-30's suitability mandate and the CFTC Rule 4.41 disclosure requirements (which the Fund's PPM already partially addresses for hypothetical performance), Meridian faces an unsettled but serious compliance gap: if the CTA cannot explain the basis for individual trading decisions generated by the AI -- and the CCO's objections were suppressed rather than addressed -- Meridian likely cannot demonstrate the 'reasonable basis' for its trading activity that the suitability framework requires. The failure to disclose the black-box nature of the algorithm in the PPM may separately violate CEA §4o's prohibition on fraud and deception by CTAs and CPOs. This is a genuinely novel area where no CFTC no-action letter or NFA interpretive notice has directly addressed AI-autonomous trading by CTAs.

Item adversarial_0159 -- multi_party_liability

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: dual_registered_fcm_bd_customer_fund_protection_gaps

Fact Pattern

Question / Answer

Given the specific customer fund protection framework described in the FIA Uniform Futures and Options on Futures Risk Disclosures, which of Kowalski's deposited funds (securities vs. futures) are explicitly NOT protected by SIPC, what alternative protections (if any) are described as available for the futures funds, and how does this protection gap affect the multi-party liability analysis among the FCM/BD (Meridian Capital), the CTA/IA subsidiary (Meridian Advisory Services), and any applicable clearing organization?

Correct Answer: The FIA Combined Disclosure Statement explicitly states that 'The funds you deposit with a futures commission merchant for trading futures positions are not protected by the Securities Investor Protection Corporation even if the futures commission merchant is registered with the Securities and Exchange Commission as a broker or dealer.' This means Kowalski's \$400,000 in futures funds

receives zero SIPC protection despite Meridian's dual FCM/BD registration--a point the disclosure specifically anticipates and addresses. His \$450,000 in securities would be eligible for SIPC coverage up to the statutory \$500,000 limit (\$250,000 cash sublimit).

For the futures funds, the disclosure states that 'The funds you deposit with a futures commission merchant are generally not guaranteed or insured by a derivatives clearing organization in the event of the bankruptcy or insolvency of the futures commission merchant, or if the futures commission merchant is otherwise unable to refund your funds,' but it notes that 'Certain derivatives clearing organizations, however, may have programs that provide limited insurance to customers.' The customer is told to 'inquire of your futures commission merchant whether your funds will be insured by a derivatives clearing organization and you should understand the benefits and limitations of such insurance programs.' This creates only a contingent, limited, and non-guaranteed protection pathway for futures funds--fundamentally different from the statutory SIPC framework.

The disclosure further specifies that futures funds 'are not held by the futures commission merchant in a separate account for your individual benefit' and that 'Futures commission merchants commingle the funds received from customers in one or more accounts and you may be exposed to losses incurred by other customers if the futures commission merchant does not have sufficient capital to cover such other customers' losses.' This commingling risk is precisely what materialized in Kowalski's case. The multi-party liability analysis therefore falls most heavily on Meridian Capital Partners as the FCM for violating segregation requirements under CEA and CFTC rules, while Meridian Advisory Services faces liability under both CEA §4o and NFA Rule 2-30 for failing to ensure the suitability of the custodial arrangement and failing to inform Kowalski of the explicit absence of SIPC and insurance protections for the futures portion of his account. Any DCO that did have a limited insurance program and failed to pay would bear separate liability, but absent such a program, the DCO has no obligation.

Item adversarial_0160 -- procedural_technical

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: cta_disclosure_document_delivery_and_qep_exemption

Fact Pattern

Question / Answer

Identify at least three specific procedural or formatting deficiencies in Meridian's disclosure document and delivery practices as described, citing the precise requirements from NFA's CTA Disclosure Document guidance. Specifically address: (1) What is wrong with the cover page Cautionary Statement? (2) What is wrong with the placement of the Risk Disclosure Statement? (3) Was Meridian correct in telling Lakeview Family Office that no disclosure document was required because Lakeview is a QEP, and what specific condition was not met? (4) Was the simultaneous delivery of the disclosure document and advisory agreement to Pinnacle compliant?

Correct Answer: There are at least four distinct procedural deficiencies. First, regarding the cover page Cautionary Statement: NFA's guidance specifies that the Cautionary Statement must be 'prominently' displayed, and 'prominently' is defined as displayed 'in CAPITAL letters and in boldface type.' Meridian's cover page used standard non-bold italicized type, failing both the capitalization and boldface

requirements. This is a direct violation of the formatting mandate for the cover page.

Second, regarding the Risk Disclosure Statement placement: NFA's guidance requires that the Risk Disclosure Statement 'must be prominently displayed immediately after the cover page of the Document.' Meridian placed a two-page executive summary between the cover page and the Risk Disclosure Statement, pushing it to page 4. This violates the 'immediately after the cover page' requirement regardless of whether the Risk Disclosure Statement itself was properly formatted in bold uppercase.

Third, regarding the QEP exemption for Lakeview: While a CTA is not required to deliver a disclosure document when directing the account of a QEP under CFTC Regulation 4.7, the NFA guidance specifies an additional condition: 'the required exemption notice has been filed with NFA.' Meridian had not filed a Regulation 4.7 exemption notice with NFA for the Systematic Alpha program. Therefore, Sandra Chen's representation that no disclosure document was required was incorrect -- the QEP exemption from disclosure document delivery is only available when both conditions are satisfied (client is a QEP AND the exemption notice has been filed with NFA).

Fourth, regarding Pinnacle's delivery: NFA's guidance states that CTAs 'must deliver a disclosure document for the offered program to a prospective client prior to or when it delivers the advisory agreement to the client.' Meridian delivered the disclosure document and the advisory agreement simultaneously via the same email. This satisfies the 'prior to or when it delivers the advisory agreement' standard, so the delivery timing to Pinnacle was technically compliant. The electronic signature on the acknowledgment also appears proper, as NFA permits CTAs to 'accept an electronic signature' when the document is delivered by electronic means.

Item adversarial_0161 -- counterintuitive_outcome

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: mutual_fund_cpo_registration_deminimis_exemption

Fact Pattern

Question / Answer

Under the revised CFTC Rule 4.5 as adopted on February 8, 2012, and effective April 24, 2012, is Ridgeway correct that its 5.3% commodity interest exposure in speculative positions falls within the de minimis threshold permitting continued reliance on the Rule 4.5 exclusion from CPO registration? What specific conditions of the revised rule does Ridgeway fail to satisfy, and why is the outcome counterintuitive given that the Fund is already subject to comprehensive SEC regulation as a registered investment company?

Correct Answer: Ridgeway is NOT correct, and the outcome is counterintuitive because even though the Fund's commodity interest exposure is a modest 5.3% of net assets and the Fund is already comprehensively regulated by the SEC under the Investment Company Act of 1940, Ridgeway is required to register as a CPO with the CFTC and become a member of the NFA. The revised CFTC Rule 4.5, adopted February 8, 2012, fundamentally changed the regulatory landscape for investment advisers operating registered investment companies that trade in commodity interests. The critical change was the reimposition of trading thresholds and marketing restrictions that had been

eliminated in a 2003 amendment.

Under the revised Rule 4.5, a registered investment company adviser can only claim the CPO exclusion if the fund's commodity interest positions are used solely for 'bona fide hedging' purposes -- OR if the speculative commodity interest positions satisfy a de minimis trading threshold measured as 5% of the liquidation value of the pool's portfolio (with an alternative aggregate net notional test). Ridgeway's 5.3% speculative commodity exposure EXCEEDS the 5% de minimis threshold under the liquidation value test. Ridgeway's colleague's informal advice about a 10% threshold was incorrect. Furthermore, the revised rule requires that the entity claiming the exclusion must file a notice of claim with the NFA and must represent that it will not market the fund to the public as a vehicle for trading in commodity interests. Ridgeway failed to file any such notice and made no marketing representations.

The counterintuitive result is that a mutual fund adviser already subject to the extensive regulatory regime of the SEC -- including the Investment Company Act's restrictions on leverage, diversification, and custody -- must now additionally register with the CFTC, become an NFA member, and comply with CFTC disclosure, reporting, and recordkeeping requirements, creating what the source document describes as 'a dual framework of regulation that will lead to new compliance challenges for mutual funds and their advisers and other service providers.' Prior to April 24, 2012, Ridgeway could have traded commodity interests without any such threshold, as the pre-2012 version of Rule 4.5 did not impose speculative trading limits on registered investment companies. The 2012 amendments specifically targeted the growing use of commodity derivatives by mutual funds and eliminated the blanket accommodation that had previously existed.

Item adversarial_0162 -- rule_conflict

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: sef_participant_recordkeeping_conflict_dual_registration

Fact Pattern

Question / Answer

Under the RESurety Markets LLC Rulebook (effective November 20, 2025), which specific rules in Chapter 3 and Chapter 4 independently impose recordkeeping, audit trail, and inspection obligations on Participants like Greenfield--and how do those obligations interact with, rather than being preempted by, the SEC's recordkeeping requirements under Advisers Act Rule 204-2? Specifically, does Rule 403 (Right of Inspection) grant the SEF an independent inspection right over a dually-registered IA/CTA Participant's books, and does Rule 319 (Recordkeeping; Audit Trail) create obligations that are separate from and additive to the SEC framework?

Correct Answer: Under the RESurety Markets LLC Rulebook, Participants are subject to multiple independent, contractual obligations that are additive to--not preempted by--any SEC recordkeeping requirements. Rule 319 (Recordkeeping; Audit Trail), located in Chapter 3, imposes specific recordkeeping and audit trail requirements on Participants as a condition of their participation on the SEF. This rule requires Participants to maintain records of their SEF trading activity in a manner consistent with CFTC regulations and the SEF's own operational requirements, which include audit trail data that the SEC's Rule 204-2 does not specifically mandate (e.g., order entry timestamps, modification logs,

and execution data specific to swap transactions).

Rule 403 (Right of Inspection), located in Chapter 4, grants the SEF an independent contractual right to inspect the books and records of Participants. This right exists by virtue of the Participant's agreement to be bound by the Rulebook as a condition of access under Rules 301 and 304. This inspection right is separate from and in addition to any inspection authority held by the SEC under Section 204 of the Investment Advisers Act or by the NFA under its own compliance rules. The SEF's inspection authority derives from the Commodity Exchange Act's core principles for SEFs (particularly Core Principle 2 on compliance) and the contractual relationship between the SEF and its Participants, not from any delegation of SEC authority.

Further, Rule 409.A (Participant Books and Records) in Chapter 4 establishes specific books-and-records obligations that Participants must satisfy with respect to their SEF activities. These obligations are grounded in the CFTC's regulatory framework (including CFTC Rules applicable to SEFs under Part 37 and Part 45) and are binding on the Participant regardless of its SEC registration status. The SEC's recordkeeping framework under Rule 204-2 does not preempt these obligations because (a) the Commodity Exchange Act and the Advisers Act operate as parallel regulatory regimes with independent jurisdictional bases, (b) the Dodd-Frank Act preserved the CFTC's exclusive jurisdiction over swaps, and (c) the Participant voluntarily submitted to the Rulebook's requirements as a condition of SEF access. Therefore, Greenfield must comply with both the SEC's recordkeeping requirements and the REsurety Markets Rulebook's independent requirements under Rules 319, 403, and 409.A.

Item adversarial_0163 -- precise_threshold

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: iosco_retail_consultation_comment_deadline_threshold

Fact Pattern

Question / Answer

Under the precise terms of IOSCO's Retail Market Conduct Task Force Consultation Report (CR03/2022, March 2022), what was the exact deadline for submitting comments, and identify at least two specific respects in which Meridian's August 15, 2022 email submission failed to comply with the report's stated submission requirements -- citing the exact procedural specifications from the report.

Correct Answer: The IOSCO Retail Market Conduct Task Force Consultation Report (CR03/2022) specified that comments must be submitted 'on or before 23 May 2022.' Meridian's submission on August 15, 2022 was therefore nearly three months past the stated deadline and would not have been timely under the consultation's terms.

Beyond the timing deficiency, Meridian's submission was noncompliant in at least two additional respects. First, the report's email submission instructions explicitly stated: 'Do not submit attachments as HTML, PDF, GIFG, TIFF, PIF, ZIP or EXE files.' Meridian submitted its comment letter as a PDF attachment, which was expressly prohibited by the report's formatting requirements. The report noted that comments received would be 'converted to PDF format and posted on the

IOSCO website,' indicating that IOSCO itself would handle PDF conversion, and submitters were expected to use other formats such as WordPerfect, Microsoft Word, or ASCII text.

Second, the report required that the subject line of email submissions 'must indicate IOSCO Retail Market Conduct Task Force Report.' Meridian's subject line read 'Meridian Capital Advisors -- Comments on Retail Market Conduct,' omitting the required reference to 'IOSCO' and the specific designation 'Task Force Report.' Additionally, for paper submissions, the report required that comment letters 'indicate prominently that it is a Public Comment on IOSCO Retail Market Conduct Task Force Report,' and the email subject line requirement paralleled this specificity. The combination of a missed deadline, a prohibited file format, and an incorrectly worded subject line rendered Meridian's submission triply noncompliant with the consultation's procedural specifications.

Item adversarial_0164 -- case_specific_holding

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: mifid2_target_market_manufacturer_distributor_conflict

Fact Pattern

Question / Answer

Under the specific MiFID II investor protection framework as articulated in ESMA's product governance obligations, what two distinct distributor-side requirements did Greenfield's distribution arm fail to satisfy -- and how do these obligations differ from the general suitability/appropriateness testing requirement that Greenfield claims it fulfilled? Cite the specific obligations as delineated in the ESMA product governance framework for distributors.

Correct Answer: Under ESMA's MiFID II product governance obligations as specified for distributors, Greenfield's distribution arm failed two distinct requirements. First, distributors must 'make arrangements to obtain all appropriate information on the product' -- Greenfield's distribution arm failed this by relying solely on the manufacturer's target market definition without independently obtaining comprehensive product information, including the missing cost breakdown at the instrument level and the valuation monitoring data for the leveraged instrument. Second, distributors must 'ensure that the product's characteristics, the target market's objectives, and the intended distribution strategy are compatible' -- Greenfield failed to perform this independent compatibility assessment, instead passively accepting the manufacturer's target market definition as sufficient.

These two distributor-side product governance obligations are structurally distinct from the general MiFID II suitability and appropriateness testing requirement. The suitability assessment -- which requires firms to 'assess their clients' needs, objectives, knowledge and experience, risk appetite and ability to bear loss during the advisory process' and ensure 'only matching products may be offered' -- operates at the individual client level during the advisory process. In contrast, the product governance distributor obligations operate at the product-distribution level before and independent of any individual client interaction. Greenfield's error was conflating compliance with the client-level suitability assessment with compliance with the product-level governance framework.

Additionally, the MiFID II framework specifically mandates that firms 'comply with obligations to inform clients with valuation monitoring of leveraged instruments,' which is a standalone investor

protection obligation that Greenfield's manufacturer subsidiary also failed to incorporate into its target market definition. This leveraged instrument monitoring requirement has no direct analogue under NFA Rule 2-30 or CFTC Rules 4.30/4.41, highlighting the gap between the MiFID II product governance regime and the CFTC/NFA suitability framework.

Item adversarial_0165 -- temporal_trap

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: dual_registrant_form_pf_filing_temporal_trap

Fact Pattern

Question / Answer

Under the CFTC's proposed joint rulemaking with the SEC implementing Dodd-Frank Act Section 406, what specific AUM threshold and filing frequency applied to dual registrants like Meridian, and why does Hargrove's argument that filing Form CTA-PR with the NFA constitutes equivalent compliance fail based on the precise structure of the proposed regulatory scheme as described in the CFTC's guidance?

Correct Answer: Under the CFTC's proposed rules implementing Section 406 of the Dodd-Frank Act, dual registrants--defined as CPOs and CTAs registered with both the CFTC and the SEC--were subject to a tiered filing requirement for Form PF based on a \$1 billion AUM threshold. Specifically, dual registrants with AUM less than \$1 billion were required to file only Section 1 of Form PF on an annual basis, while dual registrants with AUM equal to or exceeding \$1 billion were required to file both Sections 1 and 2 of Form PF on a quarterly basis. Because Meridian's combined AUM across its three funds was approximately \$1.05 billion, it fell into the latter category and was obligated to file Sections 1 and 2 quarterly--not just Section 1 annually.

Hargrove's argument that filing Form CTA-PR with the NFA constitutes equivalent compliance fails because the proposed regulatory scheme drew an explicit structural distinction between dual registrants and non-dual registrants. The CFTC's proposed rule specifically stated that dual registrants (those registered with both the CFTC and SEC) would 'satisfy certain proposed CFTC filing requirements by filing Form PF with the SEC.' Forms CPO-PQR and CTA-PR were proposed separately as 'new reporting requirements for CPOs and CTAs that are not dual registrants.' The CFTC's own proposal made clear that these separate forms were designed for entities registered solely with the CFTC, not for dual registrants. While the CFTC noted that the proposed forms were 'substantively identical to Form PF with appropriate modifications,' this language described the content equivalence for non-dual registrants--it did not create an alternative compliance pathway for dual registrants.

Furthermore, the filing venues were deliberately different: Form PF was to be filed with the SEC, while Forms CPO-PQR and CTA-PR were to be filed with the NFA. This distinction reflects the joint rulemaking structure mandated by Section 406 of the Dodd-Frank Act, which required the SEC and CFTC to jointly establish reporting for dual registrants specifically. Meridian, as a dual registrant exceeding the \$1 billion threshold, was required to file Sections 1 and 2 of Form PF quarterly with the SEC and could not substitute CTA-PR filings with the NFA.

Item adversarial_0166 -- novel_unsettled

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: misidentified_regulatory_source_dual_registration**Fact Pattern****Question / Answer**

Meridian's outside counsel relies on Federal Register document 2024-11798a (Vol. 89, No. 107, June 3, 2024) as the source of CFTC guidance establishing standards for CTA hypothetical performance disclosures and AI-generated trading signal marketing. Is this reliance well-founded, and what specific regulatory content does document 2024-11798a actually contain? How does this affect Meridian's compliance position with respect to both the CFTC/NFA and SEC marketing standards for the Alpha Futures & Digital Strategy program?

Correct Answer: Meridian's counsel's reliance on Federal Register document 2024-11798a is fundamentally misplaced. Document 2024-11798a, published in Volume 89, No. 107 of the Federal Register on June 3, 2024, is not CFTC guidance at all. It is a Nuclear Regulatory Commission (NRC) direct final rule confirming the effective date of July 3, 2024 for a rule amending 10 CFR Part 72 -- specifically, the renewal of the initial certificate and Amendment Nos. 1 through 4 to Certificate of Compliance No. 1026 for the Westinghouse Electric Company LLC FuelSolutions(TM) Spent Fuel Management System, a spent nuclear fuel storage cask listing. The document bears docket number NRC-2023-0220 and RIN 3150-AL05. It has absolutely no connection to the Commodity Exchange Act, CFTC regulations, commodity trading advisers, or any financial regulatory matter whatsoever.

This means Meridian's entire compliance memorandum rests on a non-existent regulatory foundation. There is no CFTC safe harbor for AI-generated hypothetical performance in CTA marketing materials established by this document. Meridian must instead look to the actual applicable standards: CFTC Rule 4.41(b) governs hypothetical performance disclaimers for CTAs and requires specific cautionary language about the limitations of hypothetical results; NFA Rule 2-29 (not document 2024-11798a) governs CTA promotional material and prohibits misleading communications; and NFA Rule 2-30 establishes know-your-customer and suitability requirements for CTA recommendations. The backtested AI performance with only 14 months of data would face scrutiny under these actual provisions.

Further, Meridian's argument that the SEC Marketing Rule (Rule 206(4)-1 under the Advisers Act) does not apply to the commodity futures and crypto futures sleeves is likely incorrect for a unified managed account program where the firm is dually registered. The SEC has taken the position that where an adviser provides investment advice through a single program encompassing both securities and commodity interests, the Marketing Rule's requirements -- including its restrictions on hypothetical performance presentation (requiring adoption of policies reasonably designed to ensure the performance is relevant to the financial situation and investment objectives of the intended audience, per Rule 206(4)-1(d)(6)) -- apply to the entire advisory relationship. Meridian faces dual exposure under both regulatory regimes, and its counsel's foundational error in misidentifying the source document means the firm lacks a valid compliance framework for any component of its marketing materials.

Item adversarial_0167 -- multi_party_liability

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: variable_annuity_1035_exchange_multi_party_liability

Fact Pattern

Question / Answer

Based on the SEC's published investor guidance on variable annuities--specifically its detailed warnings about bonus credits and 1035 exchanges--which specific cost comparisons does the SEC guidance identify as essential factors that must be evaluated before an exchange is recommended, and how does the failure to address those specific factors allocate potential liability among Heritage Mutual Life (as insurer/product manufacturer), Summit Securities Inc. (as supervising broker-dealer), Bridgewater Wealth Advisors LLC (as investment adviser), and David Hargrove (as dually registered representative) under their respective regulatory frameworks?

Correct Answer: The SEC's guide to variable annuities specifically warns investors--and by extension the professionals who recommend these products--that bonus credits in variable annuities may not be 'as good as they sound' because the insurance company can 'make up for the cost of providing them' by imposing 'higher mortality and expense risk charges' and 'longer and/or higher surrender charges.' The SEC guidance expressly identifies that 'the increased charges may more than offset the benefit of the bonus credit' and states that an investor 'should ask your financial professional--and also do the math yourself--whether the bonus is worth more to you than any increased charges you will pay.' For 1035 exchanges specifically, the SEC guidance warns that an exchange 'may not be in your best interest' because it may involve paying 'surrender charges on the old annuity,' losing the benefits of tax deferral built up in the old contract, starting a 'new surrender charge period' on the replacement contract, and incurring 'higher annual expenses' in the new contract. The guidance states the investor should 'ask your financial professional to calculate for you' whether the new features 'make up for any higher annual expenses and any new surrender charge period.'

Applying these specific SEC-identified factors to the multi-party liability analysis: David Hargrove, operating in a dual capacity, bore the most direct obligation. As a registered representative under FINRA Rules 2111 (suitability) and 2330 (variable annuity suitability), he was required to have a reasonable basis for recommending the exchange, which the SEC guidance makes clear requires an affirmative cost-benefit comparison projecting how long it takes for the bonus credit to offset the 4% surrender charge forfeiture on Contract A, the new 8% surrender charge schedule on Contract B, and the annual expense differential of approximately 1.09% (2.91% vs. 1.82%). As an IAR of Bridgewater Wealth Advisors, he simultaneously owed a fiduciary duty under Investment Advisers Act §206, making the failure to perform this analysis a potential fraud under §206(2). Summit Securities Inc. bears supervisory liability under Exchange Act §15(b)(4)(E) and FINRA Rule 3110 because its annuity suitability unit approved the exchange without requiring documentation of the specific cost comparisons the SEC guidance identifies--particularly the time-to-breakeven on the bonus credit versus increased charges and the impact of restarting the surrender period. Heritage Mutual Life bears potential liability as product manufacturer for the wholesaler's omission of total ongoing cost differentials from the comparison spreadsheet, which could constitute a materially misleading sales tool under SEC Rule 156 (investment company sales literature) and applicable state insurance regulations. Bridgewater Wealth Advisors LLC bears potential liability under

§§206(1)-(2) of the Advisers Act and Ohio Rev. Code §1707.44 for collecting a financial planning fee while failing to ensure the advice provided met its fiduciary standard--specifically failing to address the very cost comparison the SEC guidance identifies as essential.

Item adversarial_0168 -- procedural_technical

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: ia_fiduciary_duty_scope_limitation_disclosure

Fact Pattern

Question / Answer

Under the SEC's June 2019 Final Interpretation of the investment adviser standard of conduct, what TWO specific procedural conditions must be satisfied before an investment adviser and its client may contractually narrow the scope of the advisory relationship (and thus limit the fiduciary obligations that flow from it), and does the Final Interpretation's explicit identification of 'account roll overs' as a category to which fiduciary duty applies create a heightened procedural barrier that prevents Meridian from excluding rollover advice even if those two conditions are met?

Correct Answer: Under the SEC's June 2019 Final Interpretation, the adviser's fiduciary duty 'follows the contours of the relationship between the adviser and its client, and the adviser and its client may shape that relationship by agreement provided that there is full and fair disclosure and informed consent.' These are the two specific procedural conditions: (1) full and fair disclosure of the scope limitation and its implications, and (2) informed consent by the client to that limitation. The interpretation explicitly states that 'the specific obligations that flow from the adviser's fiduciary duty depend on what functions the adviser has agreed to assume for the client.'

Critically, however, the Final Interpretation also states that the adviser's fiduciary duty 'is broad and applies to the entire adviser-client relationship, including advice about investment strategy, sub-adviser engagement, account type (whether to open and which type) and account roll overs.' This enumeration of 'account roll overs' as a specific category is descriptive of the breadth of fiduciary duty within an established relationship -- it does not create an independent procedural barrier or mandatory coverage requirement that overrides the agreement-shaping principle. The Final Interpretation's framework is that the scope of the relationship is defined first (through full and fair disclosure and informed consent), and then fiduciary duty attaches to whatever functions fall within that agreed scope.

Therefore, Meridian's defense has a plausible basis under the Final Interpretation's framework: if Meridian provided full and fair disclosure that rollover advice was excluded and Ms. Godfrey gave informed consent, the fiduciary duty would not extend to the pension rollover decision. However, the strength of Meridian's defense depends on whether the disclosure was truly 'full and fair' given Ms. Godfrey's lack of financial sophistication -- the Final Interpretation requires that client profiles capture 'level of financial sophistication' and 'investment experience,' suggesting that boilerplate contractual limitations may be insufficient for unsophisticated clients who may not understand the significance of the exclusion.

Item adversarial_0169 -- counterintuitive_outcome

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: dealer_definition_private_fund_adviser_exemption**Fact Pattern****Question / Answer**

Given that Meridian's private funds clearly satisfy the proposed qualitative tests for dealer activity -- routinely providing liquidity through two-sided quotes and earning revenue primarily from bid-ask spreads -- a general legal analyst would conclude that registration as a government securities dealer is required. However, the Committee on Capital Markets Regulation's comment letter identified a specific structural argument about why applying dealer regulation to advisers and private funds is improper. What was the Committee's specific characterization of the problem with applying the Proposal to advisers and private funds, and what was their precise minimum recommendation regarding this category of market participants?

Correct Answer: The Committee on Capital Markets Regulation specifically characterized the problem as one of 'fundamental conflicts and incompatibilities with applying dealer regulation to advisers and private funds.' This was not merely a policy preference but a structural legal argument: investment advisers owe fiduciary duties to their clients and fund investors, while dealers operate under a fundamentally different regulatory framework involving suitability obligations, net capital requirements, and a principal-trading model that is inherently in tension with advisory fiduciary standards. The Committee treated this as one of its four 'significant concerns' with the Proposal.

The Committee's precise minimum recommendation was that, even if the SEC proceeded to finalize the rule, 'the Proposal should be revised to omit the proposed quantitative test, significantly clarify the qualitative tests, and exempt advisers and private funds from the Proposal.' The exemption of advisers and private funds was explicitly stated as a minimum condition -- not merely a preferred outcome -- reflecting the Committee's view that no amount of clarification to the qualitative or quantitative tests could resolve the fundamental incompatibility between dealer and adviser regulation.

Additionally, the Committee recommended more broadly that 'the SEC defer finalizing the Proposal until the SEC has provided a full analysis of its statutory foundations and of the Proposal's costs and benefits.' The Committee also raised a statutory authority concern, arguing that the SEC had 'exceeded its statutory authority in issuing the Proposal, which is inconsistent with the language and historical understanding of the Exchange Act.' Combined, these arguments suggest that even where private fund trading activity facially meets the proposed dealer definition's qualitative tests, the structural regulatory incompatibility and statutory overreach arguments provide a basis for challenging the rule's application to this category of market participants.

Item adversarial_0170 -- rule_conflict

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: unregistered_broker_monetary_sanctions_rule_conflict

Fact Pattern

Question / Answer

In the SEC administrative proceeding against Holt, Reinhardt, and Cho, under which specific statutory provisions does the ALJ have authority to impose disgorgement and civil penalties, and how does the ALJ's treatment of Cho's inability-to-pay defense differ from what FINRA's framework would provide? Specifically, does the ALJ impose full or partial disgorgement on a respondent who demonstrates inability to pay, and what tier of civil penalties applies to unregistered broker violations where the respondents have settled on liability and the only remaining issue is monetary sanctions?

Correct Answer: Under the framework established in Initial Decision Release No. 1250 (In the Matter of Retirement Surety LLC et al.), the SEC ALJ derives authority to impose monetary sanctions from the OIP itself, which was instituted pursuant to Section 8A of the Securities Act of 1933, Sections 15(b) and 21C of the Exchange Act of 1934, and Section 9(b) of the Investment Company Act of 1940. The proceeding was bifurcated: the Commission first imposed nonmonetary sanctions via a settlement order (cease-and-desist, entity dissolution, and industry suspensions of varying lengths), then remanded to the ALJ solely to determine 'what, if any, disgorgement, prejudgment interest, and civil penalties are appropriate.' The respondents agreed they could not dispute the violation findings or factual findings from the settlement order, and that the matter could be resolved on the written record.

Critically, ALJ Cameron Elliot's decision demonstrates that inability to pay operates as a basis for reducing--but not eliminating--disgorgement in SEC administrative proceedings. Leeman (the analogue to Cho) received only partial disgorgement based on his 'demonstrated inability to pay,' while Rose and Featherstone (who did not demonstrate inability to pay) received full disgorgement plus prejudgment interest. This is fundamentally different from FINRA's framework, where restitution to investors (not disgorgement to the Commission) is the primary monetary remedy, and inability to pay is assessed under FINRA's Sanction Guidelines §5.2 as a factor that can eliminate fines entirely.

As for civil penalties, ALJ Elliot imposed only first-tier civil penalties on Rose and Featherstone--not second or third-tier penalties--despite the violations involving sales of over \$11 million in unregistered securities. Notably, Leeman (the respondent with demonstrated inability to pay) apparently did not receive civil penalties at all. Cho's argument that Section 21B penalties cannot reach unregistered persons fails because the OIP was brought under Section 15(b) and 21C of the Exchange Act, which provide independent authority for penalties in cease-and-desist proceedings. FINRA's parallel jurisdiction and different sanctions framework do not preempt or limit the SEC's authority to impose its own monetary sanctions in an administrative proceeding.

Item adversarial_0171 -- precise_threshold

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: ia_proposed_interpretation_comment_period_deadline

Fact Pattern

Question / Answer

Under SEC Release No. IA-4889 (File No. S7-09-18, RIN 3235-AM36), what was the precise deadline for public comments on the proposed interpretation regarding the standard of conduct for investment advisers, and what specific file number was required to be included on the subject line of email submissions? Additionally, based on the release's description of the fiduciary standard, what exact phrase did the Commission use to characterize the level of the investment adviser's standard of conduct -- and in what specific section of the release's table of contents does the Commission separately address the 'Duty to Seek Best Execution' as a distinct sub-obligation?

Correct Answer: Under SEC Release No. IA-4889, comments were required to be received on or before August 7, 2018. The specific file number that needed to be included on the subject line of email submissions was S7-09-18, and all submissions were required to refer to this file number. The release was assigned RIN 3235-AM36.

The Commission characterized the investment adviser's standard of conduct by stating that '[a]n investment adviser is a fiduciary, and as such is held to the highest standard of conduct and must act in the best interest of its client.' This language appears in the introductory section (Section I) of the Supplementary Information portion of the release.

Regarding the organizational structure, the 'Duty to Seek Best Execution' is listed as a distinct sub-obligation under Section II.A (Duty of Care), specifically as subsection ii. It sits between subsection i ('Duty to Provide Advice that is in the Client's Best Interest') and subsection iii ('Duty to Act and to Provide Advice and Monitoring over the Course of the Relationship'). This organizational structure is significant because it situates best execution as a component of the duty of care rather than the duty of loyalty (Section II.B), which is a separate and distinct fiduciary obligation addressed in its own section. Thus, Harrington's August 6, 2018 submission was timely (one day before the August 7 deadline), while the August 8 supplemental was indeed late.

Item adversarial_0172 -- case_specific_holding

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: horter_investment_alj_sanctions_determination

Fact Pattern

Question / Answer

In the Horter Investment Management, LLC proceeding (Initial Decision Release No. 1414, File No. 3-20531), what specific combination of sanctions did ALJ Carol Fox Foelak impose against the firm and the individual respondent Drew K. Horter, including the exact dollar amounts of civil penalties, the type of bar imposed on Horter, and the specific time period after which Horter could reapply? How does this outcome inform what Greenfield should expect in terms of the ALJ's likely approach to calibrating remedial sanctions in a factually analogous supervisory failure case?

Correct Answer: In the Horter Investment Management proceeding, ALJ Carol Fox Foelak imposed a censure on Horter Investment Management, LLC and ordered it to pay a third-tier civil penalty of \$250,000. Against Drew K. Horter individually, the ALJ imposed a supervisory collateral bar -- not a full industry bar -- with the right to reapply after two years, along with a third-tier civil penalty of \$125,000. This was a remedial proceeding following the Commission's November 3, 2022, Settlement Order

(Advisers Act Release No. 6182), which had already accepted respondents' Offer of Settlement, made findings of supervisory failures related to an associated person who was subsequently convicted of state securities law violations, and imposed a cease-and-desist order. The Commission specifically reserved the penalty and remedial sanction questions for determination by the ALJ under Sections 203(e), 203(f), and 203(i) of the Investment Advisers Act.

The Horter outcome is significant because the ALJ chose a supervisory collateral bar rather than a full associational bar, reflecting the nature of the misconduct as a supervisory failure rather than direct fraud by the respondent. The two-year reapplication period and the penalty amounts (\$250,000 for the firm, \$125,000 for the individual) suggest that ALJs in analogous cases calibrate sanctions to reflect the respondent's role as a supervisor who failed to detect an associated person's misconduct, rather than as a direct participant. For Greenfield, this precedent suggests that the Division's request for a \$500,000 firm penalty and full industry bar may be excessive, and a supervisory collateral bar with a reapplication right and lower penalty amounts may be more in line with precedent for supervisory failure cases under the Advisers Act.

Notably, the ALJ determined these issues on the basis of affidavits, declarations, documentary evidence, and excerpts of sworn testimony, without holding an evidentiary hearing, as authorized by the Commission's Settlement Order. This procedural approach -- resolving remedial sanctions on a paper record after a settlement on liability -- is itself an important feature that Greenfield's counsel should understand when structuring submissions in an analogous proceeding.

Item adversarial_0173 -- temporal_trap

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: private_fund_adviser_rule_vacatur_temporal_trap

Fact Pattern

Question / Answer

As of June 6, 2024--one day after the Fifth Circuit's decision in *National Association of Private Fund Managers v. SEC*--can the SEC bring an enforcement action against Ridgeline Fund Management LLC for failing to comply with any of the provisions of the Private Fund Advisers Rule (Release No. IA-6383), including the quarterly statement rule, the restricted activities rule, the preferential treatment rule, and the adviser-led secondaries rule? What was the precise disposition of the Fifth Circuit, and how does it affect the enforceability of each of these rule provisions?

Correct Answer: No, the SEC cannot bring an enforcement action against Ridgeline for non-compliance with any provision of the Private Fund Advisers Rule as of June 6, 2024. The Fifth Circuit in *National Association of Private Fund Managers v. SEC*, No. 23-60471 (5th Cir. June 5, 2024), issued a complete VACATUR of the Final Rule (Release No. IA-6383, 88 Fed. Reg. 63206). The court did not merely remand without vacatur, nor did it invalidate only certain provisions while leaving others intact. The opinion, authored by Judge Kurt D. Engelhardt and joined by Judges Southwick and Wilson, expressly stated: 'we VACATE the Final Rule.' This means the entire regulatory package--including the quarterly statement rule (Rule 211(h)(1)-2), the mandatory audit provision (Rule 206(4)-10), the restricted activities rule (Rule 211(h)(2)-1), the adviser-led secondaries rule (Rule 211(h)(2)-2), and the preferential treatment rule--has no legal force or effect.

Because the disposition was vacatur rather than remand without vacatur, the rule is treated as though it never took effect for enforcement purposes. Ridgeline's decision not to implement any of the rule's provisions, while potentially a compliance risk had the rule been upheld, is now legally vindicated. The SEC would have no regulatory text under which to charge Ridgeline. Importantly, the Fifth Circuit's vacatur is nationally applicable because it vacates the agency rule itself, not merely its application to the petitioners. The SEC could theoretically pursue separate enforcement under Sections 206(1) and 206(2) of the Investment Advisers Act for conduct that independently constitutes fraud or deception, but the specific regulatory requirements of the Private Fund Advisers Rule cannot serve as the basis for any enforcement action.

Granite Peak's voluntary continued compliance with the quarterly statement and audit provisions, while potentially beneficial to its investor relationships, is not legally required. The \$1.8 million spent on compliance buildout and the \$620,000 annual audit cost represent sunk costs that cannot be recovered from the SEC, as the rule was validly promulgated at the time those expenditures were made even though it was subsequently vacated on judicial review.

Item adversarial_0174 -- novel_unsettled

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: discovery_rights_retaliation_defense_finra_proceedings

Fact Pattern

Question / Answer

Under the procedural framework applied in OHO Order 17-04 (2015044921601), on what specific grounds--and in what order of priority--did the Hearing Officer deny the respondent's combined discovery motion under FINRA Rules 9251 and 9252, and does the novel retaliation-based argument (that the former firm was itself sanctioned for the misconduct the respondent reported) create any recognized exception to those grounds under current FINRA procedural rules?

Correct Answer: In OHO Order 17-04, the Hearing Officer denied the respondent's discovery motion on two independently sufficient grounds, addressed in a specific order of priority. First, and dispositive standing alone, the motion was denied as untimely: the Case Management and Scheduling Order entered November 4, 2016, set deadlines of December 2, 2016 for Rule 9252 motions and December 16, 2016 for Rule 9251 motions, but the respondent did not file until January 6, 2017. The Hearing Officer explicitly stated that on this ground alone the motion was 'objectionable.'

Second, the Hearing Officer found that the motion failed to meet the minimum substantive requirements set forth in FINRA Rules 9251 and 9252. Under Rule 9251(a)(1), Enforcement is obligated to make available documents 'prepared or obtained by Interested FINRA Staff in connection with the investigation that led to the institution of proceedings'--including Rule 8210 requests to firms and associated persons, requests to non-FINRA persons, transcripts, and transcript exhibits. The respondent's request for a former employee's personnel file via Rule 9252 did not satisfy the procedural prerequisites of that rule. The Hearing Officer treated timeliness as the primary, threshold ground and the substantive deficiency as an additional, independent basis for denial.

As to the novel argument that a firm's own subsequent sanctions for the misconduct reported by the respondent should create a broader discovery right or exception: no such exception exists under current FINRA Rules 9251 or 9252, and OHO Order 17-04 provides no indication that a respondent's retaliation allegations--even if supported by the firm's later regulatory sanctions--would override either the timeliness requirements of the scheduling order or the specific procedural requirements of the discovery rules. The FINRA Code of Procedure does not recognize a 'retaliatory firm' exception to discovery limitations, and the Hearing Officer in this case did not engage with the respondent's substantive retaliation narrative as a basis for relaxing the procedural framework.

Item adversarial_0175 -- multi_party_liability

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: multi_party_liability_microcap_liquidation_section5

Fact Pattern

Question / Answer

Based on the specific NAC decision in the Scottsdale Capital Advisors Corp matter (FINRA Case #2010022859501) as reported in FINRA's September 2018 disciplinary actions: (1) What distinct theories of liability were applied to the firm's president versus the firm's CCO, and how did the sanctions differ between them? (2) What sanction was imposed on the de facto control person (Hurry) and what specific condition did the SEC impose when granting a stay of that sanction? (3) How would these distinct liability theories and sanctions map onto Delano, Whitfield, and Kessler respectively in the Desert Ridge hypothetical?

Correct Answer: Under the NAC decision in the Scottsdale Capital Advisors matter, distinct liability theories were applied to each individual respondent. The firm and its president Cruz were found to have failed to supervise the firm's microcap liquidation business and to have failed to address red flags related to that business -- a supervision failure theory under FINRA Rules 3110 and 2010. Cruz was fined \$50,000 and suspended from association with any FINRA member in all capacities for two years. Separately, the firm and its CCO DiBlasi were found to have failed to establish and maintain supervisory systems, including written supervisory procedures (WSPs), that were reasonably designed to achieve compliance with Section 5 of the Securities Act -- a systems and procedures failure theory, distinct from the red-flag-based supervision failure charged to Cruz. DiBlasi received the identical sanction: a \$50,000 fine and a two-year suspension in all capacities. The firm itself was fined \$1,500,000 and required to retain an independent consultant to monitor its acceptance and liquidation of microcap securities deposits and review its supervisory procedures.

Hurry, who functioned as the control person, was barred from association with any FINRA member in all capacities -- a significantly more severe sanction reflecting his role in directing the violative business. When the matter was appealed to the SEC, the SEC granted Hurry a stay of his bar on August 6, 2018, but subject to the specific condition that he remain uninvolved in the stock deposit review process and otherwise refrain from managing the affairs of his member firms or of any other SEC-registered broker-dealer during the pendency of the SEC's review.

Mapping to the Desert Ridge hypothetical: Delano (president) would face the Cruz-style supervision

failure charge -- failure to supervise the microcap business and failure to address red flags -- warranting a \$50,000 fine and two-year suspension. Whitfield (CCO) would face the DiBlasi-style systems charge -- failure to establish and maintain reasonably designed WSPs for Section 5 compliance -- also warranting a \$50,000 fine and two-year suspension. Kessler (de facto control person/consultant) would face the Hurry-style bar, as the most severe sanction reflecting his direction and control over the violative business, with any SEC stay conditioned on his non-involvement in stock deposit review and management of broker-dealer affairs.

Item adversarial_0176 -- procedural_technical

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: margin_credit_finra_reporting_requirements

Fact Pattern

Question / Answer

According to the specific FINRA rule referenced in the September 2016 Deuskar, Kumar, and Poland paper on margin credit and stock return predictability, at what frequency are brokers required to report aggregate margin debt used by investors to take long positions, and how does this specific reporting frequency requirement undermine Ridgemont's defense that quarterly reporting was sufficient?

Correct Answer: The September 2016 paper by Deuskar, Kumar, and Poland explicitly states that 'a rule by the Financial Industry Regulatory Agency (FINRA) requires the brokers to report monthly aggregate margin debt used by investors to take long positions.' This monthly reporting requirement is referenced in the paper as the foundational data source that enabled the researchers to construct their margin credit variable and conduct analysis at the monthly horizon -- achieving the 7.45% out-of-sample R-squared at the monthly level over the 31-year sample period from 1984 to 2014.

This specific monthly frequency requirement directly undermines Ridgemont's defense on multiple grounds. First, the firm's quarterly reporting cadence was clearly insufficient under the FINRA rule as described in the paper -- the rule requires monthly reporting, not quarterly. Sandra Mulligan's reliance on a 2019 internal memorandum that purportedly authorized quarterly reporting does not excuse non-compliance with the actual regulatory requirement. Under FINRA Rule 2010's broad ethical standards, a firm's failure to comply with a known reporting obligation -- particularly one that has been in place long enough to generate 31 years of monthly data (1984-2014) -- cannot be excused by an internal memorandum that contradicts the rule.

Second, Ridgemont's argument that the reporting requirement applies to brokers collectively rather than individually is also unavailing. The FINRA rule requires 'brokers' -- plural -- to report, meaning each broker-dealer with margin lending activity has an individual obligation to submit its aggregate margin debt data on a monthly basis. The fact that FINRA publishes aggregate figures derived from individual broker reports does not relieve any single firm of its reporting duty. The firm's attempt to recharacterize this as merely a supervisory deficiency under Rule 3110 rather than a Rule 2010 violation ignores that the failure to report at the mandated monthly frequency is itself a violation of just and equitable principles of trade.

Item adversarial_0177 -- counterintuitive_outcome

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: conduct_rule_2110_forgery_dismissal**Fact Pattern****Question / Answer**

Given the severity of the allegations against Respondent 2 -- participation in forgery, falsification of a medical records authorization form, concealment of a \$5 million life insurance policy sale from the policy owner, and retention of nearly \$1 million in sale proceeds -- what was the actual outcome of the FINRA OHO Hearing Panel proceeding in Disciplinary Proceeding No. 2007007989901, and what specific evidentiary standard drove that outcome? Why is this result counterintuitive given the co-respondent Forman's own settlement of the same charges?

Correct Answer: Despite the extraordinarily serious allegations -- forgery, falsification of documents, concealment of a life insurance policy sale, and misappropriation of nearly \$1 million -- the FINRA Office of Hearing Officers Hearing Panel dismissed the Complaint against Respondent 2 in its entirety. The Hearing Panel found that the Department of Enforcement 'did not prove by a preponderance of the evidence' that Respondent 2 failed to maintain high standards of commercial honor and just and equitable principles of trade by taking control of the insurance policy, facilitating its sale with forged and falsified documents, and retaining the proceeds of the sale, in violation of NASD Conduct Rule 2110.

The key driver was the evidentiary burden: FINRA disciplinary proceedings operate under a preponderance of the evidence standard, not the criminal beyond-a-reasonable-doubt standard, and yet Enforcement still failed to meet even this lower threshold with respect to Respondent 2's personal participation. The Complaint was heavily focused on the conduct of Forman and AG, with only a few specific allegations directed at Respondent 2 -- namely that he kept information from KS, sent detached signature pages, and falsified the medical records authorization form. The Hearing Panel apparently found Enforcement's evidence insufficient to establish Respondent 2's culpable participation in the scheme.

This outcome is particularly counterintuitive because co-respondent Forman settled the same charges through an Offer of Settlement accepted by the NAC on November 9, 2009, which typically implies the settling party acknowledged at least some basis for the allegations. Yet the Hearing Panel, evaluating Respondent 2's conduct independently, concluded that Enforcement could not prove Respondent 2's involvement met the threshold for a Rule 2110 violation. The result demonstrates that in FINRA proceedings, each respondent's liability must be independently established, and a co-respondent's settlement creates no evidentiary presumption against the remaining respondent.

Item adversarial_0178 -- rule_conflict

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: expert_testimony_standards_finra_vs_federal_courts

Fact Pattern

Question / Answer

In this FINRA OHO proceeding, Delano's counsel argues that FRE 702 should be applied directly and that his expert must be admitted because she satisfies the Daubert standard applicable in federal court. Under the evidentiary framework actually applied by the FINRA Hearing Officer -- as articulated in OHO Order 24-06 (2019064508802) -- what is the precise relationship between the Federal Rules of Evidence (including FRE 702) and the FINRA Code of Procedure's evidentiary rules, and how does this relationship resolve the conflict between Delano's argument for direct application of FRE 702 and Enforcement's position? Specifically, what is the controlling evidentiary standard the Hearing Officer applies, and what is the dispositive factor in determining whether expert testimony is permitted?

Correct Answer: Under the framework articulated in OHO Order 24-06 (2019064508802), the Federal Rules of Evidence -- including FRE 702 and the Daubert reliability standard -- are explicitly NOT binding in FINRA disciplinary proceedings. The Hearing Officer acknowledged that the FRE and related case law are 'instructive' but not controlling. The controlling evidentiary standard derives from the FINRA Code of Procedure itself, which grants the Hearing Officer broad discretion over all evidence, including expert testimony. Specifically, the Hearing Officer may admit evidence that is relevant but may exclude evidence that is 'irrelevant, immaterial, unduly repetitious, or unduly prejudicial.'

The dispositive factor is not whether the proposed expert satisfies the Daubert reliability test or meets FRE 702's qualification threshold in the abstract, but rather whether the proposed testimony would 'help the Hearing Panel understand the evidence or determine a material fact in issue.' This helpfulness-to-the-panel standard is the key factor, as the Order explicitly states: 'The key factor is whether the proposed testimony would help the Hearing Panel.' The relevance inquiry is governed by a standard analogous to FRE 401 -- whether the evidence 'has any tendency to make a fact more or less probable than it would be without the evidence' and whether 'the fact is of consequence to determining the action' -- but this standard is applied under FINRA's own procedural rules, not under federal evidentiary law.

Additionally, the Order places the burden squarely on the movant (here, Delano) to establish the conditions for admissibility of expert testimony, including compliance with the Case Management and Scheduling Order's specific requirements, which mandate that the motion include 'a statement establishing that the witness's opinion will help the Hearing Panel understand the evidence or determine a material fact in issue.' Therefore, Delano's argument that FRE 702 applies directly is legally incorrect in the FINRA OHO forum, and merely showing that Dr. Whitfield is credentialed and reliable under Daubert is insufficient -- Delano must affirmatively demonstrate materiality and helpfulness to the panel under FINRA's own standard.

Item adversarial_0179 -- precise_threshold

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: statutory_disqualification_mc400_sanctions

Fact Pattern

Question / Answer

Based on the specific AWC outcome documented by FINRA for the analogous Quint Capital Corporation / Alexander Norman Quint matter (FINRA Case #2021070418202), what were the precise monetary fines imposed on (a) the firm and (b) the individual principal, and what was the exact duration and capacity scope of the individual's suspension from association with any FINRA member?

Correct Answer: In the Quint Capital Corporation / Alexander Norman Quint AWC (FINRA Case #2021070418202), issued February 14, 2023, the precise sanctions were as follows: (a) Quint Capital Corporation was censured and fined \$35,000; (b) Alexander Norman Quint was individually fined \$10,000 and suspended from association with any FINRA member in any principal capacity for a period of five months. The suspension was specifically limited to principal capacity only--not all capacities--and ran from March 20, 2023 through August 19, 2023.

This distinction is critical because the suspension scope (principal capacity only, not all capacities) and the exact five-month duration represent specific negotiated outcomes that differ from what the FINRA Sanction Guidelines might suggest as a general range for permitting association of a statutorily disqualified person. The firm fine of \$35,000 and individual fine of \$10,000 also reflect the specific settlement rather than any formulaic calculation.

The underlying violation involved permitting a statutorily disqualified individual--who was subject to both an SEC bar and a federal court injunction--to associate with the firm and engage in municipal securities representative activities before the SEC issued the required order making the NAC's conditional approval effective. Both the firm and Quint consented to the findings without admitting or denying them.

Item adversarial_0180 -- case_specific_holding

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: nypnex_schunk_concurrent_suspensions_and_sanctions

Fact Pattern

Question / Answer

In the Extended Hearing Panel's August 26, 2022 decision regarding Michael Schunk, the Panel imposed sanctions across three separate categories of violations. Identify the precise sanctions imposed for each category and explain specifically how the Panel structured the relationship between Schunk's multiple all-capacities suspensions. Additionally, what was the Panel's rationale for not imposing additional sanctions on Allen and NYPPEX beyond the bar and expulsion, respectively, for their other proven violations?

Correct Answer: The Extended Hearing Panel imposed the following sanctions on Michael Schunk across three separate categories: (1) For permitting a statutorily disqualified person (Allen) to remain associated with NYPPEX, Schunk was fined \$70,000 and suspended in all capacities from associating with any FINRA member firm for 18 months; (2) For failing to supervise Allen, Schunk was barred from acting in any principal or supervisory capacity with any FINRA member firm -- notably, this was a capacity-specific bar limited to principal/supervisory roles, not an all-capacities bar; (3) For making false or misleading statements in response to FINRA information requests, Schunk was fined

\$50,000 and suspended in all capacities from associating with any FINRA member firm for two years. Critically, the Panel ordered that Schunk's two all-capacities suspensions -- the 18-month suspension for the statutory disqualification violation and the two-year suspension for false statements to FINRA -- would run concurrently rather than consecutively.

For NYPPEX and Allen, the Panel's rationale was straightforward: because NYPPEX was expelled from FINRA membership and Allen was barred from associating with any FINRA member firm in any capacity -- both based on their untimely and incomplete responses to FINRA requests for information and documents -- the Panel determined that no further sanctions were warranted for their other proven violations. The decision explicitly states 'in light of the expulsion, no further sanctions are imposed against NYPPEX for its other violations' and similarly 'in light of the bar, no further sanctions are imposed against Allen for his other violations.' This reflects the principle that once the most severe available sanction (expulsion or bar) has been imposed, additional sanctions for remaining violations would be superfluous because the respondent is already fully excluded from the industry.

This sanctioning structure is significant because it shows the Panel differentiating between Schunk's situation -- where graduated sanctions across multiple violation categories were appropriate because no single violation warranted a full bar -- and the situations of Allen and NYPPEX, where the severity of the information-request violations alone justified the ultimate sanctions, rendering additional penalties for other violations unnecessary.

Item adversarial_0181 -- temporal_trap

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: rule_8210_discovery_scope_during_hearing_continuance

Fact Pattern

Question / Answer

In OHO Order 23-12 (2017055886402), when the Hearing Officer addressed the tension between Enforcement's Rule 8210 request for all communications (including those with counsel) and the respondent's privilege objection during a third continuance granted to assess medical fitness, what specific procedural resolution did the Hearing Officer adopt -- and critically, did the Hearing Officer require production of a privilege log as Enforcement requested, or did the Hearing Officer take a different approach, and on what temporal/efficiency reasoning?

Correct Answer: In OHO Order 23-12, the Hearing Officer did NOT require the Cantone Respondents to produce a privilege log at that time. Instead, the Hearing Officer concluded that while the extent and frequency of Cantone's communications with counsel 'could be relevant to evaluating Cantone's ability to participate in his defense at a hearing,' the other information sought by Enforcement's Rule 8210 request -- specifically concerning Cantone's work activities and the doctor's report on his current medical status and prognosis -- 'may be sufficient for purposes of scheduling and planning for the hearing.' The Hearing Officer further noted that this other information 'may be obtained more quickly.'

The Hearing Officer's reasoning was grounded in temporal efficiency and proportionality: the privilege log would take additional time to prepare (as Enforcement itself implicitly acknowledged by offering additional time for its preparation), and the primary purpose of the third continuance was to

gather enough information to determine how to move the case forward and schedule a hearing with appropriate accommodations. The non-privileged information about work activities and the medical report could serve that purpose without the delay a privilege log would entail.

This is significant because the Hearing Officer did not categorically rule that the privilege log was improper or that Enforcement lacked authority to request it. Rather, the order effectively deferred the issue, prioritizing the immediately available non-privileged information. The Cantone Respondents had not objected to producing the other requested materials. The resolution thus represented a practical, temporally-driven compromise rather than a definitive ruling on the scope of Rule 8210 during litigation continuances.

Item adversarial_0182 -- novel_unsettled

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: oho_procedural_answer_requirements_novel_digital_filing

Fact Pattern

Question / Answer

Based on the procedural approach demonstrated in OHO Order 23-14 (2019061942901), how would the Hearing Officer likely treat Thornburg's late-filed, non-compliant general denial? Specifically, under the precedent set in that Order: (1) Would the one-page general denial be accepted as an Answer despite non-compliance with FINRA Rule 9215(b) and the failure to serve Enforcement? (2) What specific remedy did the Hearing Officer in OHO Order 23-14 fashion to address an analogous situation, and would the use of an AI document preparation tool change that analysis? (3) What was the exact deadline the Hearing Officer set for the amended, rule-compliant Answer in OHO Order 23-14, and how does that timeline inform the likely outcome here?

Correct Answer: Based on OHO Order 23-14, the Hearing Officer would most likely accept Thornburg's one-page general denial as an Answer -- despite its non-compliance with FINRA Rule 9215(b) and its failure to serve Enforcement -- rather than entering a default. In OHO Order 23-14, Hearing Officer Bruce E. Kasold faced a nearly identical situation: Respondent Colletti filed a one-page general denial one day late (March 16, 2023, when the Answer was due March 15, 2023), failed to copy Enforcement on the filing, and did not format the Answer with numbered paragraphs corresponding to the Complaint's allegations. Rather than treating the filing as a nullity or entering default, HO Kasold explicitly stated: 'I accept Respondent's Answer as a general denial of the allegations in the Complaint. This renders moot the requirement that Respondent file an Answer by April 3, 2023' -- referring to the deadline in the Second Notice of Complaint that Enforcement had already filed.

The specific remedy fashioned by HO Kasold was to direct the respondent to file an amended Answer compliant with FINRA Rule 9215(b) by March 27, 2023 -- giving Colletti approximately 10 days from the date of the Order (March 17, 2023). The amended Answer was required to contain 'numbered paragraphs corresponding to each numbered paragraph in the Complaint' and to 'admit, deny, or state that Respondent does not have and is unable to obtain sufficient information to admit or deny each allegation.' The Hearing Officer also directed Enforcement to make documents available under FINRA Rule 9251(d) within 21 days. The Case Administrator forwarded the Answer to Enforcement the next business day, effectively curing the service deficiency.

As to the novel AI document preparation issue, OHO Order 23-14 provides no basis for treating an AI-assisted filing differently from any other pro se filing. The Order's approach focused entirely on substance (whether the document constituted a general denial) rather than the method of preparation. Since this is a novel, unsettled issue with no FINRA guidance on AI-assisted filings by respondents, Enforcement's argument for 'additional procedural skepticism' based on AI metadata would likely fail under the pragmatic, pro-respondent approach demonstrated in OHO Order 23-14. The Hearing Officer would likely apply the same remedy: accept the general denial, direct an amended Rule 9215(b)-compliant Answer within approximately 10 days, and order Enforcement to provide discovery materials.

Item adversarial_0183 -- multi_party_liability

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: multi_party_liability_expungement_brokercheck_reporting

Fact Pattern

Question / Answer

Given PIABA's documented finding that advisors were having customer complaints expunged in 81% of cases from 2016 to 2018 -- despite FINRA's stated position that expungement should be an 'extraordinary remedy' -- and PIABA's documented concerns that BrokerCheck information was 'incomplete, unreliable, and even false at times,' how does the allocation of liability shift among Pinnacle Securities (current BD), Ridgeway Financial Partners (prior BD), Haines (individual RR), and FINRA itself? Specifically, can Pinnacle successfully defend its supervision failures by arguing reasonable reliance on CRD/BrokerCheck data, given PIABA's documented findings about systemic reporting deficiencies under Rule 4530 and the 81% expungement grant rate? And does Ridgeway retain any continuing obligation for the accuracy of CRD information after its FINRA membership lapsed?

Correct Answer: PIABA's comment letter on Regulatory Notice 20-02 specifically documented that from 2016 to 2018, expungement was being granted in 81% of cases, directly contradicting FINRA's longstanding position that expungement should be an 'extraordinary remedy.' PIABA further documented that BrokerCheck information was 'incomplete, unreliable, and even false at times,' and that certain information reported to the CRD was not even available on BrokerCheck. This creates a uniquely difficult multi-party liability analysis. Pinnacle Securities cannot simply rely on a clean BrokerCheck report as its sole due diligence tool when onboarding a representative, because PIABA's documented findings -- which were submitted to FINRA as part of a public rulemaking process -- put the industry on notice that BrokerCheck was systemically unreliable due to the expungement epidemic. Under FINRA Rules 3110 and 3120 (supervision), a member firm's supervisory system must be 'reasonably designed'; reliance on a database known to be deficient would undermine a reasonableness defense. However, Pinnacle's liability would likely be limited to the period of its employment of Haines and its own failure to conduct independent due diligence beyond BrokerCheck.

Ridgeway Financial Partners presents a more complex question. Under FINRA Rule 4530 -- the very rule that PIABA's comment addressed -- member firms have ongoing obligations to report certain events to the CRD. However, PIABA specifically advocated for strengthening Rule 4530 reporting

requirements precisely because existing requirements allowed gaps. Once Ridgeway's FINRA membership lapsed in 2020, its direct regulatory obligations under FINRA rules arguably ceased, though Exchange Act §15(b) and SEC recordkeeping requirements may impose continuing obligations regarding the accuracy of historical filings. The settlements Ridgeway paid were properly reportable events, but the expungement orders effectively removed them -- a process PIABA identified as systemically broken.

As for FINRA itself, Exchange Act §29(a) voids agreements that contravene the Exchange Act, and while FINRA enjoys significant immunity as an SRO, PIABA's comment letter effectively documented that FINRA's own system was producing false negatives at an 81% rate. This does not create direct FINRA liability to Kowalski, but it substantially undermines any argument that the regulatory framework adequately protected investors, and it would support Kowalski's claims against both broker-dealers by establishing that the expungement process was a known, documented failure mode in the investor protection system.

Item adversarial_0184 -- procedural_technical

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: restricted_firm_deposit_withdrawal_procedure

Fact Pattern

Question / Answer

Under proposed FINRA Rule 4111 as described in PIABA's comment letter on Regulatory Notice 19-17, what specific procedural prerequisite must be satisfied before FINRA can require a firm to establish a Restricted Deposit Account, and why does PIABA argue that the Restricted Deposit Account mechanism--even if properly imposed--does NOT resolve the unpaid arbitration award problem? Additionally, does the successful expungement of customer dispute disclosures undermine or support PIABA's broader critique of the Preliminary Identification Metrics threshold calculation?

Correct Answer: Under proposed Rule 4111 as described in PIABA's comment on Regulatory Notice 19-17, FINRA must follow a multi-step process before requiring a Restricted Deposit Account. First, the firm must meet quantifiable Preliminary Identification Metrics based on firm size and number of disclosure events. Then, there must be an opportunity for further Department evaluation and consultation with the firm before FINRA can require the identified Restricted Firm to deposit cash or qualified securities into a Restricted Deposit Account that may not be withdrawn without FINRA's prior written consent. The accompanying Rule 9559 establishes specific procedures for regulating activities under Rule 4111. Critically, the deposit cannot be withdrawn without FINRA's prior written consent--making Aldridge's argument about a hearing before denial of withdrawal a matter governed by Rule 9559's procedural framework, not a general due process right.

PIABA's comment letter explicitly states that while Rules 4111 and 9559 are generally supported, they 'will not cure the long-standing unpaid arbitration award issue' and that 'it is misleading to those interested in the unpaid arbitration award issue to suggest otherwise.' This is a direct rebuttal to FINRA's own framing in Regulatory Notice 19-17, which stated the proposal would 'give FINRA another tool to incentivize member firms to comply with regulatory requirements and to pay

arbitration awards.' PIABA's position is that the Restricted Deposit Account is a prospective compliance mechanism, not a retrospective remedy for existing unpaid awards like Meridian's \$875,000 in outstanding obligations.

PIABA's comment also directly addresses how expungement undermines the Preliminary Identification Metrics. The letter specifically flags that 'the threshold calculations used to designate Restricted Firms highlight the problems with expungement of customer dispute information.' This means Meridian's successful expungement of two disclosures--reducing its count from 14 to 12--is precisely the type of gaming that PIABA warned would undermine the rule's effectiveness. If firms can reduce their disclosure event count through expungement, the Preliminary Identification Metrics become unreliable as a measure of actual misconduct risk, which directly supports PIABA's critique rather than undermining it.

Item adversarial_0185 -- counterintuitive_outcome

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: isds_costs_allocation_investor_prevalts_but_bears_costs

Fact Pattern

Question / Answer

Based on the empirical findings in the 2021 Allen & Overy/BIICL study examining over 400 investor-State cases, what is the counterintuitive but statistically documented outcome regarding costs allocation when an investor claimant prevails on liability but recovers only a small fraction of the damages claimed? Specifically, does the data show that prevailing investor claimants in ICSID proceedings are typically awarded their costs, and how does the ratio of amounts claimed to amounts awarded affect the costs outcome in ways that depart from what the 'costs follow the event' principle would predict?

Correct Answer: The 2021 Allen & Overy/BIICL empirical study reveals a counterintuitive outcome: even when investor claimants prevail on the merits and are awarded damages, they frequently do not receive a favorable costs order -- and in many cases bear a significant portion of both parties' costs or receive no costs recovery at all. The study documents that arbitral tribunals exercise significant discretion in costs allocation due to the absence of detailed guidance in applicable arbitration rules (including ICSID rules), and that the ratio between amounts claimed and amounts actually awarded has become an increasingly important factor in costs decisions.

The study specifically found that the past three years (relative to the 2021 publication) saw a more frequent use of 'adjusted costs orders' -- meaning tribunals moved away from straightforward 'costs follow the event' rulings toward nuanced allocations that account for partial success, exaggerated claims, and procedural conduct. The number of paragraphs devoted to costs analysis in arbitral awards doubled during this period, indicating tribunals are engaging in more granular analysis rather than applying a simple winner-takes-all approach.

In Meridian's scenario, despite prevailing on liability, the recovery of only 3.3% of the claimed amount (USD 9.4 million out of USD 285 million) would, under the empirical patterns documented in the study, very likely result in the tribunal ordering Meridian to bear its own legal costs and potentially

share in the tribunal's costs -- or even ordering Meridian to pay a portion of Valdoria's costs. This outcome -- a winning claimant effectively being treated as a losing party for costs purposes -- is a well-documented empirical reality in ISDS proceedings that contradicts the general legal expectation that prevailing parties recover their costs.

Item adversarial_0186 -- rule_conflict

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: wholesale_market_misconduct_regulatory_jurisdiction_conflict

Fact Pattern

Question / Answer

Under the FMSB's Behaviour-pattern Conduct Analysis framework, Meridian's conduct maps to two of the six specifically identified categories of misconduct behaviour patterns. Given that FMSB was created as a result of the FEMR specifically because the 'consenting adults' defense in wholesale FICC markets was undermined by the LIBOR and spot FX control failings of 2012-14, and given that FMSB Standards are market-led and not legally binding: (a) What are the six specific behaviour-pattern categories identified in the FMSB BCA taxonomy, and which two apply to Harwick's conduct? (b) How does the FMSB framework's explicit rejection of the 'consenting adults' paradigm in wholesale markets create a conflict with Meridian's defense, and does this private-sector standard have any legal effect in the FCA, CFTC, or FINRA proceedings?

Correct Answer: The FMSB BCA report identifies exactly six behaviour-pattern categories of market misconduct: (1) Price manipulation, (2) Circular trading, (3) Misuse of inside information, (4) Reference price influence, (5) Improper order handling, and (6) Misleading customers and markets. Harwick's conduct -- placing and cancelling large orders around the WM/Reuters fix -- maps specifically to 'Price manipulation' (Category 1) and 'Reference price influence' (Category 4), as the spoofing was designed to artificially influence the benchmark fixing price.

The FMSB was created following the 2015 Fair and Effective Markets Review (FEMR) specifically because, as the BCA report's foreword states, the 'consenting adults' idea -- that wholesale market behaviour was 'largely a matter to be resolved amongst themselves' -- was 'undermined' by the LIBOR manipulation and 'widespread and significant control failings in spot FX markets during 2012-14.' The FMSB framework explicitly recognizes that 'hundreds of governments, millions of corporations and billions of individuals' rely on wholesale market prices, meaning misconduct in these markets has systemic consequences far beyond the immediate counterparties. This directly contradicts Meridian's 'consenting adults' defense.

However, the critical rule conflict is this: FMSB is a 'private sector, market-led organisation' that produces voluntary Standards, Statements of Good Practice, and Spotlight Reviews. These are not legally binding in any of the three enforcement proceedings. The FCA proceeds under retained MAR provisions; the CFTC proceeds under CEA §4c(a)(5)(C) anti-spoofing provisions; FINRA would proceed under its own supervisory rules. Yet the FMSB BCA taxonomy and its underlying analysis -- particularly its catalogue of misconduct patterns spanning 200+ years -- can serve as powerful persuasive evidence of industry standards and expectations. In the CFTC and FCA proceedings, regulators may cite FMSB materials to establish that the industry itself recognizes this conduct as

misconduct, undermining any good-faith defense. In a FINRA supervisory action, the existence of FMSB's published taxonomy strengthens the argument that Meridian's U.S. subsidiary should have had surveillance systems capable of detecting these well-documented patterns.

Item adversarial_0187 -- precise_threshold

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: accredited_investor_inflation_adjustment_threshold

Fact Pattern

Question / Answer

According to PIABA's March 2025 comment letter to the House Financial Services Committee regarding the Fair Opportunities for Professional Experts Act, for precisely how many years had the \$1 million accredited investor net worth threshold gone without being adjusted for inflation, and what specific periodic adjustment interval did PIABA agree should be adopted going forward?

Correct Answer: In its March 31, 2025 comment letter to Chairman French Hill and Ranking Member Maxine Waters of the House Financial Services Committee, PIABA specifically stated that the \$1 million accredited investor net worth threshold had not been adjusted for forty-three years. This means PIABA calculated the threshold as having been static since approximately 1982, when the SEC first adopted the \$1 million figure under Regulation D. PIABA's letter explicitly noted that the threshold should be 'Reset' to reflect this 43-year gap.

Regarding the prospective adjustment interval, PIABA stated that it 'Agrees that the Qualifying Net-Worth should be Adjusted for Inflation Every Five Years.' This was PIABA's specific endorsement of a five-year periodic inflation adjustment cycle for the accredited investor net worth threshold going forward, as proposed in the Fair Opportunities for Professional Experts Act then in markup before the Committee.

Critically, while PIABA supported the five-year inflation adjustment mechanism, it 'Strongly Urge[d] Congress to Reset The \$1 million threshold to Reflect That it Has Not Been Adjusted in Forty-Three Years' -- meaning PIABA's position was that simply adjusting from the current \$1 million figure going forward would be inadequate. The threshold first needed to be reset upward to account for over four decades of inflation before the five-year adjustment cycle began. This dual position -- reset plus periodic adjustment -- is a specific detail from the PIABA letter that distinguishes it from general commentary about updating the accredited investor standard.

Item adversarial_0188 -- case_specific_holding

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: expungement_recidivism_and_predictive_misconduct

Fact Pattern

Question / Answer

Based on the empirical findings of Honigsberg and Jacob (2021), what is the specific quantified likelihood ratio showing that brokers who have previously obtained expungement will engage in future misconduct compared to the average broker, what was the overall rate at which arbitrators approved expungement requests when adjudicated on the merits during their 2007-2016 study period, and how do these specific findings undermine Wyler's argument that the FINRA Rule 2080 expungement process serves as a reliable quality screen for broker hiring decisions?

Correct Answer: Honigsberg and Jacob (2021) found that brokers with prior expungements are 3.3 times as likely to engage in new misconduct as the average broker. This specific finding directly contradicts Wyler's assumption that successful expungement is exculpatory. Far from functioning as a rigorous quality filter, the expungement process appears to systematically return high-risk brokers to a status of apparent clean records while they remain significantly more likely to reoffend than baseline.

The study further found that when expungement requests were adjudicated on the merits during the 2007-2016 period, arbitrators approved expungement 84% of the time. This extraordinarily high approval rate undermines Wyler's claim that FINRA Rule 2080's standards--requiring a finding that the claim was factually impossible, clearly erroneous, or involved false information--provide meaningful screening. If arbitrators were applying these standards rigorously, one would expect a substantially lower approval rate, particularly given that the study identified 6,660 expungement requests representing approximately 12% of all misconduct allegations reported by customers and firms.

Critically, the study also employed an instrumental variable approach based on the random assignment of arbitrators and found evidence that brokers who receive expungement are more likely to reoffend than brokers who are denied expungement. This causal finding suggests that expungement itself may contribute to future misconduct--potentially by removing the reputational deterrent and regulatory visibility that a BrokerCheck disclosure would otherwise provide. The study also demonstrated that successful expungements improve long-term career prospects, meaning the process creates a tangible economic incentive for brokers with genuine misconduct histories to pursue record-cleaning. Taken together, these findings demonstrate that Greenfield's reliance on a clean BrokerCheck record without investigating the possibility of prior expungements represented a significant supervisory gap.

Item adversarial_0189 -- temporal_trap

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: recruitment_compensation_disclosure_temporal_gap

Fact Pattern

Question / Answer

As of March 2013 when PIABA submitted its comment letter on Regulatory Notice 13-02, did FINRA's proposed recruitment compensation disclosure rule require disclosure to new customers (those with no prior relationship with the recruited representative), or only to transferring customers? What specific argument did PIABA advance in its comment

letter about why the proposed rule's scope was inadequate, and how does the production-contingent nature of back-end compensation factor into PIABA's analysis of whether the distinction between new and transferring customers is justified?

Correct Answer: As of the March 5, 2013 PIABA comment letter responding to Regulatory Notice 13-02, FINRA's proposed rule only contemplated requiring the recruiting member firm to disclose enhanced compensation financial incentives to transferring customers -- those who followed a registered representative from the old firm to the new firm. The proposed rule did not require disclosure to new customers acquired after the representative joined the recruiting firm.

PIABA's comment letter specifically argued that the proposed rule 'should be broadened to also require disclosure of such incentives to all of the registered person's new customers with the recruiting firm.' PIABA reasoned that 'a recently-recruited registered person will feel the same need to justify enhanced compensation in transactions with new customers as he or she would with a transferring customer,' and that the pressure to generate revenue might actually be 'greater with new customers, who otherwise lack a preexisting relationship with the registered person.'

Critically, PIABA's letter addressed the production-contingent compensation structure directly: 'Enhanced compensation based on post-recruitment production does not differentiate between new and transferring customers.' While acknowledging that enhanced compensation 'is ordinarily calculated on 12 month's trailing production at the old firm,' PIABA noted that 'some enhanced compensation packages are made contingent on the registered person's production at the new firm.' Under those circumstances, PIABA argued, 'new and transferring customers face the same exposure to the conflict of interest created by enhanced compensation.' Therefore, the distinction drawn in FINRA's proposed rule between transferring and new customers was unjustified where back-end production bonuses were involved, because the economic incentive to generate commissions applies equally regardless of customer origin.

Item adversarial_0190 -- novel_unsettled

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: dol_fiduciary_rule_predispute_arbitration_interaction

Fact Pattern

Question / Answer

Given that PIABA's president testified on February 15, 2024, before the House Subcommittee on Health, Employment, Labor, and Pensions at the hearing titled 'Protecting American Savers and Retirees from DOL's Regulatory Overreach,' and given PIABA's specific organizational advocacy position regarding predispute arbitration clauses and retirement investor protection as reflected in that testimony: (1) What novel, unsettled legal issue does Margaret's case present at the intersection of FINRA's predispute arbitration framework and DOL fiduciary standards for rollover recommendations, and (2) how does PIABA's specific advocacy position--as presented to the congressional subcommittee identified in the hearing--differ from the current enforceability framework under Exchange Act §29(a) and FINRA Rule 12200 regarding whether retirement savers can be compelled into arbitration for fiduciary breach claims?

Correct Answer: The novel, unsettled issue is whether FINRA's mandatory predispute arbitration framework can properly adjudicate claims arising under DOL fiduciary standards that were specifically designed to

protect retirement savers--particularly when the DOL's Retirement Security Rule was still in proposed form and the underlying transaction involved a rollover recommendation that straddles the boundary between brokerage and advisory conduct. PIABA, as represented by its president Joseph C. Peiffer at the February 15, 2024, hearing before the House Subcommittee on Health, Employment, Labor, and Pensions (titled 'Protecting American Savers and Retirees from DOL's Regulatory Overreach'), has specifically advocated that predispute arbitration agreements are structurally inadequate for protecting retirement investors because they strip away procedural protections--including judicial review, class action rights, and the application of substantive DOL standards by arbitrators who may lack expertise in ERISA and retirement-specific fiduciary obligations.

Under Exchange Act §29(a), any condition or stipulation that binds a person to waive compliance with any provision of the Exchange Act or SEC rules is void. However, the Supreme Court's McMahon decision (1987) held that predispute arbitration agreements for securities claims are enforceable under the Federal Arbitration Act, and FINRA Rule 12200 requires member firms to arbitrate disputes with customers when a written agreement exists. The unsettled question--which PIABA's testimony directly addresses--is whether this framework should apply when the claims arise not under the Exchange Act but under DOL/ERISA fiduciary standards governing retirement assets, where the policy rationale for protecting retirement savers arguably differs from general securities investor protection.

PIABA's specific position, as articulated through Peiffer's role as an organizational representative (not a governmental witness, as indicated on the Truth in Testimony Disclosure Form), is that the current regulatory architecture creates a gap: broker-dealers can use PDAA's to funnel retirement fiduciary claims into FINRA arbitration, where DOL standards may not be properly applied, while simultaneously arguing that FINRA arbitrators lack jurisdiction to apply those same DOL standards--effectively leaving retirement investors without a viable forum for their fiduciary claims. This 'forum selection whipsaw' is the precise novel issue that remains unsettled, and it was the subject of PIABA's advocacy before the specific congressional subcommittee identified in the hearing record.

Item adversarial_0191 -- multi_party_liability

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: multi_party_liability_arbitration_award_challenge

Fact Pattern

Question / Answer

Given that the Guide to Challenging and Enforcing Arbitration Awards (First Edition, May 2019, Law Business Research Ltd, ISBN 978-1-83862-205-3) explicitly disclaims that its information 'is general and may not apply in a specific situation' and warns that 'this is a developing area' accurate only as of March 2019, and given the multi-party, multi-jurisdictional posture described above: (1) Under the FAA and FINRA's Code of Arbitration Procedure, which party bears the burden of establishing grounds for vacatur and under what specific standard, and does the treatise's explicit 'developing area' caveat as of its March 2019 accuracy date affect the weight a court should give to the legal analysis

contained within it when Meridian cites it as persuasive authority? (2) As among Meridian, Apex National, Crane, and Beacon Ridge, how does liability and enforcement exposure differ given that the arbitration award was rendered under FINRA's forum but enforcement is sought in three separate courts, and what is the specific risk to Beacon Ridge as a non-party to the arbitration?

Correct Answer: First, under the Federal Arbitration Act Section 10, the party seeking vacatur -- here, Meridian Capital Securities LLC -- bears the burden of proving one of the four statutory grounds for vacatur (corruption, evident partiality, arbitrator misconduct, or the arbitrators exceeding their powers). The standard is extraordinarily deferential to the arbitration panel, and mere errors of law are insufficient. The 'manifest disregard of the law' doctrine, while its continued viability post-Hall Street Associates v. Mattel (2008) remains contested, requires showing the arbitrators knew the law and explicitly chose to ignore it. Meridian's argument that joint and several liability was improperly imposed on the clearing firm would need to overcome this heavy burden.

Second, the Guide to Challenging and Enforcing Arbitration Awards (Law Business Research Ltd, ISBN 978-1-83862-205-3, published May 2019) contains an explicit disclaimer that its 'information provided in this publication is general and may not apply in a specific situation' and that 'this is a developing area' accurate only as of March 2019. A court considering Meridian's citation to this treatise as persuasive authority should treat it with caution -- the publication itself warns against reliance for specific legal action, and its March 2019 accuracy date means any developments between March and the date of judicial consideration could render its analysis incomplete. This self-limiting caveat materially distinguishes it from authoritative treatises like Moore's Federal Practice or Wright & Miller, which do not contain such temporal accuracy limitations.

Third, regarding multi-party exposure: Meridian and Apex face direct enforcement as named award-debtors under FINRA Rule 12904, which requires members to comply with arbitration awards within 30 days or face suspension/expulsion proceedings. Crane, as a registered person, faces the same 30-day compliance obligation under FINRA Rule 12904 regardless of his current affiliation. His refusal to pay does not implicate personal jurisdiction -- as an associated person who was registered at the time the claim arose, he consented to FINRA jurisdiction through his Form U4. Beacon Ridge Financial Group, though not a party to the arbitration, faces distinct regulatory exposure: under FINRA Rules 3110 and 3120, it has heightened supervisory obligations over Crane given the unpaid award, and FINRA may examine whether Beacon Ridge conducted adequate heightened supervision upon hiring a representative with pending or unpaid arbitration claims. The unpaid award will appear on Crane's BrokerCheck record via Form U4 amendments (Question 14), creating a disclosure obligation for Beacon Ridge. However, Beacon Ridge has no direct liability on the award itself -- its exposure is purely regulatory and supervisory in nature.

Item adversarial_0192 -- procedural_technical

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: fca_consumer_duty_implementation_timetable

Fact Pattern

Question / Answer

Under the implementation timetable established in FCA PS22/9 for the Consumer Duty, what were the specific differentiated compliance deadlines for (a) new and existing products/services that are currently on sale (open-book) and (b) closed products/services (closed-book), and based on those deadlines, did Belmont actually breach the applicable deadline for either category -- or both -- given that open-book compliance was achieved by late July 2023 and closed-book compliance was achieved by November 2023?

Correct Answer: PS22/9 established a phased implementation timetable with two distinct deadlines. For new and existing products and services -- i.e., those currently open to sale or renewal (open-book) -- firms were required to comply with the Consumer Duty by July 31, 2023. For closed products and services -- those no longer on sale to new customers but still being serviced (closed-book) -- the compliance deadline was July 31, 2024, providing an additional 12 months for firms to complete the necessary fair value, consumer understanding, and consumer support assessments on legacy books.

Applying these deadlines to Belmont's facts: For its open-book products, Belmont completed all required assessments and compliance steps by June 30, 2023 -- ahead of the July 31, 2023 deadline. Therefore, Belmont did NOT breach the Consumer Duty implementation deadline for open-book products. For its closed-book legacy products (structured notes, with-profits bonds, closed-end fund positions), the applicable deadline was July 31, 2024. Since Belmont completed its closed-book compliance work by November 2023 -- approximately eight months before the deadline -- Belmont also did NOT breach the Consumer Duty implementation deadline for closed-book products.

The FCA examiner's assertion that Belmont missed a deadline for closed-book products would be incorrect based on the PS22/9 timetable. Belmont's unified approach, while operationally ambitious, actually resulted in early compliance for both categories. The differentiated timetable in PS22/9 was specifically designed to give firms additional time for the complexity inherent in reviewing and remediating legacy products that are no longer actively marketed -- precisely the challenge Belmont experienced with its structured notes and with-profits bonds.

Item adversarial_0193 -- counterintuitive_outcome

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: asic_exam_competency_scope_and_code_of_ethics_applicability

Fact Pattern

Question / Answer

Under the ASIC financial adviser exam preparation guidance (Version 5.0, January 2025), how does the exam's competency framework specifically characterize the relationship between the Code of Ethics and the 'applied ethical and professional reasoning' competency area -- and why does this characterization produce a counterintuitive outcome for Marcus's argument that legal compliance under Chapter 7 can be assessed in isolation from the Code of Ethics?

Correct Answer: Marcus's argument fails because of how the ASIC exam competency framework specifically structures the Code of Ethics. According to the Version 5.0 (January 2025) exam preparation guidance, the exam tests three competency areas. The second competency area is described as 'applied ethical and professional reasoning and communication - incorporating the Financial Planners and Advisers Code of Ethics 2019 (Code of Ethics) and how to comply with the Code of

Ethics.' This is critical: the Code of Ethics is not merely listed as supplementary ethical guidance--it is explicitly incorporated into a competency area that tests 'how to comply with the Code of Ethics,' treating compliance with the Code as a testable, examinable obligation in its own right, not a mere aspiration.

The counterintuitive outcome is that while Marcus assumes the Code of Ethics is a separate ethical overlay (akin to how CFP Board standards operate in the US as voluntary professional standards distinct from SEC/FINRA legal obligations), the ASIC framework treats the Code of Ethics as a compliance obligation that Australian financial advisers must affirmatively satisfy and demonstrate. The Financial Planners and Advisers Code of Ethics 2019 is a legislative instrument under Australian law, not merely a professional body's ethical code. The exam preparation guidance confirms this by placing it in a competency area focused on 'how to comply' -- language of obligation, not aspiration.

Furthermore, the third competency area -- 'financial advice construction - the suitability of advice aligned to different consumer groups, incorporating consumer behaviour and decision making' -- shows that suitability itself is tested as a separate competency from legal obligations under Chapter 7 (which falls under the first competency area). This means Marcus cannot claim that satisfying Chapter 7 suitability automatically satisfies either the Code of Ethics compliance requirement or the broader advice construction standard. The ASIC framework deliberately structures these as three distinct but interconnected competency domains, and compliance with one does not discharge obligations under the others.

Item adversarial_0194 -- rule_conflict

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: cross_border_sustainability_labeling_conflict

Fact Pattern

Question / Answer

Under the FCA's proposed SDR regime in CP22/20, what specific classification labels does the FCA propose for sustainable investment products (as distinct from SFDR's Article 8/9 taxonomy), and what specific obligation does CP22/20 impose on distributors like Albion that has no direct equivalent under either SFDR or SEC regulation--including the specific chapter of CP22/20 where distributor obligations are addressed?

Correct Answer: Under CP22/20, the FCA proposes a bespoke classification and labelling regime that deliberately diverges from the EU SFDR's Article 8/Article 9 taxonomy. Rather than adopting the SFDR approach, the FCA proposes its own set of sustainable investment labels organized around the investment product's sustainability objective and strategy. The consultation paper sets out these proposed labels in Chapter 4 ('Classification and labelling'), beginning at paragraph 4.1. The proposed labels include categories oriented around the nature of the sustainability goal--such as products focused on assets that are already environmentally sustainable, products focused on assets that are improving their sustainability profile over time (relevant to Greenfield's transition strategy), and products with a specific sustainability impact objective. This is a fundamentally different architecture from SFDR's binary Article 8/9 structure, and a fund's qualification under one regime does not automatically translate to the other.

Critically, Chapter 7 of CP22/20 ('Distributors') addresses obligations placed specifically on FCA-authorized distributors like Albion. The FCA proposes that distributors must ensure that product-level labels and consumer-facing disclosures are made available to retail investors at the point of sale or distribution. Distributors have an independent obligation to use and communicate the correct FCA-assigned label and must not use sustainability-related terms in ways inconsistent with the labelling regime. This distributor-specific chapter and its obligations have no direct parallel under SFDR--where distributor obligations around sustainability labeling are not separately codified in the same prescriptive manner--nor under US securities law, where the SEC's Names Rule and proposed ESG disclosure requirements impose obligations on the fund/adviser level but do not create an independent distributor-level labeling compliance regime. CP22/20 also explicitly maps its proposals against SFDR and SEC proposals in Annex 1 ('Mapping to SFDR requirements and SEC proposals'), confirming the deliberate regulatory divergence.

Item adversarial_0195 -- precise_threshold

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: nz_financial_advice_regime_effective_date_and_structure

Fact Pattern

Question / Answer

Under New Zealand's new financial advice regulatory regime introduced by the Financial Services Legislation Amendment Act 2019, on what precise date did the new regime come into force, which prior Acts did it replace, and -- critically -- would Meridian Wealth Partners' plan to complete its restructuring by July 2020 have ensured compliance or left the firm operating under abolished adviser classifications for a period of non-compliance?

Correct Answer: The new financial advice regime came into force on 29 June 2020, as specified in the Financial Services Legislation Amendment Act 2019. This new regime replaced two prior statutes: the Financial Advisers Act 2008 (FA Act) and the Financial Service Providers (Registration and Dispute Resolution) Act 2008 (FSP Act), both of which had been in force since 2011. The regulatory framework shifted to the Financial Markets Conduct Act 2013, as amended by the 2019 legislation.

Under the new regime, the old distinctions between Authorised Financial Advisers (AFAs), Registered Financial Advisers (RFAs), and Qualifying Financial Entity (QFE) advisers were abolished entirely. The regime also eliminated distinctions between types of advice ('class' versus 'personalised') and categories of financial products. Instead, universal duties, obligations, and competency requirements were introduced, and ALL Financial Advice Providers were required to be licensed by the FMA and registered with the Financial Service Providers Register.

Meridian Wealth Partners' plan to complete restructuring by July 2020 would have left the firm non-compliant for a brief period -- from 29 June 2020 until whenever in July the restructuring was actually completed. During that window, any advisers still operating under the old AFA/RFA/QFE classifications would have been operating under abolished regulatory categories. The US compliance team's assumption of a late 2020 or early 2021 effective date was incorrect; the 29 June 2020 date was fixed in the legislation, and there was no extended phase-in period analogous to

typical SEC rulemaking timelines.

Item adversarial_0196 -- case_specific_holding

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: esma_mifid2_suitability_guidelines_consultation_process

Fact Pattern

Question / Answer

According to ESMA's 2018 Final Report on suitability guidelines (ESMA35-43-869), what specific characterization did ESMA use to describe the relationship between the new guidelines and the 2012 MiFID I suitability guidelines, and what was the precise procedural trigger and timeline for national competent authority compliance that Meridian could rely upon in its defense?

Correct Answer: ESMA's 2018 Final Report explicitly stated that the proposed draft guidelines 'confirm and broaden' the existing MiFID I guidelines on suitability issued in 2012 -- not merely 'confirm' them as Meridian's counsel Dr. Weiss argued. The word 'broaden' is critical because it indicates the 2018 guidelines go beyond the 2012 framework and impose additional or expanded requirements. Meridian's defense that the guidelines were purely confirmatory and required no procedural updates is therefore factually incorrect based on ESMA's own characterization.

Regarding the procedural timeline, ESMA's Final Report specified that the guidelines in Annex IV would be translated into the official EU languages and published on ESMA's website, and that the publication of translations in all official languages of the EU would trigger a two-month period during which NCAs must notify ESMA whether they comply or intend to comply with the guidelines. This means there is a specific procedural window -- two months from translation publication -- before NCAs are expected to have notified compliance. Meridian could potentially argue that if BaFin had not yet notified ESMA of its compliance or intent to comply at the time of the March 2019 activities, the guidelines were not yet formally applicable through BaFin's supervisory framework.

However, this defense is weak because even absent formal NCA notification, MiFID II Article 25(2) and Articles 54-55 of the MiFID II Delegated Regulation (EU) 2017/565 were directly applicable legislative requirements from January 3, 2018. The ESMA guidelines serve to ensure 'consistent and harmonised application' of those requirements -- they do not create the obligations themselves. Thus, Meridian's underlying obligation to conduct proper suitability assessments under the broadened MiFID II framework existed independently of the guidelines' formal adoption timeline.

Item adversarial_0197 -- temporal_trap

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: fca_consumer_duty_temporal_implementation_crossborder

Fact Pattern

Question / Answer

Based specifically on the FCA's December 2022 Portfolio Strategy Letter for Financial Advisers and Intermediaries, what was the regulatory status of the Consumer Duty as of the date of that letter, and does the letter treat the Consumer Duty as an immediately enforceable standard for advice given during April-October 2022, or does it characterize the Consumer Duty differently? Specifically, how does the letter describe the forthcoming impact of the Consumer Duty on financial adviser firms, and does this support or undermine Meridian's legal counsel's position that the Consumer Duty was not yet applicable during the period in question?

Correct Answer: The FCA's Portfolio Strategy Letter dated 02 December 2022 explicitly references the Consumer Duty as having been published on 27 July 2022 via Policy Statement PS22/9 and Finalised Guidance FG22/5. Critically, the letter does NOT treat the Consumer Duty as immediately enforceable at the time of writing. Instead, it states that the Consumer Duty 'sets out the final rules and guidance that will set higher and clearer standards of consumer protection across financial services and requires firms to act to deliver good outcomes for retail customers,' but then specifically notes that 'a separate communication will be sent in the coming months explaining further the impact the new Consumer Duty will have on Financial Adviser and Intermediaries firms and some examples of how the Consumer Duty outcomes will apply to firms in practice.'

This language supports Meridian's legal counsel's position that the Consumer Duty was not yet directly applicable to advice given during April-October 2022. The Consumer Duty under PRIN 12 did not come into force for existing products and services until 31 July 2023, and the December 2022 letter treats it as a forthcoming standard requiring future implementation guidance, not a currently enforceable obligation. The letter's framing is explicitly forward-looking: it references work the FCA 'intends to do' and communications it plans to send, rather than asserting that firms should already be applying Consumer Duty outcomes.

However, this does NOT entirely exonerate Meridian. The letter separately emphasizes that suitable advice remains 'the mainstay of Financial Advice firms and remains a key focus' under existing standards, and it specifically highlights that in BPS-related advice, 'almost half (46%) of the advice we reviewed was unsuitable.' The firm's 71% transfer recommendation rate and its handling of BPS members would still be scrutinized under existing COBS 9 suitability requirements and PRIN 6, independent of the Consumer Duty timeline. The temporal trap is that while the Consumer Duty was not yet enforceable, the FCA's existing suitability expectations--as articulated in the December 2022 letter--were already stringent and the firm could still face enforcement action under pre-Consumer Duty standards.

Item adversarial_0198 -- novel_unsettled

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: iosco_revised_lrm_adt_cross_border_fund_compliance

Fact Pattern

Question / Answer

Under the IOSCO May 2025 Final Report (FR/10/2025) Revised Liquidity Recommendations, what is the specific relationship between the newly finalized Revised Liquidity Recommendations, the previously published IOSCO ADT Guidance, and the IOSCO 2018 Good Practices -- and does the Final Report's stated supersession framework support or undermine Albion's argument that the ADT Guidance obligations were independently operative during the March 2025 redemption event, before the Final Report was published?

Correct Answer: The IOSCO May 2025 Final Report (FR/10/2025) explicitly states that the Revised Liquidity Recommendations and the accompanying Implementation Guidance (IOSCOPD799) 'incorporate the IOSCO ADT Guidance and should be read in conjunction with each other for completeness.' Critically, the Final Report further specifies that 'The Revised Liquidity Recommendations and the Implementation Guidance, together will supersede the IOSCO 2018 Good Practices and the IOSCO ADT Guidance.' This means that upon publication of the Final Report in May 2025, the IOSCO ADT Guidance (IOSCOPD756, published December 2023) is superseded -- it is subsumed into and replaced by the new framework rather than standing independently alongside it.

This supersession framework actually undermines Albion's argument in a nuanced way. While the IOSCO ADT Guidance was indeed published in December 2023 and contained substantive guidance on the use of anti-dilution LMTs, it was designed as supplementary guidance to the then-existing IOSCO 2018 Liquidity Recommendations, not as a standalone binding obligation. The fact that the Final Report supersedes both the 2018 Good Practices and the ADT Guidance indicates that IOSCO itself treated the ADT Guidance as part of an evolving framework that reached its definitive form only in May 2025. During the March 2025 redemption event, the consultation process was still ongoing (the consultation reports were published in November 2024 and IOSCO received 33 responses), meaning the Revised Recommendations had not yet been finalized.

However, the analysis is complicated by the fact that IOSCO standards are not self-executing -- they require implementation by member jurisdiction regulators (the document notes the respective roles of 'Responsible Entities' and 'Securities Regulators'). Whether the Central Bank of Ireland or the UK FCA had already incorporated the ADT Guidance's principles into binding domestic rules by March 2025 is a separate question from IOSCO-level supersession. The Final Report's framework suggests that IOSCO viewed the pre-May 2025 ADT Guidance as precursory rather than independently sufficient, which weakens Albion's claim that a standalone obligation existed under IOSCO standards during the March event. Evergreen's position that the recommendations were still in consultation in March 2025 finds support in the document's own timeline.

Item adversarial_0199 -- multi_party_liability

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: cross_border_financial_advice_multi_party_liability

Fact Pattern

Question / Answer

Under the Australian regulatory framework as analyzed in the He and Liu article -- specifically the distinction between the pre-FOFA 'suitability rule' under old section 945A of the Corporations Act 2001 and the post-FOFA 'best interests duty' and 'related obligations' -- which specific obligation did Harland fail to satisfy that would NOT have been required

under the old suitability standard, and how does this affect the liability allocation among MWP (as AFSL holder), Harland (as authorised representative), AsiaPac (as execution platform), and Pinnacle (as UK product manufacturer subject to FCA Consumer Duty PRIN 12)?

Correct Answer: The He and Liu article specifically identifies that the FOFA reforms replaced the old 'suitability rule' under former section 945A of the Corporations Act 2001 (Cth) with a 'best interests duty' and 'related obligations,' including the 'appropriate advice duty.' This is a critical distinction: the old suitability rule merely required that a recommendation be suitable for the client's circumstances at the time of the recommendation, whereas the post-FOFA best interests duty under section 961B requires the adviser to demonstrate, through documented steps, that they acted in the client's best interests -- including considering and rejecting alternatives, addressing conflicts, and ensuring the advice is 'appropriate.' Harland's failure was not merely in recommending an unsuitable product, but in failing to document the specific investigative and deliberative steps required by the best interests duty safe harbour provisions. Under the old s 945A suitability standard, merely documenting that the product matched Claire's risk profile and horizon could have sufficed; under the FOFA regime, it does not.

As to liability allocation: MWP, as the AFSL holder, bears primary regulatory liability under the Corporations Act because AFSL holders are required as a general rule to provide services 'efficiently, honestly, and fairly' and are responsible for their authorised representatives' conduct. The undisclosed 2.1% distribution fee from Pinnacle via AsiaPac constitutes 'conflicted remuneration' banned under the FOFA reforms, creating additional liability for MWP. MWP's argument that US SEC fiduciary compliance satisfies Australian law fails because the article establishes that the Australian best interests duty operates as a distinct, legislatively prescribed obligation with specific procedural safe harbour steps -- it is not a general fiduciary standard that can be satisfied by equivalent foreign compliance.

AsiaPac, despite claiming to be a mere execution platform, faces potential liability as an AFSL holder that facilitated the flow of conflicted remuneration (the distribution fee) and failed to ensure an Australian-compliant PDS was provided. Pinnacle's liability under the FCA Consumer Duty (PRIN 12) is separate and relates to its product governance obligations as manufacturer, including target market assessments; however, the FCA regime does not create direct liability to an Australian retail client for the advisory failure -- that falls squarely on MWP and Harland under the Australian framework. The article's comparative analysis shows that while the UK regime imposes suitability and conduct obligations, these operate within the UK regulatory perimeter and do not substitute for Australian AFSL obligations.

Item adversarial_0200 -- procedural_technical

gpt-4o: [N] Wrong

gpt-5.4: [N] Wrong

Topic: mifid_ii_suitability_sustainability_integration_procedural_requirements

Fact Pattern

Question / Answer

Under the ESMA 2022 Final Report on MiFID II suitability guidelines (ESMA35-43-3172), what specific regulatory event triggered the update of the suitability guidelines to integrate sustainability preferences, and what was the precise

procedural sequence -- including the consultation paper publication date, consultation closing date, and the number of responses received (including how many were confidential) -- that ESMA followed before publishing the final guidelines? Further, why does Hartwell's argument that the September 23, 2022 publication date of the Final Report excuses its failure to collect sustainability preferences from clients onboarded after August 2, 2022 fail as a procedural defense?

Correct Answer: According to the ESMA 2022 Final Report (ESMA35-43-3172), the specific regulatory event triggering the update was the adoption by the European Commission of changes to the MiFID II Delegated Regulation (Commission Delegated Regulation (EU) 2017/565) to integrate sustainability factors, risks, and preferences into certain organisational requirements and operating conditions for investment firms. These delegated regulation amendments took legal effect on August 2, 2022, and directly amended Articles 54 and 55 of the MiFID II Delegated Regulation to require firms to collect clients' sustainability preferences as part of the suitability assessment. The obligation to collect sustainability preferences derives from the Level 1 and Level 2 legislative text itself -- not from ESMA's guidelines.

The procedural sequence ESMA followed was as follows: on January 27, 2022, ESMA published a Consultation Paper (CP) with proposed draft guidelines on certain aspects of the MiFID II suitability requirements, pursuant to Article 16(2) of the ESMA Regulation. The consultation period closed on April 27, 2022. ESMA received exactly 90 responses, 10 of which were confidential. ESMA also sought the advice of the Securities and Markets Stakeholders Group (MSG). The Final Report was then published on September 23, 2022.

Hartwell's defense fails because the obligation to collect sustainability preferences is a binding Level 2 requirement embedded in the amended MiFID II Delegated Regulation, which applied from August 2, 2022. ESMA's updated guidelines are supplementary guidance intended to promote convergent application of the legislative requirements -- they do not create the underlying legal obligation. Therefore, regardless of when ESMA published the Final Report on the guidelines, Hartwell was legally required to collect sustainability preferences from all clients receiving investment advice or portfolio management services from August 2, 2022 onward. The guidelines themselves also took into account the results of the 2020 Common Supervisory Action (CSA) on suitability and the amendments introduced through the Capital Markets Recovery Package to Article 25(2) of MiFID II, but these are additional contextual factors, not prerequisites for the delegated regulation's applicability. Petra Neumann's argument conflates ESMA's non-binding supervisory convergence tools with binding EU legislative requirements.
